Five-Star Bus.Fi (FIVESTAR)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Dec 2022

(no extractable text — likely a scanned image PDF)

Call: Feb 2023

Date: February 03, 2023

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663

Sub: Transcript of the Earnings Conference Call for the quarter ended December 31, 2022

Dear Sir/ Madam

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the Earnings Conference Call held on Monday , January 30, 2023.

The recording can also be accessed from the link : https://fivestargroup.in/investors/

Kindly take the above on record.

For Five -Star Business Finance Limited

Shalini Baskaran
Company Secretary & Compliance Officer

"Five-Star Business Finance Limited
Q3 FY '23 Earnings Conference Call "
January 30, 202 3

MANAGEMENT : MR LAKSHMIPATHY DEENADAYALAN – CHAIRMAN AND MANAGING DIRECTOR – FIVE-STAR BUSINESS FINANCE LIMITED
MR RANGARAJAN KRISHNAN – CHIEF EXECUTIVE OFFICER – FIVE-STAR BUSINESS FINANCE LIMITED
MR SRIKANTH GOPALAKRISHNAN – CHIEF FINANCIAL OFFICER – FIVE-STAR BUSINESS FINANCE LIMITED

MODERATOR : MS MAHRUKH ADAJANIA – NUVAMA INSTITUTIONAL EQUITY

Moderator: Ladies an d gentlemen, good day and welcome to the Q3 FY '23 Earnings Conference Call of Five - Star Business Finance Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Mahrukh A dajania. Thank you and over to you ma'am.

Mahrukh Adajania: Hi. Good morning everyone. I welcome you all to the earnings call of Five -Star Business Finance Limited . We have with us our top management team of Five Star represented by ; CMD , Mr Lakshmipathy D eenadayalan , CEO Mr Rangarajan Krishnan and CFO Mr Srikanth Gopala krishnan.
With this brief introduction, I hand over the floor to the management team of Five Star , they'll start with their brief overview on results after which we'll move on to Q&A. Over to you.
Lakshmipathy Deenadayalan : Thank you, Mahrukh. Good morning all. This is the second conference call for Five Star . Thank you
for people joining in. To start with a very positive note, last time I said th e Q2 was one of the best quarters for Five St ar, so this quarter I may rate it is better than the best. We will take you through on th at logic.
Before that, I just wanted to spend a minute for the new participant s in this conference call, a few points on Five Star. As we all know, Five Star is playing into a niche segment which is less crowded. We are lending to single or small shopkeepers, self -employe d and cash salar ied segments for last 20 years.
And why we are saying it as being less crowded , these people don't have a formal documentary proof to show their credit history. So , you have to build your own assessment capability on assessing their cash flows , integrities and put your collection model which can suit their earn and pay cycle. So , we have been doing it very successfully. That's been evidenced by our quality of asset and profitability for the last many -many years.
Now taking you through the performance of Q3 , first let me take you through on the loan por tfolio which has seen a strong growth. We have moved from INR 4,767 crores to INR 6,242 crores year -on-year, registering a growth of 31% and on Q -on-Q, we have moved from INR 5,732 crores to INR 6,242 crores with one of the best Q -on-Q growth of 9%.
Moving to the disbursement, we have moved from INR 426 crores to INR 910 crores comparing year-on-year with 114% growth and comparing with Q -on-Q, we have moved from INR 802 crores to INR 910 crores with a healthy disbursement growth of 13%, wh ich has been led b y increase in number of branches ; as I said last time, we are adding good number of branches. Comparing last December to now, we have added close to 89 branches and comparing to last quarter, we have added 17 branches. So as of now, the total branches stan ds at 369 branches for Five Star.
Now taking you to the very important point, which is the asset quality of Five Star. Let me start with 90-plus and come to the NPA. So , 90-plus has been flat , comparing to last quarter , at 1.16%. But the terminology NPA ha s bit been changed which is in line with RBI circular dated 12 , November 2021 which got implemented from 1, October, 2022 , and that stands at 1.45%. The difference between

1.16% of 90 -plus and NPA of 1.45% is 0.29% which is INR 18.10 crores of loans , which have been categorized as NPA even though it is less than 90 DPD , as per the new circular which got kicked in from 1 , October 2022.
Then moving to the liability , I am happy to register we have raised more than INR 1 ,000 cr

ores in a
single quarter whic h is the first of its kind in Five Star. So we are building our strength not only on assets we are also building our strength in liabilities. Few more data , our incremental cost of borrowing has moved from 8.5% last year to 8.7% this year with the increas e of 20 bps even though repo rate has moved from 4% to 6.25% with an increase of 225 bps. So that shows the comfort lenders have on Five Star, being a good capitalized company, and quality, and profitability standing by.
And cost of borrowing on the book h as come down from 10.5 0% in last year to 10.35% now. So as I said in last quarter also, there is no need of increase of lending rates to our borrowers ; that will not occur in quarters to come. Finally, on the profitability, we have moved from INR 118 crore s of PAT to INR 151 crores of PAT, registering a 28% growth in year -on-year. And from INR 144 crores to INR 151 crores, Q -on-Q, with registering a growth of 5%.
Finally, on rating, I am happy to announce our rating has moved from A+ to AA -. India rating ha s assigned the AA - rating to Five Star. So with this, let me hand over the session to Srikanth, our CFO, to take you through more.
Srikanth Gopalakrishnan : Very good morning to all of you. I will just quickly touch upon a few aspects and then hand over for any Q&A. See from a numbers perspective, as in the previous quarters, I think our growth has been both branch -led as well as customer -led, with a very minimal increase in ticket sizes . So we have had a total active loan base moving from INR 2.5 lakhs in S eptember to about INR 2.7 lakhs today. And on a year -on-year basis, this represented a growth of 24% from about INR 2.15 lakhs.
Branch count continues to be robust. We have added 89 branches during the last one year and about 17 branches during the quarter. And the branch count stands at 369 branches as of December. The growth in AUM has been at about 31% year -on-year and 9% quarter -on-quarter. We ended December quarter with INR 6,242 crores of loan book for nine months ended December 31 , 2022. Our average yield on the portfolio was at about 24.11% and average cost of funds at around 10.35%. This has resulted in a spread of 13.76% as against spread of 13.49% during the nine months of financial year 2022.

NIM again is at a very healthy numb er of about 18.55% for the quarter, primarily due to lower leverage but a large part of it is also being on the ba ck of lower funding costs. Year -to-date, the NIM has improved to 17.91%. Our cost to income stands at a very healthy number of about 35.56% fo r the first nine months as compared to 35.62% for the nine months ended December 2021. This has resulted in a return of assets of 8.64% year -to-date and a return on equity of 14.66%. So that's it from the numbers perspective.

From a borrowings perspective , I think we have a very healthy borrowing profile with about 50 lenders lending to us. The bank lending proportion has been going up. That tends to be very sticky proportion of the overall borrowings for us. So banks contribute about 56% of our debt and w e have diversified our borrowings, across non -convertible debentures, market linked debentures. We have

done securitization transactions and also issued ECBs. As Mr. Pathy said, during the quarter, we raised over INR 1,050 crores of incremental debt at an all-in cost of about 9.1%.

What you see on the presentation of 8.7% for the nine months is only the coupon. Last quarter if you look at it, it was 8.7% of all -in cost. So that did go up by 40 basis points. But what is important to note is that while the co st of funds has gone up by about 40 basis points as compared to the previous quarter, we are still borrowing a very good quantum of debt at optimal cost.

And as compared to the Q4 of last year, our borrowing cost has actually gone up by ab

out 42 basis

points despite the fact that RBI has raised their repo rate by about 225 basis points. So clearly, Five Star is seen as an attractive lending institution by the lenders . As Mr. Pathy said India ratings has given us a rating of AA - during this quarter, which i s very clearly something that stands testimony to the strength of the company. We are hoping that the other rating agencies will also follow during this period.

On balance sheet liquidity remains robust at over INR 1,000 crores without taking any of the pi peline sanctions, so we are expecting that this will tide us in a very good manner over the next two quarters. What all this has actually done is bring down our overall borrowing cost on the book as well from about 10.56% last year to about 10.35% for the nine months ended December. And for the quarter, it's at 10.26%. So very counterintuitively, Five Star has seen a reduction in borrowing costs despite the adverse interest environment over there .

On the collections, again, we have spoken about the business momentum. The collections have also been very robust, not just during this quarter, but over the last about six quarters or so. We have been clocking a collection efficiency of over 98% in the last six quarters with four quarter s showing over 100% in coll ection efficiency. Even the 30 -plus number which you are seeing about 13.5%, 13.7% last quarter, it's actually dropped down to closer to 12.1% as we speak as of December 2022.

One important development, I think Mr. Pathy touched upon this is the upgradatio n norms that got implemented from 1 , October Just to refresh everyone's memory, RBI came out with the circular on November 12, 2021, and then followed up with another circular on February 15, 2022, where these upgradation norms were deferred to 1st October. So basically, what this means is any loan that crosses 90 DPD at any day during the quarter can only be brought back to standard asset only if they clear all the over dues. So given our profile of earn and pay customers, there are always going to be some customers who may not be able to pay on the due date, but they will clear before the month end.

So our Stage 3 assets or NPA that we have aligned to the revised norms stands at 1.45%. But out of this 1.45%, 1.16% represents assets that are over 9 0 days past due as on December 31 , 2022. 0.29% predominantly is sitting in the bucket of 61 to 90 and 31 to 60 . However, since these customers crossed 90 DPD at some point of time during the quarter and they have not regularized their account to zero DPD, which is why they will also have to be classified as NPA. But if you would recall, we had guided even last quarter that this number, the dichotomy between Stage 3 assets and NPA would be around 75 to 100 basis points. For this quarter, it's only at about 2 9 basis points.

We continue to hold a very robust provision both on the overall book as well as on the Stage 3 assets. On the Stage 3 assets, our provision has been almost flat compared to previous quarter. Currently, we hold about 44.78% provision on the Stage 3 assets and 1.66 % provision on overall AUM . With

the effects of COVID having almost receded completely, and we are seeing very good traction across the various portfolio buckets, the overall provision coverage on the AUM will gradually start normal izing in the coming quarters, and that's something that you will keep seeing.

On the restructured book, we restructured 1.83% of our assets during the second wave of COVID. Currently, the restructured book as a proportion of overall AUM stands at 1% at INR 62 crores. And even on this book, we maintained a very healthy provision coverage of about 48.61%. It's also good to note that there is a good performance that we are seeing on the restructured book. About 91% of the restructured book continues to be in t he s

tandard category. If you recall, it's been five quarters
since the restructuring ended. So even after five quarters, we have about 91% of the book who's staying in the less than 90 -day bucket.
Profit for the quarter, as Mr Pathy had outlined, is about INR 150 crores, representing a 28% year -on-year growth. For the nine months, we had clocked a profit after tax of INR 435 crores, representing an increase of 29% year -on-year. We had a net worth of INR 4,165 crores as of December 2022. So this quarter , the company has continued to show a very robust growth, profitability and quality. And we are very confident and remain well poised to continue the momentum in Q4 as well. Typically, Q4 tends to be the best quarter for us as for any other NBFC. So we are very confident of showing good results for that quarter as well.
So with this note, we will take a pause here, and we'll open out for any questions that any of you may have. Thank you very much.
Moderator: The first question is from the line of Pranav from Ra re Enterprises.
Pranav: Sir, have you shared any where SMA 1, SMA 2 data in the presentation?
Srikanth Gopalakrishnan: So Pranav, we have given you the numbers of 30 -plus and 90 -plus. So 30 -plus consists of both SMA
2 and SMA 3. So 30 -plus stands at 12.1%. And if you remove 1.45% out of that, which will be about 10.55% or 10.6%, so that's one data that we have. We also have on the slide, the subsequent slide the bucket -wise portfolio breakup. So SMA 1, which is one to 30 stands at about a little over 7%, 31 to 60, which is SMA2, stands at 5.42%, 61 to 90 stands at 5.23%, and NPA stands at 1.45%. So this is on Slide 26.
Pranav : So this data, if you track it for, say, before COVID and during COVID, how has this data improved? Any trend that you can give -- for any one of these data points, for example, say, 30 to 60 DPD? Any trend that you can draw and highlight?
Lakshmipathy Deenadayalan: Yes. Pranav, let me take it up. Srikanth will come up with the numbers. See, Pranav, I think pre -
COVID, our numbers have to be compared with pre -COVID with now , because these customers are earn-and-pay customers, you can't expect them to be in the current stage till the tenure gets closed. So we have to track them , when is that their first arrears hits the customers and the subsequent months how the customers pays the arrears is the trend what we will have to see it.
So if you just compare this with other lenders or lending to prime customers, this may be a little higher. But we know that because that is why I said this is a less crowded market. When you want to

lend to these customers, you have to be very clear about their earning pattern and their paying pattern for a long -long time. We have a pattern for the last 20 years.
If you see our pre -COVID , the current bucket was around 82%. Now it stays at 80.87%, which is 81%. It has moved substantially from last December from 67%. So I think very con fidently, next quarter, we will break our best ever current at Five Star . That's what the trend has been showing at Five Star . So I think Srikanth, has numbers. I think I'll leave it to Srikanth.
Srikanth Gopalakrishnan: Yes. So Pranav, I think we are broadly in line with our best numbers that we have seen pre -COVID.
Like Mr. Pathy said, current is about, we were at 82%. We are at 81% currently. In fact, on the one -to 30 -day bucket, we are actually better off , as compared to 8% 1 to 30, we are at about 7% today 31 day to 60 day broadly in line, we were at about close to 4.5% then we are at about 5.4% now. And 61 day to 90 day we were at about 4% because there will be something that the NPA also will be showing a little higher number. So we were at 4%, a nd we are currently at about 5%.
So there is a 1% difference in the 31 to 60 and 61 to 90 day bucket as compared to the best numbers that

we clocked pre -COVID, but things are definitely coming down. As you will see, even in the presentation between Decembe r '21, September '22 and December '22, not just in terms of percentages , across the various buckets, you will see the absolute quantum also dropping. So we are very confident that this number will show better improvement in the March and the subsequent quarters to come.
Pranav: Last question from my side. I'll come back in the queue. So the 369 branches that we have, what is per year typically we will increase ?
Rangarajan Krishnan : So Pranav, the normal opening rate of opening of branches is about 50 to 60 branches per year. That has been our pre -COVID track record in terms of number of new branches that we get to open per year. This year has been a little higher. In the last one year, as Mr. Pathy had put it, we had opened about 89 branches. The rate is hig her because the last two years because of COVID were muted in terms of branch openings. So there is some pent -up demand that is getting absorbed this year. But I think we'll get back to normalcy of about 50 to 60 branches per year going forward.
Moderator: The next question is from the line of Rahul Bhangadia from Lucky Investment Managers.
Rahul Bhangadia: Two questions. One, if you could give us an indication or guidance on your credit cost going ahead because this quarter is a really low number. What sho uld we expect going ahead on a medium term?
Srikanth Gopalakrishnan: Yes. So see, if you look at during the quarter of December '21, we had a credit cost of about a little

over close to 100 basis points, about 94 basis points because that was also the time post first wave, second wave, we were consciously building more of provisions, that has started normalizing. So our belief, while this quarter looks at about 27 basis points or so , our belief is that this number will be anywhere around the 1% level once w e have a steady -state scenario. So what it used to be pre -COVID around 1% or so is where we think the credit cost should start stabilizing in a steady -state scenario.

Lakshmipathy Deenadayalan : Rahul, just to add a point, from a guidance perspective, I thi nk we are extremely performing very well. Let me take the inputs from the earlier question where COVID hit most of the sectors in our country, but we were able to manage one of the best asset quality, even though the DPD performance

was a little down. That DPD performance is now picking up. That's what last question we clarified. We'll be beating all the numbers of previous best DPDs at Five Star in next quarter. But having said that, as a guidance of credit cost, I think we'll be happy to give you at 1% to 1.5% at a longer go, having the performance is really good, but I want to be more cautious, so to give a guidance of 1% to 1.5% in the long ru n.

Rahul Bhangadia: Second question was, what is the general repayment period that happens here 2.5 years to three years? And has that number changed over the last four, five years?

Srikanth Gopalakrishnan: Sorry, it's not 2.5 to three years, Rahul. It's m ore like four, 4.5 years. See, our origination tenure is up to seven years. In fact, almost 85% of our loans get sanctioned for a seven -year tenure. Adjusted for prepayments, what we see is that this number is around four to 4.5 years. It has sort of large ly stayed around that level in the last few years. So we are not seeing it significantly increasing or significantly constricting.

Rahul Bhangadia: So the reason that I asked this question was if you look at the, in your presentation from, you have given d ata from FY '15 to FY '22, if you look at the loan disbursements and then the growth in the AUM, broadly, the 2.5 to three year number that comes out. So that's why I asked this.

Srikanth Gopalakrishnan: So a lot of loans, whatever gets booked in the i

niti al part of the year, you'll see the repayments , rest of it you may not see. So typically, what we see is about 2.5% of runoff every month, so 2% to 2.5%. So 2% at 24% for the year works about a little over four, 4.5 years.

Moderator: The next question is f rom the line of Jeetu Punjabi from EM Capital Adviser.

Jeetu Punjabi: Just one bigger question is, what are the trends you're seeing on the ground, which would translate into growth? Are you seeing an opportunity to expand much faster and grow the book fas ter? Are you in the mode where you need to be a little more cautious? And would you -- and I also saw on media, there was a comment which talked about 20%, 25% growth. Does that look doable in the next four to six quarters as well?

Lakshmipathy Deenadayal an: Ravi, let me start. I'll ask Ranga to even add. See, we will always be very cautious. We will not be dynamic when we handle these customers. As I said, single shop owners, self -employed and cash salary customers, which is very hard to break. So we'll be always cautious. That's our philosophy. At the ground level, we see tremendous opportunity, as I've been saying to everyone and everyone knows that this is a segment of customers who have not been -- that credit was not being met by former lenders years a nd decades for now. But Five Star took a call in 2002 and went behind them and successfully have done in the last 20 years.

We are very optimistic from this opportunity perspective. These are the things that will drive our growth. See first, we were at INR 3.5 lakh average ticket size which has come down to INR 2.5 lakhs during COVID consciously, and now we are slowly picking back. So we are at INR 3 lakhs average ticket size as of December. That will move towards INR 3.5 lakh. That's the first point that w e wanted to reach. Because we were lending at INR 3.5 lakh average ticket size pre -COVID.

Second, growth, as Ranga said, we'll be opening close to 50, 60 branches, which used to be 40, 50 branches pre -COVID. So we'll be doing it at 50 to 60 branches here o n. So that will give us a next leg of growth.

And we are happy to say we keep adding number of officers even at the existing branches, which is performing phenomenally well. So with these three levers of growth and the tremendous opportunity at the ground, but our mind always puts us in very conscious mode, definitely, we can deliver the growth what you refer to our interview, which I gave a few days back.

Jeetu Punjabi: So, I hear you talking both about the structural opportunity that you've seen in the lo ng term, which has been played out . And second, also the three levers that you're seeing being used to expand the book. But are you seeing just the underlying economic environment enough to step up a gear? Or are you still going to stay in the same gear yo u were earlier? Sorry for belaboring the point, but I just thought, I wanted a little bit of color on the underlying environment.

Rangarajan Krishnan: So Jeetu, the underlying environment has clearly sort of picked up from the COVID lows. We used

to take a bout on an average, six months to break even when we open a new branch. We are getting back to that norm. Like Mr. Pathy put it, a large part of our growth even historically has been driven by how much we want to grow rather than mindlessly sort of opening a set of branches that we are not able to digest well and keep up the culture, both in terms of repayment and in terms of the culture of credit that we have built painstakingly over the last about 20 years.
So while technically, what you say is right, whic h is the opportunity is quite large and we may be an opportunity to open even 100 branches per year , but I think we are still in a mode where we want to make sure that what has been built over the years cannot get compromised for any reason. So , which mea

ns , we will continue to build slowly and steadily about 50 to 60 branches per year.
The other nuance that sort of works well in this segment is that every state is very different. Every state has a culture. Every customer has a culture. Every state has a culture, so it's not easy to randomly go into new states and start opening up branches.
If you look at throughout this year, bulk of the branches that we opened in the last 12 months, 89 branches we have opened , bulk of the branches are in states where we already have a very -very significant and a strong presence. So , we are consolidating our positions in t he core states of South. While at the same time sort of opening seed branches, experimental branches in the Central Indian states. This cautiousness is something that we always car ry forward as a culture of Five Star. But I think the growth numbers that y ou have mentioned and that we have guided in the past are imminently sort of meetable even with this cautiousness as upwards from our side.
Moderator: The next question is from the line of Sagar from Anand Rathi.
Sagar: I just wanted a little bit color on the client base you have in comparison to the South based banks, like Karur Vysya , South Indian Bank, etcetera. And also if they are rated -- overview on the rating ?
Srikanth Gopalakrishnan: With the client base, how they are different as compared to, let's say, the banks of Karur Vysya South
Indian bank .

Rangarajan Krishnan: Yes. Sagar, our clients are largely, I would segment them into three categories. The first segment are people who are single shop owners. This forms the bulk of whom we serve. So t hese are people either by themselves or through their family members , they provide some kind of a service. It could be anything that a common man needs for every day.
So it could be a kirana shop , provisions, flower vendors, food vendors, eateries, pharma cies, repair shops, salons. So the classic service segment is what we target. This forms about 60% of our customer base. 25% of our customers are self -employed individuals. These are category B and category C, self-employed individuals, not doctors and eng ineers, but more in the category of plumbers, painters, masons. That's the category that we significantly serve.
And the last 15% are employed. So these are -- they are largely cash salarie d who are employed in the informal segment. So people who work in s hops, factories, such casual laborers. People who are wage earner. So that forms about 15% of the people.
So across these categories, in general, the common trends are while they have income, but they don't have documentary proof to prove their income sign ificantly. It's more of Kacha bill and what papers that they maintain for running their business. So the idea and the challenge here is how do you assess cash flows in the absence of documenta ry proofs of income, and that is where we specialize in.
If you were to take a look at the bank, I think the segment is at least 2%, 3%, not just above this, while they also could be doing businesses, small businesses, but it could be something far higher than a single shop owner that you will see on an average when yo u walk down the street on a market lane. So these people are bank targets. Maybe doing a single shop, but it could be a supermarket. So there could be people who are doing a much higher skilled job.
So while everything is MSME, while everything is small ti cket loans, but I think the color and segment of what different people target is very different in the market.
Lakshmipathy Deenadayalan: And to add what Ranga said on few notches, its clearly, you can differentiate between the average
ticket size, what Fi ve Star specialized, where is the banks that you mentioned, which are doing predominant business in lending to MSME in South India, our average ticket price i

s INR 3 lakhs,
right? I think I don't know any bank lends to an individual client for a INR 3 lakh loan for a seven -year tenure. So their ticket size may be in the north of INR 10 Lakhs or INR 15 lakhs. So lending to a shopkeeper can be a common terminology . But within the shop keeper, the average ticket size where Five Star specialized is between INR 3 lakh to INR 5 lakhs.
Moderator: The next question is from the line of Janish Shah, an Individual Investor.
Janish Shah: Yes. Sir, just a few things I just wanted to understand about the business attributes. One is -- so a few of the observations which I have is that you have a 100% collection doing in -house. That's one part.
Second is the leverage on the balance sheet has been low. And the third important aspect is the

technology, the use of technology ?
How these three things are differentiating company from the rest of the players in the market? And if you can just understand where -- how this differentiation is more secure to us as compared to the

other players? And going ahead, like what kind of trend do you see within the resulting out of these three unique things which we have, if you can just throw some light on this aspect ?

Rangarajan Krishnan: So thank you, Janish. So I'll just ta ke up all the three aspects one -by-one. The first is 100% in -house collections. This has been the core of what we have always put up within Five Star and not only 100% in -house collections, we also have the norm that the person who originates the business is responsible for collections. So , this is a key differentiation between us versus many other players in the market. We fundamentally believe that if a person understands the pain of collections, he's going to be a lot more responsible when y ou're sourcing your business.

So even while we have set up a collection vertical within Five Star over the last about 1.5 years or so, but it's a conscious decision for the collection verticals only to handle customers which are above 24 months bucket. So , 24 months of tenure, not bucket, 24 months of tenure. So which means for the first 24 months since origination , whatever bucket the customer is going to be, whether it is the current bucket or arrear bucket or even an NPA bucket, the account does not get transferred into collections vertical. So the person who has originated has to handle that loan. This is something that is core to what we have built and we don't have any intention of changing this ev en over the medium to long term. So , we will continue to have 100% full -time employees who are handling collections.

The other early call that we have taken at Five Star as at, there are three core verticals. The first is sourcing. The second is underwriti ng and the third is collections. These three define who a lende r is and across the three verticals, we will not have anything which is outsourced. So we will not have DSA agents who are sourcing loan , we will not have some third -party agencies who are help ing us underwrite the loans or get it to a particular format or we will not have anybody else who is collecting our loans. Across all the three verticals, which is fundamental to a lender, we will continue to manage 100% with full -time employees or Five St ar.

On the second part, which is on leverage, you must understand that we are a stand -alone NBFC. We are not backed by large parental houses. It was started by an individual. We have painstakingly come to this point over about 38 years so far. And as you w ill see that this sector is not smooth. The sector will have its ups and downs. So , unless we are really well capitalized, you cannot press the pedal of acceleration and growth over the medium to long -term period.

So one of the early calls that we have tak en is that we will -- when we started inviting private capital which is the marquee

names, who have backed us from 2014 to 2020, we will ensure that good quality capital coming in from the investors who will stay with us for the long term because unless yo u have the capital comfort, you're not going to be in a position to improve your rating, you're not going to be in a position to get high -quality profession als to join your firm.

You can't get bankers to take comfort on a stand -alone NBFC and sort of extend their lending lines. It is going to be very difficult when suddenly banks are going to start being very cautious because of sectoral impact. You can't just be on and off into th e market. So I think capital comfort was absolutely required during our high -growth phase, and that's the reason we built significant buffers of capital over the 2014 to 2020 period.

But as we see, you will obviously recall that when we came out with an IP O, it was complete OFS. We didn't want to raise a single rupee of capital from public because we believe we have reached the

point where we are significantly and adequately capital sufficient at this point of time. And we have the comfort of very high accr uals. So for the first nine months of this financial year, there already are about INR 434 crores of PAT, and we have not paid any dividends. So the entire thing is going to be sort of reaped into the business.

So this is going to continue for the foreseea ble future where we are going to have strong accruals. It's a profitable model, and we have significant capital comfort. So any investor with us at this point of time, is going to enjoy the upside in terms of profitable growth without dilution, and that has been -- we will increase leverage, but it will be organically increased over a period of time. Just to increase leverage, we are not going to accelerate the pace bey ond the rate of comfort that we are good with .

The last part is on tech . Obviously, every business has to have tech angle at this point of time, and we continue to significantly invest into tech. But you must sort of understand the customer segment that we are targeting is not the usual customer segment that comes in the mainstream media or news when you sort of compare other fin techs or NBFCs what other in the segment. Bulk of our branches are between Tier 3 and Tier 6.

Well over 90% of our brands are be tween Tier three and Tier six. And obviously, I had explain ed the customer profile of people that we target. So these people are not or category one adopters of technology. So their ability to understand, adopt technology is very different from the average sort of mind share that you get when you speak of tech in a business.

So we are cautious about what works for this segment, how that has to be implemented within the Five Star , without sort of diluting our focus or making people uncomfortable with sort of thrusting technology where it is not needed, we will tread a fine line here. But that said, I think we are making sort of fairly significant investments, especially over the last two, three years into technology, and that will continue to provide guidance over the next few years to come.

Janish Shah: Yes. Just a follow -up on these two. One is, you mentioned about the leverage, maybe turning a little better , but is there a threshold which you have defined for that? And second, when we are talking about the cost to income -- the reason why I'm asking about the use of technology more from a cost perspective , how much it pushed down the cost? And what would be the -- when you lever it -- I can see, we have built the building blocks. You have added the branches. You have added the people. You are investing in technology, but the cost -to-income ratio remaining at a much sustainable level more close to between 30, 35.

But where do we see going ahead when you see the scale -- as you said, like , when the business s

t arts

scaling up over next two, three years, where do you see the cost -to-income ratio also mov ing towards , is there going to be a more reinvestment, which has not happened over the next two, three years for this business, which will be in linear to the gro wth and the business. That's what I wanted to understand.

Srikanth Gopalakrishnan: From a leverage perspective, historically, I think we have been comfortable around 3 to 4x of leverage, which means 3x of debt equity, which is something people even the debt providers, the credit agencies are all comfortable with, and you don't have too much of pressure to start building up the capital.

So our belief is that over the next about three years or so, our leverage should be at about 2 to 3x, which will push up the ROE. See, you should also look at today, the net interest margins are inflated to some extent because of lower leverage. So while the spreads are at a very healthy level and we will continue to remain at the 12 to 13% kind of spread, you will definite ly see some kind of a drop in the net interest margins because of leverage going up.

So what is currently at about 17.5 -18% will probably drop to about 14 -15% in a steady -state scenario. So there will be a compression in the return on assets on account of this. But then given the leverage kicking in and the return on assets at a steady -state being around 6% or so, about 3 to 4x of leverage, we should be looking at 20 to 22% of return on equity in a steady -state scenario. So you will definitely see these num bers panning out over the next three plus years.

From a cost -to-income perspective, we are probably -- given the segment that we're operating in, where it is a little bit more intensive on the manual side, while we will definitely leverage technology, we h ave built a very strong senior management team, so you don't need to invest a lot more on the management side.

But then you will also need to keep putting feet on street. There are always going to be efforts both on underwriting and collections that we'll have to expand. So we don't see too much of ability on the cost to income to drop. But where we have the abilities as the assets keep increasing, what currently you're seeing in opex to AUM of about 6 -6.25% for the year should definitely in a steady -state scenario come to about 5.5% or so. 5.5 - 6% is what we think is a steady -state scenario opex to AUM. But cost of income could broadly range around 34 -35% even in a steady -state scenario. But with the incomes going up, that pushes up the ROA. And with levera ge and debt equity going up, that pushes up ROE.

Lakshmipathy Deenadayalan : Janish, being an important question, let me also reiterate. See, I think our cost -to-income ratio is one

of the best in this industry to the price that what we lend to the market. Even at this quarter, we are at 38%. If you knock down onetime expense that we share d with our employees due to our successful IPO, it will be around 35 -36%. So that will be one of the best cost -to-income ratio to the segment or to the IRRs what we lend. T hat's point number one.

So the game plan will be shifting our ROA towards ROE. Today, if you see ROA is around the north of 8% because of low leverage. As Srikanth said, the leverage is going to kick in. That's the focus at what we have planned for.

As a d ata point, we have raised more than INR 1,050 crores in a single quarter. That shows the ability of leveraging ourselves. So even at the leverage of one to two currently, our return on equity is at around 14.67%, close to 15%. That will move towards 20 -22% as the leverage kicks in.

So don't expect a big drop in cost -to-income ratio. As I said, we are one of the best in the market if you compare with the IRRs what we lend for, and yes we are fully loaded on management, fully loaded on technology, and there

w ill be some slight drop in opex as a percentage of AUM, what
Shrikant said, but the focus will be moving towards a healthy return on equity to the shareholders.
Moderator: The next question is from the line of Chandra from Fidelity.

Chandra: I had a few qu estions. One, can you just share the stage two assets, which is maybe two or three year vintage at this point in time? Reason being just trying to understand some of your customer segments obviously can't roll back two payments at one point in time and wou ld have been originated during somewhere on the lockdown period. Just trying to understand just by vintage the Stage two.
Srikanth Gopalakrishnan: Chandra, just give us a few minutes. I think you can proceed with your questions. We will get you the data shortly .
Chandra: Sure. Second is just what is the number of collection office rs, which we have right now? And how should we fundamentally think of the pure collection officers over a period of time on a per branch level. My understanding was that you have m aybe about 1,200 with about 20,000 bucks a month, which is about INR 30 crores o dd annualized. So just how should we think of just pure collection office rs on a per branch level on a steady -state basis? That's one.
Second is just the target spreads, how do you think over a period of time. You did say it was just 12 - 13%. Your incremental cost of borrowing is still lower than the average cost of borrowing, one, and the customers are not as sensitive to yield as you said in the past. So given that the average cost of borrowing, the incremental is still lower than the average, how should we just think over the medium and over the longer term?
Then the other question is that, we have about 270 ,000-odd live cases, 360 branches, maybe about 730 o dd per branch. How do we think from a risk management perspective this concentration in certain regions like d o we -- for example, if you work by a pin code, for example, we don't do more than 20 cases or 30 cases in a pin code. How do we think of risk management? And the ve ry last question is, what is your attrition at the branch officer level? And how many of them have you shared stock with ? Thank you.
Rangarajan Krishnan: Chandra, I'll just take a few questions while Srikanth is gathering the data. Firstly, we have about a little over 1,000 officers, collection officers as we have at this point of time. There are two points that I would like to clarify here. We have -- within collection officers at this point of time, we have two types of collection officers.
One is what we call is the collection vertical itself, which means they don't do anything apart from collections. They are just doing collections, and it's a separate vertical, where they have a manager, they have a supervisor. They even have a state head who is only looking at collection. At this point of time, there are two states which have a connection vertical, which is Tamil Nadu and Telangana.
For the rest of the state s at this point of time we have a collection support, which means they are collection officers only, but they don't have a vertical, which means they don't have a separate supervisor who is dedicated to collections. They are officers who will support the br anch in collections. They will do only collection but they are officers who are supporting the branch in collection. But across this two, let me not confuse you with more nuances between the two. But at this point of time, across this two, we have about 1, 000 officers.
And the way to think about it is that each officer on an average, can handle about 125 accounts. So that's the metric that we have. So , whatever is the number of accounts that we have over the 24

months vintage , that divided by 125 is the me tric that we will

adopt in terms of number of collections
officers that we will have. So , it's linear.
But when we first moved a set of accounts to collections, you will see the spurt . But if you look at over the steady state, every quarter, whatever is a new set of accounts, which is moving towards the collection vertical, we will have those many number of office rs at the collection level.
Second, on the risk management framework. So we are very clear that we have two types of branches. We have a normal br anch, and we have a super branch. At this point of time, we have a normal branch of a little over 210 branches and super branches of about 160 branches. Super branch is a branch which has a vintage of more than two years. They are very good in collections. They are good in business. They have created a presence for themselves in the locations in which they operate. We then graduate the branch to become a super branch.
Once they become the super branch, that's the first touch point in terms of how we start m anaging this. We address risk at multiple levels - once the branch starts becoming super branch, which means we don't want to be dependent on a single branch manager because that's where the first risk starts. So what we do is that the super branch is, in essence, it will have two branch managers, and it will also have one senior branch manager who is handling the two branch managers. So we'll have about 10 officers. It will have two branch managers and one senior branch manager.
So at the officer level, th ere are redundancies which are built that somebody resigns, it's not going to suffer either from a collection's perspective because there are 10 officers. At a branch manager and

SBM level, there are redundancies. Even if one of the branch managers were to go, between the three of them, which is one SBM and two assistant branch managers, we'll easily be able to support whatever happens at the branch level. So this is from a people perspective how we manage your risk.
Second, if, let's say, the branch become s a super branch and the number of accounts which are handled by the branch increases, we will keep adding officers to that branch. We will not put enormous pressure on the existing set of officers only to handle all the accounts from a collection perspect ive and also generate incremental business. The thumb rule that we have is that if an officer is doing business and collection on an average, he can handle about 100 accounts.
So the moment it crosses per officer level of 100 accounts, we will start adding more and more officers as per the need in the bran ch. So we have branches which have more than 12 -13 officers at this point of time. We also have branches where we have lesser number of office rs given the accounts.
The third way we manage risk is that if a branch becomes too big because they have done extremely good business. Let’s say they have 2,000 accounts. We don't want to just keep building on the same branch for any reason. So what we will do is that we will open nearby branches because we believe that there is a lot of good potential in that area. So we'll open a branch which is 20 kilometers, 25 kilometers away . Not just open a branch, but we will transfer a set of accounts from this existing branch to the new branch.

So as the branch gets opened, on day one, they will have about let's say, 500, 600 accounts, which are getting transferred to them, which reduces the risk at the single branch location level. So there are multiple – touch points that we do from a risk management perspective right at th e branch level.
And of course, there are layers much above the branch. The number of supervisors that we have . Three years back, we used to have about 20 supervisors. At this point of time, we have 87 supervisors. So on an average, each supervisor doesn't handle more than five branches

. So they are there for the first need of a branch, whether it be collections , be it the business, be it recruitment. So we will continue to promote people internally. Most of the supervisors are people who are groomed intern ally, and they take on responsibilities because they're very good.
Most of the supervisors will have a vintage of more than five years with Five Star. So we will continue to add supervisors as necessary in each of the se metrics. So across business collecti ons, supervisory layers and credit, the risk management is sort of embedded into the ways the business scales up and overall taken up to the next level.
At the attrition level, I just add that point. If you take attrition at officer level in a branch is ab out 29%, 28 -29% overall, largely in line with the industry. If you had to split it, most of this 28 -29% will be for people who are with Five Star for less than a year. Somebody who is about more than a year generally tends to stay with Five Star for a long er period. The reason could be that when people join from other NBFCs, they have to set right with the culture, the thought of doing business and collections together. So for various reasons, the attrition at that level maybe a little higher but in line with the industry.
But if you have to go one level higher which is the people who really matter in the branch and who are controlling the branch, which is what is the BM and above level will be roughly at about 9 -10%.
Srikanth Gopalakrishnan: Chandra, getting back to the two questions that you asked one is the vintage -wise Stage two and the target spread that we are looking at. See vintage wise Stage two, about 98% of the accounts which are in stage two are two years and more. So we have only 2 % of Stage two customers, which are 30 plus, 30 to 90 who are in Stage two who have been in the company for less than two years vintage. So typically, Stage two comes in only after 24 months or so. So 98% are over 24 months.
In terms of the target spreads, yes, today spreads are higher, and we are sort of guiding you for a 12 to 13% kind of spread. This is something we updated even on the last call. In a normalized scenario , I think some of the benefits that we have obtained on the reduced cost of funds we would have passed on to the customers. Because at the end of the day, we also want to be a responsible lender despite the fact that this segment may not be extremely price sensitive, but any benefit that we get , at least a good portion of that, we want to pass on to our borrowers.
So in a normal scenario, we would have passed on some of these benefits, but today, we don't know exactly where this entire interest rate cycle is going to sort of peak out or end. So we are being on a little bit of a wait -and-watch kind of scenario.
Once we realize that the interest rate scenario has peaked, I think we will definitely pass on some of the benefits to the incremental loans, which will gradually bring down the spreads to about 12 to

13%. So while it's about 13.7 toda y, we should expect to see about 75 to 100 basis points dropping. And that would be gradual because it is fixed rate portfolio, we can't reprice the existing book.
But on incremental loans, the borrowing rate will be lower. So to that extent, it will start slowly,

gradually pulling the spread down to 12 to 13 levels.
Chandra: Sure. So your Stage two, for example, right now is actually where it was in say 2019 approximately there. So is it, obviously during this period, you have added customers who have fallen back on their payments, one or two payments and not been able to repa y both those payments at the same time, which is why some of them may be residing in Stage two. Is it fair to assume that once they get flushed out eventually from the system and complete their dues that your actual stage two may be lower t

han where it was in 2019 levels? Is that possible?
Srikanth Gopalakrishnan: Chandra, I think the guidance that we would probably try and give you is our Stage two should be more like about, while it is about roughly maybe about 10.5 to 10.6% as we speak. Even in a steady state, I think this number will be more like 8 to 9%. If we are expecting people to significantly roll back or significantly not fall into buckets or fall into buckets and then come back to Stage one and all that , it's not going to be the case.
Our belief is that our one plus number will be more like 15%, 16% in a steady -state scenario. Currently, it's almost at about 19%. Maybe we will see another 2 , 3 percentage point bettering here . And if you trickle down from there, we should see a stage two, which is a 30 plus including the 90 plus numbers of about 10%. And if you assume a 1.5 to 2% kind of NPA number, 1.5% more like 90 plus, we should be seeing a stage two number of anywhere around 8 % to 8.5%. So while there will be some improvement that we'll keep co ming through. But I think even in a steady state, the number is expected to be at around 8% or so.
Chandra: And I didn't get the answer, just how many of the branch managers have stock in the company?
Rangarajan Krishnan: So we have given stock options to all the senior branch managers and above. So , it's not a branch manager level. So every senior branch manager, supervisor and anybody above that, totally about 350 employees of Five Star have stock options.
Moderator: The next question is from the line of Arjun Bagga from Baroda BNP Paribas.
Arjun Bagga: Sir, just wanted to get one, some colo ur on the restructured book. I understand it is at 1% currently. So if I would just understand how this has moved over the last two, three quarters? What have been the kind of slippages there and what has been the repayment?
Srikanth Gopalakrishnan: So Arjun, I think, number one, in the history of Five Star, I think we have done only on e restructuring,
which is during COVID -2, where we restructured about INR 83 crores of assets. And even this restructuring, we gave them a moratorium for six months between April 2021 and September 2021. So what you are seeing today, which is 1%, which is INR 62 crores. So , there is a rundown of INR 21 crores that has already happened. INR 62 crores is the book, which is live as on date. And like I said, 91% of these customers are in standard category. About 9% our customers, who are in the 90 - plus category .

See, the difference in collection efficiency between this as well as a normal account, yes, there is a difference. In fact, if you look at the 61 -day DPD of this portfolio, it will be on the higher side, not even comparable to what we are seeing on the n ormal book. But what is also heartening to note that it is not that a large portion of this is actually slipping to 90 -plus. We are only seeing about 8%, 10%, which is slipping to 90 -plus and staying at 8%, 10% on a quarter -on-quarter basis.
If you recall, even last quarter when we gave you the numbers, while it was 1.16% of the overall book, restructured portfolio, even then, we had 91% standard. So we are seeing about 9%, 10% who is in the 90 -plus category. And like how we guided you even in the past, we expect that about 20% or so of this book is going to 20%, 25% of this book is going to be at 90 -plus. Eventually, there will be some level of credit cost that we have to observe on this book. But to add this, what they've also been consciously doing is bui lding a very robust provision coverage.
As I highlighted, we are at about close to 50% provision coverage on the restructured book. So even if there is an eventual credit cost of about 20%, 25% that we'll have to absorb on this book, we are more than adequ ately covered, and there will be -- we don't expect any incrementa

l impact on to the
P&L.
Arjun Bagga: Another question on the asset quality. So I understand during this quarter, we took the regulatory change of classifying less than 90 DPD assets also as the GNPA s, which I understand most of the peers like or close competitors like Aavas or Aptus had done like last year itself when the circular came out for the first time. So any specific reasons that this was not done in the last quarter, Q2, when we firs t reported the results. And second is, did I understand it correctly that the number, which stood at around 29 bps during this quarter, maybe -- that maybe as between 75 to 100 bps, if my understanding is correct?
Srikanth Gopalakrishnan: Arjun, so two thi ngs. First, why did we not implement earlier. The answer is the RBI came out with a circular on November 20, 2021. And the deferral of upgradation norm was given on February 15, 2022, post the declaration of results of most of -- all the equity participant s. We had taken a very

conscious call. At that point of time, we were not required to disclose the December results being only a debt listed entity. And we had also said, given the way that this circular was floated out, there was no time given for institu tions to prepare and given our borrower profile people who have been paying with a few days delay here and there, but regularizing the account before the month end. We needed that time to educate our internal system, educate our staff. Thankfully, RBI gave that on February 15. So we had the time to educate them, and that's where you are seeing the results of 1.45%, which is only 29 basis points difference.

So why did we not come in September quarter? There was no need for us to come in September quarter, be cause the upgradation norms are kicking in only from 1st October. So any customer who slips into 90 -plus from 1st October, but does not come back to 0 DPD is what is needed to be reported as NPA, which is why we are doing it in this quarter. So one is ther e was no need for us to report in the September quarter. The circular is effective 1st October, and we have disclosed from this quarter.

Your second point is correct, your assumption. What you are seeing as 29 basis points currently, that's the impact of o ne quarter, there will be some buildup that you will keep seeing in every quarter. But we believe that, that number over a steady -state should not be more than about 75 to 100 basis points of difference between actual 90 -plus and what is being reported as NPA.

Arjun Bagga: Just one last question from my side. So I understand that the incremental cost of funds for us during the quarter has, I think, gone up by some 60, 70 bps, still, the portfolio cost of funds continues to go down. I think that is down some 15, 20 bps on a quarter -on-quarter basis. Just to understand there, sir, is there some changes or renegotiations from our side on the existing lines as well? Or is it just that the repayments are coming at -- sorry, the newer borrowing that we're doing th at is coming at lower compared to portfolio -level borrowing's costs?

Srikanth Gopalakrishnan: So it is a second part, Arjun. The replacement cost is coming lower than the original cost of the debt, which is getting replaced, which is why mathematically, yo u're seeing the numbers going down. So it's technically, our book was running at 10.5%. Now firstly, I would like to correct you, during this quarter, this number went up by about 50 basis points as compared to the previous quarter. So we are borrowing at an all -in cost , and when I mean all -in, I'm including all ancillary costs like processing fees and other borrowing costs. So that is at about 9.12%. But given that the book was running at 10.5% and the replacement happening is 9.1% , mathematically, the 10. 5% is coming down to 10.35% for the nine months and 10.26% for the quarter.

Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: Couple of questions. The first one is, given the fact that we lend out to the guys who are in the unorganized segment are slightly below prime, are there any development financial institution subscribing to our bonds? If yes, what would be the quantum whether domestic or any foreign development institutions who subscribe to o ur bond or have given us any line of credit. That's the first one.

Second is any kind of negative covenants we have on the bonds, that’s the second . And if we can split the AUM into ticket size as per proportion. So what proportion of the AUM would be less than INR 1 lakh, INR 1 lakh to 3 lakhs would be what proportion? INR 3 lakh to INR 5 lakh and INR 5 lakh plus?

Srikanth Gopalakrishnan: So Shubhran shu, I think the first question on the DFI lending, yes, we have taken -- borrow ed money from DFIs, both domestic as well as international. Domestic institutions like SIDBI have len t to us in the past, while currently, we don't have a line, but we are in t alks with SIDBI to get a fresh line. On the international side, we have had monies that we have raised from institutions like Respons ibility in the past.

The ECB that we are currently carrying on book is given by the Swedish development, sovereign fund, Swedfund. So developmental institutions are lending monies to us, but unfortunately , given hedging cost and given the withholding tax, there is some level of increase in terms of borrowing monies from foreign institutions, foreign developmental institutions , which is why you don't see a big proportion of money that we have borrowed from them. But we will continue to evaluate to see what best we can do in terms of borrowings from the DFIs.

Shubhranshu Mishra: The second question was on negative covenants on b onds. If we are -- any kind of bond market making exercise, do the market makers ask for any kind of negative covenants, whether verbal or written, either?

Srikanth Gopalakrishnan: So nothing specific, Shubhranshu, in terms of the negative covenants. These are typical covenants where we are expected to maintain certain financial ratios. We are expected to inform them about changes in board, changes in management and all that. So you do n't really see any major negative covenants that we have agreed to as part of any of the lending agreements, not just on the DFI side, but across the various borrowings that we have done.

Rangarajan Krishnan: Shubhranshu, on the ticket size, up to INR 3 la kh, or up to INR 5 lakh is the core bucket, 88% of our loans are up to INR 5 lakh. If you had a further split it , up to INR 3 lakh will be about 48% and INR 3 lakh to INR 5 lakh will be about 40%. Within the INR 5 lakh to INR 10 lakh...

Shubhranshu Mishra: Up to INR 3 lakh above number, sir?

Srikanth Gopalakrishnan: 46% of our book is up to INR 3 lakhs. 43% is between INR 3 lakh and INR 5 lakh. So that 's 89%. About 10% of the book is between INR 5 lakh and INR 10 lakhs, and we just have 1% of the book, whic h is more than INR 10 lakhs.

Moderator: The next question is from the line of Chintan Shah from ICICI Securities.

Chintan Shah: Congratulations on strong set of number. Just one question on the coverage ratio. So on the Stage 3 coverage -- on Stage 1 loan, our coverage has come down to roughly 27 bps, which was like 32 bps a quarter or one to two quarters around 30s within the past quarter. And similarly, coverage on Stage 2 has also come down a little. And also as management has guided for credit cost in t he range of 100 to 150 bps for the next year. So what could be the -- any ballpark numbers? Any targets on the coverage ratio of Stage 1 and Stage 2?

Srikanth Gopalakrishnan: So Chintan, I think historically, even in last quarter, we did have a lit

tle bit of overlays even on Stage 1 assets, more on potential IRAC, those customers who could have become IRAC DPDs.

Historically, we have seen Stage 1 being at about 30 basis points or so, 25 to 30 basis points even pre-COVID. So I think the guidance that we'll g ive you is Stage 1, we'll continue to be at about 25 to 30 basis points.

On the Stage 2, again, it was a little higher, especially in December quarter or the quarters earlier than that, primarily because a lot of the 61 to 90 DPD loans, which had the pote ntial of becoming NPA under the revised RBI regime wer e given higher provisions , that's why December '21, you are seeing an 8.3% of Stage 2 coverage.

But that's been gradually coming down. September, it was at about 7.5%. We are at 7.25% as we speak. Agai n, this is broadly at a steady -state right now. We should operate anywhere around 6.5% to 7% of Stage 2 provision coverage. Stage 3 is at 45% currently. We will -- again, over here, there is a little bit of overlays that we have built in, but we would prob ably think this number will be anywhere around 35% to 40%, 42% in a steady -state scenario.

Lakshmipathy Deenadayalan : Chintan, just to reiterate what we said on the credit cost guidance. So we have said overall credit cost guidance of 1% to 1.5%. And so on behalf of that, we have an overall provision at the ECL as 1.66%. Well, we are well over than our guidance. As the guid ance comes down, I think overall provisions as a part of ECL may also come down.

Chintan Shah: So sir, you mean that 1% to 1.5% is provisions or to total ECL provisions as a percentage of assets. That would be around 1.5%. Is that understanding correct?

Srikanth Gopalakrishnan: Sorry, Chintan, can you repeat it?

Chintan Shah: Yes. I think for Q3, we have 1.66%, which is ECL provision as a percentage of total assets at 1.66%. So that number would be around 1.5%. Is that correct?

Srikanth Gopalakrishnan: No. Chintan. See, this 1.66%, like I said, it will start normalizing. Just to give you a sense pre - COVID, this number used to be about 80 to 90 basis points.

Chintan Shah: Yes. That I understand, yes.

Srikanth Gopalakrishnan: So what we are saying is 1% to 1.5% is the credit cost hit that will come on to the P&L, both in the form of write -offs and as incremental provisions that we will b uild, what comes on as the ECL as a percentage of AUM w ill, I think, gradually start dropping. At this point of time, we don't want to give a long -term guidance, we just want to see how things pan out, but it will start normalizing from 1.66%, which is a li ttle bit on the higher side, especially with COVID effects receding and our bucket showing a much better performance as compared to what we saw in the last couple of years.

Chintan Shah: And just one last one on the lending rate hike, I suppose we would ha ve not taken any lending rate hikes since RBI reported hike from May. And do we also see any need for it in the coming quarters, even if there is a for example, 25 or 50 basis points hike from current levels?

Srikanth Gopalakrishnan: No. At this point of t ime, like we said, our spread very ironically has only been going up. So there is clearly no intent on the side of the company to increase the lending rates to the borrowers. Once we see the peak of the interest rate cycle, and our spreads continuing to re main robust as they are today, we will probably look at passing on some of the benefits that we have derived on the borrowing cost to the borrower. So you'll actually see an incremental lending rate coming down by whatever proportion that's available in th e form of benefit that we can pass to the borrowers. So nothing on the anvil for lending rate increase.

Chintan Shah: Just one follow -up on this. So in terms of our competitors, their lending rate would be relatively similar to our lending rate,

or on the high end or on the lower end?
Rangarajan Krishnan: For this product, Chintan, it will be similar.
Chintan Shah: So in case if we pass on the lending rates to the borrowers, then we will be at a relatively lower rate than our peers in case they don't pass o n?
Rangarajan Krishnan: Yes.
Moderator: The next question is from the line of Piran Engineer from CLSA.
Piran Engineer: Congrats on the quarter. I just have a follow -up question to one of the earlier participant's question. What is the difference between c ollection vertical and collection support?
Rangarajan Krishnan: Collection vertical is when, right from the officer level till the state head level, we have a separate person who is responsible only for collections. So you have an officer collection, manager

collections, senior manager collections, supervisor collectio ns, state head collections. So this is what we define as a collection vertical. In a collection support, the support ends at the branch level. So you have an officer collection, but you have a branch manager who does both business and collections. And from there above, it's a joint responsibility. So you have a supervisor who does both business and collections. You have a state head who is doing both business and collections.
Historically, Five -Star always had that approach. And now when we decided to move towards the collection vertical, we don't want to disrupt this arrangement across all the states because it takes time to set up the collection vertical and you have to do it carefully. So we are doing it in phases. We have done it for the first two states , big states, and we will be doing it in phases over the next three to four quarters across the other state.
Piran Engineer: So a collection branch manager in the collection support function, he reports to the senior branch manager. Is that right? And not to like an area collection manager?
Rangarajan Krishnan: Correct . You're right. Yes.
Moderator: The next question is from the line of Saptarshee Chatterjee from Centrum PMS.
Saptarshee Chatterjee My question is on the collection interventions that we do pr eferably more on the 30 -day DPD -plus buckets like what all the interventions that we do that helps us to bring down the GNPA to close to around 12% level?
Rangarajan Krishnan: So Saptarshee , usually the first 30 days, it rests with the branch. So the branch teams, along with the branch managers , they'll assess if at all, there is a delay from the customer as to why there is a delay. They will want to assess if the reason is genuine, because most of our customers are earn and pay customers. It could be for the genuine reason that the customer has not paid in a particular month, maybe on the due date. But if he regularize s this before the end of month, it is okay. And the branch manager and the office rs responsible for that role , they will take a call on what necessary steps needs to be taken.
But I think the moment it crosses 30 days, the supervisors, I mentioned earlier in the call that we have about 87 supervisors at this point of time. The s upervisors also get into an active role into this. So anything which is above 30 days, especially within the 31 to 60 days, the supervisors will ensure that -- they are more senior people. So they will want to take a call on whether the branch manager is assessing the situation rightly. Is it a problematic customer? Is it a willful defaulter or if it's a genuine case where you can give a little more time and the customer will come back to regularization. So that part happens within the 31 to 60 days where t he supervisor, if necessary, he will even go and personally visit these customers or maybe he'll follow -up with -- on phone with these customers. He'll go for calls along with the branch managers, all these interventions happens within the 31 to

60-day num ber. So given that a senior person is involved, we will see significant fall right at this bucket.
But anything that crosses the 60 -day bucket and moves into the bucket 3, which is 61 to 90 days, not just the supervisor, even the head office is involved, t he legal teams are involve d, we will be sending centralized notices to the customers, asking him to explain the reason, maybe a loan recall notice will be sent.

We will send some advisory or cautionary notices to the customer in terms of what happens at th e time of a default. This, alongside the head office supervisors, we also have senior people at the head office, which includes the chief business officer, the chief operating officer, deputy chief business officer. I think all the people, we will also be involved in terms of following up directly with the supervisors and the branch managers alongside taking the call on where necessary legal action is required.
All that put together gives us the good results in terms of arresting any further flows beyond th e 90 days and that's why we are able to get very good numbers at the -- even if somebody has slipped to the bucket 3 doesn't automatically go into our NPA. We will be able to arrest significant proportion, 95%, 96% of the proportion, the same bucket and no t allow for forward flow.
Saptarshee Chatterjee And on the like number of employees you have around 6,000 close to 7,000 employees. Can you please give some breakup of, like, you have already told about 1,000 collection offices, but what kind

of number of business officers, number of branch managers, number of underwriting people, legal people, like if you can give some breakup of this employee base?

Rangarajan Krishnan: Yes. So roughly, within the business and collections, we add all of them together, we h ave about 4,850 people, and this forms about 70% of our overall employee base. We have almost 600 people in credit. This is about 8.5%. We have about 700 people in operations. That's about 10% of our overall workforce. We also have people in, who act as ca shiers in branches. That's about close to 500. That's about another 7%. We have legal teams internally. This includes both people who give opinions and who cross -check opinions and also people who are involved in recovery efforts. We have 80 people full -time lawyers within Five -Star. So that's about under 1% roughly. The rest is head office and management. So totally put together, we have 6,933 employees as of December.

Saptarshee Chatterjee And last question is in terms of your branch structure, can you g ive some breakup of your branch opex? Yes, just for a branch of more than five years of vintage what kind of opex in terms of intensities that go into?

Srikanth Gopalakrishnan : Today, when we set up a branch, we have, we booked five office rs, one branch ma nager, one cashier,
one field credit person and one operations officer. So that's a total of nine people. Typically, what we see as a salary for -- salary, both fixed and variable for a field officer is about INR 20,000, INR 25,000. So that's like 1 lakh t o 1.25 lakh. You have branch manager who will be getting anywhere around INR 40,000 to INR 50,000. So that's 1.75 lakh.

Each of the other people on a broad basis, the credit operations support and cashier, the average salary will be about INR 20,000. So i f you're talking about 1.75 lakh for the business and collections and another about INR 75,000 for the other staff, so this INR 2.5 lakh on the personnel cost. Plus, these are all very low -frill branches there.

So you will probably have about another INR 10,000 of electricity cost and various other opex expenses. So it should not cross more than INR 3 lakh for a normal branch when we start. Depending on the increase in the number of office rs, the assistant branch managers , the multiple branch managers a

nd the senior branch manager for the super branches, the 3 lakh may go anywhere all the way up to INR 6 lakh to INR 7 lakhs.

Saptarshee Chatterjee Sir, can I squeeze in just one last question. In terms of number of loan accounts, I think you have close to aro und 2.7 lakh loan accounts. Do you have any number in mind in terms of target addressable market? Like what kind of numbers you can reach in your existing states? After which you have to break into other states?

Rangarajan Krishnan: Yes. We roughly today, just about 7% of our portfolio comes from non -south. 93% of the portfolio is within south. I had explained the philosophy that we consistently followed. It's difficult or we want to be cautious when it comes to expansion in newer geographies and states, wh ile we will put branches, but it's going to be at a very measured pace as compared to penetration within the existing states that we have. So the bulk of expansion that we envisage in the next two to three years, at least 80% to 85% of the expansion will h appen within the southern states. That said, we will anyw ay be putting up branches in Central India and we also have intent to enter into one or two neighborhood states from where we are already present in Central India. But these will be more measured. Bu t in terms of AUM impact, it will take another 24 to 36 months for these states to really matter and come to a reasonable level. The first two to three years, we'll be cautiously expanding in new geographies. Bulk will come in from the existing regions.

Srikanth Gopalakrishnan: So, Saptarshee, just to add, I think while we don't have a state -wise breakup of the target addressable
market, one of the studies that we had put in our prospectus, which was done by CRISIL was the target addressable market across t he country. And this is exactly the profile of borrowers that we are catering to, where people have a property, they are in the service -oriented businesses, they don't have lending from formal institutions.

It's INR 22 trillion. That's INR 22 lakh crores and institutions like us all put together have not even scratched the surface a bit. So I think in terms of the market opportunity, it is very high. And a lot of this market opportunity is also concentrated in states like South India like Tamil Nadu, Andhra, Telangana, Rajasthan, Madhya Pradesh, Maharashtra and all that. So it is a very huge market out there in terms of opportunity.

Moderator: The next question is from the line of Chandra from Fidelity.

Chandra: Sir, just a follow -up, obviously, the last couple of years as you're adding this collection vertical has seen the employee expense number going up pretty significantly. I would think that some of this will be basically just filling up this entire function. And here on, it's a function of case growth. So is it just reasonable to assume that once y ou get to -- I was looking at like your case numbers like a couple of years back, and it seems that you need to -- I think once you hit 1,200 or 1,300 is where you sort of beyond which you sort of grow with the increase in the number of cases. So just tryi ng to understand just directionally, how should we start thinking of employ opex after you get your target?

Lakshmipathy Deenadayalan: Yes, Chandra, I think because one of your follow -up earlier question, what is the guidance going
forward. See for last fi rst 20 years from 2002 to 2022, we didn't have any collection vertical neither collection support. As Ranga said, officer who sources the file has to be the in -charge person for collection too. That worked very well. But during COVID 1 and COVID 2, if you see or recall the presentation, our DPDs were a little lower because of the customers got impacted on the cash flows, not in a big way from 90 -plus. But if you see our current and 30 -plus, it has bit spiked up.

To give an immediate effect to it, we thought we will incorporate two things. One is the collection support and a collection vertical. So having said that, we don't want to give at the day one of file getting disbursed, we wanted after 24 months of tenure getting completed.
As Ranga said, putting a v ertical in a state is not an easy joke. It's not a cake walk. You have to be very-very careful in selecting the people, giving those accounts to their hands and see how it works. So that is why Tamil Nadu got implemented and Telangana subsequently got impl emented, whereas the rest of the states, we started with the collection support. Collection support is much easier to put in a branch. Suppose if a branch has 1,000 accounts, we can give one branch manager and two officers to start with. And as the number of accounts goes up, the number of officers can be increased. So this is the thought process.
But having seen this in last four, five quarters, if you see, recollect, our numbers are bettering quarter -on-quarter. In fact, next quarter, our numbers will be further better than what we see. But now, we are thinking that, yes, on a guidance basis, per branch, if it matures beyond 24 months, we will give a collection support or a vertical will be three to four people in that branch. So it will not be as big numb er as you see now because it's time of correcting your DPDs, putting things back in order. We have invested a lot in that. But this team, I'm very confident, we can handle more -and-more accounts that flows into 24 -months tenure. So going forward, I think a number of people handling collection will be moderated going forward.
Moderator: The next question is from the line of Pranav from Rare Enterprises. As there is no response, we'll move the next question which is from the line of Varship Shah from Envision Capital.
Varship Shah: So our loan has fully collateralized. So could you give some color on the kind of collateral that we collect and LTV on the same?
Rangarajan Krishnan: So Varship, bulk of the collateral that we take is a self-occupied residential pr operty, and we don't take Kacha houses. So these are all Pakka houses backed by a clear document. So we will take two legal opinions on this document, one external, one internal. And we'll also go and register our mortgage with the state government registr ation authority. So you can very clearly see Five-Star ownership of mortgage on each of these properties that we do. So 95% is SORP. The balance 5% may be about commercial properties, which are shops owned by the borrowers, which gets mortgaged to us.
The origination LTVs will be about largely between 40% and 50% is the origination LTV. The portfolio LTV as of Q3 will be about 37%.
Varship Shah: And who would be our primary competitors? Will it be fintechs or unorganized money lenders? And if you could just throw some details on that -- some information?
Rangarajan Krishnan: The primary competitors are money lenders across each of the markets that we serve. Like I covered earlier, we are largely between Tier 3 and Tier 6 now. So primary focus across this seg ment is disrupting the money lending segment. That is where most of these people have been financed so far. When they see an organized lender, especially a company with track record of more than 35 years registered with RBI and then having a good brand nam e, coming there, we see a lot of people

naturally preferring us over an unorganized money lender for better practices, for easier loan process and for the safety of the documents that they give it to us as part of the mortgage.
This apart, of course, there are several other people who are also targeting this segment. A few other NBFCs, a few other small finance banks. But I would say that as compared wi

th most other players,
we are very significantly focused only on this segment, which is a small business g rowth segment, and we have no other product and no other diversions beyond this.
Moderator: The next question is from the line of Khushboo Rai from Money Control.
Khushboo Rai : Congratulations on the good sets of number. Just one question. Sir, what do you think regarding the sustainability of the margins? The margins has been in the range of around 15% to 18% for the last couple of years. So what are the reasons and how sustainable is this level?
Srikanth Gopalakrishnan: So Khushboo, I think we already gav e you a guidance. See, our margins are a little higher because of lower leverage that we have. So the more portfolio gets funded by debt, there will be compression

in the margins. What we look at more closely is the spread because that reflects the ability of the company to raise debt at the optimal cost.
So the margins is actually a function of leverage thereafter, our belief is that in a steady -state scenario, we should be operating at a spread of 12% to 13% and a margin of 14% to 15% as we go forward. So there will be a constriction of about 2% to 2.5% in the margins over the next few years. But then given that the leverage will increase, you will also see this translating into higher return on equity to the shareholders.
Moderator: I would now like to h and the conference over to the management for any closing comments.
Lakshmipathy Deenadayalan: So thank you all. Thank you for listening us very patiently about our new business model, niche business model that we have created and a follow -up on results. Thank you. As I said, March quarter will be also better than this quarter. I'm hoping in very opti mism way and see you soon on the Q4 conference call. Thank you.
Moderator: Thank you. On behalf of Five -Star Business Finance, that concludes this conference. Thanks for joining us, and you may now disconnect your lines.

Call: May 2023

Date: May 16, 2023

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663

Sub: Transcript of the Earnings Conference Call for the fourth quarter and financial year ended March 31, 2023

Dear Sir/ Madam

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on Wednesday , May 10, 2023

The transcript can also be accessed from the link : https://fivestargroup.in/investors/

Kindly take the above on record.

For Five -Star Business Finance Limited

Shalini Baskaran
Company Secretary & Compliance Officer

"Five-Star Business Finance Limited
Q4 FY '23 Earnings Conference Call "
May 10, 202 3

MANAGEMENT : MR LAKSHMIPATHY DEENADAYALAN – CHAIRMAN AND MANAGING DIRECTOR – FIVE-STAR BUSINESS FINANCE LIMITED
MR RANGARAJAN KRISHNAN – CHIEF EXECUTIVE OFFICER – FIVE-STAR BUSINESS FINANCE LIMITED
MR SRIKANTH GOPALAKRISHNAN – CHIEF FINANCIAL OFFICER – FIVE-STAR BUSINESS FINANCE LIMITED

MODERATOR : MS MAHRUKH ADAJANIA – NUVAMA INSTITUTIONAL EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to Five -Star Business Finance Limited Q4 FY '23 Earnings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the l isten -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note th at this conference is being recorded.
I now hand the conference over to Ms. Mahrukh Adajania from Nuvama Institutional Equities. Thank

you, and over to you, M s. Adajania.
Mahrukh Adajania: Yes. Hi, good morning, everyone. I welcome you all to the Five -Star Business Earnings Call for the Fourth Quarter and for the Full Year FY '23. We have with us the top management team of Five -Star.
I welcome them. We have the CMD, Mr. Lakshmipathy Deenaday alan with us; CEO, Mr. Rangarajan Krishnan ; and CFO, Mr. Srikanth Gopalakrishnan. Congratulations, sir, on a very strong set of numbers, and I now hand over the call to the Five -Star team. Thank you, sir.
Lakshmipathy Deenadayalan : Yes. Thank you, Mahrukh. Good morning, all. Again, a warm welcome to the fourth quarter results
and the third conference call that we are taking post -listing. Just to recap what I was talking about Five-Star and its business model for last two calls, Five -Star is into a niche seg ment where the challenges and the competitors are low. We cater to lending to an unlen t segment , broadly to single and small shopkeepers, self -employed , and the cash salary segments of this country ; where we see a lot of opportunity and the edge what Five -Star has of 20 years of lending to them and the collection model that what we have set up exactly suits to the earn and pay customers.
Now, getting into the quarter's number. As I said last call that the next Q4 will be the beating the best. Yes, both from a collection's perspective, from a growth perspective, we have beaten our best i.e during COVID numbers and even previous to COVID numbers. Just to take you through on the numbers, going from the branch expansion, which is the first lever of growth for Five-Star, we have added close to 73 branches for the full year. We have moved from 300 branches to 373 branches as of 31 March. And we have also added the employee strength. What the second lever of growth will come from feet on street, we have moved our employees from 5,675 to 7,347 employees, adding 1,600 employees for this full year.
That has resulted in a good disbursement. Between last quarter and this quarter, we have moved from INR910 crores disbursement to INR1,110 crores of disbursement, which is 22% quarter -on-quarter growth. And for the full year, we have increased our disbursement from INR1,756 crores to INR3,391crores, which has resulted in 93% increase in disbursement. And the outcome of branch addition, employee addition and increase in disbu rsement, the AUM has grown very well. Between last quarter and this quarter, the AUM has grown from INR6,242 crores to INR6,915 crores with a double -digit growth of 11% in a quarter. And for the full year, we have moved from INR5,067 crores to INR6,915 cro res, registering a 37% full year growth.
And moving to the asset quality, which is the outcome of the risk, collections, what I said earlier, let me take you to a 90+. Our 90+ in last quarter was 1.16%, that has dropped down 12 bps to 1.04%. And the NPA te rminology, which has changed under the revised RBI guidelines, also has seen a reduction from 1.45% last quarter to 1.36% this quarter with a drop of 9 bps. So to conclude, 90+ is

1.04% and NPA is 1.36%. The difference of 0.32%, which is INR 22.12 crores o f loans, has been tagged as NPA unde

r new revised guidelines even though they fall under less than 90+ DPD.
Translating a good collection, now let me take you through the profitability. Our profits also seen a good rise both quarter -on-quarter and for the full year. On the quarter -on-quarter, our profits have risen from INR151 crores to INR169 crores, registering a 12% growth. And for the full year, we have moved our PAT from INR454 crores to INR604 crores, registering a 33%. And both from a good asset perf ormance, even from the liability side, we have performed very well. Our borrowing from last quarter to this quarter, incremental borrowing has moved from 9.1% to 9.5%. We are borrowing slightly little costlier from 9.1%, we have moved to 9.5% this quarter . This is incremental borrowing. But cost of fund in the book has dropped down from 10.5% to 10.1%. So still, even RBI has increased the repo rate by 250 bps, still we are able to get at a very attractive borrowing from the banks due to as we said, due to our performance, quality, profitability and good capital what we have.
So with this, let me hold myself and hand over to Srikanth for more details.
Srikanth Gopalakrishnan: Very good morning to all of you. At the cost of a few repetitions, please bear with me, but I'll just give you a quick overview in terms of how the quarter and the year went by before opening out for questions from you. Like Mr. Pathy said, I think one of the other key metrics that we delivered during this year is we almost got close to a loan base of about 300,000, representing a 25% year -on-year increase from about 215,000 to about 300,000, as we speak. The strong branch additions of 73 resulted in a disbursal increase of 93% for the year. For the quarter, we disbursed a little over INR1,100 crores. The AUM has grown by about 37% from INR5,067 crores to INR6,915 crores.
For the financial year, I think from a financial metrics perspective, the average yields have been pretty much stable at around 24.2%. The average cost of funds is at 10. 12% resulting in a spread of 14.11% as against a spread of 13.5% for FY '22. The NIMs also have seen an increase. It has improved about to 18.04% as compared to 15.09% for the full year FY '22. Our cost -to-income continues to be around the 35%, 36% levels.
For the financial year 2023, it was at about 36.4% as compared to 36.92% for FY '22. All this has resulted in a healthy return on assets of about 8.62% for the full year and ROE of 15.03%, but more

importantly, I think the ROA for the quarter was again at 8.62% and ROE at 16.1%, which gives you the direction of the ROE trajectory in the quarters to come. So the ROE has been going up quarter -on-quarter.

From a borrowing profile, I think we have a very well diversified borrowing profile of about 50 lenders l ending to us. Banks contribute about 56% of our debt. We have also issued NCDs. We have done securitization transactions and also done an issuance of external commercial borrowing. During the quarter, we raised over INR1,400 crores of incremental debt at a n all-in cost of about 9.5%. For the full year, our liability increase has been at about INR3,100 crores of incremental debt at an all -in cost of about 9.2%.

While the incremental costs went up by about 40 basis points compared to the previous quarter, as alluded by Mr. Pathy, but we are still borrowing a very good quantum of debt at optimal cost. And our cost for the full year as compared to the last year has actually gone up only by about 42 basis

points. But during this period, we have seen RBI raised the repo by almost 2.5%. So that's a very strong performance from the company side in terms of the liabilities.

During the quarter, ICRA, our existing rating ag ency, also upgraded our rating to AA -. We are hoping that the other rating agency would also follow it shortly. The on -balance sheet liquidity continues t

o

be extremely robust. We are sitting on a liquidity of over INR1,600 crores as of March 2023. So this is something that can actually help meet our growth targets for the next couple of quarters. Collection efficiencies have shown a significant improvement. It stood at 100.5% for the quarter of March 23. More importantly, from a trend perspective, I think for the last 5 quarters, we've actually been clocking collection efficiency of over 100% every quarter with the exception of June '22 quarter. Even there, we were very close to 100%. And this has resulted in our buckets also becoming better. Our 30+ has be en showing a consistent improvement over the last few quarters. And as of March '23, we had 30+ of 10.5%.

I just want to impress upon one fact that this decrease has not just come in percentage terms, but every bucket has actually shown improvement in abso lute terms as compared to the previous quarter. So the 1 to 30, 31 to 60, and 61 to 90 has actually shown an absolute improvement. In terms of the revised upgradation norms, the revised IRAC circular, our NPA, which was at 1.45% last quarter, dropped to 1. 36%. The 90+ stood at 1.04%. This also came down by about 12 basis points as compared to the last quarter. Our provision coverage continues to be robust. On the Stage 3 assets, we are holding a provision coverage of 49.33% and overall provision coverage of about 1.61% on the overall AUM.

So with the effects of COVID completely receding and good improvements seen across our portfolio buckets, we are very confident that our PCR on the overall AUM will start normalizing in the coming quarters. On the restructu red book, this number has come down. What was 1% last quarter has actually come down to about 0.86% of our overall loans in the restructured book. And even on this portfolio, we maintain a provision coverage of about 59.18%, and the restructured assets hav e actually seen repayment behaviour of 1.5 years post moratorium that we gave. And even today, 91% of this restructured book continues to be in the standard category with only 9% slipping into NPAs.

The year-on-year profitability rose from INR117 crores to INR169 crores and increase from INR151 crores to INR169 crores profitability for the quarter. For the full year, we have shown a 33% increase in profit going up from INR454 crores to INR604 crores. Our net worth stood at INR4,340 crores as of 31, March 20 23. So with the growth momentum fully back, the collections and asset quality remaining extremely robust, not just in this quarter but over the last 5 to 6 quarters. I think we believe that we remain extremely well poised to take advantage of the huge oppo rtunity available in this segment. So that's a synopsis of the quarter and the year for you.

We will now take any questions that any of you may have. Thank you.

Moderator: The first question is from the line of Pranav Mehta from Value Quest Investments . Please go ahead.

Pranav Mehta: Congratulations, sir, for an excellent set of numbers. So first question is on the liability side. So you did touch upon it briefly in your ope ning remarks, but I would like to know more from you about the steps that we have planned for the next year to basically granularize and further diversify our sources

of borrowing, given that our liability requirements will be significant to fund our growt h aspirations. And whether the average cost of funds, we should expect to continue trending downwards. So that is the first question.

And secondly, if we look at the P&L, the fee income line, so far this quarter as well as for the full year, there has actu ally been a significant drop in this line item. So if you can just explain what has led to this? These are my two questions. Thank you.

Srikanth Gopalakrishnan: So Pranav, taking the liability side first. What is important to note is that whatever b

orrowin gs that
we have, the INR4,200 crores have not come in from a small set of lenders. It is actually coming from about 50 lenders for us, and this includes the largest of the public sector banks, the largest of the private sector banks, who have only a small exposure with the company. So even the likes of, let's say, a State Bank of India has about INR500 crores of exposure in the company, which is not even 10% of the overall asset base. So there is a significant headroom available for us to increase our borro wings from all these people.

And from a structure perspective, we are -- we have the expertise to borrow through term loans. We have the expertise to issue nonconvertible debentures. We have done securitization transactions. In fact, in the last quarter, w e did almost about INR600 crores of securitization. We did the largest transaction of about INR350 crores with DBS Bank. And so today, banks are also actively looking at taking securitization exposures. So we are very confident that even if we are able to push this -- the exposure limits to 2x with each of these lenders, we will be ending up with almost INR8,000 crores, INR8,500 crores of liability book, which is sufficient for the growth that we are looking at for next year.

So we are not really looking at any challenges on the liability front. See, from a rate perspective, our belief is we have probably seen the tip of the curve. It is probably going to stabilize at this point. Maybe not for the next couple of quarters, we will see easing coming through. B ut maybe towards the later part of the year, we could see some easing. But we are not seeing any incremental increases to come from here. So we should be borrowing at around the 9.50% to 9.75% levels that we are borrowing even in Q4. With the book cost at around 10.1%, any borrowing less than 10.1% mathematically will only give us a benefit in terms of the cost of funding on the book going down or at least staying at 10.1%. So both from a quantum perspective and from a cost perspective, we are not actually seeing any impact to come in, in the current financial year.

Moving over to your question on the fee and other income. See, this is purely from the perspective of an accounting treatment difference, Pranav. Earlier, the -- see, we used to collect INR2,000 at the time of log -in to ensure that the customer is actually serious about onboarding the loan. In the past, what we used to do is this used to be completely recognized in the top line. But as per IndAS this is supposed to be treated on an amortized cost basis. You'll have to knock off whatever direct expenses for origination that the company incurs, and only the balance can go into the top line, that too on an accrual basis.

So if you look at it, whatever legal -- the initial legal and inspection fees tha t we collected, about 80%, 82% of that gets knocked off against the expenses. Only 18% goes to the top line. That is where

you're seeing a drop in fee income from about INR32 crores to INR22 crores for the current year. Despite the fact that the disburs als have been significantly more robust as compared to the prior year.

Lakshmipathy Deenadayalan : So Pranav, to the -- to add one point to what Srikanth said on the first question, on liability side, see
our rating has moved from A to AA in the second, third quarter of last financial year. That is not fully capitalized. So we will expect the further bi g names to come in and quantum's and that will also push down the pricing to the extent what we can bargain with the lenders. So that is not fully capitalized. So we feel next financial year, just to give a number, Q3, we raised more than INR1,000 crores, and Q4, we raised more than INR1,500 crores of liability. So I don't think that liability is going to be any challenge. And the customers whom we lend, they are not rate sensitive, so

I don't think even
borrowing from lenders will not have any impact on ou r growth.

Moderator: Next question is from the line of Manish Ostwal from Nirmal Bang. Please go ahead.

Manish Ostwal: My question on our loan pricing mechanism. So we generate on a portfolio yield of 24%, and we have a credit losses 0.72% for the last yea r and this year also even lower than that. So my question is, from a risk -adjusted perspective, since we are pricing almost 2% a month on a loan product. So what would be the sustainable trade cost for the business model, what we operate at Five -Star? And secondly, what is your comfortable leverage on the balance sheet. Currently, it is 2x of the net worth. So what is the comfortable leverage we can assume for the business?

Srikanth Gopalakrishnan: I think the guidance that we have been giving on the credit cost, while it has been swinging a little bit over the last few years, given the first wave of COVID, second wave of COVID, companies building up provisions in anticipation of certain stress in their portfolio. So our guidance to you on the credit cost wi ll be 75 to 100 basis points is what you should probably plan. While 72 basis points was for financial year 2022. And like I said, in FY '20, '21 and '22, we had upfronted some of our provisions, anticipating stress because of COVID, because of the changed regulatory norms and all that, but that is now over. So the 38 basis points is for the quarter and 29 basis points for the year is also because of us upfronting certain provisions in the previous years. But this number will go up as we get into the future . So from a modelling perspective, we'll guide you for a 75 to 100 basis points of credit cost, which is something that we can comfortably absorb in our P&L.

In terms of the second question, from a leverage perspective, see, we are at 2x of leverage today. Historically, over the last 10, 12 years, if you look at, Five -Star has been comfortable operating around the 4 to 4.5x of leverage, which means a 3 to 3.5x of debt equity. And I think that is the level that we will be comfortable and we are targeting to achieve in the next few years. Given the strength of our networth and the internal accruals that we keep doing on a year -on-year basis, it is going to take a little time for us to reach this level, but I think we will be comfortable operating at around the 4 to 4.5x leverage, translating roughly to 3 to 3.5x of debt equity.

Manish Ostwal: Second, sir, in terms of looking at our profitability and the ROE metrics, there is a -- I believe there is a -- still there is a room for our cost of borrowing to reduce further given the profitability and the capital adequacy positioning. So what's your comment on that, sir?

Srikanth Gopalakrishnan: Yes, I got the question. We got the question. See, currently, our book is running at 10.1%. And like I said, we are borrowin g at around 9.5% to 9.75%. So there is still some minor benefit that is

available. Maybe this 10.1% will probably drop to about 10% or maybe another 10, 15 basis points. So today, if you look at our spreads, we are at about 14%. But what we have also been guiding is that wanting to be a responsible institution, I think as we go forward, we will -- once we have seen the peak and the rates start stabilizing or start easing up, we will also want to pass on some of these benefits to our borrowers.

So our steady state while we are guiding you for the spreads will be about 12% to 13%. So there will be some benefit coming from cost of funds dropping in the future and also some impact coming on account of us dropping the yields, but we will be comfortable oper ating around the 12 to 13 kind of percent spread. If you look at FY '22, we were at about 13.5%. So maybe around 13% is where the company has operated in the last many years, and that's something that w

e'll also be comfortable operating at. There is some b enefit that may come in from liabilities, like Mr. Pathy said, given our rating upgrades and the fact that we have looked at as a very safe institution by the banks and financial institutions, but I don't see significant benefit coming in the next financia l year. So 10.1% may go down by maybe another 20, 25 basis points.

Manish Ostwal: Sure. And last, very quickly, what is the guidance for the branch expansion for the next year?

Lakshmipathy Deenadayalan : So Manish, the quick guidance, what we always keep saying is we'll be adding close to 50 to 60 branches year -on-year. That's a very important lever for us for registering a 30% -plus growth year -on-year. So that's our guidance for the short -term.

Moderator: The next question is from the line of Parag J ariwala from White Oak Capital. Please go ahead.

Parag Jariwala: Yes, continuing the same question. If I look at, let's say, over the next 2, 3 years, where do you see because many of the branches which we opened in the last 1, 1.5 years would have not ful ly matured in terms of business they do. So over the next 2, 3 years, where do you see our disbursement as well as the AUM kind of go up from here. If you can broadly just outline the 3 years metrics from here on?

Lakshmipathy Deenadayalan : Yes. So let me start with the disbursement, what you've been talking. See, as I said, the growth factor will come from 3 strong positions of Five -Star. Before that, let me also clarify that Five -Star's presence is strongly in Tier 3 to Tier 7 towns where the stock keeper , self -employed , cash salaries, first port of credit is borrowing from the local people. That is where Five -Star goes and disturbs the market, and we captured the market in these tiers. So I think the first level of growth will come from branch expansion, as I said in earlier question, we'll be opening close to 50, 60 branches year -on-year.

Just to take you a data. Last year, we said we opened 73 branches. And out of that, 96 % of the branches have achieved breakeven in past 6 to 9 months. So that shows the strong opportunity potential that what we have in the local market to disturb the local markets credit. So as we move forward for the next 2 to 3 years, I said branch opening, addition of people, feet on street and a slight increase in average ticket size. We have moved our average ticket size from INR3 lakh to close to 3.3 lakhs taking inflation into account. So putting all these 3 things together in the next 2 to 3 years, we can very comfortably grow at 30% plus without any disturbance.

And as I said, our collections also have moved up very well in last 2 quarters, especially after the new RBI guidelines came in, which was a little bit of threat for the retail lending segment, but we did very well. Our strategy worked very well. So we dropped down that eve n from 1.42% -- 1.46% to

1.32% now. So we feel very comfortable both in opportunity, our execution and collections. So we can very strongly give a guidance of 30% plus year -on-year growth in next 2 to 3 years.
Parag Jariwala: Perfect.
Moderator: Next quest ion is from the line of Chandrasekhar Sridhar from Fidelity International. Please go ahead.
Chandrasekhar Sridhar: I had a few questions. First, Srikanth. Srikanth, I noticed the share of fixed rate borrowings actually come down. Maybe you can just help me understand what is the share of -- how do you all think sort of medium, long -term, just the share of fixed rate borrowing in the book? And what's the average rate on your fixed rates borrowing at this point? And then just in that context also, mayb e it's worthwhile just sharing the composition of the liability book on how much securitization, how much -- I mean, I think you mentioned banks as a certain number, but just banks and securitization, I think that wi

ll be a little useful.
Srikanth Gopalakr ishnan: Sure. So Chandra, yes, the fixed rate borrowings are coming down because we are more and more
borrowing term loans from banks. But the good part is, we are not linking our -- the rates to the repo, which typically tends to move faster and move much quicker. Our borrowings are linked to the MCLR of the banks either at 6 months or 1 -year interval. So we are definitely not going to see very, very frequent interest rate movements that may be happening. So our guidance is - typically most of the securiti zation transactions tend to be fixed. NCDs are fixed, but we have not been too active in the NCD market. So I think I would probably guide you to something around 25% to 30% of fixed rate borrowings in a steady state scenario with about 70% to 75% coming t hrough the variable rate model.
In terms of the cost of funds on the fixed rate borrowings, Chandra, I think these are largely around 9.25% to 9.50%. So at this point of time or at the time of origination, we actually don't see too much of a difference bet ween a fixed rate borrowing versus a variable rate borrowing. Like I said, fixed rate borrowings are typically the PTC transactions, where the initial -- the rate tends to be lower, but you also have the other parts in terms of the negative carry on the cr edit enhancements, you have the rating and other expenses, which tends to push up the cost to about 9.50% also. So you will typically see fixed rate borrowings and variable rate borrowings broadly at around the 9.40%, 9.50% levels, give or take 10 basis po ints this way, that way depending on which lender comes in, what quantums and all that. Typically, we tend to pay some premium for very strong lenders or for significantly higher quantums.
From a structure perspective, Chandra, I think this is part of our presentation as well. So if you look at March 23, 56% of our borrowings have come in in the form of bank term loans, 6% are from other term loans. Typically, the larger NBFCs like Bajaj and Cholas of the world. We have 12% NCD issuances that we have done a nd 23% where we have borrowed through the PTC, the securitization route and about 2% in the form of ECB. So our guidance typically has also been that other than bank term loans, be it NCDs or securitization, we'll typically want to keep this at around 30% levels -- 25% to 30% levels in a steady state scenario.

The bank term loans, we are even happy to take it up to 55%, 60% because that is one form of borrowing where we feel it is highly sticky. There are no kneejerk reactions depending on how the economy m oves or if there is any event risk that comes through. So I think we'll continue to target the NCD market, one of the places where we probably don't have today is a lot of AMCs taking -- subscribing to our NCDs. I think that is one thing that we will targe t in the coming year. And securitization, people are , you know there are many takers for the company's assets given the strong quality. So we will continue to explore securitization. And obviously, with the preference -- the first preference being for term loans from banks.
Chandrasekhar Sridhar: Sure. Can you just share maybe the duration of the asset and the liability book at this point in time?
Srikanth Gopalakrishnan: So the duration of the asset, Chandra, like we say, adjusted for prepayments. While on origination, it's around 6, 6.5 years. But adjusted for prepayments, typically, we see this number around 4.5 years.
On the liabilities, there's no question of prepayments. Today, the good part is we are also getting liabilities for 7 years. We have recen tly gotten a 7 -year sanction from one of the largest public sector banks. So the average duration is roughly about 4 years.
Chandrasekhar Sridhar: Okay. Okay, got it. Can you -- for Mr. Pathy maybe just a couple of questions. Just t

he AUM is
greater than 5 -year vintage, branches has now stayed constant for some time. Is this a function of maybe splitting some of these larger branches or that's the sort of given the resources which you add in the branch that that's a maximum sort of AUM you can have per bran ch? And secondly, obviously, this collection vertical where we are adding people and it was -- a lot of it was front -ended we were adding. Just where are we in the process and how far do we have to go to sort of for the employees in the collection vertical to catch up with the vintages cases?

Lakshmipathy Deenadayalan : Yes. I'll invite Ranga to answer on both the questions.
Rangarajan Krishnan: Chandra, the first question, your observation is right. We had explained this in the past conference call also. We believe that when a branch crosses a particular threshold in terms of assets, it's better from a risk management perspective to split the branch, wherein we can open two or three neighbourhood branches and then split the new branches along with a certain set of accounts, which are more closer to the vicinity of the branch. So whenever a branch, let's say, crosses 1,500, 2,000 accounts, what we tend to do is we'll open 1 or 2 branches nearby. And on day one, these branches will start with 300 -400 accounts.
So optically, it looks as if the 5 -year-old or the larger branches are not moving in, but that's not the case. To really go through the true growth of those branches, we'll have to combine any child branches which have originated from these parent branches and then put it together to get the real picture. This is something that we routinely do because it helps us manage risk far better, no concentration risk for us. More importantly, it also hel ps us promote our employees where the branch performs very well, and they have been consistently doing good. We will identify high -performing officers in -- from the same branch and then promote them as branch managers in the vicinity branches. And then th ey will take off from there . So it's not true that the branches are sort of flattening beyond 5 years. It continues to grow at a healthy pace.

Now, on second, the collection vertical, we had updated earlier that the collection vertical formation is complet e in Tamil Nadu and we had started off that in Telangana. Now Telangana is also almost complete. We wanted to wait and watch to see how these 2 states are behaving from a stability perspective post the collections vertical, from a cost perspective, from co llection efficiencies perspective, and any disruption that we are seeing in the business. We're happy to report that across various internal benchmarks and metrics, it has yielded extremely good results for us. Two large states are taken care. I think the only other large state which is remaining is Andhra Pradesh and where we will be doing it gradually over the next few quarters.
Chandrasekhar Sridhar: Great. Very useful. Maybe if I can just squeeze in a very last one. Just why has this Stage 3 PCR gone up ?
Srikanth Gopalakrishnan: Can you repeat, Chandra?
Chandrasekhar Sridhar: Why has this Stage 3 PCR gone up?
Srikanth Gopalakrishnan: So Chandra, that's purely a function of the ECL model that we are actually seeing. We are also trying
to create a little more on the restructured book. So while the LGD on Stage 3 is still fairly muted, we are targeting any deep delinquent accounts, like loans, which are more than 450 days are provided at close to 100%, Stage 3 restructured assets are provided for at 100%. So we are consciously creating a lot more overlays on the Stage 3 assets, especially on deep delinquent accounts and restructured assets, which is why you see -- and the NPAs are a little sticky for us, right? While you don't see incremental NPAs com ing through, it takes time for a resolution of these NPAs.

So when it keeps
going into the 450+ DPD kind of a number, you tend to create more PCR. So the PCR is purely a function of the LGDs , restructuring and the DPD of the assets, the Stage 3 assets.
Lakshmipathy Deenadayalan : Chandra, let me also add, it's very prudent to increase your provision in Stage 3 assets. So that was
one point. That has also resulted in the reasons what Srikanth said, that was also resulted in the gross Stage 3 versus net stage 3. If you see gross is 1.36% versus net of 0.69%. It takes cares of 49% of that is being provided for. So we think it's very prudent method to follow this, especially when the restructured books are getting matured and moratorium accounts are getting matured. So we want to have a very conservative approach, and we'll see how the next few quarters behave.
Chandrasekhar Sridhar : Yes. So basically, this is not like a longer -term steady state. It's basically some of the function of the restructured accoun ts and moratorium accounts more than anything else? These are a function of the account maturity more than anything else. In longer -term, you're still sort of -- you should be running at lower PCRs …
Srikanth Gopalakrishnan: Yes, Chandra, don't take this as a guidance. I think our steady state guidance will be more like about
35% to 40% PCR on Stage 3 as against what we are seeing today, which is a little inflated because of the reasons that we explained.
Moderator: The next question is from the line of Arju n Bagga from Baroda BNP Paribas. Please go ahead.
Arjun Bagga: Congratulations on a good set of numbers. Just one question out here. Just wanted to understand that I think the cash for us has gone up from some INR900 crores in the last quarter to some INR1 ,500

crores, INR1,600 crores. So if you could just help me understand what is this due to? And going forward, what should be a steady state number that we can expect?

Srikanth Gopalakrishnan: So Arjun, I think this is a conscious call that we took during t he quarter for 3 reasons. One is we are expecting a strong quarter in Q1 as well, where you will see a good amount of disburs als, there could be some muting as compared to the Q4, but you will still see a much stronger quarter as compared to any other typi cal Q1s that we have seen in the past. So for which we need to build adequate liquidity. And all of us know that, typically, the first quarter tends to be a little muted from a bank borrowing perspective. So very clearly, expecting a strong quarter is wher e we have built this adequate liquidity for us.

Yes, our liquidity policy is fairly straightforward, Arjun. We will endeavour to maintain 3 months operational expenses, 3 months debt repayments and 1 month of projected disbursals, which today roughly works to about INR900 crores to INR1,000 crores. So that will probably be the number that we'll want to be at. The other reason wh y we also built a little more liquidity in Q4 of this year is also because of certain chunkier repayments that are coming up in the month of April and May. We had done few NCD and covered bond transactions in the past. Those are coming up for maturity. So those will amount to roughly about INR350 crores to INR400 crores. So there is a bit of excess liquidity that we have maintained to ensure repayment of these borrowings.

So it's a combination of repayments coming up. The stronger quarter that we are expect ing in the current -- the first quarter. And lastly, banks being more active in Q4 and being muted in Q1. So you will always see Q4 being a little st eep, but I think we will endeavour to maintain about INR1,000 crores -- INR1,000 crores to INR1,200crores o f liquidity on a steady state basis at least for this year.

Arjun Bagga: Sure, sir. This is helpful.

Moderator: Next question is from the line of Amit Mantri from 2Point2 Capital. Please go ahead.

Ami

t Mantri: I had just one question on the state -wise grow th. So Andhra Pradesh has seen a very strong growth this year, almost 50%. So can you talk a bit about what's happening in Andhra Pradesh that's driving the strong growth in loan book?

Rangarajan Krishnan: Amit, this was a conscious call that we had taken last year. So we saw Andhra Pradesh showing extremely good results. We have built great teams there. So last year, as a conscious strategy, we opened the highest number of branches in Andhra Pradesh. We opened close to 41 branches in a single state, and h appy to report that all the branches have performed extremely well and are well set. So that is the effort that you see in disbursements coming from Andhra Pradesh because of this.

Lakshmipathy Deenadayalan : And just to add a little bit of more state colou r, see, for Five -Star, we are a predominant south -based where we are in -- present in Tamil Nadu, Andhra, Telangana and Karnataka. Tamil Nadu, as our home state, will always perform well. And Andhra and Telangana are the states where the performance is ver y good. And one state I wanted to put a note here is Karnataka, which was a little muted during COVID. Pre -COVID it was doing well, whereas in the COVID period, it was little muted, but happy to say that Karnataka has also come aligned with all other 3 sta tes of South.

So going forward, as we say, 50 to 60 branches what we intend to put in minimum. Karnataka will also add up in the line. So you have -- this year, you'll have a good spread of branches across Tamil Nadu, Andhra, Telangana and Karnataka. And d efinitely, having said that, we have a high scope in non-South also. So today, our non -South, MP, MH, Chhattisgarh, all put together, we have close to 50, 55 branches across non -South. So that will also keep growing.

And we'll also be putting our feet in very important states like Rajasthan and Gujarat, where we will be starting learning about their ground level behavioural aspect, customers, repayments, legal nuances. So we will put our few branches in Rajasthan and Gujarat in this year, and we'll wai t and see how that behaves. So that's the broad state input. But last year, we have invested a little -- a lot -- more in Andhra. We felt there is more opportunity, and that has yielded a good growth in Andhra. That's why you see Andhra a little spurt in l ast year. But this year, we see across all states, the growth will be there.

Moderator: Next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: So the first question is on the rejections ratios. What' s the kind of rejection ratios that we have in the top three states, which is Tamil Nadu, Karnataka and Andhra. Second is, we have certain number of mature branches. What is the total number of mature branches and what is their profit contribution? The thi rd question is, what is the total number of cases that have got resolved in SARFAESI since our inception and post -COVID?

Rangarajan Krishnan: Yes. So let me -- your first question was not clear. So let me start with the third question, what is the number of SARFAESI cases that we have initiated since inception? SARFAESI is applicable only for loans of INR20 lakhs and above. So our average ticket sales is INR3 lakhs to INR5 lakhs. So we are not covered by SARFAESI for a good chunk of our loans, except for hardly about 2%, 3% of our loans, which will potentially be above INR20 lakhs as well.

But that said, we had started initiating SARFAESI procee dings against these loans, whatever handful of loans that we have above INR20 lakhs. In the last quarter, we have had some good results. We didn't need to go to the auction part, but I think these 4 accounts -- 3 to 4 accounts got settled, right, after we initiated the SARFAESI, notices to the customers themselves. But it's

not a big part of our
strategy, given that extremely -- hardly less than 1% to 2% of our loans fall in the SARFAESI category.
Lakshmipathy Deenadayalan : Just to add on this third questio n -- or this question, Mishra, you can repeat the first question again.
On the SARFAESI or repossession or sale, I think we have been telling constantly to the market, and all of the conference call that , in last 20 years, we have been in this business, we have not done a physical repossession yet. That doesn't mean that our accounts are not meant for repossession. We do a technical repossession, which we explained in detail in last or before that. When an account becomes NPA or 90 -plus, the legal proceedin g starts. We have all right to take the property to the auction and we know how the property can be taken to the auction route. So we move the customer and property to the arbitration.
We take the arbitration decree quickly and we file EP petition in the l ocal jurisdiction court. That gives us the right to take the possession and sell the property in the market. By doing this method,

we strongly feel the value of the property is going to go down at least 50%, 60% of the market value. Neither the customer, n or the company is going to benefit out of this. What is the strategy that we have been adopting for last many, many years, which has resulted in a very good recovery from NPA, both in principal and the IRR, we keep negotiating with the customer once the le gal notice is sent to them and we discuss with them about the inability of the repayment and taking the property to the market by the customer itself. That protects the market value of the property.
Hence when the customer takes the property to the market, it will not happen immediately. It will take 18 to 24 months when we keep negotiating with the customer. So when he takes the property to the market, he gets the full value of the property because market, they don't know the property is brought to the mar ket as a distress sale. It has been brought to the market as a normal sale. So he gets the full value of the property. At that point of time, our debt will be 35%; his equity will be 65%, and very comfortably he'll be paying back our debt with close to the contracted IRR, and he will take away the 65% of the capital and he'll move on to the second life, where he intend to do.
So by this method, it's a win -win for both the customer as well as the company. We get our principal and contracted IRR; customer gets a good chunk of sale, what he gets from the market value and he restarts the second life. I think that is where we have also put in in DRHP close to 4,000 accounts, which got settled by this technical repossession or sale where we were able t o get back close to our contracted IRR, close to 22% we were able to recover from this deep delinquent accounts. So that is the strategy, which is working well because these customers are not intentional defaulters. There's only a delay, which has happened for various factors. I think this is where Five -Star's focus will be.
Having said this, we have also put in our legal recovery vertical for last few quarters. Chief Legal Officer has joined. With that very strong now, more and more properties, you'll see going to the EP level, but we have to wait and see how many properties that we'll be selling or we'll be making the customer to sell.
Shubhranshu Mishra: Right. And the first two questions on rejection ratio and mature branches' profit contribution?
Lakshm ipathy Deenadayalan : Rejection ratio and mature branches profit.
Rangarajan Krishnan: Yes. Shubhranshu, the general rejection ratio that we see, we start measuring rejection ratio at 2 levels. One is what is the rejection ratio that happens before the login and second is what happens after the login. So prior to the login, we go to great lengths to a

ctually teach our people to ensure that
the right files are logged in so that nobody is wasting time on a wrong file. So even prior to the login, we ask the people to go and our people to go and visit the place of business, place of residence and take a calculated call whether this file is likely to get approved. This way, most of the filtration gets done pre -login stage itself. Hence, you will see that at th e pre -login stage, our rejection ratios are anywhere between 30% to 40%.
But once the file is logged in, the -- maybe the quantum of loans and the customers requesting could get reduced, but we will at least see 80% of the files getting approved at this st age from a login to sanction perspective. So the rejection ratios are about 20% at this stage post the login. This is similar across all the states. There is no big differences between different states here. Maybe some new branches, it could be a little hi gher, but wherever we see the rejection ratios are higher than the 20%

spurt, we will get into the details, maybe giving more training, ask him to go to another branch, and then shadow the existing team for a few weeks. So all that gets done, but on an ave rage, it's about 20%.

Shubhranshu Mishra: And the number of branches, which are mature and their profit contribution?

Rangarajan Krishnan: So when you say mature, the way we measure is that any branch on an average breaks even between 6 to 9 months from in ception. So if a branch reaches a assets under management of about INR 2.5 crores, they break even at a branch level. At anywhere between 6 to 9 months, we have consistently seen that the branch has reached this point of time, and beyond that, they become contributing branches. So this is one point that Mr. Pathy also was explaining that out of all the branches that we opened last year, 96% of the branches have crossed INR 2 crores to INR2.5 crores of portfolio within the same 6 -month mark that we had.

To be precise, except for 1 branch, which took maybe 9 to 10 months to reach this level, every other branch has crossed this level, which means every branch, these are very, very asset -light branches and they start contributing from day 1. So we reach maturity level at a breakeven perspective fairly fast at a branch level. From that perspective, every branch is a contributing branch. Beyond that, it really depends on whether it's a normal branch, super -branch, it's a parent branch, child branch. There are multi ple variables within that. So it's not a straight answer for your question. But we don't have loss-making branches or pure collection branches at Five -Star.

Shubhranshu Mishra: Understood. And if I can just squeeze in one last question, sir, how do we avoi d fraud or any inaccuracy in the valuation of the property? How many people we deploy in audit and for the -- for this purpose or any external valuation we do of the property?

Rangarajan Krishnan: So the entire checking, underwriting and the valuation of t he property is done in -house. We don't employ any third -party agencies because we believe that people who are in your full -time role are more controllable and collusion will be far lesser. So the checking happens at 2 different departments. One is the busi ness team, which logs in the file. Even at the business team, the officer who logs in the file is the first person who checks the file. That file has to get finally recommended by the chief of the branch, which is the branch manager, who will also go perso nally visit this file, do a valuation exercise, do a character assessment, do a cash flow assessment, and finally, recommend that file from his perspective. None of the people in the business side has any approval from it. So from the business team, there is a minimum of 2 people who checks every file that gets logged in.

But like I said, they don't have an approva

l power. The file then moves to the credit team. Now, our credit team, we again have 2 people. One person is called the field credit. So every br anch has a field credit. They don't report to the business at all. They will do an independent assessment of this file. They don't get access to what assessment has been done by the business team. They will do an independent assessment of this file across all the 3 parameters. And they will submit their report to the senior person in the credit, which is called the file credit or the approval credit. They will finally check all the parameters and then give an approval. This approval credit is more centraliz ed or based out of regional offices of Five -Star, but it is state wise, at various regional offices of Five -Star.

So between these 4 pairs of eyes, it's very difficult for a wrong document or a fraudulent document to get inside, especially when credit team has no incentive on the quantum of business gets done or the amount of approvals, which gets done. Credit team's incentives are purely based on productivity metrics. They get equal incentives for a rejected file or for an approved file. So we have not see n any great fraud documents which are coming here. Two additional checks, which also gets done post the sanction by the credit team is one by the operations team, where the physical file finally comes to the head office in Chennai. Every file is checked he re clearly before the disbursement happens.

And second, because it's a mortgage -backed loan that we are giving, the mortgage has to be registered with the government agency. So for whatever reason if the document is a fraud, the government is unlikely to a ccept the mortgage done on a fraudulent document. So that acts as an indirect checkpoint for us also. So only after all these layers are created and passed through, a final loan sanction happens.

Lakshmipathy Deenadayalan : So just to add one -- two point o n what Ranga said in detail about how frauds are less, first is very simple. Fraud doesn't happen for a small ticket loan -- small ticket size loan. Our average ticket size is INR3 lakhs to INR3.5 lakhs. So generally, frauds don't happen at a smaller ticke t size loans. Having said that, the valuation part what you mentioned, we have 2 teams, as Ranga shared, business and credit. Both check the valuation. They check last 3 transaction happened in the locality, what is the last 3 transaction happened, both pu rchased and sold. They take the lowest out of that. That we call as the market value.

From there, 20% knock -down has been put in place, that we call a distressed value. So market value is INR100 means the distressed value will be taken as INR80. From there , the LTV, loan to value is only 50%. So it is INR40 that we lend on that property. So that too done by 2 teams, one is business

and credit. We take the lowest of both. And I think in last 20 years, we would have seen a handful of frauds, which is happenin g, in a year 1 or 2, for -- close addition of 1 lakh loans to Five -Star, we have 1 or 2 in a year. So I think this is how the fraudulent activity has been controlled in the small files.
Moderator: Next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg: I just wanted to understand a bit more on your branches strategy and that too state -wise. So when I look at your number of branches per district historically, that's been about 2 per district. Even FY '22, we were at that level. But when I look at state specific data, it seems that your branch presence in each district in Andhra Pradesh is more dense, in the sense that your presence in Andhra Pradesh districts is more dense, having about 4 branches per district. So cou ld you explain how do you define state-specific strategy as far as the branch density is concerned? And then I have another follow -u

p
question.
Rangarajan Krishnan: So Raghav, thanks for the question. We had clarified this in the past. We don't have any ru le internally that every district has to be penetrated and each district has to have only 1 branch or 2 branches. The potential of a state or the potential of a region is seen by the number of rising towns, municipalities, which are there where today we go up to Tier 6 and Tier 7 towns. So any town, which is defined as having population of greater than 20,000, 25,000, with good retail activity where other NBFCs are present, that's a possibility for us. And secondly, like I said, if a branch is very successf ul, we can easily open 3 to 4 branches right in the vicinity.

So the district penetration or density is something that does not get into our mind space, while actually deciding how many branches to put. It's more about population, it's more about repayment data, it's more about other -- presence of other NBFCs and banks in a particular locality. That is what is more important for us to decide on a particular branch location. So Andhra Pradesh, from that perspective, we still believe there are a lot of other towns potential, where we can potentially get into. There is no perspective of reaching anywhere close to saturation at this point of time. We will continue to adopt the same methodology as far as the branch expansion is concerned.
Raghav Garg: Sure. Coul d you help us with the number of districts for at least the southern states, if you have that data available readily with you, the number of districts that you're present in?
Rangarajan Krishnan: Yes. So Raghav, we just explained that that doesn't get into our decision -making stream at all. So it's more about towns, population and tiers of towns.
Lakshmipathy Deenadayalan : So having said that, Raghav, I think we'd be present in almost all districts in Andhra, almost all districts in Tamil Nadu, almost all d istricts in Telangana, just to give a perspective. And as Ranga very clearly said, population is the metric for us. If a town has a population of more than 25,000, Five-Star's presence will be there to disturb the local credit prevailing there. So that's o ur model. That is yielding us very well, where the other competitor's penetration is not so. They stay in Tier 1 and Tier 2 whereas our model is Tier 3 to Tier 6 towns where we penetrate. So capturing the towns is more important for us rather than saying f rom a district perspective. So having said that, we are present in all districts in 3 major states in south.
Moderator: The next question is from the line of Piran Engineer from CLSA India. Please go ahead.
Piran Engineer: Yes. Congrats on the quarter. Just a couple of questions. Firstly, there was this RBI discussion paper on penal charges. Let's say that comes into effect, what could be the impact for you all on yield or on fee income?
Srikanth Gopalakrishnan: So Piran, we are not expecting any changes. In fact, if you look at the guidelines that have been issued, which is in the draft stage obviously, we are actually completely compliant to all of that. We don't charge penal interest on the principal outstanding. We charge penal in terest only on the overdue instalments for the number of days that it remains overdue. And this is duly disclosed in the fair practice code. So we don't really see any impact. I think the only impact which probably could come through, I think which is also at some discussion state in various forums is the fact that changing the nomenclature from penal interest to penal charges could make this fee subject to GST.
Now, that is going to add another 18% on this amount in the hands of the borrowers. So obviously , any company who's charging this is now going to charge the GST also and collect it from the borrower, which is actually more detrimental to the borrower rather than be

ing in his or her interest.
But I believe this is some under discussion. If that comes through, we'll also have to charge GST on them and pay it down, but other than that, we are completely compliant and don't see any kind of an impact coming up for us.
Lakshmipathy Deenadayalan : So in short, there is no impact, zero impact for Five -Star, if it comes. And the good practice what
RBI says in the circular, Five -Star has been practicing for the last 20 years. So that's the exact -- the outcome what we expect. So there is no impact at all. As Srikanth said, there may be some impact in

the hands of the customer, if RBI is not changing the nomenclature from P&L charges to P&L interest
again. That will be 18% impact to the P&L charges in the hands of the customer. That we feel, as a
lender to the last resort, we are increasing a little bit of burden t o the customers. So that's what our
representative associations has made their request to RBI. We'll wait and see.
Piran Engineer: Got it. And secondly also, our employee expenses have tapered off a bit despite adding more
employees. So any one -off here?
Srikanth Gopalakrishnan: So Piran, you're comparing current quarter to previous quarter or quarter -on-quarter?
Piran Engineer: Yes, Q -o-Q. Yes.
Srikanth Gopalakrishnan: So like last time we did mention, Piran, we had given a one -time -- in the December quar ter, we had
given one -time payment to the employees for the successful completion of IPO, so which is 1 month's
salary. So it's typically 4 months' salary against 3 months' salary that you are looking at, which is
where it has tapered off a little bit.
Piran Engineer: Okay. That makes sense. I forgot that. Just lastly, in terms of your 3 lakh customers, if I have to just
think about how many of them are repeat. And do you also track if a customer finishes her loan with
you, does he continue on another loan with you or does he move to another lender in the system,
maybe a small finance bank or a bank?
Srikanth Gopalakrishnan: So Piran, I think this is a question that you had asked us, I think, 2 quarters back as well. See, what
we typically see is at a point of time, and I'm talking as of March, we have about 20,000 to 25,000
customers who are actually running multiple loans with the company. So these are people who will
have most likely 2 loans. So that is the customers who are top up -- what we call as top up customers,
people who have a loan , they have a fresh requirement, they come, and then we give a fresh loan to
them and both the loans run simultaneously. What we've also seen is -- in the past is that there are
another 20,000 odd customers who had actually closed their loans in the past and come and have
taken a fresh loan with the -- fresh loans with the company.
So they are what you call as repeat customers. They might have matured their -- their earlier loan
could have matured or they could have pre -closed their earlier loan, and come and taken a fresh loan
from Five -Star. So what you're talking is about 30,000 to 40,000 customers who could be various
forms of top -ups or repeats. Anecdotally, what we believe, Piran, and this is something where we
don't ha ve empirical data to prove, but then what we have seen in our experience is that, if we onboard
100 customers, and these are largely customers from the unorganized institutions, you do see that
about 10% of the customers graduate to the formal institutions .
Like you said, the larger NBFCs, small finance banks or banks, because they are able to pay perfectly
well for the 84 months. Their records are there in the credit bureau and their requirement for loan is
much higher, which is met by a larger NBFC or a s mall finance bank. We also see about 10% of our
customers going back to the unorganized lending because they are not able to stand the rigor of the
collections foll

ow -up that we do and all that. 80% of the customers typically tend to stick with us.
So eith er they will close -- they will get their loan matured, come back for another loan, which is, I
think, over the next few years, we will see that happening a lot more because it's a 5 to 7 -year loan

and our growth has come in largely in the last about 5 to 7 years. Plus we also see, like I said, people
who will pre -close their loans ahead of their tenure and then come and take loans from us. So the
80% typically continues to stay with Five -Star in various forms, but like I said, this is more from the
company 's experience and we don't have empirical evidence to sort of show this data.
Moderator: Next question is from the line of Abhishek, an Individual Investor.
Abhi shek: Yes. Congratulations on a wonderful quarter. I just wanted to know like these fintechs are now also
lending to the unlent people, what Lakshmipathy was saying earlier. So how do you see the
competition from the -- these Paytm kind of companies? Because the y also are having a data about
the customers or these online people, marginal people. Number one. Number two question is, on your
presentation, Page 40, there is a gross Stage 3 assets with a 2 -year lag, and the percentage is around
2.11%. So basically, ob viously that is after RBI reclassification, but I want to say that if that is 2.11%
with reference to the loans that you had 2 years ago, it's a much higher percentage. Do you see -- is
it due to any accounting norm or do you see that percentage remaining at -- 1-year lag is around
1.85%, that is page 40 from your presentation. So just these two questions, fintechs and this gross
Stage 3 assets ?
Lakshmipathy Deenadayalan : I'll ask Srikanth to take the second question and will come back on the first question .
Srikanth Gopalakrishnan: Yes. So see, I think the lag NPA, the way what we have presented is that a company which is growing
significantly fast, the NPAs could tend to get camouflaged because of the growth, which is why every

NBFC looks at a lag NPA, and what it means by lag -- what we mean by lag NPA is NPA as of 31st March 2023. A 2 -year lag means you're comparing it against the portfolio as of 31st March 2021. So effectively whatever loans that we have onboarded in the last 2 years, you don't really gi ve any benefit at all. Those loans could have turned NPA and maybe they're in the numerator, but you don't give the benefit of the denominator, which is why the 1.04%, what 90 -plus is as of 31st March, looks at 2.11% from a lag perspective.

So if you reall y look at it, this is a very, very healthy number. 2 -year lag means we have probably disbursed INR1,750 crores in FY '22 and about INR3,300 crores in FY '23. This entire INR5,000 crores of disbursals is not even forming part of the denominator, which was a bout INR4,400 crores as of FY 2021, whereas the numerator is INR93 crores, which is NPAs as of 31st March. So it is not a high number at all. It is actually a very, very low number.

Abhishek: Any idea about the industry number for this lag?

Lakshmipathy Deenadayalan : So I think we can't say any industry number. I think you can go and calculate. As Srikanth said, it is a pure mathematic calculation. Denominator takes 2 years back AUM and numerator takes the current 90-plus.

Srikanth Gopalakrishnan: Abhishek, there are companies whose current NPAs, what typically is called as coincidental NPAs, NPA as of 31st March as a percentage of 31st March portfolio, most of the companies are more than 2%. What we are saying is our lag NPA is 2% lagged by 2 years. So that is the comparison.

Lakshmipathy Deenadayalan : So I think that will be one of the best in the industry for the customers whom we cater to. That's the second question. On the first question, let me also add -- invite Ranga for further adding. To give a

context on that, see, people compare Five -Star with fintechs. I think 2 things that we vary large with them. One is the place of presence. Their place of presence in Tier 1 and Tier 2, our place of presence is some Tier 3 to Tier 7, which we said. So they are not present at all. That is one big difference. Second difference is that their product is completely different. Their product is lending to a working capital need of a business customer. Our product is lending to the business needs of the business customer. Both are different. Once the business is set up, then the working capital requirement comes in. We go at the first instant to help the customer to set up the business. So the product itself is different. And to add more to the product, their product is -- their ticket size will be around INR50,000 to INR100,000, whereas our ticket size is close to INR3 lakhs to INR3.5 lakhs.

And their tenure will be very short, 6 months to 8 months because it's a working capital. Our tenure will be close to 7 years. And they operate in fully unsecured segment, being a working capital lending. Our segment is fully secured. So I think fintechs are no threat for Five -Star both in presence, where we operate and they operate, and the product in what they give to a business customer versus what we give to the business custo mer. So broadly they are in a different market and we are in a different market. Finally, to end, even if you compare with fintechs, I think the collections what a traditional NBFC like Five -Star does and profitability what we bring on table and asset qual ity what we mentioned earlier, I don't think they are nowhere even nearer to the traditional NBFCs.

Abhishek: Great. I'll just request you people to make Five -Star a little more presentable to the investor community because if you are doing such a great work, but it is not recognized, ultimately at the end of the day, no -- because to be very frank, I have come across Five -Star, I stayed here for like -- invested for more than a year, but you just need to bring your presence to the investor communit y, whatever campaign you feel better, like you should get noted, really. That's appreciable.

Lakshmipathy Deenadayalan : Yes. Thank you, Abhishek. Point is noted. We are already doing it. We'll further do it in a more thoughtful way.

Moderator: Next questio n is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : Thanks. My questions have been answered.

Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Congratulations on good set of numbers. Just two questions from my side. The first question is just the rapid expansion, I mean, big expansion that you have done in Andhra Pradesh. Is it a function of the fact that the state government is con tinuously expanding, I mean, bringing in bigger projects and a certain part of smaller retailers are also getting active and they're going for some kind of loan for doing their businesses or maybe even for any other related purpose? And my second question is, we have got lot of headroom when it comes to taking debt from the market, as you said, up to 4, 4.5 times roughly, you are comfortable with. So what would be the steady -state ROA and ROE that we target maybe 2 year down the line? These are the two ques tions.

Lakshmipathy Deenadayalan : Yes, Vignesh. We'll answer one by one. First, on the Andhra front, let me clarify to everyone again.

The decision what we took to invest more in Andhra purely based on our performance in Andhra;

nothing to do with any stat e government's intervention into the shopkeepers or anything. So I think all the 4 states from an economy perspective are growing really very well. And Karnataka,

if you
recollect, in few days back, there was an article in a paper, where the economic activ ity in Karnataka is extremely high. But as I said, we have not opened a single branch in Karnataka. So it is not the state government or state in total how it performs in econom ic activity, the Five -Star branch investment will be planned. It's not like tha t.

It's our own experience in that state, what kind of team that we have set up, what kind of customers that we have lent, and how is the repaying capacity or repayment happening in that state. That decides the number of investments both in branches as wel l as people we budget year -on-year. I think last year it was thumbs up for Andhra. So we have invested a lot. I've answered that question. This year, the branch expansion and the people expansion will be evenly across all 4 states of south. So that's point number one.

I think I hope that you have -- I have answered the first question. On the second question, we have guided a growth of 30% plus very comfortably in next 2 to 3 years. The game plan is growth. So we will increase our leverage, as Srikanth was a lready -- gave an indication on the earlier question. With that leverage kicking in in next 2 to 3 years, our return on asset in steady state, if the steady state may kick in 3 years or 5 years down the line, we'll -- steady state on ROA will be close to 6 % to 6.5%. Due to the leverage increase in next 3 to 5 years, our ROE will be in 20% plus. That's what we anticipate.

Moderator: The next question is from the line of Nilesh Jethani from BOI AXA Mutual Fund. Please go ahead.

Nilesh Jethani: My first question is from a longer -term outlook, say, from a 3 to 5 -year perspective when we talk about 30% growth. So wanted to understand that this would be largely led by a branch -led or the fleet addition on ground or average ticket size because we typ ically have in the range of 3 to 5 lakh category. Are we planning to expand this range also going forward? So any colour on that from a 3 to 5-year perspective.

Rangarajan Krishnan: Hi, Nilesh. We had sort of covered it in our earnings presentation that we have uploaded. So there are 3 levers to growth for us primarily. The first lever is, of course, the increase in branch presence. So we had already guided for at least adding 50 to 60 branches every year. Last year, we did 73. So we are fairly confident of at least putting up 50 to 60 branches year -on-year. These predominantly will come in south. So we expect at least 80% of the new branch additions to come in from south with 20% contribution from non -south regions. This is the first lever.

The second lever of course is we have constantly strived to increase the number of officers per branch because when a branch is successful and an area is familiar to us, instead of putting up a branch, we always believe that it is better to add more number of people to th e existing branches because we are already successful, we are familiar with the area, we have existing customers, business can be done easily in that existing branch. So we have constantly increased the number of officers. Today it averages about a little lower than 8. This will continue to go on. So you will, over the period of time, see this 8 increasing to 9 and 9 increasing to 10. We will not do it in an urgent manner because we don't want to breach the productivity metrics here. But we will ensure that over a period of time, the number of officers in every branch also increases the sales reps from both risk perspective and

increasing the potential business that we can do from an existing branch. This is the second lever of growth.

The third lever, of co urse, is the ticket size. Ticket size, today we are averaging about INR3.2 lakhs in Q4, but pre -COVID, we were already at about INR3.3 lakhs, INR3.5 lakhs. So during COVID, during times

of uncertainty, we consciously tightened the credit metrics and we wen t down all the way to about INR2.5 lakhs of average ticket size. But as the economy is opening up, we have slowly come back to INR3.2 lakhs. The first break for us will be where we are coming back to pre -COVID levels of INR3.3 lakhs to INR3.5 lakhs, which will happen in the next few quarters.

But beyond that, I think ticket size increases will be largely inflationary in nature. We don't intend to move away from this customer bucket because we are very familiar with this customer bucket. We understand them d eeply and we have a lot of experience in working with them. So in the same customer bucket, but with a little bit addition of ticket size due to inflationary trends. You will also see some growth for us will be coming in from there. A combination of these 3 is what is making us confident of delivering a 30% plus kind of a growth over the short to medium term.

Nilesh Jethani: Got it. Just to follow up on this, one, let's say hypothetically, if you don't want to add branches going

forward, from the same branc hes, what kind of growth we can expect considering the current AUM per branch? And second follow -up was, in the previous participant response, you had mentioned that repeat customers were in the range of 30,000, 40,000 amongst the 3 lakh customers. The rep eat seems to be slightly lower. So what are the -- questions from my side.
Rangarajan Krishnan: See, on the first question, I think if we stop adding branches, hypothetically, I think we'll still be able to deliver maybe about a 20% growth rate, which is t he combination of growth lever 1 and growth lever -- growth lever 2 and growth lever 3. Nothing stops us from adding more number of people in the existing branches themselves. Of course, productivity also will see an improvement over a period of time, and the ticket size increases will come. So about 20% growth rate is something that we can see with no addition to the branches at this point of time, in the short to medium term.
And secondly, on the repeat loans, I think the point that you'll have to keep in mind is that our average tenure, like Srikanth had explained earlier, behaviourally it's about 4.5 years. So repeats will come after 4.5 years. Now, we'll have to just retrace our own growth, how big were we 4.5, 5 years back. In 2018, our book size was h ardly about INR1,000 crores. So I think you should keep this in mind, while you are looking at a repeat scenario for Five -Star. That is why I think we were explaining it more from a company's experience perspective and how we see customers staying with us moving over a longer period of time.
Nilesh Jethani: Got it. And one last question on the cost side. Any levers to bring down the cost? Because cost to average assets are in the range of 8% for us. So any levers there?
Srikanth Gopalakrishnan: So we do hav e some benefits -- like if you look at our cost to income, I think we are probably one of the best in the industry in terms of cost to income, given certain manual intensive nature of the activities that we do. Having said that, yes, we are investing in te chnology. We are doing a lot more projects on the technology side, and we have also significantly invested in the senior management. So both of these are not going to linearly grow with the portfolio. So we will see some benefit coming

on the cost of funds , but in terms of opex to assets, I think it will probably drop by another 50 to 75 basis points, but not possible to expect any significant drops to come in the future years.
Moderator: Next question is from the line of Saptarshee Chatterjee from Centrum PMS. Please go ahead.
Saptarshee Chatterjee : My question is on the like operating leverage of the business, and on the growth sustainability. In the sense that, if I see your last 8 years that your AUM

have grown more than 50x, but your business officers have grown higher than that. And in the sense that opex has also grown at a higher pace than the AUM. So my question is, today we are at 4,000 number of business officers. Next stage of growth, let's say next 8, 10 years, if we grow 10x at an AUM of current size, will it not be very difficult to have at least on 10x or more than 10x number of business officers hiring and training them? So do you see human capital -intensive businesses like this, like of ours, like acquiring talent can be a challenge for our growth sustainability? And second question is regarding if the acquisition of like business officers grows at a similar pace of AUM, then is there a case of operating leverage?
Lakshmipathy Deenadayalan : See, I'll take up the first question. See, I think from a risk of training perspective, I think I have also
addressed in a few calls earlier, so we don't see any underwriting getting diluted both in business and credit vertical, right? That's the foremost concern that the -- outcome of your question as we grow 30% plus in next 3 to 5 years. The very si mple answer to that is, see, we want to open 50 to 60 branches year -on-year. So we need 50 to 60 BMs with a very good knowledge on our business model, underwriting, and collections. So today we have close to 4,000 officers, as you said rightly. Picking 40, 50 people from them who is really bright in productivity, who is very good in collections, who maintains the best asset quality, we have the data of 4,000 officers day in, day out on their productivity, collections, and NPA.
So picking the top 50 from the officer and giving him the branch manager's position, it's not going to be a challenge for Five -Star. If a guy is able to do a good productivity, that means he understood who is our customer. If a guy is doing a good collection, that means his assessment on character, cash flow, on collateral, which is a triple C assessment, what we do, has been done well. That is why the outcome is the collections is good. So picking 50 or 60 officers from 4,000 -- a group of 4,000 people and giving them a career growth o f branch manager doesn't feel any threat even -- not even today, even going forward. That's on the business side.
From officers side, we don't see much of the knowledge to be gained because they are the connecting between the customers and the branch manager. Branch manager -- for us, the branch manager is the starting point of the knowledge centre , where the underwri ting, collections control, attrition, everything has been managed by the branch in charge. So that is where our focus is going to be there. Having said that, officers, we train them to the way that they can be good connected with the local people and distr ibute our product like customers, how they understand our product better, what is the pricing, that difference between the local money lender and Five -Star, how is the EMI diminishing balance goes well. These are the standard things that we expect our offi cers to talk with the customers

to bring the file to the login.
Then it comes to the hands of the BM. So for us, the BM is the first knowledge centre at a branch.
So we don't see, even at 10x growth, our underwriting will get diluted. Even from the credit aspect, that's a separate team which looks into the same triple C approach, both assessing the character, cash

flow, and collateral, today we have close to 180 approval credits, not the field credits at the branch. I'm talking about the approval credits wh o approve the file. Tomorrow, suppose we want to add 20, 25 more to the approval credit, we don't get from the outside.
We know the 350 or 370 people, field credits what we have in the system, we know the best person in the assessment order because we have the data of both each and every field credit. So we take that 20,

25 people from field credit and give them a career improvement to the approval levels. So I don't think as long as our pools both in business and credit is bigger, picking 50 people from th at who is the best among the pool and giving them the career growth and taking care of the business and credit vertical, there will not be any dilution in the underwriting even at the 30% growth that what we intend. That's on the question number one.
On th e question number two, I'll invite Srikanth to answer on it.
Srikanth Gopalakrishnan: So Saptarshee, like we said, on the operating leverage, see, today at the field level, we have one of the best productivities that you could ever see in this kind of segm ent. Our officers log in 4 to 5 files, out of which about 4 file s get sanctioned and disbursed, so which is one of the best productivities because they are also going to be handling collections for a period of time. Where we think operating leverage will c ome in, like I said, is in terms of the senior management bandwidth, which is not built for INR7,000 crores company. This is built for a much larger size of Five -Star.
The second will be in terms of technology where we are making significant investments. So we could look at probably down the line looking at straight through processing for certain percentage of files, where today every file is touched by multiple people, at least 4 to 5 people across the business, credit, and approval verticals . We could -- we will be definitely exploring the fact that if we are extremely comfortable with a particular file, does it need to go through this entire chain of business , credit and all this? So this will help us bring in operating leverage. This will a lso help us cut down the turnaround times.
So some of these things are work in progress and we will probably get to see the results in the next few quarters, but like I guided don't expect significant operating leverage to bring down our cost to assets. Ev en in a steady state, I think we are expecting our cost to assets to be at around 6% levels, and that is something we are comfortable with. Our P&L has the ability to absorb that and still give a return on assets guidance that Mr. Pathy gave sometime back.
Saptarshee Chatterjee : Great. Just one last question is, as your cost of fund reduces from 10% plus to your current marginal cost of borrowing, so I just want to know your thought process. Will you reduce your yield or will you want to increase your profi tability? So if you want to increase your yield and therefore increase that target addressable market or you want to increase your ROE in short to medium term?
Lakshmipathy Deenadayalan : Yes. Thank you for this question. I think this was also addressed in earlier calls. See, 2 years back ,
our borrowing cost was around 12% on book. That has now brought it down to 10%, roughly around 10%. So we have got a benefit of 200 bps, but we have not passed on this benefit to our customers because we wanted to see wher e the tip of the curve really stands. As Srikanth said, we are thinking in next 1 or 2 quarters, this will get saturated and we will get a clear indication from the market that there will not be any more increase from regulator or bankers. Once we get that , definitely we'll be

bringing down our yields from 24% to close to 23 or even better 22.5%; not to go and capture the bigger market. This is just to be a very responsible lender because the market is huge are -- and people operating in this market, along with Five -Star, are far and few.
Even comparing with them, their quality and profitability is no match with Five -Star. So I don't think there is any pressure from the market to reduce to bring down the pricing. We will be doing it in next few quarters to c ome, to be a reasonable lender. So that's the point number one. But as a guidance, what Srikan

th already said, we will be guiding the market on NIMs close to 14%, 15% and spreads around 13%, 14%. That's the guidance in the long run. So there will be a redu ction in yield because we have not transferred our benefit that what we got from our lenders to our borrowers. And of course, the profitability is on a very high side. So we don't have any intent to increase the profitability further. I think that's our cl ear strategy going forward.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.
Srikanth Gopalakrishnan: So thank you all for attending this earnings call of the company. Like we said, it has been an extre mely strong quarter for us, and we do have the necessary infrastructure built for us. With the clouds of COVID and all the uncertainties receding, we are very confident and hopeful that we will be able to -- we are in a position of strength to take advanta ge of the market opportunity available.
Till we connect with you in the next earnings call, once again, thank you from the management team for taking the time out to look at our results and ask us the questions. Like one individual investor said, our inten t is to make you understand our business model.
We'll be happy to address any follow -on questions that you have. The presentation contains the email ID of the Investor Relations team. Feel free to reach out to us and we'll be happy to engage with you.
Thank you once again.
Lakshmipathy Deenadayalan : Thank you.
Moderator: Thank you very much. On behalf of Nuvama Institutional Equities, that concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Aug 2023

Date: August 03 , 2023
The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663
Sub: Transcript of the Earnings Conference Call for the quarter ended June 30 , 2023
Dear Sir/ Madam
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on Saturday , July 29 , 2023
The transcript can also be accessed from the link: https://fivestargroup.in/investors/
Kindly take the above on record.
For Five -Star Business Finance Limited
Shalini Baskaran
Company Secretary & Compliance Officer
Page 1 of 18

“Five Star Business Finance Limited
Q1 FY ‘2 4 Earnings Conference Call ”
July 29 , 202 3

MANAGEMENT : MR. LAKSHMIPATHY DEENADAYALAN – CHAIRMAN AND MANAGING DIRECTOR – FIVE STAR BUSINESS FINANCE LIMITED
MR. RANGARAJAN KRISHNAN – CHIEF EXECUTIVE OFFICER – FIVE STAR BUSINESS FINANCE LIMITED
MR. SRIKANTH GOPALAKRISHNAN – CHIEF FINANCIAL OFFICER – FIVE STAR BUSINESS FINANCE LIMITED

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY 24 Earnings Conference Call of Five Star Business Finance Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being rec orded. I now hand the conference over to Mr. R enish Bhu va from ICICI Securities. Thank you, and over to you, Mr. Bhu va.
Renish Bhuva : Thank you, Michelle. Hi, good evening everyone and welcome to Five Star Business Finance Q1 FY24 Earnings Call . On behalf of ICICI Securities, I would like to thank Five Star Management Team for giving us the opportunity to host this call. Today we have with us the entire top management team of Five Star represented by Mr. Lakshmipathy, Chairman and Managing Director, Mr. Ra ngarajan, CEO and Mr. Shrikant h, CFO. I will now hand over the call to Mr. Lakshmipathy for opening remarks and then we'll open the f loor for Q&A. Over to you, sir.
L. Deenadayalan : Yes, thank you, R enish. Good afternoon, everyone. I invite you to this Q1 earning call. This is the fourth earning call that Five Star is taking up with the participant s. I think we have come across one full year. So four performance of Five Star that you people have seen. So it's a clear understanding that what we say and wh at we do correlates a lot. With this note, let me open up

the outlook what happened in Q1. Generally for lenders, June quarter is a bit muted comparing to the March. I think for Five Star, the June quarter is a trend setter to see how this financial year will be looking like.

Starting from our AUM growth, we have moved our AUM from 5,296 crores last year to 7,583 crores, registering a growth of 43% year on year. And most importantly, quarter on quarter, we moved from 6,915 crores to 7,583 crores, registerin g a double digit growth of 10%, close to 10%. That has come from, we have opened a good amount of branch. Last full year, we have opened 75 branches. And for the first quarter, April to June, we have opened 13 branches. As we always say, one of the growth levers is starting new branches at existing and the new locations, new states.

This has improved our disbursement and our disbursements have moved from 568 crores to 1,132 crores, nearly 99% growth from year on year. And from quarter on quarter, we have mo ved 2% higher than the March disbursement. This has happened after COVID. This is the first time that June disbursement, June quarter disbursement has crossed March quarter disbursement. And moving to the collection part, I think collections part also 5 St ar has done very wel l in Q1 of this financial year.

Our collection efficiency as given in our presentation, we have done one of the best collection efficiency. And what we call D1C1, that is collecting an EMI from all live customers, has also been very goo d, comparing to March, equal to March. What this has resulted is, we have made one of the best current customers.

Our current bucket has moved to all time high of 85%. Pre -COVID, our all time high was 82% of current and 18% of arrear customers. That has no w moved to 85% of current. And for the first

time ever, our 30 plus metric has dropped down to single digit. It has dropped down to 9.68%.This is the first of its kind in Five Star. So, this shows the strong momentum what Five Star has demonstrated even in collections. If you see across every bucket, be the current or stage 1 or stage 2, we have improved in all buckets. What this has resulted is one of the best asset quality, our 90 plus has moved a bit

from 1.04% last quarter to 1.08%. This is just a blip of this being the June quarter. And the technical NPA, what I said in last call also, the new RB I circular which kicked on, that NPA number has moved on from 1.36% t o 1.41%, increase of five bps. So the 90 plus and NPA, technical NPA, mostly remains the sa me compared with March quarter. The difference between 90 plus and NPA, which is 0.33%, which comes out to INR25 crores of assets, which is lesser than 90 DPD, is being declared as a NPA due to the new circular which got kicked in. This business and collec tion has resulted in one of the best profits for Fi ve Star. Our PAT, Profit after tax for this quarter has moved from INR139 crores in last year to INR184 crores this year, registering a 32 %.

And from last quarter, it moved from INR169 crores to INR184 crores, registering a Q -on-Q of 9%. And from a borrowing cost also, I'm happy to say that our cost on book keeps reducing. Even this quarter, it has reduced from 9.87% to 9.80%. And our increment al borrowing cost remains at 9.18%, which is one of the attractive borrowing costs for the size of the company. And finally, on the provision, we have maintained or increased a bit of provision of ECL, which has moved from 1.61% last quarter to 1.64% this quarter.

So all in all, all the cylinders of business, collections and profitability and quality has been as good for this first quarter of this financial year. We are very optimistic and a very strong hope that this will continue for the next three quarte rs. Keeping this in mind, we are revising our growth guidance from 30% to 35%. With this, let me conclude my opening remarks and hand it over to my team. I think I'll start with Srikanth to take you through more on the numbers.

Srikanth Gopalakrishnan : Thank you. So, good evening to all of you. A lot of the numbers have already been stated, so I'll just briefly touch upon financial metrics and then maybe open up for queries and questions from your side. Our yields continue to be stable around 24.4%. You'l l always see a 10 -15 basis points drop this way , that way on a quarter -on-quarter basis. Like Mr. Path y said, our cost came in at 9.8%, so that's a very healthy spread of 14.6% as compared to a 13.6% spread for Q1 of last financial year.

The NIM s was at a bout 17.74% primarily you know coming on account of the lower funding costs as compared to closer to 17% for Q1 of FY23. All this is actually resulted in a healthy ROA of about 8.41% for the current quarter and an ROE of 16.62%. The ROE has actually gone up by about 184 basis points year on year and about 50 basis points quarter on quarter. We continue to keep a very well diversified borrowing profile. We have about 50 lenders who have lent to us.

Even during the first quarter, which typically tends to be muted from a borrowing perspective as well. We got sanctions of about INR890 crores out of which we availed INR730 crores of fresh borrowing. This has come in at an interest rate of 9.18 %, even assuming the all -in cost including the other fees and other anc illary charges , the number is 9.5 %. This compares against

9.53% of last in Q4 that we raised. So the interest rates increase in the market has not impacted us yet.

There is a possibility that there will be some small revisions in the MCLR that will come t hrough because most of our sanctions are based on one year or six -month MCLR. So we may see some uptick coming on the book cost, but we are confident that the incremental cost will be at around 9.5 or maybe lower, which will sort of offset the increase tha t may come in on account of the MCLR increases.

We have a very good liquidity on the balance sheet. We have about INR1,400 crores, inclusive of the INR160 crores of undrawn sanctions that we have taken. During this quarter, CARE also has upgraded our rating to AA -. So to

day we have AA - from all three agencies. The profitability continues to be robust. So we had a 32% year -on-year increase in the profitability and a 9% on a sequential basis. So we ended the first quarter with about INR184 crores of prof itability.

On the PCR side, again both on the overall AUM, we are maintaining a 1.64%, which is one of the highest for a secured lender. And on the Stage 3 assets, we are maintaining a PCR of 44%.

This has come down slightly, but then last quarter itself w e had sort of guided you that it was a slight increase in the last quarter. We would like to maintain this around the 40% levels. We are at 44%. Our restructured book is performing well. As a percentage of the overall book, it has actually come down to 0.7 6%. And even on that, we are maintaining a PCR of about 50%.

And again, about 90% of this restructured book is in the standard category. This is after repayment behavior of seven quarters. So on the whole, I think we have had our growth momentum back. Coll ections have stacked up extremely well. This is reflecting in the profitability. So with all of these three metrics, the growth, profitability, and quality remaining robust, we are poised to take advantage of the large opportunity available in this segment . On that note, happy to take any questions that any of you may have. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Ajit Kumar from Nomura. Please go ahead.

Ajit Kumar : So my first question is on the yield side. You were planning to reduce the yield from current 24 to 23 or 22 as the cost of funds goes down. Just wanted to ch eck a status on that. That is my first question.

Management : See, I think we have not yet finalized that because you all know that we all think strongly that rate hike cycle is stopped. But we just wanted to see the first symptom from Reserve Bank, how the stance is been taken. Then we will take up a call appropriately. Yes, what we said holds good.

Ajit Kumar : So I was asking, investment on your balance sheet is up sharply from INR144 crores in last quarter to INR355 crores in this quarter. So again, just wanted to check what has happened there?

Management : So, I think there is nothing here. The way to look at this is, you will have to add the cash and cash equivalents, bank balances and the investments , that has actually gone down to about INR1,600 crores as of last quarter to about INR1,400 crores. So it's a strategy that we use if we

are able to get a good rate on the fixed deposits, we would prefer placing it there and typically March quarter is when banks also are interested in you know more of fixed de posits. So there was good returns on that. With the yields going down, the markets are also good now, so mutual funds are earning closer to FD returns. So that is where we have put some money’s in the investment. So the way to look at it is the combination of cash, bank balances, and investments, rather than looking at a standalone number. Ajit, does this answer your question?

Moderator : Yes sir, the participants have left the queue, we'll move on to the next question which is from the line of Mahruk Adajan ia from Nuvama, please go ahead.

Mahruk Adajania : Yes, hello, congratulations on a very good set of numbers. I just had a few questions. Firstly, if you could explain what happened to opex , why that was down and what is the outlook ahead on opex?

Management : So, Mahruk, if you're looking at sequential quarte rs, this is something that we had highlighted even in the last quarter. In terms of the opex, the last quarter had a one -timer in terms of the corporate social responsibility expenses of about INR9 crores, INR10 crores, which is not coming in the current q uarter. So that is where you are seeing a slight reduction in

the opex of
the current quarter and typically there were other costs that we had taken in the last quarter in terms of provisions for certain conference related expenses and all which are not th ere in the in the first quarter.

So there were one or two one -timers that were there in Q4, other than that, it's business as usual. Our guidance that we typically try and give you is from a cost to income perspective. While last quarter was at about 38% , it's dropped to about 36.6% in the current quarter. We expect this number to be around 35% to 37% even in a stable state scenario.

Mahruk Adajania : Got it. And my other question is that if rates were to fall and then you're going to pass on, you're going t o pass it on to borrowers when rates are cut. So if rates were to fall, how would your margins behave? When will your margins, I mean, they've remained pretty stable, they've expanded. So do you see a drop or it'll stay above the guided range for a very lo ng time?

Management : We will stay above the guided range for a foreseeable future. I won't say very long time because even if you have to drop the rates, it will only happen on the incremental book and the existing book, continues to, the existing book wil l continue to keep yielding at 24%. So it's not going to have a very quick impact in terms of the spreads coming down.

But over a medium to long term, I think currently the spreads are more like about 14.6%. We would like this number to normalize maybe by about 100, 125 basis points, but that's going to take a medium term at least. It's not going to happen in the short term. And consequently, you will also see shrinkage in the margins, which is currently at about 17.5%.

Our guidance has always been that wit h leverage kicking in, this number will automatically go down. And with us getting the spreads down, you should probably see again over a medium to long term this number compressing by about 200 to 225 basis points.

Mahruk Adajania : Got it. And just in ter ms of cost of funds, average versus marginal, would you say, I know there is a gap, but would you still say that average costs have bottomed now or I mean, there can still be further decline?

Management : Nothing major, you can see some decline. Like I said , the book cost is 9 .80 while we are onboarding incremental borrowings at around 9 .50. So there is a gap there. So you can see some benefit, but it will also be offset to some extent by the MCLR increases that may happen , whatever MCLRs have gone up like I said given that we are on the six months to one year MCLR these have not still impacted us so those may come down. So I don't think you will see any significant benefit coming through in the next few quarters.

Moderator : We'll take the next question from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise : Yes, hi. Thanks for the opportunity and congrats on a great set of numbers. So you mentioned that the current book is probably at an all time high, even compared to obviously pre -COVID numbers. What would you attribute this to and how do you expect these numbers to move? Obviously one would want them to improve further, but some changes that you would have implemented and hence the outcome. Some insights would be helpful?

Management : I understood the question. Let me repeat my answer. See I think our current level of 85% of current has moved from a substantial number from COVID -2, because we all know COVID -2 got a hit from a retail customer's perspective. The strategy what we have put in place has really worked out and that has moved the numbers from earlier lesser numbers to 85% of customers in current today. This will continue and I foresee this 85% will move closer to 88% to 89% by March 2024, this financial year March.

And ideally I want it to be around 90% of customers in current and 10% of cus

tomers can be in
delinquent. I was just saying that please remember that the type of customers whom we lend, these are customers who have a little vulnerable cash flows and seasonal incomes. So definitely there will be some delinquencies. If we are able to maintain at 90 is to 10, I think it's a great number to have for.

Sameer Bhise : Yes, absolutely. Secondly, on the ticket sizes, obviously the Y -o-Y number kind of looks more than a 10% growt h, but how does one look at from a three to five year perspective?

Management : Sameer, as we have been guided in last calls, pre -COVID our ticket size was 3.5 lakhs, which dropped down to 2.5 lakhs in COVID -19 due to our conservative approach. That is getting bounced back. Now we have come to around 3.35 lakh per customer and taking in next three years, this will have the inflation number added to it.

So we don't intend to move our ticket size significantly from 3 lakhs to 2x or 3x from here, but defini tely the inflation number will be added to it. Maybe in around 3 years down the line, we'll be close to 4.5 lakhs to 5 lakhs. That will be the average ticket size. Without moving our profile of customers, we'll be dealing with the same profile of customers adding the inflation number to the average ticket size.

Moderator : Thank you. The next question is from the line of Aditya Padhi from Girik Capital. Please go ahead.
Aditya Padhi : Yes, hi, sir, great set of numbers. I just had one question on the provisions front. You wanted to know that the current provisions are what we should look for going forward like the credit cost or do we expect it to go down or was there a one time thing for the Q1?
Management : See, I think the last year in total if you l ook at credit cost, and I'm not talking about the provisions on any specific early DPD loans or the delinquent loans, the credit cost is starting to come in because like we updated even in the last call, there was a significant amount of provisions that we had taken, especially during the first and second waves of COVID. And last year was the first year when we -- when given our lower PDs and lower LGDs, the ECL was coming in lower. But having said that, we are also consciously trying to take that number to something that can sort of stay.
So the guidance that we generally give you on the credit cost at around 75, 100 or a little over about that 100 basis points is something that you should keep in. From a staging perspective, we are also trying to see if we can get the Stage 1 provisions around the RBI stipulated levels of about 40 basis points. But that number is probably, you will see a 5 basis points movement quarterly, depending on how the PDs and LGD stack up.
On Stage 2, I think 8% to 9% is our provisi on coverage that we are envisaging, and Stage 3, like we said, about 40% to 45%. So that's broadly the number that you should build in. There will also be some technical write -offs that we will take on a quarterly basis. I think all of these things should give you, closer to about 75 basis points to 100 basis points of credit cost on a quarterly basis going forward.
Aditya Padhi : Got it, sir. Okay, thank you. Thank you so much.
Moderator : Thank you. We'll take the next question from the line of Arvind Das from Sundaram Alternates. Please go ahead.
Arvind Das : Hello. Thank you so much for the opportunity and congratulations on the great set of numbers. I just had one question. So NIMs had contracted quarter -on-quarter, I would sound, 77 bps, even though like a portfolio yield has been stable and cost of borrowings on the book has come down. I'm just trying to understand why is that?
Management : See, it is purely because of the leverage. You know, earlier, a lot of the funding came through from equity, but tod ay, we are levering the balance sheet. And when you lever the balance sheet, you

will see the NIMs going down, you will see ROA is going down but that will have a positive impact on the ROEs. So like we said, NIMs will certainly go down as the leverage in the book increases but I would say, we're still in a very -very attractive territory as far as NIM is concerned but you will definitely see NIM compressions coming through in the future quarters as well.
Arvind Das : Okay sir, I ask this question also becau se we also had consumed liquidity when compared to the last quarter. So, I thought like even though that hasn't had a cushioning impact on NIM. So that's why I asked that question.

Management : The liquidity comes from debt right? So which has a cost and th at will pull down the NIM.
Arvind Das : Yes, okay. Yes, thank you so much.
Moderator : Thank you. The next question is from the line of Ashok Kumar, an individual investor, please go ahead.
Ashok Kumar : Yes, hi, congratulations on a great set of numbers. The current quarter numbers are exactly in line with the revised guidance of 35% CAGR growth for the next two years to three years. So really happy to see this kind of numbers. Sir, my first question is on our branch expansion into northern states. So basical ly we are a secured lender so the same kind of business model will be continued in the northern states where we are going to open a new branch rapidly in the next two years to three years? That's my first question, sir.
Management : Yes there is no change i n the business model as we are moving from South to rest of India. It is a very similar business model with the same means and similar set of customers. We still believe there is a large opportunity for the category of customers that we are serving. So we are not diluting on anything, whether it is sourcing, underwriting or collections. It's the exact same business model that we would like to replicate there.
Ashok Kumar : Okay, so even in terms of the securitization as well, I mean the self-occupied residenc e as well.
Management : Yes, absolutely, self -occupied residential, ticket size, nature of customers, tenure, everything is going to be very similar.

Ashok Kumar : Okay, thanks, that's helpful. And my second question is basically, of c ourse, if you see the evolution of the Five Star, right now we have reached a stage where our policies, procedures, and the process, and all the fundamentals of the business are exactly in line with the matured business or something. So bearing this in min d, do we have any future plans catering into the new business lines of the products? Maybe just as an example, like microfinance lending or maybe any kind of unsecured lending or something like that?

Management : Ashok, let me be very clear. As I've been sa ying in last few calls, Five Star is lending to the small shopkeepers and self -employed s who have been in millions in our country. So our first work is to go and capture that market, which has been predominantly captured by the moneylenders market. I think , we have a lot to do in the existing business and we are extremely doing very well.

As answered in the last question also, today we are a predominant South -based player having close to 90% -plus of our disbursement and AUMs come from South. I think, we wan t to slowly do it in the rest of the country. That is the intent. So you will see a lot of activities happening in the other states apart from South. So we have a lot to do in the same business model and we are doing extremely very well, both from a growth perspective, quality perspective.

I think we have revised our guidance from 30% to 35%, keeping this business model in mind, not getting into any different product at this point of time. So, let's be very clear. So, we want to

be a very specialist, one of the leading lenders to the

un -lent segment of this country. That's where Five Star wants to be.

Ashok Kumar : Excellent. This is really helpful. So just a clarification. So the revised guidance will be 35% CAGR growth from the next three years in terms of the AUM and the profitability or did I misunderstood it?

Management : So what I said is for next three years AUM, I think profitability will also be in line.

Ashok Kumar : Okay so that's a 35% CAGR, that's what we are aiming for.

Management : Yes.

Ashok Kumar : Okay, thank you very much.

Moderator : Thank you. The next question is from the line of Nischint Chawathe from Kodak Securities. Please go ahead.

Nischint Chawathe : Hi. Thanks for taking my question. So just clarifying, we have seen around 9% quarter -on-quarter loan growth, 10% quarter -on-quarter loan growth, and that has translated into a 100 basis points sort of a reduction in margins. Is that the only reason or is there anything else? I understand the, I mean, obviously in the sense that -- within what they are.

Management : Nischint, I'm not able to get. What, a 100% you're talking about? A 100, which?

Nischint Chawathe : Yes, sorry, your margins are down by almost a 100 basis points. So my point was that, is this purely because of leverage? Because, your loan book is up 9.5% quarter -on-quarter.

Management : Nischint, it's purely because of leverage, nothing else.

Nischint Chawathe : And with that, taking this forward and your new growth guidance, would you have any views when do you probably ne ed to raise capital?

Management : I think, Nischint, we are very long, long way away from raising our capital. I think, as we said in last call, our goal is now to increase the return on equity to the shareholders. As you see from the numbers from last quar ter, we have moved from 16.10 to 16.62. And from last year, we moved from 14.78 to 16.62. I think the trajectory is very clear, our logic is very clear and I think way forward, we have to increase the return on equity that can come as we increase our lever age.

And the capital adequacy in which Five Star enjoys today, it means for next five years to seven years, we may not think of raising any capital.

Nischint Chawathe : No, sorry, what I wanted to actually check was, would you want to call out a target peak leverage ratio?

Management : Nischint, this is again something that we have been, sort of guiding. We would like to operate at a peak leverage ratio, and I'm talking about leverage, which is total assets to equity, at around 4.5x to 5x levels, which means debt equity of about 3.5 to 4. But again, given the internal

accruals that we'll continue to keep doing, this is a number that's quite far off is our belief. Definitely not going to happen in the next three years to four years, but thereafter, depending on the growth and the profitability, but we would like to operate at this level because even lenders rating agencies are comfortable at this level rather than going all the way up to 6, 7, 8.

Nischint Chawathe : Perfect, that's helpful. Just one question a li ttle qualitative is, are you seeing more competition at the ground, either in terms of, with your customers or for your employees?
Management : Yes, Nischint, yes, competition is always there. There is no lending product without competition, but comparing t o other products, I will say, the competition is lesser because people find it very difficult to crack what Five Star has cracked for the last 20 years because this is a customer where you don't have the credit history or a credit document to underwrite. W e have to do it in a touch and feel model and over a period of time, you will only master it.
So I don't see there is much competition getting into secured loans. I don't know about unsecured loans because that is the talk of the town. Maybe the unsecured loans part may be a little heated

up. From a secured perspective, around that INR3 lakh to INR5 lakh ticket size where Five Star is sweetly positioned, there are only a handful of players and within that, Five Star scores well, both from growth perspective , quality and profitability perspective. So I don't see any big threat coming from competition.
Nischint Chawathe : Perfect. Thank you. That answers my question.
Management : Thank you.
Moderator : Thank you. The next question is from the line of Jaiprakash T oshniwal from LIC Mutual Fund. Please go ahead.
Jaiprakash Toshniwal : Thank you, sir. Good afternoon. Thank you for the results. Sir, a few questions. Just going back on the provisioning cost question, we had a 500 basis fund reduction in ECL provision for Stage 3. Does it relate to any change in policy or is it a normal cost of business?
Management : So there is no change Jaiprakash. The policy remains the same. It is just on the Stage 3 assets if you look at, we create higher provisions on deep delinquent accounts, and also certain overlays.
So some of the deep delinquent accounts have come off , have settled. So we create 100% provision on let us say, on a loan which is more than a certain DPD.
Now if that loan settles, then automatically the numbers will c ome down, right? So you will always, while 5% looks high when you say the number , on a overall book of about 1.5% or 1.4% if you are talking about that number is fairly small and because the book is also small even few settlements could have a mismatch, co uld have a -- could make us skew this way or that way.
That is why, we typically guide around 40% to 45% because we cannot exactly say that the number will go around wherever but I think we will try and maintain 40% definitely for the foreseeable future.
Jaiprakash Toshniwal : Okay. And sir, while in the presentation you mentioned about your IT progress policy I remember earlier you're talking about by Q2 you would be there on the LOS and all. So what is

the timeline right now for reaching the milestone of L OS and other IT infrastructure build -up which you are doing?
Management : So Mr. Jaiprakash, we have gone live with the new LOS which is Salesforce. We are doing a gradual roll -up plan. So as we speak at the end of Q1, we have 103 branches which have gone live with the Salesforce. The idea is that this will be at least up by, clo se to 200 branches by Q2, and we'll be fully live with Salesforce by the end of Q3. So that's the current rollout plan. In addition to that, we have also gone live with our new HRMS, which is Darwin Box platform.
We have gone live with that and we have com pletely moved over to cloud, which is an AWS migration from our existing private servers that we were holding.
The other key initiative from an IT perspective is also that we have moved to Oracle Fusion GL completely, which is obviously much more scalable and robust platform as far as GL is concerned. So these are the big initiatives that have happened in IT specifically during Q1.
Jaiprakash Toshniwal : Okay. And the last question on the cluster strategy illustration which were mentioned in the presentation. Does it mean that our branch peak account handling capacity somewhere around 1,800 accounts to 2,000 accounts and AUM of somewhere around INR30 crores to INR50 crores?
Management : Yes, so I wouldn't call it as the peak capacity, but I think f rom a prudence perspective and from a risk management perspective, we will always want to make sure that when a branch crosses that level, we are sort of diversifying, because when a branch reaches about close to 2,000 accounts, it very clearly indicates t hat there is strong potential in the market. So why do you need to concentrate everything in a single branch? So our idea has always been that open a cluster of branches around that, and we will distribute accounts accordingly. So

that's the strategy
that we have explained through two live examples, one in AP and one in TN.
Jaiprakash Toshniwal : Okay. Perfect. And sir last question on the collection infrastructure, while I remember we were building up a team in TN and one other one of the geography, if you can speak about that point,

that's it. So that's a question. Thank you.
Management : So on the collections infrastructure, I think we had gone out with the vertical structure both in Tamil Nadu and Telangana. So it's an evolving model because as the company 's current bucket is improving, we are constantly evaluating the fact that we probably don't need the same level of collection infrastructure and a little bit of people can always move back from collections back to the business because that helps us achiev e incremental growth without additional headcount. So, this is something that we are constantly evaluating and wherever possible in whichever regions this is something that we will keep moving. So, you can see that the buckets have improved and this is som ething that we have done in a few regions already in Telangana as far as Q1 is concerned.
Jaiprakash Toshniwal : Okay. Great sir. Thanks I will call back in the queue. Thank you.
Moderator : Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande : Yes. Just two questions here. One, was on write -offs, what would be the technical write -offs for this quarter versus same quarter last year? And second one would be on this, what would be the share of top five, since we have spread across 50 borrowing partners, what would be the share of the top five?
Management : So, Pallavi, I think the write -off this quarter was at about INR1.85 crores. Just give me a second, I'll give you the number for last quarter as well. So, this is the write -off that we did for this June quarter. Last quarter, we had actually a written off about INR4.6 crores. So, it's lesser, but don't do this comparison . It also -- what we will typically say is about 25 basis points of our book gets written -off in a particular financial year, 25 to 30 basis points.
The quarterly dispersion of that could be a little different depending on how some of the numbers stack up because these are more technical write -offs and not permanent write -offs. But Yes, the number is INR2 crores as compared to INR4.5 crores, INR2 crores this quarter year -on-year, INR4.5 crores for the same quarter last year.
In terms of the borrowing mix, I think that is again that we had given in the presentation itself. We have about 66% of our borrowings in the form of bank term loans, about 21% through securitization transactions. These are the two major structures that we have borrowed in.
On the capital market side, we have done about 6% which are NCDs, and we have done about 5% term loans from other institutions, could be NBFCs and all and 2% is ECBs. Given that, there is a good amount of interest from the bank side, and for institutions to do securitization transactions, those will be the focus areas for this finan cial year. We will continue to keep tapping the capital markets for NCDs. The only problem in raising money for us through NCDs is typically NCDs, especially from MFs, come with a shorter tenure of about 24 months to 30 months, while we typically prefer at least 36 months to 48 months.
So, there could be some bit of a tenure mismatch, which is where we keep ourselves low, but we will continue to keep evaluating this. If you look at our top five lenders, I think we have some of the largest names on that. We have State Bank of India as our largest lender. We have Kotak, which has a very significant exposure. We have Bank of Maharashtra, who have lent big monies to us. And we have IndusInd Bank, who will be one among the top five and probably Axis

Bank
will be the other -- Axis and HDFC Bank will be the other lenders will be in the top 5 lenders to 10 lenders to the company.
Pallavi Deshpande : Right, and my question was in the term loans from the banks only, what would be the share of the top five banks in tha t?
Management : Out of this 66% you will probably see about 40% coming in from the top five, maybe not 40% I would say about 35%.
Pallavi Deshpande : Okay and so what would be the tenure for the term loans from the banks?
Management : These are long tenure. So, especially on the PSU side, we have even started getting loans which are 7 year tenures. But in private sector give us for 4 years to 5 years. So, on an average, the origination tenure on term loans from banks will be anywhere around 5.5 years to 6 yea rs.

Pallavi Deshpande : And sir one last just curious -- we do not have a rating from CRISIL, a long -term rating, any particular reason for that?
Management : Nothing particular these are the -- these are the rating agencies who have been associated with the company for I would say, for at least about 6 years, 7 years. So, CARE and ICRA have been

rating the company at least since 2015, 2016, so we have gone ahead with them. Recently, we have done with India ratings. I think CRISIL will definitely come at som e point of time.
Pallavi Deshpande : Thank you so much.
Moderator : Thank you. We'll take the next question from the line of Franklin Moraes from Equentis Wealth Advisory. Please go ahead.
Franklin Moraes : Yes, thanks for the opportunity and congratulations on a good set of numbers. So, I wanted to understand in the newer regions that you are entering, who would be your competition and what would be the break -even period?
Management : So, Franklin, I think we expect the break -even period to be a little longer. In South, we typically break -even in about 6 months. But I thin k given that for the first two years, generally we don't go with a very specific target for a branch and in the rest of India we will want to be definitely be more careful than what we are doing in South. So, the break -even period will be a little longer. We expect it to be close to probably 9 months, 10 months.
On the competition front, it is small finance banks to an extent, regional players who are there in particular states. Actually, majority regional players who are there in particular states. There are very few Pan India players who are also having a very similar focus like us.
Franklin Moraes : And on your AUM growth upgrade from 30% to 35% in this quarter. So, what would be a specific maybe a couple of reasons that would have led us to this upgrade ?
Management : We are saying that since COVID -2 including COVID -1 and 2, our growth was around 15%. COVID -1 we grew at 14%, 15% and COVID -2 also we grew at 14%. So, we started to move our growth once we saw the COVID's all got settled and collections are back in full act ion because we give more importance to collections rather than growth. So, we saw from December 2021 onwards, the collections coming in pre -COVID level. So, then the growth started to focus. So, that is how we gave a guidance of 30% from 15% growth what we saw. And last year we grew at 36%, which was very encouraging from our guidance. But what we saw in September, December, and March of last financial year, that business momentum is continuing same in June, as well as in July month too.
So, that is where the revised guidance was being put in place. So, growing at 10% Q -o-Q and seeing the momentum for next three quarters very strongly in the existing and the newer geographies. So, we think we can easily grow at 35%. So, the execution back on Five Star and the strong momentum that what we are seeing in disbursement and the opportunity that it is a long, long runway that we have, all put together has made our guidance

to move from 30% to
35%.

Franklin Moraes : Okay, great, great. Thanks a lot and all the best.
Management : Thank you.
Moderator : Thank you. The next question is from the line of Pooja Ahuja from Monarch Networth. Please go ahead.
Pooja Ahuja : Yes, hi. Thanks for the opportunity and congratulations on the quarter. Firstly, wanted to understand wha t has led to a sharp drop in our capital adequacy Q -o-Q?
Management : So, two things Pooja. One, is obviously the growth in the book. The second is like I said, the mutual fund investments that we have -- that we kept as of June, that is risk weighted at 1 00%, the fixed deposits are not risk weighted at 100% so it's a -- that is what has caused the drop, but given our very high capital adequacy we are happy keeping it in an asset that gives us a little better yields as compared to the FDs.
Pooja Ahuja : Sure, sure understood and secondly on the growth I wanted to understand while you've guided for 35%, we've given a 40% -plus growth, what are the levels that we would be comfortable with and what would be our early warning signal in terms of this is where we w ould cap even though we would find opportunities of growth higher than 35%?
Management : Yes, 35% we don't see any warning signal to emerge from because pre -COVID we were growing at 90% year -on-year. So, that growth already, we have seen it, but the growth got dropped in COVID -1 and 2 on a conscious reason. The growth is back in Five Star. So, we are moving from 30% to 35% guidance. This guidance can even be revised as we see continuous momentum and strong disbursement across the geographies where we are st rongly present and entering into the new geographies that those confidence we may also revise.
See, as long as , I keep saying, as long as your collections and quality remains robust with lesser competition in this product, we will not see any warning sign al apart from this. So, our collections always on top priority, the quality of asset will be the first warning signal. I think we have been maintaining this quality of asset for the last 20 years and the competition as I said in earlier question is far and few comparing to the other lending products. So, I don't see any hurdle in growing at 35% year -on-year growth for next three years. That's our positive outlook.

Pooja Ahuja : So, my question was more from the point of view of while we can be comfortably g rowing at 35%, if there are levers to grow further, what is the kind of cap that we would put, let's say at maybe 40% or is this 35% level that we would be comfortable wi th on a more sustainable basis?
Management : Yes, 35% is the guidance but you know I th ink a little bit this side, that side is okay. But I don't think we will go with a particular number in mind that this is something that we have to achieve. So depending on market opportunities, we can be a little more agile. But like Mr. Pathy put it, the signal for us is on the asset quality.
Pooja Ahuja : Okay, understood. Yes, that's it from my side. Thank you
Moderator : Thank you. The next question is from the line of Agam from Raj Trading. Please go ahead.

Agam : Yes, Sir, congrats on a good set of numbers. So I have a quick question. In the commentary you mentioned that for this quarter I think you have provided around more than 1.5 bps of credit cost. You have guided for around 1% credit cost. So is this for this quarter and maybe for next, remaini ng three quarters, will you come down to on a year -on-year basis, the credit cost will be in the guided range?
Management : No, Agam, for this quarter, the credit cost came in at 70 basis points, not 1.5%. The gross NPA was at 1.41%.
Agam : Okay. And typical ly in your presentation, the 40th slide, we have shown the 30 -plus DPD, which has con

sistently moving every quarter -on-quarter and monthly, so it is around currently it is a 9% so where do you see this number settling in or what is a healthy number to look at this?
Management : Yes, sorry, Agam, we missed your question. Can you repeat it?
Agam : Yes, in your presentation on the slide number 40, you have given a data point on 30 -plus DPD in percentage, which has been declining every quarterly. So where can th is number settle at or any number which you aspire to be in? This is a 9.68 current this quarter.
Management : No, like we mentioned, obviously, the impact of the second wave of COVID did push up this number and we have been consciously taking efforts to br ing this number down, which is why you are seeing it coming down all the way from about 15.7% to 9.7% as we speak. When the current bucket moves up to 90%, and you are looking at 30 -plus numbers, you will also see something in the one day to 30 day bucket. So when we get to a current of 89% to 90% and a number, we will probably have a 30 -plus number which will be more like 5%, 6% levels. That is where it will stabilize.
But from here onwards, the drop also will be more gradual as what you saw in the last, b etween June and December. So June and December you would have probably seen about 3.5% drop. I don't think, but you know, even compared to last quarter, it's only a 70 basis points drop. So you will start seeing the drop becoming a lot more gradual, and ho pefully over the next four quarters to six quarters, this number should settle around 5%, 6% or thereabouts.
Agam : Correct. And one more last question. On the concentration side, how deeply penetrated in terms of your top states we are, so the incremental growth will be from the other states, or yet there is enough district level penetration to go in your core states itself?
Management : So clearly, Agam, the core states is what is going to be the primary growth driver for the next three years to five years. We have guided that for all the new branch openings totally almost 80% of the new branches will come in from the core states of South states itself because that is our stronghold, that is the areas where we have very significant experience and we have bui lt a very good team. So this is the guidance that we had given. The core states will continue to grow. The newer states like we had guided earlier, it's more for us to understand these markets, but it's not for immediate AUM growth. But the fact that we w ill be wetting our feet in the new states and gaining practical exposure there will help us for growth beyond the three years to five years

from now. So if you look at from short to medium term, the primary growth regions will be from the south.
Agam : So you don't see any market topping out in any of the core states? There is yet huge opportunity in the core states itself?
Management : Yes. We still believe we are very early stage and multiple opportunities to penetrate far deeper.
Moderator : Thank you. Th e next question is from the line of Sumit Rathi from Centrum PMS. Please go ahead.
Sumit Rathi : Thank you for this opportunity. Sir, the first question on the growth, raise of the growth guidance from 30% to 35 percentage, I wanted to understand what would be driving this growth. Will it

be more in the increase in the ticket size or would it be driven by addition of our new branches or would it be driven by our normal branches getting converted into a super branch? So or would we be increasing the target fo r our existing employees? What would be the drivers for it, if you can give some Colour ?

Management : Yes, definitely, Sumit. I think, as I was saying in earlier questions, the growth momentum has been very strong for the last four quarters. So that's the p rimary factor where we are increasing our growth guidance from 30%, 35%. The growth comes

from three levers, that's what we have been always saying. The first lever is the increase in branches. Last year we opened close to 70 branches, 75 branches. This ye ar we wanted to do a little bit more, so it may be around 80 branches, 85 branches. First quarter we opened close to 13 branches and more branches will be there in the Q2 and Q3. So the first lever of growth will come from a number of branches that we inte nd to open for this financial year.

Second will be at the branch level, average of office rs per branch is somewhere around eight office rs per branch. That will move from 8 to 8.5 to 8.5 to 9. So that will bring in more number of people to do more business and collection. So that's the second lever of growth that we intend to see.

Third, of course, there will be increase in ticket size. As we said, we are bouncing back to the pre-COVID ticket size of INR3.5 lakhs. And inflationary around 6%, 7% will get added to the ticket size of what we are currently into it. So all these three levers put together and the strong momentum that what we see at the ground level for last four quarters made us to move from 30% guidance to 35%.

So it is not that we are pu tting pressure on all the existing officers, our existing productivity itself is one of the best in this lending space. So we don't intend to put any more pressure from our sourcing officers. So the levers of growth will confidently bring 35% or even more as we move forward.

Sumit Rathi : Wonderful. Sir, on the increase in the borrowing side and your intent of adding more value to investors by increasing the ROE, what kind of leverage can we envisage over the next two to three years? Right now we are at arou nd 2x leverage in our ROE tree. Going forward, if you can give some Colour ?

Management : Yes, definitely. It's a good question. As we have been saying in the calls, our plan is moving from ROA to ROE. If you see in the last four quarters, the ROE is keeping on increasing. So the plan and strategy is really working around. Yes, we have to increase our leverage. That's where we are increasing our focus to. So as we speak, we are at 2x of leverage, that will move towards 3x to 4x in the next three years. At a g rowth of 35%, you get a mathematical answer to it. And you see that 16.62% will be closer to 18% in the next three years. So that's the game plan. And over a long term, from three years to five years, we see that touching 20% and even crossing 20% ROE to o ur customers, to our shareholders.

Sumit Rathi : Great. Sir thank you and all the best for the coming quarters and a year. Thanks a lot.

Moderator : Thank you. The next question is from the line of Parth Desai from Motilal Oswal. Please go ahead.

Parth Desai : Congratulations on a good set of numbers. My main question was on the AUM growth and I think you provided good clarity on where the three diversities should come from. Sir, my another question that you mentioned that number of people per branches will in crease and from my -- what I understand about how the cluster branches work, once a specific number of accounts exceed a branch you open a new branch. So with the people in a certain number of branches increasing from let's say 8 to 9 as you mentioned, wou ld this number of accounts also increase per branch? The threshold would increase. And how that would affect your plans to expand the branches going ahead?

And considering that you are going to be investing in technology, branches and manpower altogether, when can we see the operating leverage to flow in and the economic efficiencies to drive moderation in the opex to AUM ratios? Thank you.

Management : So, Parth, you are right in your observation because from a cluster approach as we keep opening new branch es by transferring accounts, we don't need to put more number of officers in those branches. So, it's a

balance call that we'll have to take whether we intend to put more officers and graduate that to a super branch or whether we want to split it because w e see more opportunities in the cluster and then open up a new branch.

So its going to be combination of this two, depending on whatever region in which we are operating. But that is only one of the levers that Mr. Pathy had mentioned. So if later say, we are not able to find opportunities to put more office rs in the same branch, that will more than adequately get compensated by the more number of branches that we are able to open in the cluster. So that's what on the first question.

On your second questio n, see we are still in a very heavy investment phase. And we have been guiding in the past also that our cost to income ratio is one of the best in the industry at this point of time. So we will not want you to assume too much of efficiencies coming in thr ough operational cost savings at this point of time. We are very profitable. We will continue to invest at this point of time as we see good market opportunities. You know, these technology initiatives will at least take 18 months to 24 months for us to go deeper and start seeing some operational efficiencies and cost savings coming through.

Parth Desai : Okay, thank you sir. That's it. Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Srikanth Gopalakrishnan for closing comments. Over to you.

Srikanth Gopalakrishnan: So, thank you all. I think as a company we are continuing to hold the investor interest as well as the confidence that each of you have placed on us. We are confident of delivering the results that we have sort of guided you on. And for now, we would like to sign off and look forward to connecting with you post the September results. Thank you.

Moderator : Thank you very much sir and thank you to the members of the management. Ladies and gentlemen on behalf of ICICI Securities that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

Date: November 07 , 2023

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663

Sub: Transcript of the Earnings Conference Call for the quarter and half -year ended September 30, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on Wednes day, November 01 , 2023.

The transcript can also be accessed from the link: https://fivestargroup.in/investors/

Kindly take the above on record.

For Five -Star Business Finance Limited

Shalini Baskaran
Company Secretary & Compliance Officer

"Five Star Business Finance Limited
Q2 FY'2 4 Earnings Conference Call"
November 1, 202 3

MANAGEMENT : MR LAKSHMIPATHY DEENADAYALAN – CHAIRMAN AND MANAGING DIRECTOR – FIVE-STAR BUSINESS FINANCE LIMITED
MR SRIKANTH GOPALAKRISHNAN – CHIEF FINANCIAL OFFICER – FIVE-STAR BUSINESS FINANCE LIMITED
MR RANGARAJAN KRISHNAN – CHIEF EXECUTIVE OFFICER – FIVE-STAR BUSINESS FINANCE LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to Five Star Business Finance Q2 FY24 Results Conference Call hosted by ICI CI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Lakshmipathy D eenadaya lan – Chairman and Managing Director. Thank you and over to you, sir.

Lakshmipathy D: Thank you for transferring the call. And I welcome all the participant s to the fifth earning call overall and second earning call for this financial year.

As you all know, we connected you with the last September 2022 results . We are again connecting you back with September '23, almost five quarters and one full financial year has been the connection between you and us.

It was a very exciting journey for us for the last 12 months. Always Five Star, w e are proud to say we are a collection first NBFC . Because we feel growth is a lighter side, but collecting back is going to be the difference between any lender.

So, to start with the numbers, I'll start with the collection side. Overall collections came out very well. We'll s ay this is an excellent quarter from a quality pers pective . The collection efficiency comparing with last quarter moved from 99.6% to over 100% and the unique customer which we call collecting an EMI from every customer which we measure by D1C1, the terminology what internally we call , moved from 97.5 % to 98% . So, 98% of the customers have paid EMI in each month in last quarter. That's a very encouraging sign. So , the forward flow has been arrested to that extent .

The next important metric in collections is 30 -plus, where people ask us . I'm happy to say that 30 -plus has also dropped down from 9.68% last quarter to 8.59% this quarter.

Another color of collections what we say the current to the a rrears ratio of the customers ; 78% of the customers were in current and 22% of the customers were in arrears in last Sept ember and it moved to 85% of the customers in current and 15% of the customers in ar rears in June , we have bettered that in September. 86.5% of the customers are in current now and with only 13.5% of the customers are in arrears . As guided to the market, we will reach this to 90% ... that is 90% of the customers will be in curren t and 10% alone will be in the a rrears going forward maybe in next two quarters … maybe June of 2025.

And taking you to the next important collection metric which is a non -performing asset . 90-plus, we call, it also bettered from 1.08% in June quarter to 1.07% in September quarter .

Coming to the IRAC Stage -3 as per the new circular , even there we have bettered ourselves ; we were at 1.41% in June quarter, which has come down to 1.37%. So , all in all , the collections on all metric and all buckets have shown a tremendous improvement that again proves that the Five Star is a collection -first business model.

 And now taking you to the business side, which is very important. First, from the branch , we have opened close to 70 branches in last quarter, which is one of the highest in history of Five Star . So, the total branch count is at 456 branches as we stand today . Because of branches getting opened and business officers getting joined in the new branch, our loan disbursement has also seen all time high ; it was at 1 ,132 crores in June, it has gone up to 1 ,204 crores, r egistering a 6% increase and registering a 50% increase comparing to last year. And this has resulted in a good growth in AUM ; we h

ave
moved from Rs.7,583 crores in June to Rs.8,264 crores in September with a growth of 9% sequentially and 44% year -on-year. Both quality and growth has resulted in good profits . Our incomes have gone up from Rs.484 crores last quarter to Rs.522 crores this quarter, registering a growth of 8% sequentially and 44% year -on-year. And profit after tax has moved from Rs.184 crores to close to Rs.200 crores a quarter (which is 199 Crores) , registering a 9% growth and 38% growth year-on-year.

Finally, before handing over to Srikanth, the borrowing side has also shown a good amount of stability ; our cost of borrowing on the book in this quarter is at 9.7% , move a ta d lesser from 9.8 %

and incremental borrowing is coming at 9.5% all in all.

So, from the collection side business side and the borrowing side, Five Star is able to bring out their best performance again in the September quarter and this will continue as we move forward.

Now , I'll hand it over to Srikanth to go deeper into each subject , then we'll take up the questions.

Srikanth Gopalakrishnan: Thank you, sir, and a very good morning to all of you.

As Mr. Pat hy has highlighted some of the numbers around collections business as well as the borrowings , I'll just touch some finer aspects and hand it over to all of you for any questions that you may have .

In terms of the financial metrics , we have grown our AUM at about 9% sequentially to Rs.8,264 crores. C oming on the back of very strong branch expansion , 70 new branches have been added for the quarter , and on the back of borrower expansion. So , again , this has not been a ticket size l ed growth, but it's a diversified growth that we have managed to achieve. So, our borrower base increased from about 3 .2 lakhs in June to 3.4 lakh s as of September .

In terms of the financial metrics, the yields have remained stable at around 24.2%. The cost of funds surprisingly continues to show a decreasing trend, which means Five Star is looked at as a very attractive destination for lenders to lend monies to. So , while we are borrowing incrementally at 9.5%, the book cost dropped from 9.8 % to 9.7 %. so, which is a spread of close to 14 .5%.

The leverage has moved up a little bit, but given our strong accruals , I think we will still see a gradual growth in the leverage in the quarters to come. So , the NIMs are almost at about 17.7% translating to return on assets of about 8 .5% and return on equity of a little over 17%.

Despite the branch expansion, we have managed to keep the costs intact. Our cost -to-income is still only at about 36% or so and we have been guiding all of you that even in a steady state December will be anywhere around 35 % to 37% .

 In terms of the borrowing s, we have borrowed almost more than Rs.2,000 crores in the first half of this ye ar, with about Rs.1,150 crores coming in the second quarter . The good part is we have managed to add two new banks and sizable sanctions have come in. In fact, one of the transactions while the executions spilled over to 3rd October because of some change in holidays but including the cost, I think we are at about 9 .5% incremental cost. And as we speak, the incremental cost continues to stay around 9.5 % to 9.6%. So , we don't envisage any significant negative impact in the cost of funds in the quarters to come .

Collection efficiencies have stacked up really well, like what Mr. Pat hy highlighted . Not just 1+, even our 30+ has continued to show a decreasing trend , from about 9.68% last quarter, we have brought that down to about 8.59% for this quarter. So , we will continue to keep demonstrating this number on the lower trajectory, which will ensure that the stress portfolio… for us, 30+ is not a stress, but typically markets perceive 30+ to be a stress portfolio. Even that number will continue to keep go

ing down.

We continue to maintain a good provision coverage ratio on our overall book on the stage -3 assets as well as on our restructured portfolio . On the overall book , we are almost at similar levels of PCR ; we were at 1.64% last quarter , just dropped by one basis point to 1.63%. On Stage -3 assets, we have taken the PCR to a little over 50% , we were at about 44% last quarter. This is again coming purely out of the ECL model and the overlays that the company wants to carry on its books on a conservative basis.

Restructured book continues to show a very encouraging trend. Most of the book is in the standard category. In fact, the overall restructured book has actually come down to 0.66% of our overall book and even on this we maintain close to 50% provision coverage. So , we don't really envisage any risk emanating out of this restructured book in the quarters o r the years to come .

PAT registered an 8% to 9% growth from about Rs.184 crores last quarter to Rs.199 crores sequentially and year -on-year it went up from Rs.144 crores to Rs.199 crores. Net worth continues to remain robust. Capital adequacy is almost close to 60%.

So, I think all in all, it's been a very encouraging quarter in terms of asset quality, profitability and growth . And given the branch network that we have built in, I think today we have a very solid platform to ensure that we build our growth on this strong edifice in a very safe and secure manner. So, whatever guidance we have given you continues to stand. We are hopeful of coming out with a strong set of results in the quarters to come as well.

On that note , I will hand over to any of you for questions, happy to take the questions.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nu vama. Please go ahead.

Mahrukh Adajania: My first question is on your collection efficiency. You've always delivered well on collection and you seem very confident that the customers in ar rears will improve from here on as well. So , what gives you the confidence because your collection infrastructures always been strong , is it that their business environment is improving or that your collection efforts have intensified further?
 Lakshmipathy D: The business model what Five Star has built for last 20 years plus or more than that , is from the back of the assessing the collection first and assessing the customer on the cash flow and character , leaving the collateral aside. So , what gives us the confidence is the profile of customers whom we are backing for last two decades, purely the shopkeepers and self -employe d’s of our country ; they are quite busy now and their sales are coming back to the p re-COVID level and their margins are sticking very well. So, this is from one side . Second side , as you know, we are a secured lender , our entire loans are secured, we lend on the residential property where the customers and family members live in . This also gives the emotional attach and seriousness to the family members, even during the downturn cash flow cycle. So , these two things , the service sector whom we are backing, and we are backing them with one of the strong collaterals . And of course , the third one is important . With the collection infrastructure what we have put at the ground level , we are able to reach customers or customers are able to reach us in 30 minutes of time. So , with all three put together, our collections are always on the good side. There was some kind of pressure during COVID times because we didn't restructu re a lot. So , we are correcting those things, and we are bouncing back better than all pre -COVID collections metric whatever Five Star has seen. So , the strength of the cash flow and the underwriting strength and the infrastructure collections we put

up at the ground level, all three are giving us good results quarter -on-quarter , that gives us strong belief that going forward our collections will be better, better every quarter.

Mahrukh Adajania: So, as the business environment is improving, which is why you ’re confident of holding credit costs here, is it, or because there has been strong growth post -COVID , so as the portfolio seasons , do we see inching up of credit cost or it ’s going to stay at these levels?

Lakshmipathy D: So, I think the credit cost will stay in the same sub -1% level ; even during demo n, COVID -1 and 2, we didn't see this getting spiked up … just spiking it with a very short period of time in COVID and got settled where our eventual credit cost has to be . So, I don't think the credit cost will have any impact even the growth kicks in for Five Star, because the growth what we are getting into , the guidance of 35% -plus year -on-year, it's not going to be a big growth for Five Star because we have already seen big growth pre -COVID. So , we know how to underwrite the customers, keep the collections intact. So , it doesn't have any impact on the credit cost going forward.

Mahrukh Adajania: My last question is on attrition. So , in your segment of business, has the attrition rate increased in the last six months or in the last nine months or is it manageable because attrition lead in the other BFSI space is on the higher side ?

Rangarajan Krishnan : Attrition has not specifically increased , it is remaining at the same level , we are expecting that over the next three to four quarters things will gradually come down. But I think we measure attrition very clearly at what level is the attrition happening both from an experience perspective and from the internal level perspective . For us, attrition largely is happening at the people who are less than 12 - months old in Five Star . So that's a manageable attrition. And also, it's happening at mostly junior level. If you have to measure attrition at branch managers and above, it's an extr emely a low number for us and we continue to be one of the best in the industry as far as that is concerned. So , it's under manageable level.

Moderator: The next question is from the line of Aditya Pad hi from G irik Capital. Please go ahead.

 Aditya Padhi: Regarding the portfolio yield on your slide #38, we can see the 20 bps drop in the Q2 FY24 . Any reason for that?

Srikanth Gopalakrishnan: You just have to look at this a little differently. We will always have about 20 , 25 basis points movement in the yields . See, the way that the entire accrual process happens is on an ideal basis . While whatever is the difference that is charged to the customer on an overdue account , it's through the penal interest met hodo logy, which doesn't come into the yield. So , whenever there is a reduction in over dues or whenever there is a little bit of ideal numbers not coming through in terms of the repayment schedule, you will see a slight movement in the yield. So, our submission is that don't give too much of importance to 20 , 25 basis points movement in yield this way , that way . You will always see that happening depending on how the DPD numbers stack up, because we assume that the customer has actually made the payment while do ing the a ccrual for the next month and the overdue also gets added to the denominator. So , both these aspects may pull down the yield 15 , 20 basis points this way , that way . Unless the yields are going to go above or below by more than 25 , 30 basis points is when the concern should be , which we have never seen in the past . So, 15, 20 basis points it is more accounting methodology rather than anything impacting the underlying portfolio.

Moderator: Next question is from the line of Sam eer Bhise from JM Financial. Please go ahead.

Sameer Bhise:

Pathy sir, just wanted to ask on the competitive intensity in our core products . Given that we've been doing so well, have you seen competitive intensity increase and just some sense on the landscape going ahead?

Lakshmipathy D: Yes, of course , competitive intensity will be there in the minds of many lenders . Whether that is going to actually take part at the ground level, we have to wait and see because everyone wanted to get into the lending to the shopkeepers and lending to the s elf-employed of this country. That's the buzz word today . But my own view is the competitive intensity is increasing at sub-1 lakh level and above 10 lakhs level. There is a reason for it . Sub-1 lakh level , generally , it's the microfinanc e or unsecured loans where your underwriting is very little, right? You can underwrite it quickly . Whether it is accurate or not, we have to wait and see. But your underwriting and your turnaround time is very quick. For 10 lakhs loan and above , you spend that much of good time for underwriting that it is worth spending for that. That's what the market thinks. But between 1 lakh and 10 lakhs, we see lesser people getting into it, either they see it is operationally not viable or the underwriting becomes more challenging . I think that's where Five Star kicks in. We have been doing it for last two decades very well. Our sweet spot is between 3 lakhs and 5 lakhs. Here, the turnaround time for each file takes close to five to seven days. We spend almost three days at the ground level to underwrite their character , cash flow and collateral. You know it very well. But people find it very difficult to get into these kind s of loans to spend this much of time. But , for us it makes more sense because we have been doing it year -on-year. So , keeping these things in mind, I'm seeing the competitiveness is increasing, but it is not as heavy in any other products that what we see in vehicles, gol d or home loans . Comparing to that , the competitive intensity is lesser here , because a lot of work has to be done by any lender if he wants to be a long -term lender.

Sameer Bhise: What kind of players have you seen incrementally looking at this product , are these SFBs or smaller NBFCs or any of the technology -led companies also are looking at this product?

 Lakshmipathy D: Sameer, I'll say all. I don't want to miss anyone because everyone wanted to get in, but let me put a n
important point. See, everyone wanted to get into their experience and their beliefs. For example, just to take fintech, I have already said in the conference call, fintechs, they wanted to get into this shopkeepers lending. But I don't know how successful they are, only the data you people have to share with us. But their product is little different, and their place of operation is little different. They are operating in Tier-1 and Tier-2, whereas we are operating at Tier-3 to Tier-7 towns, which is even at 25,000 population Five Star branch will be there. But , at that location, the technology penetration or the QR code penetration is not high. So , their place of operations is Tier-1 and Tier-2 and our place of operation is little different . And coming to the product also , they lend to an unsecure short -term cash flow -based algorithm , whereas we lend to bigger ticket size to set up a business or to repa y money lenders borrowing for a longer -term, seven years. So , I think you have to see . Lending to a shopke eper can be the same, but the product is different , the place of operation is different.

Sameer Bhise: Secondly, in terms of the technology piece , are we like fully live on sales force across all branches now?

Rangarajan Krishnan: So, Sameer, we had given a gliding path wherein we wanted to move from the old ERP that we had into sales force. So as of the first quarter end, we had gone live only with one state which is Tamil Nadu. As of Q2 we had gone live with Karnataka and all the central Indian states and we had given a clear path that by end of Q3 will be fully live. So , as we speak in October, we have gone live with four of our biggest states, which is Andhra Pradesh. So , that leaves us only with one state wh ich is yet to go live which is Telangana. And incidentally, we are kicking off the training in Telangana today. So , we are clearly on the path to a complete integration into sales force by end of Q3.

Lakshmipathy D: I just wanted to highlight one point here . Transforming from one ERP to another ERP is a big exercise. Five Star started this exercise from Q1 of this financial year and we are successfully doing it on a quarter -on-quarter basis. If you see our disbursement or our growth , didn't come under any effect at all, right? So , the credit has to be given to our teams for planning which state to go live and when . So, I think we will completely move from a n existing ERP to the new ERP without any disturbance in the growth and the disbursements. So , that is the key point. I don't see any disturbance happening because of the ERP transition.

Sameer Bhise: One final question to Srikanth on securitization . How do you see the opportunity going ahead or do you want to keep the share at current level?

Srikanth Gopalakrishnan: We are definitely looking at broad basing our borrowings in terms of various structures , in terms of the type of lenders from whom we borrow . Securitization is definitely an attractive source given that it's a ring-fenced pool of receivables , there is a credit enhancement that we offer to the lender. So , we are looking at securitization as one of the key avenues as a funding resource. But , having said that, at the time of giving these loans, these probably are a little more cherry -picked as compared to the other loans. We would not want to be very high on securitization . Specifically , we'll try and maintain it about 25 % to 35% of our overall borrowings . In fact, we onboarded one very strong name. That's the name that I said, which ideally should have gotten signed by 29 th September, but because of the change in holidays , it got pushed to 3rd October . So, Deutsche Bank has actually taken a 350 crore s exposure through a n investment in one of our P TCs. So, we will continue to keep evaluating

that, from the right kind of lenders and for good amount of quantum . Given that it's an on-book treatment today , we don't really distinguish too much between a term loan and a securitized receivable. So , we'll continue to look at it. But we will ensure that we don't probably cross, let's say 1/3 of our borrowings in the form of securitization.

Moderator: The next question is from the line of Nischint Chawathe from Ko tak. Please go ahead.

Nischint Chawathe: The first one is on the borrowings m ix and the share of NCD has kind of come down to 4%. Any specific reason , I mean, it's come down or it's kind of collapsed from like 35 %, 40% in the past ?

Srikanth Gopalakrishnan: There's no specific reason as such . A lot of NCDs got onboarded especially during the COVID first wave and the COVID second wave as part of the TLTRO and PCG schemes , all of which got redeemed in the recent past. And today , the markets are a little choppy . While definitely we are exploring raising NCDs from mutual funds , from alternate investment funds, wealth management firms , the interest rates are not that conducive. If you compare the differential between a bank term loan and an NCD interest rate, the difference is almost like 50 , 75 basis points. So today, given that we are getting a good traction from banks for the term loans and the fact that these are coming in at more attractive rates and for longer tenure. Today, markets are not willing to take exposures of more than let us say 2, 2.5 years w hile our product is a seven -year loan . So, keeping in mind the cost considerations, ALM considerations, we have been a little more skewed towards the term loans. But having said that, we are making all our efforts towards penetrating the NCD markets across various categories of institutions and you will see that going up in the next few quarters .

Nischint Chawathe: If I look at it, your cost of funding is 9. 5%. I f you're saying 50 , 75 basis points, we are effectively saying that the NC D demand is coming closer to around 10 %, 10.25 %, which is somewhere closer to probably what an A -rated company may be borrowing . Were the investors in these NCDs earlier mutual funds or were the banks , is it something that probably a set of kind of lenders are today missing in our bor rowing profile ?

Srikanth Gopalakrishnan: I would probably say; mutual funds are one set of categories that we have been targeting . But they have been a little choppy to say , like I said, they're not willing to take a longer tenure bet on an NCD . If today we have to do an 18 , 24 months kind of an NC D, I think we will get that for let's say 25 basis points over than what we are coming through . Especially in the past, like I said, the TLTR O and PCG NCDs were subscribed by the bank. So , as a category, mutual funds have been a little more nascent in our portfolio. We probably had mutual fund borrowings only from one or two AMCs. But that is something that we are trying to address. But today there is also a good amount of demand for NCD s from AI F, from wealth management firms , there are corporates who want to subscribe to the NC Ds as part of their investment strategy . So, I think we will definitely see tractions coming through. We are also making some headway with the mutual funds. But like I said, it's a little time-consuming process given the lack of complete stability in the market , but sooner than later I think we will have NCD traction building up substantially.

Nischint Chawathe: The second question is on growth. The way you're tracking growth in the first half of the year, would you want to increase the guidance for the year?

 Lakshmipathy D: If you recollect in the month of May and June, we came to the market and we revised our guidance from 30% to 35%. Having said that, our growth is becoming stronger quarter -on-quarter we're able to give 9% sequentially and that will continue if next quarter also turns up well. We don't want to revise the guidance immediately. We'll wait and watch how this demand at the ground level … it is picking up as we guided to the market, we'll open 70 to 80 branches , already we have opened 83 branches i n the first six months . That shows that the demand at the ground level is picking up very well. But I don't want to give too much of guidance changes this way and that way. So , we will wait for next two quarters. Definitely , if the same trend continues , in the March quarter I'll come out with a revised guidance if needed . But, as I speak now, the 35% growth guidance which we changed , now becomes stronger and stronger in our mind. This will be there for a longer period.

Nischint Chawathe: So, the question e ssentially was that are you able to see anything in the ground because of which you would sort of have a slightly softer guidance for the year ?

Lakshmipathy D: I understood that. I don't see anything affecting our guidance growth because we have said 35% growth and we have been growing at 40% year -on-year comparatively. I don't see anything affecting the ground level . The cash flows are good, the demands are good , as I said, we opened more branches, seeing a good demand mostly in the southern states and the new states which we wanted to get in and month -on-month also our disbursements are going up. So , I'm not se

eing any significant insights from the ground level that will affect the growth trajectory.

Moderator: The next question is from the line of Ajit Kumar from Nomura. Please go ahead.

Ajit Kumar: So, two to three questions from my side. First one is, if I look at your state wise A UM numbers , growth in AP has been quite strong from past five to six quarters , higher than the overall AUM growth . Any specific reason for this and do you expect this trend to continue?

Lakshmipathy D: See, I think the southern states are the big contribution for our dis bursement and o ur AUM; close to 96% of our growth comes from South. If you bifurcate south , Andhra is now becoming a leading contributor to the disbursement and AUM growth because we see good demand there , the population is very good and you see a lot of towns interconnected very closely especially in the coastal part of Andhra, where most of our branches are being present. So , we also see a very good collection traction in Andhra . Keeping all this in mind, we are investing a lot in Andhra. Even from out of this 80 -plus branches which we opened for the first six months; I think more than 50% of the branches would have gone to Andhra. So , we see a good dem and there, the collection culture is good there and the team what we have gathered there is also giving us a very great result . All put together , Andhra is improving their AUM on QoQ basis. That doesn't mean Tamil Nadu, Telangana and Karnataka is lacking that, but comparatively , Andhra growth looks pretty good, and we are very happy with the way in which we have taken up And hra.

Ajit Kumar: Second question is, how should we look at the branch addition going forward? You had guided earlier 60 to 70 branch addition every year, but this quarter itself we have added roughly 70 branches. So , what will be the momentum going forward as well ?

Lakshmipathy D: Yes, momentum will be strong is what we hope because one of the key metric s which induces us to open branches is the demand at the ground level. How does you measure that? When a branch is
 getting breakeven in six months, that means the branch is garn ering close to Rs.2.5 crores of AUM for six months. So , that gives a clear indication that the customers wanted to move from informal to formal side and come to Five Star for the ir business and housing needs. So , this is the first and foremost indication of what we have to see at the ground level. Till now , it's very encouraging ; the branches what we have opened is breaking even at six to nine months as we speak . So, I'm thinking we will revise t he guidance of branch opening now moving from 70 to 80 what we said this year , we will be at surprisingly close to 120 branches for this full financial year. If all things go well, we will add another 40 branches in next six months.

Ajit Kumar: Lastly, 30 -plus DPD has come down to 8.6%, which is great. So , looking at the current situation on ground, how should this number trend, let's say, in the remaining half of the year?

Rangarajan Krishnan : There has been a clear focus in making sure that the collection efficiency is stacking up extremely well, especially the unique collection efficiency that we track, and we have given you the numbers. So, the unique collection efficiency that M r. Pathy also mentioned in his opening remarks , we have cross ed 98%. So , that's clearly arresting the forward flows to a very, very significant extent . So, you will see this number getting improved even further . When we say that the current portfolio will go closer to 90%, obviously the 30 -plus will drop even further to where we expect in the next two to three quarters .

Moderator: The next question is from the line of Ja iprakash Toshniwal from L IC MF. Please go ahead.

J Toshniwal : Sir, taking the question of Nischint on NCD side,

is there a discussion with the credit rating agencies to improve our rating and if that yes , what are the KPIs we are looking to increase our ratings?

Srikanth Gopalakrishnan: So, Jai, I think we have gotten the rating upgrade from A+ to AA -minus over the last couple of quarters. Some of the rating agencies came up December, the March quarter and the one rating agency upgraded us in the last quarter . So, I don't think there is any immediate rating upgrade on the anvil. The next rating upgrade will probably depend upon the kind of portfolio growth that we get to and maybe a little bit comfort of the rating agency in terms of the seasoning of the portfolio. But having said all this , I think today the NCD market not coming in is not just because of company - specific factors , there are a lot of macroeconomic factors which are at play, especially there are companies who are willing to offer significantly higher rates to onboard NCDs and especially the gold Loan NB FCs, microfinance companies and even vehicles , they are willing to take monies at shorter tenure which is more attractive given the volatile interest rate environment . People are not willing to commit for a longer period of time, they don't know how the entire interest rate scenario is going to stack up, which is where we are probably not able to raise as much of NCDs as we would have liked. Because we want at least for a three -year or a three year plus kind of a tenure and the rates to stack up closer to what we are borrowing either through the term loans or securitizations , but the numbers are a little wacky. And given that our demand is being met by banks through term loans and securitization transactions, we have not aggressively gone out to issue NCDs for subscription. But having said that, there is a very clear mandat e to the treasury internally that we will have to push the NCDs both through the private placement and also public issue of NCD s which may come in during the lat ter part of this year or early part of next year. So , I think you will start seeing traction coming in the next few quarters and the NCD proportion also going up significant ly. Hopefully , the
 interest rate environment also will get a lot more benign . And then with that stability, I think we should be attractively looked at even by the NCD players, be it the mutual funds , AIFs or the wealth management funds for them to invest monies into our papers.

J Toshniwal: Second question is on our AUM of state wise. So , if we look into the last two quarters, you have added Rajasthan and it's basically in September '22 presentations, Maharashtra, Chhattisgarh, Uttar Pradesh . The growth is pretty slow out there in terms of not also adding branches , hardly we added two branches in Rajasthan . Anything specific you want to highlight or it 's just that you're building up the portfolio and being cautious on these.

Lakshmipathy D: Jai, your point is very clear, and you picked up very well . That is our style. If you have been hearing our conference call since last five times, we are very clear here to say we are not going to rush for the growth in the newer geographies … we don't want to do that. So , the growth is going to come from the southern market where we have been lending and collecting for the last 20 years. That gives us great confiden ce to whom we are lending, how we are lending and how we are collecting the EMIs back. Having said that, if you see three years, five years down the line , we don't want to be in a southern market alone , we want to be in a pan India market. So , we are starting to lend in the newer market s slowly but steadily . So, whatever the growth guidance I have given, I have only given keeping the south market in mind and I don't want to pressurize my rest of the country team to show the growth and len d into wrong hands. So , we

want to be very slow and we want to be very steady.
If you see quarter -on-quarter or year -on-year the sta tes what you said w ill have a steady growth . But please don't compare that with the southern market because that's our growth engi ne whereas the rest of the country will become a growth engine at the right time. So , now I'll hand it over to Ranga to talk a little bit more on the rest of the country.

Rangarajan Krishnan: Mr. Path y has rightly summarized it . As far as any new state is concerned , we have always been guiding that we will be extremely conservative in the first 24 months. So, in the first 24 months we'll hardly be opening, maybe four to six branches only, in a newer state. Because the 24-month period is an extremely critical period for us where we get to see a variety of things clearly on the ground, that includes our own people , that includes the first few loans that we have lent. We also told you in the past that for the first probably a year or so, every loan that we give out in the new state is approved either by the M. D. or myself. So , we are that much very, very clearly focused on what are the set of customers that we are building in a new state, who are the teams that we're getting in the first few branches . So, these new sta tes we will pick it up slowly. If you look at Madhya Pradesh, which we opened about five years back today, Madhya Pradesh has more than 50 branches. So , growth is not going to come in a sudden manner in the newer states. The growth is more than adequately compensated for in the southern markets . In the new er markets this year we've identified Rajasthan , UP and Gujarat, apart from expansion in Maharashtra . So, these are the new markets where you will clearly see us putti ng up branches and putting up investing teams, but the growth will definitely take time to pick up in the newer states .

J Toshniwal: While you mentioned that competitive intensity is there from everywhere, you're not concerned much about it. So , what are the key areas of pointers you are right now focusing on in terms of concerning points or anything you want to highlight?
 Lakshmipathy D: We are focusing on what we have been focusing for the last 20 -years, nothing special that we are
taking from a competitive intensity perspective. As I said, competitive intensity should be there for the right product. So , people are all willing to get into this segment , bigger NBFC s and smaller finance banks. But the experience says , it's not so easy game to play, but the good part to play is sub-1 lakh and more than 10 , 15 lakhs area where people find it very comfortable . But nothing specific that we are worried about competitiveness, and we are not growing aggressiv ely or we are not growing slowly or we are tweaking our lending rates, nothing doing from our side , we are doing our business as we've been doing. But one point what I wanted to emphasize here is we don't want to be a southern lender anymore. So , we want to be at Pan India. Competitiveness is maybe one of the reasons where we wanted to get into newer locations also. So , we are very keen, as Ranga said today, we are at nine states, we'll be at 10 , 11 states in a year or two. So that also keeps us more safer that we have reached to the more geographies and more people.

Moderator: The next question is from the line of Vivek Rama krishnan from DSP Mutual Fund. Please go ahead.

V Ramakrishnan : Just as a follow up , when you go into a new state, are you finding any major cultural differences when you compare to the southern states where you are comfortable in? Question #2 is , in terms of attrition, when you lose at the lower management level, which is what you said, where do they usually go, do you have any idea , whether they're going to another bank or an N BFC? Question #3 , we buy into your optimism

, but if you could tell us what worries you have o n the ground , that will be useful also?

Lakshmipathy D: From a newer state I will ask Ranga to answer . On question #2, I can't answer anything with whom we are going towards. I think see , this business model is very unique. I don't think any one does this kind of business model , underwriting , collection setup which I have not seen in any NBFC . Because we have not copied from anyone , everything is being built here from the base of the experience. So , we don't specifically take people from a specific name or a specific entity . Anyone wishes to grow their career can join Five Star because they can grow their careers because the company is good , the growth rates are good, the incentives are good, the business model competitiveness is lower comparin g to the other products. So, anyone can join Five Star and earn a good name and career in Five Star . Talking about the third point which you said , nothing specific concerns me at this given point of time. It is good that people all talk about lending to small businesses. We are happy to register ourselves that we are a category creator when no one saw this as an opportunity 20 years back . We saw this as an opportunity, and we never diverted into any other product . We just picked on with the same customers, same profiles for decades. So , we are very happy that more people are looking into it. So , I don't feel any concerns , I feel bit proud that we're able to take this category from informal slowly to the formal side.

Rangarajan Krishnan : On the first question where you're asking about any cultural differences in the newer states, there will be definitely cultural differences. I think in India, taste changes every 50 kilometers. So , you will not find that even restaurants are very similar in 50 kilometers. So , which means when we are entering a new state, there will be cultural differences. There are fundamentally the set of customers that we target that does not differ. We still go behind essential services , we still go behind the self -employed category. But within that there will always be slight nuances in cash flows , in repayment track. I think more importantly , there be a lot of cultural differences between people, which is our own
 people . Every state has a unique culture in terms of loyalties, in terms of people sticking to a particular company, people building careers , attrition levels are very different. So, every state is different. I don't think we are saying one state is better than the other. But , it's important for you to understand the nuances of that state to make sure that you're an attractive employe r in that new state. Also, what differs significantly between state -to-state is land records are very different , the way you evaluate legal risks , the way you evaluate title deeds and go and get your mortgage registered , it's different. It's not one country still. So , there are multiple nuances especially when it comes to dealing with ancestral properties and the way title deeds have been passed on through generations. It's a very different and nuanced market. So , it takes time for you to learn these things, which is why in the first 24 months of entering a new state , we don't put pressure at all from a growth perspective for the newer state. It's more important for us to understand all the nuances , check the fundamentals right and then set up the state for a growth for a longer period of time .

Lakshmipathy D: Vivek, sorry, I misunderstood your question. If your question is on the attrition, where does our people go? If that is your question, yes , today as this business model is getting more hotter and hotter , people finding right talent from here, they choose Five Star employees to pick and build it . But it's not so easy for people to just to poach our employ

ees and start building the Five Star model. But as rightly said, this is not a model that can be built in overnight , it has to be built with the exercise . So, I can't name where the people are moving in. Yes, there is a good amount of demand from an employee side which is getting poached by other NBC Fs and small finance banks.

Moderator: The next question is from the line of Pallavi Deshpande from Sam eeksha Capital. Please go ahead.

P Deshpande : Just wanted to know , of these new branches that you'll be adding, what would be the spread of south versus non -south? And second was on the collections in cash . What would be the percentage of t hat?

Lakshmipathy D: So, what we have been guiding to the market is close to 75 :25, that is 75% of the branches will be in south and 20 %, 25% of the branches will be in the rest of the country. So that's what we have been guiding . More or less, it's aligning with the same percentage what I said. From a cash collection versus non -cash, close to 55% of our collections comes from cash and 45% comes from non -cash in all types of digital media including the NACH. It used to be around 65% or more , that is slowly coming down to 55 % now, and it may also further come down as we move forward . But we are not here to guide market that we will be at so and so percentage of cash because we are very comfortable in cash . As long as the customer is comfortable , we are comfortable. As long as customer feels digital is comfortable, we are comfortable. So , there's nothing hard and fast from our side .

P Deshpande: On the guidance with regard to the branches, right , a year back, we were looking more spreading out to the non -south region. Is there a change in strategy , just wanted to understand that because I mean the opportunity maybe still big in south, is that the reason ?

Lakshmipathy D: We have not changed this pattern what I guided earlier ; it was 75 to 80 percentage of branches in south and 2 0% to 25% of the branches will be in non -south, to be more specific . One or two branches can miss this way or that way. But broadly, our thought process is very clear, we want to be a very strong player in north going forward … going forward means for the next few years, not few quarters.

But having said that south is a very big market . Just to give a comparison, HDFC has close to 500 branches in Tamil Nadu. I just saw it in public domain … it's a public data. So , we have only 120

 branches here. If a bank has 500 branches, why can't we? So , that's from one state. If you multiply that with four big states of south, which is Andhra, Telangana , Karnataka and Tamil Nadu , you have a very huge opportunity in south itself. But , as I said, from a competitive intensity to improve our presence where we are not there , we are very clearly to focus on non-south which is the central , north and western part of our countries. So , there is no change in that thought process. Still, we feel south is the dominant place to operate and non -south is very key from Five Star perspective , so we are investing a lot in non -south too.

P Deshpande: So, two years hence do we see this mix changing because like you said you wait for two years for the branches to mature, you open only three or four, you learn about the state and then you open more branches. So , does this mix change two years hence in terms of 75 :25?

Lakshmipathy D: Certainly , it will change . All depends upon the results that what we are getting from the non -south branches , what we have put in Rajasthan, Uttar Pradesh and expanding in Gujarat and Maharashtra. So, we we'll wait and see how the results are. But as I said, we will not push for the results. Let the results come s as it comes . When the results are good , when the green shoots we are able to see there , definitely , we will not shy away by

revising the guidance of 75 :25.

Moderator: The next question is from the line of Saptarsh ee Chatterjee from Grow w AMC. Please go ahead.

S Chatterjee : My question is more on the environment part … that already you have touched upon it, but like we are seeing commentary from the consumption companies that rural and semi urban consumption demand has been slow. But on that perspective , we are seeing that growth for you as well as some of these N BFCs have been very strong. So , can you please touch upon how you are seeing more of the demands and cash flows of your customers and there do you have to like paddle more towards distribution -driven grow th and customer acquisition -driven growth for more customer acquisitions or it is the strong demand any which way ?

Rangarajan Krishnan: So, there are two ways to tackle this question. One is what are you seeing primarily from a consumption perspective on the rural, semi -urban . Our growth is purely not dependent only on that aspect. Our growth is also dependent on how much of conversions that we are able to do from people who are moving from unorganized to organized sector. So, as far as that is concerned, we are clearly seeing a trend in markets after market s wherever we are able to open new branches, we're seeing very, very good traction and we're able to convert more and more people from unorganized money lending to more organized lending. So , that is what is giving us a solid growth on the ground. So , the strategy has not changed for us. I think that is what is giving us the confidence from a growth guidance perspective also. Of course , it is going to be a combination of distribution -led growth. So , that's where we have now increased the guidance in terms of the number of branches that we are willing to open in a particular year. We have alre ady opened 83 branches this year and Mr. Pat hy has guided just now that we will be at least opening another 40 to 45 branches during this year itself. So , it is going to be a combination of distribution -led strategy and the fact of people moving from unorganized to organized . That is giving us a combination of good growth guidance.

S Chatterjee: Just one part on this is with increased branches, are we going much deeper into the geographics like some Tier-3, Tier-4 to Tier-5, Tier-6 for the branches?

 Rangarajan Krishnan: So, we have two branch -led strategies. One is what do we do in the southern markets and second is what do we do on the non -south markets . So as far as the southern markets are concerned, the clear strategy of the company is to penetrate deeper and deeper. We a re already going up to Tier-7 cities and we still have huge opportunity for us even within Tier-6, Tier-7 cities in each of the southern markets where we're already present. So as far as south is concerned, the strategy clearly is to penetrate deeper and deeper, open more branches, expand the franchise and attract the customers more and more. But as far as the non -south locations are concerned , we are just putting up the first few branches probably in a particular state. So , in these states we are still not going very, very deep. Most of our branches are still in probably Tier-2 to Tier-3 or Tier-4 cities. We will penetrate these larger cities first , get a hang of the culture and the state and slowly penetrate these states as we move forward from here.

S Chatterjee: You have already touched upon on the competition, but wanted to know what are the yield level that your competition is working on and therefore the differential of your yield versus competition ? And overall let's say some 2 -3 years down the line, do you see that growth and yields will be a challenge? And if the situations and demands worsen, which one will you prioritize more on, either on yields or on growth?

Srikanth Gopalakrishnan:

I think on the yields, if you look at from a competition perspective, we are at least at par if not lower than our competitors. So , it is not very differential and the kind of demand that we are getting . If we are way off from the market , this is not the demand that we will be getting. So , we are at par with the market …in fact, we are actually better than some of the bigger players also in terms of the yield . Like we have been guiding , see, our intent is not to keep the yields at where they are today. Our intent is to ensure that we maintain the spread s. Now , we have had quite some benefit on the cost of funds coming through in the last about four to six quarters. But given the very volatile interest rate environment, we have not passed some of these benefits to our borrowers, which we will start gradually passing on once the interest rate environment becomes a lot more predictable. So , the question is not compromising yield or compromising g rowth or whatever. I think the question is more towards ensuring that we are a responsible lender , lending at the right interest rates to our borrowers . See, the segment is not very price sensitive . A percentage difference in yield for a seven -year loan will probably translate to about Rs.70 to Rs.80 EMI every month for a lak h of loan. So , it's not a very price -sensitive segment. But at the same time, we want to be a responsible lender and operate at around 12 % to 13 % kind of a spread in a steady state scenario. So , once the interest rate environment s tabilizes , I think we 'll start seeing some benefits that we pass on to our bo rrowers. Not with a view to ensure that we get the growth that we want. But like I said, being a responsible lender and ensuring that the borrowers get the optimal cost for the borrow ings.

Moderator: The next question is from the line of Ar avind from Sundaram Alternates. Please go ahead.

Aravind : I just have like one question on this gr oss Stage -3 assets in terms of one year lag. I can see that like from the 1s Quarter of 2023 it's been inching up. Is there any some cause of concern there in those ?

Srikanth Gopalakrishnan: The intent is not a concern . The point is also that when you're growing , the lag is slightly higher compared to what we have been seeing in FY21 or FY22, the growth was also much lower , so the buildup was much lesser. But having said that if you look at the last quarter numbers also , typically ,
 the one-year lag has always been at around the 1.75 % to 2% level and this is something that we have shown be it in Q2 FY21 which was the COVID period , Q2 FY22 which was again a COVID period and Q2 FY24 . So, I think largely the numbers will be around the 2% level which is where this number has always been even in the past. In fact, it used to be more . If we extrapolated a few quarters earlier when we were in a much faster growth pace, this number would have been higher, but one-year lag will typically settle at around the 1 .75% to 2% level . And this also has the new RBI norm built into right , it's 1.35%. So , you should also take that into consideration . when you look at Q2 FY21 or Q2 FY22 that does not have the RB I norm getting built. So technically if you see 1.7% of Q2 FY22 is not an apple -to-apple comparison as against 1.95% of Q2 FY24. Q2 FY22 would have been a 90 plus number of about 1 % to 1.1% vis-à-vis what we are looking at the new IRAC norm of 1.35% for Q2 FY24 . So, you will also have to factor in for the 20 , 30 basis points increase.

Aravind: One is other income , other incomes doesn't look like it is connected to disbursements. E ven though the disbursements have grown quarter -on-quarter, other income hasn't grown . Operating expenses , we are investing heavily in IT like either for ERP or other technological like transformation stuff. Will that have an impact o

n OPEX process ratio or cost -ratio like in a significant way?

Srikanth Gopalakrishnan: So, firstly, Ar avind, your observation is right on the other income . The other income is predominantly
investment income that we earn on our FDs , that we earn on our mutual funds on the excess liquidity that we carry. So , it does not really have a straight correlation to the dis bursals that we do . It depends on the kind of borrowings that we do and the yields that are available out there. So last year the other incomes are actually lower because the yields were much lower in the market. Yields are definitely getting better and which is why you're seeing the other income getting higher. See , in terms of the operating expenses, we are definitely putting a lot more investment into the technology and all that . Rather than looking at either an operational expenses in absolute quantum or whatever, I thin k the

way that you'll also have to see is look at the cost -to-income, so which is where we guided our cost -to-income is expected to be around 35 % to 37% range . And this is sort of remained range -bound for the last four to six quarters ever since we have been … even prior to that it was range -bound , but the last five quarters when we've been public, I think it has remained range bound around 36 % to 37% level. We are very confident that despite the investments that we make in technology, we are not doing anything that's probably a sunk cost or that will give us benefits over a longer period of time. We are reaping the benefits. So , you will see the cost -to-income stabilized around those levels in the quarters to come as well. So , no adverse impact expected on the P&L because of additional technology spends or the slightly increased operating expenses.

Aravind: I was asking specifically on the core fee income , around like that Rs.42 crores , I thought that was just related to disbursement . I understand the other income is summation of the core fee income based on disbursement s and then like investments we make and other –

Srikanth Gopalakrishnan: Today, the core fee income is also part of the interest income. If you look at the interest income, it comprises of interest on loans, it comprises of interest on fixed deposits, it comprises of processing fees and the other legal and operational expenses where the proportion remains unamortized. So , everything is getting club bed in the interest income in slide 47 that we have given. The other two numbers that you're talking about, which is net gain on fair value changes, is primari ly on account of the mutual fund incomes that we do . And fees and other income will be primarily recovery of bad
 debt and the other incidental incomes that we get on account of certain storage costs and all that . The numbers are anyway fairly muted ; it's about Rs.7, 8 crores per quarter.

Moderator: The next question is from the line of Harshvardhan Agr awal from Bandhan AMC . Please go ahead.

H Agrawal : I just wanted to understand, you mentioned that you have –

Moderator: Sir, can you speak loudly? Your voice is very low.

H Agrawal: You mentioned in the opening remarks you guided for the second half would be 120, earlier guided was around 70 ,80. So I just wanted your thought process as to how the opex would look like in the second -half because I believe , there are some marketing expenses , etc., So, opex in the second -half where will we see from the first half?

Lakshmipathy D: I think the good part is if you break that 120, 80 branches have been opened in the first six months itself . So, all the cost has been incurred as we have shown in September itself. So , it's only the balance of 40-45 branches which we will be opening in the next six months. But the good part is the 80 branches which opened in the first six months start to react more

positively for the next six months.
So, that will adequately take care of the income side. I think I'll ask Srikanth to explain it a little more.

Srikanth Gopalakrishnan: See, on the operating expenses side, what we always say is , irrespective of the branches that we put
in, our breakeven is one of the strongest ; in about six to nine months we are able to break even at a branch level and even covering f ixed cost at the head office level, this is like nine to 12 months that we are able to do. So , from that perspective , there is no adverse impact that we are expecting either opex as a percentage of A UM or like I updated in the earlier question in terms of the cost -to-income. So, the broad guidance around the opex to AUM of about 6%, 6.5% and the cost -to-income guidance of about 35 % to 37% continues to stand even in a growing scenario.

Moderator: The next question is from the line of Ni dhesh from Investec. Please go ahead.

Nidhesh : A couple of questions. First is, how is the vintage 12 month s MOB Stage -3 for us? And second is how are the BT out rates we are seeing in our portfolio ?

Srikanth Gopalakrishnan: I think the point is , in terms of the Stage -3 one-year vintage, we will not see much at all . Like what we say is what we track as quick mortality account , that is very, very far and few for us. So , you will not see one -year vintage loans which are getting into Stage -3. Typically , the breakup of Stage -3 will be more like three plus years loans. Because our belief is , whatever a little bit of shocks or delays as the customer could do, he may probably delay one in 18 installments or so. So , that means typically for him to get into Stage -3 will be at the end of the third year or so. So , you will not really see too much of one -year vintage in Stage -3. The quick mortality is extremely low. Sorry, what is the second question ? I just missed it.

Nidhesh: What are the balance transfer rates?

Srikanth Gopalakrishnan: Today, our balance transfers both in and out are extremely minimal. Like we said, our business model
is built to displace the money lenders. So, while we'll be taking a lot of loans away from the
 unorganized markets, those don't typically classify as balance transfers in . And similarly, our borrowers are happy with us as long as we provide them what they want in terms of the loan quantums, good service and the flexibility in terms of repayment, they're happy to stay with us. So , I think you will not see either of these numbers crossing about 2%, 3% both BT in and BT out.

Moderator: Ladies and gentlemen, that was the last question for today . I would now like to hand the conference over to Mr. Lakshmipathy D eenadayalan, sir, for closing comments.

Lakshmipathy D: Yes. Thank you, participant s. I know there are a few more questions lined up, but we have already crossed one hour 45 minutes and thank you for patiently being with us. We apologize for the pending questions. Definitely , we will take it up in the next earning call or you can reach out to the IR team, where the number has been given in the website where we will take up your questions .

To conclude, as I said, we have been with you for last one full year with five quarters of numbers and what we say and what we deliver now matches very clearly and we are very confident that this category what we have built in the last 20 years is here to stay and here to grow. And Five Star has an edge comparing with other lenders , the experience what we got in the last 20 years will help us to scale through with the right quality and right profitability without missing these two. So , thank you again for r eaching out in this conference call and waiting for a long time and we will meet in the next earning call.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank yo

u for joining us and you may
now disconnect your line s.

Call: Feb 2024

Date: February 08, 2024
The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663
Sub: Transcript of the Earnings Conference Call for the quarter and Nine months ended
December 31 , 2023
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on
Friday , February 02, 202 4.
The transcript can also be accessed from the link: https://fivestargroup.in/investors/
Kindly take the above on record.
For Five -Star Business Finance Limited
Shalini Baskaran
Company Secretary & Compliance Officer

"Five-Star Business Finance Limited
Q3 FY '2 4 Earnings Conference Call "
February 02, 202 4

MANAGEMENT : MR LAKSHMIPATHY DEENADAYALAN – CHAIRMAN AND
MANAGING DIRECTOR – FIVE-STAR BUSINESS FINANCE
LIMITED
MR RANGARAJAN KRISHNAN – CHIEF EXECUTIVE OFFICER
– FIVE-STAR BUSINESS FINANCE LIMITED
MR SRIKANTH GOPALAKRISHNAN – CHIEF FINANCIAL
OFFICER – FIVE-STAR BUSINESS FINANCE LIMITED

MODERATOR : MR SAMEER BHISE – JM FINANCIAL

Moderator : Ladies and gentlemen, good day, and welcome to Five -Star Business Finance Limited Q3 FY '24 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr Sameer Bhise from JM Financial. Thank you, and over to you, sir.
Sameer Bhise: Thank you, Muskaan. Good morning, everyone, and welcome to the Five Star Business Finance 3Q FY '24 Earnings Conference Call. First of all, I would like to thank the management of Five Star Business Finance for giving us this opportunity to host the conference call.
From the management side, we have Mr Lakshmipathy Deenadayalan , Chairman and MD; Mr Rangarajan Krishnan , CEO; and Mr Srikanth Gopalakrishnan , CFO of the company. We will have opening remarks from Mr Lakshmipathy Deenadayalan to give a brief update on the business, post

which we will open the floor for Q&A. Over to you, sir. Thank you.
Lakshmipathy Deenadayalan : Yes. Thank you, Sameer, for a quick intro. I welcome every participant for the third earnings call for
this financial year and sixth earnings call since listed. Let me start with a very optimistic note to congratulate my operating and finance team for their excellent work, what they have done during this challenging quarter.
From the operational side, two of our big states, Tamil Nadu and Andhra had the brunt of weather, we all know the floods in Tamil Nadu. Despite that, we are able to put our business and collections on the best foot. And the ERP implementation is completely done. And last quarter, Andhra, Telangana, which is a significant big state for Five Star, our ERP implementation was done. With this, the entire Five Star 's ERP has moved from FinnOne to Salesforce.
And the November circ ular, issued by the regulator, which brought in a lot of constraints, banks lending on NBFC and Five Star has demonstrated well. So, we will look into the numbers.
With this, let me get into the numbers, as usual, we'll start with the business side, then we'll go to the collection side. In the business side, we'll start with the branches. We have opened close to 24 branches in Q3. With this, the total count of branches opened in first 9 months is 111 branc hes. It has moved to 480 branches as we stand today. As we said in last call, we intend to open close to 120 branches for this full year, and you will see a few more branches in Q4.
With very good number of branches getting opened, our distribution was also good, but it was flat comparing with last quarter with INR1,210 crores. But if you compare with year -on-year, we have given a 33% growth in our disbursement. This is in spite of the flooding, what we said in Tamil Nadu and Coastal Andhra. We were able to manage the good disbursement which has resulted in a very good AUM growth from INR 8,264 crores to INR 8,931 crores with an 8% Q -on-Q growth and 43% year-on-year.

That has resulted in a good revenue. Our income has moved from INR 522 crores to INR 570 crores, which is a 9% growth on Q -on-Q and 47% growth in year -on-year, and also resulted in good profitability, moved from INR 199 crores in Q2 quarter to INR 217 crores in Q3 with a growth of 9% and 44% year -on-year.
So, with this, let me take you to the collection side, which is a very important metric for a lender. Our collection efficiency has been maintained at one of the best numbers. We are at 99.1%. Comparing to a slight tad low , in last quarter it was 100%. A

nd unique customer, which is a very important
metric, that how much we collect from each customer. That has also moved a little tad down from 98% to 97.5%.
Both the collection efficiency and unique customer has seen a very small blip in spite of being a challenging weather conditions in last quarter. But our 30 plus which has shown a healthy move, it was at 8.59% in September quarter, that has come down to 8. 35% in December quarter.
Another metric, which is current to arrear as a percentage, was at 86.5% to 13.5%, has also improved to 86.7% versus 13.3 0%. So, we are reaching closer to the number, what we said 90% current in the next financial year, maybe the first quarter of next financial year.
And finally, on the IRAC NPA, which is the technical NPA what we call, and Stage 3 assets, have moved from 1.35% to 1.40%. Comparing to last year, it has dropped from 1.45% to 1.40%. So , it will be in the ranges in the same way .
And finally, on cost of funds, the book cost of fund has dropped down from 9.71% to 9.64%. And incremental cost of fund, which is very important metric after the November circular of RBI, has moved from 9.5% to 9.57%, which is just 7 bps. Since the circula r, our treasury team was able to get close to INR 1,500 crores, taking even January into account with just 7 bps of cost going up.
So, with this, we conclude that the confidence from lender s, especially banks to NBFCs like Five Star significantly has stood well. With this, let me hand over the call to Srikanth to take us through on all metrics further deeper. Thank you.
Srikanth Gopalakrishnan: A very good morning to all of you. As Mr Pathy has outlined, Q3 was a robust quarter for us. We fared well across the various financial and the operational metrics. On the branch count, it was a good quarter for us. So, we added 24 branches for the quarter. And for the full year, the last 12 months, we have added about 111 branches. So, we are at 480 branches as of December 31. This has translated into a good disbursal quantum despite some impact because of the floods in Tamil Nadu and Andhra and an AUM impact.
So, our AUM grew by 8% quarter -on-quarter and 43% year -on-year. We ended slightly short of INR 9,000 crores for December 31st. From a financial metrics perspective, our yields continue to remain stable at around 24 to 24-quarter despite our average cost of funds dropping marginally. Our incremental cost did go up a bit, inch up a little bit, but very marginally. We had a spread of 14.6%

for the quarter as against a spread of 13.8% for Q3 FY '23. Obviously, with increasing leverage, the NIMs will continue to drop. So, the NIMs dropped to 16.8% compared to 17.68% as of the previous quarter, like I said, primarily on account of higher debt and increased leverage.

We have also been a little conservative during this quarter because of the risk weight circulars coming through and the regulatory overtures that are being given. So, we maintained a slightly higher liquidity during this quarter, which resulted in increased leverage and lower NIM. If we do a quick back -of-the-envelope calculation and reduce our debt by about INR 300 crores / INR 400 crores, our NIMs would have looked much better. Our NIMs would have been at about 17.4%, which should have been a drop only of about 30 basis points rather than 80 basis points as we're seeing now.
Cost to income remain range -bound. It's actually shown an improvement during this quarter to about 34.5% as compared to 38% for Q3 FY '23. We have done one of the industry best ROA. Again, ROA will show a contraction with increased leverage. But we still did an 8.25% ROA for the quarter and an ROE of closer to 18%. The ROE has increased by over 300 bps year -on-year and by about 65 basis points quarter -on-quarter. Obviously, you will not see such sharp increases as we go forward

, but
there will be increases with increased leverage in the ROE.
Our borrowing profile continues to be well diversified. While we still have a little bit of a higher proportion in terms of bank term loans, but we are very conscious to diversify our borrowings. In fact, during this quarter, we also did 1 capital market t ransaction. We issued NCDs for about INR 105 crores. During the quarter, we received an incremental sanction of close to INR 1,400 crores and availed about INR 1,000 crores out of that. All -inclusive costs being 9.57% for the quarter, which is 7 basis points higher than the previous quarter number of 9.5%.
For the full year, the 9 months ended December, we have gotten sanctions of about INR 3,500 crores and availed about INR 3,000 crores at an all -inclusive cost of 9.52%, so which is extremely attractive as compared to what has been happening around us in the last 12 to 18 months. We have a liquidity buffer of about INR- 1,800 crores and an unavailed sanction lines of another INR 475 crores.
Mr Pathy has touched up on the collection efficiency, so I don't want to repeat them. But what is important is across the various stages of assets, we are showing improvement. Our Stage 1 is getting better. Our Stage 2 assets actually came down to about 6.95% from 7.24%. There's a marginal blip in the Stage 3 assets, primarily on account of the floods.
But we also continue to maintain a very robust provision coverage ratio both on Stage 3 and on the overall AUM. Our PCR on Stage 3 is at 54.26%. And PCR on overall AUM is at 1.62%. As we have always been guiding you, we would continue to remain optimistica lly cautious, neither aggressive nor conservative, but we'll ensure that the right amount of provisions are being created on our balance sheet.
On the restructured book, the book has dropped to about 0.59% of our overall AUM. And even on this portfolio, we maintain a PCR of over 50% so we don't see any risks coming on this portfolio at all. So, all this has resulted in a very strong profitability for the quarter at INR 217 crores, which is a 44% year -on-year growth.
And on a sequential basis, our PAT has gone up by 8% from INR 199 crores to INR 217 crores. Net worth almost at INR 5,000 crores. And with the last quarter typically being the best for us and for any other NBFC, we are very hopeful to carry forward this momentum and deliver a strong set of numbers in Q4 as well.

On that note, we would like to open up for any questions that any of you may have. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session . And the first question is from the line of Maharukh Adajania from Nuvama.
Marukh Adajania: Congratulations. My first question is just on the cost of funds. So, you've managed your cost of funds very well this quarter even in terms of incremental cost of funds. How do they move from here on? And what is the portion of the book that gets affected by higher risk rates?
Srikanth Gopalakrishnan: So Maharukh, on the cost of funds, like we said, we are continuing to be very sharp in focusing on getting the right cost of funds for us. As you would have seen, the incremental cost came in at 9.57%.
But again, you will probably see some uptick -- when I mean upti ck, there are some increases coming on this, both on account of risk weights and on account of the fact that we definitely want to diversify our borrowings.

Today, about 66% of our loans are from bank term loans. But when we move to capital markets, the cost tends to be slightly higher. So, we will probably guide you for maybe another 25 basis points increase from here on over the next few -- next couple of quarters. So that is the impact on the cost of funds that we see on the incremental cost.
On the book, again, there is still a delta between what we are borrowing today and w

here the book
cost is at. So, at some point of time, these will converge and you won't see any further benefits coming through. But with our spreads, I think even an additional 10, 15 basis points increase in our book cost is not going to cause any concern for us.
In terms of the risk weights, we have gone -- on a conservative basis, we have only bifurcated our portfolio into 3 parts. One is loans given for business purposes, which clearly do not attract a higher risk weight. Loans given for housing, again, do not a ttract a higher risk weight. Any other loans, which are given for any other purposes, which could be marriage, education, medical emergencies and all that. So that roughly constitutes about 20% to 30% of our portfolio has attracted a higher risk weight.
So, we have seen about roughly 3.5 to 4 percentage points impact in our capital adequacy. We are at about 53 -odd percent. If not for the risk weight, we would probably be close to about 57%.
Lakshmipathy Deenadayalan : So just to finish this point, Maharukhh, as we stand today, banks are very vibrant, and they are very
positive lending to Five Star . But having said that, Board and we have taken a call to move slowly away from bank borrowings to the market borrowings. That will be the plan of action for next 3 to 4 quarters. So that -- that's where Srikanth has given a 25 bps increase in cost of fund s when we move from bank funding to market funding.
Marukh Adajania: Got it. But just on risk weight, basically 25% of your book is affected, but your entire portfolio of bank loans would be impacted in terms of higher cost if at all banks have passed higher costs? Or how does it work?

Srikanth Gopalakrishnan: Yes. We don't -- see, we have always been very conservative as far as our PSL classification is concerned. So, we have not taken any PSL benefit from any of the banks. So technically, I would say, if not all, Maharukhh, so obviously, this does not impact the NCD, this does impact the securitization. It will only be impacting the bank term loans, which is, like I said, about 65%, 66%. But having said that, we have not really seen any of the banks come back to us, except for maybe 1 or 2 banks who have asked us for any increase on our existing facilities.
Even post the circular that was given by RBI, we have managed to raise monies at 9.5% or even sub -9.5% from some of the marquee names, be it the State Bank of India, be it Indian Bank. So, each of these people have -- and some private sector banks as well. They have all given us sanctions at 9.5% or sub -9.5% even after the risk weight circular coming into effect . So, we really don't see too much of impact coming on our cost of funds on the book because of the risk weight increase.
Moderator: The next question is from the line of Renish from ICICI.
Renish: Congrats on a good set of numbers. Sir, just one clarification on our Page #46, wherein we have mentioned that there is intercorporate deposit with Bajaj Finance of around INR100 crores. So, what is that? I mean, what's the feature of that? And why sort of we have put this deposit with Bajaj Finance?
Srikanth Gopalakrishnan: So, Renish, this is a -- what you are seeing here is a typical invest ment . Our investment policy provides for three avenues of investments. One is fixed deposits of banks. The second is or rather I would say four , fixed deposits of banks , we put some money in government securities. We also invest in liquid mutual funds. And very, very selectively, we have taken some names, AAA, NBFCs, really large NBFCs where we can put monies in their deposits. So that is the intercorporate deposit that you're seeing.
This also includes a portion of deposits on a securitization transaction that we have done with Bajaj Finance. So, it's a pure investment. But from an accounting standard, we will probably h

ave to classify
it as -- under the loans because these are with NBFCs and not with the banks.
Renish: Got it. And just on the balance sheet side, again. So, our cash and bank balances have gone up by almost INR5 00 crores. So, is there any specific reason to keep such a high liquidity or this is just in the -- let's say, presumption of very high growth in Q4, and hence, we want to maintain that liquid balance sheet?
Srikanth Gopalakrishnan: So, Renish, like we said, when the circular came in sometime in November, I think there was a little bit of concern on -- in terms of how this is going to impact supply from the bank side. So, we actually went a little bit conservative and put monies ahead of time that we would have wanted. So, it's not

like -- if it was a normal quarter, probably we would have been INR300 crores, INR400 crores lesser. But given whatever is happening out at the macro level, we just were a little conservative in terms of taking a little higher funds.

So ideally, we would like to maintain about 15% of our AUM in the form of liquid cash and other liquid investments, but we are slightly higher. We are almost at about 20% at this point primarily because of being a little more conservative and not because a ssuming the Q4 will be good. Q4,

obviously, we are going to get more monies as well. Like I said, we are sitting on almost INR500 crores of unavailed sanctions. But some monies we took because we also wanted to lock in the rate. Little bit of apprehension was there in the initial period whether banks will hold on to the rates that they have sanctioned to us. So probably we took a little more money than we would have wanted.

Renish: Lastly, on this -- our geographical diversification. So if you look at the Andhra Pradesh contribution which has been increasing over the past 1 year, it is slightly, I would say, is not opposite, but when we talked, we've always been mentioning that we'll be growing in other non -Southern state. But at least in past 1 year, that is not happening. So can you please throw some light on what is happening on the diversification front?

Rangarajan Krishnan: So, Renish, we have been consistent in our commentary where we have said that for the next 3 years the bulk of the growth is always going to go from South. This is a regional business and South is our strongest hold. So South will contribute bulk of the gr owth. In fact, we have been guiding that , of the incremental branches which are getting opened, 80% of the branches will get opened in South and 20% will get opened in the rest of country which is what has happened. So of all the branches which have got opened in the first 9 months, 80% is in the South, predominantly in Andhra, Telangana, a little bit in Tamil Nadu. And 20% has come in non -South.

So as far as the rest of the country is concerned, we've opened new branches in Rajasthan, we opened new ranges in Uttar Pradesh. We've expanded in Maharashtra, we've expanded in Pradesh. But like we have always guided whenever we enter a new state, and th is includes Rajasthan and UP for this year. This is the first year that we've entered these 2 states, we will always take at least a period of 18 to 24 months to see how this first few branches behave before accelerating the pace in the use case. So yes, the diversification is on but it's not going to happen in a rush.

Lakshmipathy Deenadayalan : So just to add to it, if you see our presentation, the rest of the country was around 4% of our AUM.

That has moved to 6% now. So that's a significant growth even the base was lower. But as Ranga said, we are not in a hurry in rest of the country. We have to learn a lot there. And we have learnt a lot in South. So our growth will come from South predominantly for next 2 years, 3 years down the line.

Renish: Got it. Got it. And just last one from my side on

the spread. So given the way a regulator is saying over the last couple of months, be it on risk weight or some commentary on the MFI lending rate, etcetera, do you foresee any regulatory risk on our spread?

Srikanth Gopalakrishnan: So, Renish, nothing as yet -- we have been talking to the regulators at various forums. They've also been in our office for a regular routine inspection and all that. So I don't think we're getting any concerns from them on the spreads. But like we always have maintained, forget ex ternal stimulus or influences, we would l ike to be a responsible lender.

And at some point of time in the future, we are going to be reducing our rates. So hopefully, that will sort of -- if at all there is anything in the mind of the regulator, which we are not aware of at this point of time, even that will get addressed indirectly.

Moderator: The next question is from the line of Chandrasekhar from Fidelity .

Chandrasekhar : Maybe just a question on opex , up 18% only Y -o-Y. Just may be help us understand what's happening. Are we done -- is the move from people who are collections to business that's largely done, and that's why? That's question one.

Second is just where are we just in terms of our book assets or maybe the onward, the fresh sourcing, the ability to get the Udyam certificate and, I mean, as a result would be eligible for the PSL. Some -- any update around that?

And then lastly, I remember, I think the whole idea of not borrowing on NCDs from now right now because there wasn't enough of a market in itself from the supply side, given where our rating is. So

what's the pressure right now itself to look at NCDs? Why not after you actually get a rating increase?
Lakshmipathy Deenadayalan : I'll take up that collection people first. Then I'll ask Srikanth to talk about the opex cost, priority sector
and the NCDs, the question what you asked.
See, from the collections point, as we have been saying that this is the work in progress. There is no time line that we wanted to fix intentionally. Because collections are very important, we don't want to take a call on collection and move them slowly towards productive side, which is the business side. That is work in progress happening. Quite a good number of people have moved from collections to business because our numbers are getting settled well.
So it will take its time, but I don't want to say any time line that entire collection team. Obviously, there will not be entire collection team moving towards business because we always want some support to be given to the harder buckets to the business t eam through collection specialist team. So that will be there. But the excess what we have today, which we built up after the whole New Year that will slowly go and get mingled with the business, but it will take its own time. There is no time limit const raint for us or no guidance that we have given to the market. It will take its own time. But we will ensure that our collection efficiency and the business productivity is maintained at the best level.
Chandrasekhar : Is that why -- I mean, right now, while that shift is happening, which is why the opex growth sort of slowed down eventually should pick up...
Srikanth Gopalakrishnan: No Chandra. No, no, no. So that's the point I wanted to say. See opex has gone up let's say year -on-
year by 18%.
Rangarajan Krishnan: Is coming down ...
Chandrasekhar : It's coming down. I mean, the opex is actually -- I mean, your AUM is running at 43% and upwards of 40% and opex come down.
Srikanth Gopalakrishnan: So Chandra, I think, we have also made investments in the past, ahead of time, right? So those productivities are actually coming through as we speak. So it's not just because of collections people.
So it's not just personnel cost, which is actually coming down. Some bit on th

e operational expenses
that you are seeing on the technology, all those th ings are actually contributing.

More than looking at the absolute quantum of increase between quarters or between years, I would actually tell you, if you look at the numbers in terms of the cost to income, that will give you a better perspective. Obviously, the cost to income was slight ly higher than what we would have liked in Q3 of FY '23, which was at 38%.
That's come down to about 34.5% as we speak. But the steady -state number will be anywhere around 35% to 37% is the guidance that we are giving. So it's -- I'd say it's more productivity increases and assets getting built out rather than any of the collection verticals flowing back to the business side.
Yes. Secondly, on your PSL question, so we are -- we have done some initial samples, Chandra. Again, not very representative samples because the numbers are extremely small. We had tried doing about 100 -odd cases into the Udyam registration. What we've als o seen is about 80 -odd cases have come in where we have gotten the Udyam registration. So the good part that we are seeing is of the business loans that we're actually putting into the registration portal, which is the - Udyam Assist or whatever, we are getting a good conversion out of that.
But like I said, the sample is too small. So I don't think we'll be able to give you any representative guidance at this point of time. Maybe give us a quarter or 2 more, and we'll be able to come back and say that what is the proportion of incremental boo k that we'll build, which would qualify for PSL.
The initial results are quite encouraging is all the results that we have at this point of time.
Thirdly, on the NCD part. See, one of the things that we've always been saying -- or which markets have also been sort of questioning us is on the diversification of our borrowings and especially with the regulator also giving certain statements in terms o f wanting the NBFCs to reduce the reliance on bank funding. And this was also discussed at our Board at various meetings. So very consciously, we are taking the call that we would want to start seeing the diversification of our borrowings, which is why the first transaction that we did after quite a while of INR100 crores.
Again, this came in at good cost. This came in at a tenure of 36 months. So we have not compromised on the tenure or compromised on the cost. So we are not going to compromise ; we may compromise a little bit on the cost if good tenures and good quantums come through, but we are definitely not going to compromise much on the tenures.
But I think we will give a lot more importance to the diversification at this point of time. If it has to -
- like I said, push the cost by maybe 25 basis points, I think we have -- our P&L has the ability to absorb that. So we are not going to be unduly worried by that. I think the focus has slightly shifted to

diversification of borrowings from market -- capital market in the fo rm of NCDs. We are also targeting DFIs. Hopefully, over the next couple of quarters, we will see one conversion at least. So focus is clearly on diversification. Cost is definitely going to be an important parameter that we'll keep tracking, but a marginal increase in cost is something that we are prepared for.

Moderator: The next question is from the lin e of Dinesh Kulkarni from RDST .

Dinesh Kulkarni: Can you hear me?

Lakshmipathy Deenadayalan : You're clear. Please go ahead.

Dinesh Kulkarni: First of all, congratulations on a good set of numbers. I have a couple of questions here. First is on the branch additions. Like are we expecting a lower branch addition in this quarter compared to the previous one? I mean, like maybe around 30 is what I' m getting bec

ause we are seeing 120 for the whole year, right? If you could clarify on that?

Lakshmipathy Deenadayalan : Yes, it will be around 120 for the full year. So we have already opened 107 branches. So mathematically, it's only 9 pending. But I cannot precisely say that we'll be around 10, 12 branches which will be opened in this quarter. Generally, at Five Star , the last quarter, the branch opening will be lower. And first 2 quarters of the financial year, you will see lot of branches getting opened.

Dinesh Kulkarni: Okay. That's great. So then how should we look at the numbers going forward, maybe not on a quarterly basis, but year -on-year? Is that number of 70, 80 branches per year will that remain in that range or will it increase -- can we expect more -- additional branches?

Rangarajan Krishnan: This year is a little bit atypical. Usual branch openings will be about 70, 80. But this year, we have put the branch openings a little more. We had definitely guided for 120 branches, but we are expecting to open a little more than 120 branches for this y ear. So you will also see us opening few more branches for this quarter. It will be at least equal to or slightly more than what we've opened in Q3.

As far as next year is concerned, we will definitely open at least close to 80 to 100 branches every year. The base is growing, and we are also expanding beyond south. So we are confident of opening and maintaining this pace of close to 100 branches per year for the ensuing 2 to 3 years.

Dinesh Kulkarni: No, that's great. That's great. And can you just give some clarification -- or how do we see the employees growing? Because I mean I see you're adding like more than 1,000 employees every year or like year -to-date for this year. So do we see a similar pace in the growth? Or now we are -- we've matured there in terms of addition?

Rangarajan Krishnan: Dinesh, at some level, this is fairly linear, and it's a brick -and-mortar model. We are -- we rely largely on physical branches existence on the ground. That's what gives us control on both business and collections at the local level. So as the branches are growing, you will see this incrementally increasing because this comes with a number of business office rs, sales office rs and the supporting services that we have to put at each branch.

So the pace will be similar. This year, it's a little bit more, like I said, because of more number of branches. But if you're assuming, let's say, we open about 100 branches every year, the incremental number of people will at least be close to similar nu mber, 1,500 to 1,800 per year.

Dinesh Kulkarni: Okay. That sounds great. That's awesome. And then last question, do we have any AUM guidance there, reference, like, If I remember, you said something like INR20,000 crores a few years back. Do we see a long -term AUM guidance here?

Lakshmipathy Deenadayalan : So the guidance, what we were giving was 35% growth. We are very confident that we will deliver

that kind of growth in this financial year. Next financial year also, taking market opportunity --

considering market opportunities, the growth may not be -- it is doable next financial year, but we should consider how the regulatory regime is getting changed. So the concern of exuberance in lending what is there in the minds of RBI has to be also looked into.

From a market opportunity perspective, yes, we are very positive, and we'll be taking up all strides to grow higher. But having said that, we have to keep in mind that how does RBI look into the credit growth of this country. So we should also align ourselves, but we are very confident that we'll be closing this financial year at 35%. Of course, next financial year also is going to be in this similar range.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equ

ities.
Nischint Chawathe: I just wanted to get a sense if you would want to guide anything on normalized Stage 2 levels in terms of where do you think is a more optimum level that you are comfortable with? I know there has been a steady improvement over time, but what do you think is a more normal as well for you?
Srikanth Gopalakrishnan: So, Nischint, broadly, we are seeing we want our current portfolio to be at 90%, and maybe a 1 to 30
portfolio of another 2%, 2.5%, if you add. And let's say in a steady state, we are at about 1.5% to 1.75% of Stage 3, that leaves you with roughly about 5.5% to 6% of Stage 2 is what we think mathematically is possible. We are still a little away from that is our view, but broadly I think you will see -- you could see some more benefits coming through in the next few quarters, and then it will sort of stabilize.
Nischint Chawathe: Sure. And on ECL coverage on balance sheet, do you think that -- I mean, I know you kind of run down some of the excess coverage that you have. But just as a mark of maybe caution or prudence you've given the fact that we're doing very well on the operational side, do you think that you would want to kind of create a little bit of buffer at this point of time.
Srikanth Gopalakrishnan: See, we are already -- our belief is that we are already sitting with some buffer on this. I don't want to go pre -COVID, but just to give you a sense of the numbers, pre -COVID, if you see it was sub-1%, it went up to 2% to 2.1% during the peak of COVID, both wave 1 and wave 2. And then it has sort of normalized at 1.6%. The last few quarters has been broadly steady, 1.6% to 1.65% is what we have been maintaining.
Like I said, I think we will neither be aggressive nor be too conservative. I think we will be a lot more realistic. Our belief is these numbers will keep going down maybe in the next few quarters. But I think we will probably maintain a Stage 3 at 50% or over 50% and the balance coming through. So maybe at around 1.5%, 1.4%, 1.5% would probably be a steady state number that we think is appropriate for the portfolio that we are building.
Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital.
Pallavi Deshpande: Sir, just 2, 3 here. First would be on this NCD INR105 crores, the private placement. I just wanted to know at what rate and what was the tenure of that?

And second question would be the Tamil Nadu floods. We didn't see much impact of that, whether it's the peer small finance bank did see that impact. I just wanted to understand how were we able to avoid any significant impact there?
And lastly, on the tech spend, how much would it be? The Salesforce, how is the accounting for it done?
Srikanth Gopalakrishnan: Yes. So, Pallavi, let me take the first and the third one, and then I'll request Mr. Pathy and Ranga to answer the second one. On the NCD, like I said, this is -- we have not compromised on the tenure at all. This is a 3 -year NCD that we have issued. And t he rate -- the all -in cost is at around 9 -- 9.40-ish levels, I may be off 5 basis points this way that way, but it's around 9.40 -ish level, which is better than what we are borrowing from some of the banks also.
So the quantum is not what we would have -- we would have preferred bigger quantum, but I think the interest is there. People are willing to put longer tenure mon ies and given the safety that they are seeing in the company, which means a lower risk premium, the pricing is also attractive. So that's from the NCD perspective. It's INR105 crores that we have done.
See, in terms of the tech spend, first of all, we have given the numbers. We have actually spent about INR28 crores for this financial year. This does not include the head count spend. This is purely the tech spend ex-head count, both the capex and opex

. Comparative number for FY '23 was about
INR19.3 million -- sorry, INR19.3 crores and for the 9 months is about INR28 crores. So clearly, there is a good amount of spend that is going through.
See, in terms of the accounting part of it, most of our tech spends are on the SaaS models, which are based on licenses. So there is an implementation cost and there is a licensing cost. The implementation cost is amortized over the life, which is typicall y 5 years. The licensing cost is taken on a month -on-month basis. And the licensing cost, obviously, is a step -up model. So as the business grows, there will be the licensing costs going up.
So you will see typical this INR28 crores going up a little bit in the coming years as well. This is not just for Salesforce. This is across all the technology spends that we are doing. Amortization of the implementation costs, which is treated as a sort of a right -to-use asset and the l icense cost is taken on a month -on-month basis. TN flood?
Rangarajan Krishnan: No, on TN floods, see given the nature of the customers that we serve, most of these customers are earn-and-pay customers. So when there is a flood situation and they are unable to carry on their regular businesses, be it opening a kirana shop or be render ing some essential services, it naturally impacts the revenues for those few days. And the floods were fairly intense in many parts of South

Tamil Nadu and in and around Chennai. Also in large parts of Coastal Area. So we have quite a --
large cluster of branches in these regions.
So these are -- obviously, there will be some delays from collections on people who have not been able to open their shops during these times. But we don't see any long -term impact of this. They will quickly be able to bounce back. But for those -- 1 week or 10 days, inability to open their shops, there will be some impact in collections, and that's what we have seen.

Pallavi Deshpande: Right, sir. And sir, just one last one. So in terms of what is the target like you mentioned, you will bring down the bank funding, which is 66%. So over the next 1 year, where do we see that going?
And I believe the rest of it is securitization, who are the clients from there?
Srikanth Gopalakrishnan: So, Pallavi, I think at this point of time, we would not want to venture to give you a number per se on
this. But clearly, there is a very strong intent to diversify the funding sources. So we are talking with AMCs, we are talking with DFIs to do NCD issuances or ECB issuances. We will also deepen the securitization market. So our belief is the 66% will progressively keep coming down. And like I said, we don't want to give you a number at this point of time , but you will see gradual drops coming in this so that we are able to diversify the funding sources and have a much larger base of sources that we could tap into at any point of time.
Moderator: The next question is from the line of Ajeet Kumar from Nomura Capital.
Ajeet Kumar: Congrats for great set of numbers. So 2 to 3 questions from my side. Circling back to the number of employees, last 2 quarters, we have seen a higher number of employee additions with number being approximately 1,200. So in which area and at what seniority level are we adding these employees?
And also a few quarters back, you had highlighted that attrition level at officer level is high at around 25% to 30%. So has that come down? And what would be the current attrition level at various levels now? So that is my first question.
Rangarajan Krishnan: Ajit, on this, the employee additions is fairly directly proportional to the number of branch openings, and the anticipated number of branches that we intend to open. So if you look at the last 2 quarters, last 2 quarters alone we have opened almost close to 90 branches odd. So that's a significant number.

So the employee additions are in line with that. Most of these employee additions are happening at the field level. So this will be the officers, branch managers and the support staff who are manning the branches.
On the attrition part, it is at similar levels. It has not gone up or it has not gone down. Of course, the issue continues to remain that if at all, the attrition is a little bit elevated, it's more at entry level for us and people who have spent less than a year in Five Star .
Ajeet Kumar: Okay. Okay. Okay. And second question is your average ticket size on disbursement has remained broadly at around INR0.34 million in the last few quarters. I remember earlier you used to highlight that ATS will grow at least in line with inflation. So can we expect this ATS to go up from here on?
Or will it remain at the similar level of INR0.33 million, INR0.34 million?
Rangarajan Krishnan: So ATS has been going up. It has -- we are very clear that we are not changing the customer segment whom we are serving. So it is the same set of customers. And the first priority is for us to get the ATS back to pre -COVID levels. So if you look at very sp ecifically last quarter, the ATS has indeed gone up, I think, if you go decimal wise, it has gone up from about INR3.39 lakhs to about INR3.44 lakhs.
And that's a steady progress that we have been seeing for the last few quarters. The first intent is it will come to about the 3.5 lakhs, which is the pre-COVID level. And from here on, we are expecting the growth based on the inflation.

Ajeet Kumar: Okay. Okay. Okay. And lastly, one data keeping question. You had earlier provided data on super branch, which effectively is 2 branches in an area where there is a good business potential. So can you please provide the updated number on super branches that is there out of total of 480 branches?
Rangarajan Krishnan: So Ajit, the super branch strategy, we are evaluating whether it is good for a company to have more super branches or it is good for the company to have more number of smaller branches in an area, and that is something that we are still experimenting. So n umber of branches that we opened in the last 2 to 3 quarters, it ’s a mix of small branches getting opened in the vicinity rather than mak ing a number of super branches.
Because I think the advantage you get with smaller branches is, it can be more spread out. You will

have a lesser number of office rs in each of the branch. So, from an OpEx perspective, it's far more easier. You will have an ability to reach out to customers much more easier and nearer. And of course, from a risk diversification perspective, it's far better.
The current focus is -- it's not necessary for us to grow only by opening super branches or only by graduating a branch to a super branch. As opposed to that, we can also open cluster branches, which is what the current focus is on. So we are experimenting with both. I think we will get more clarity on the way forward on this over the next 2 to 3 quarters.
Ajeet Kumar: Sure. So is it fair to say, I mean, proportion of super branch in the total branches would have gone down since you have opened so many branches in the last couple of quarters?
Rangarajan Krishnan: Yes, yes. Absolutely. Because all the new branches would have opened and that's a significant number, they were all normal branches. So the proportion of super branches would have definitely come down.
Moderator: The next question is from the line of Shubhranshu Mishra from Phillip Capital.
Shubhranshu Mishra: Three questions. The first one is on the Stage 3 provisions at around 50% to 54%. For a secured book like us, it sounds out of that because this should be pretty much the LGD. That's the first question.
Second is on what is the net curing rate from bucket 1 to bucket 2 this quarter versus, say, a

year ago,
what was the number?
Third would be, what kind of premium does the bank charge to us above MCLR and EBLR? A blended rate would be okay.
Srikanth Gopalakrishnan: So Shubhranshu, on the Stage 3 provisions, like we said, we are -- we agree with your point, we are
probably carrying higher, but then there has also been some soft communication from the regulator also that it is better for us to maintain these provisions at north of 50%. So we have taken that. And -
- not just for us, for all NBFCs. So we have taken that suggestion and we are also building this provision.
See don't -- please understand that this is not LGD because for us, the way that we define is that any loan that turns NPA, and if it is not getting cured within a short period of time, and now it has to come all the way to 0 for it to be treated as a stan dard asset, that would take a long period of time. So during

this point of time, it is going to remain as a PD, and the LGD is only taken on loans which have either matured or which are closed.
So there will be a lot of cases which have probably matured, but where the loans are not closed, but where we are holding the property. So you'll never see that loss actually happening, but there is a timing difference between when the loan matures and whe n we are probably able to settle some of these loans, which could show a little artificially inflated LGD.
So if you look at one of the other data points that we have actually given in the presentation, even on about 5,000 loans, which were NPAs at the time of settlement, on the majority of loans, we have not lost more than 2% IRR, forget the question of any pr incipal loss. So there is no way that we will have an LGD of 55% or 54% or anything more than 50% on the Stage 3. But we will continue to keep creating these provisions because these provisions are those which will help us in rainy days.
So be clear that it's more an accounting thing that we do. The eventual loss, even if you look at from a credit loss perspective that we are probably doing this guidance in the past, would probably be anywhere around 25 basis points to 50 basis points, but nothing beyond that. So there's no question of 50% LGD on any of these NPAs. So that is number one.
But we will continue to keep creating provisions , the P&L affords it. And even after creating these provisions, our credit cost is up 40 basis points. So in a good days it's prudent for any lender to create more provisions. So we will continue on that path.
Yes. See, net curing rate, Shubhranshu, will probably have to come back to you. We don't have an answer right at this point of time, but we will probably come back to you.
On the third question in terms of spreads to MCLRs and EBR, See, today, it is extremely varied, like for example, the MCLRs of PSUs are very low. For example, if you take a State Bank of India, they will probably be giving us anywhere the spread of 1.5% to 1.75% or so. But if you look at a private sector bank, there are cases where they may be lending at 25 basis points over MCLR.
So I think the spread over MCLR or EBR is not a very relevant data point to look at. What is the relevant data point is the overall cost of funds. So this would mean -- there are some banks which charge a slightly higher fee because banks are still on the IGAAP and not IndAS and some of them upfront their fee.
So there are some banks that are a little more hungry for fees than the others. So you will -- rather than looking at the spread over MCLR or EBR, we have still not reached that stage where we are going to be fighting for that last 5 basis points. But what is important to look at is the overall cost of

funds, which is the number that we are giving in our presentation as well.
Shubhranshu Mishra: Just one observation that -- well, you did explain the Stage 3 provi

sions, but it still looks out of whack
for a secured book that we run. And the second part is that we do speak about our strong collection mechanism. It seems out of whack, 50% is too high for a secured book. It seems like it's an unsecured book that we are running, which is not the case. So that's my only observation here?

Lakshmipathy Deenadayalan : Yes. Yes. We again reinstate that Five Star is a fully secured book. And not that alone, 95% of our
security is coming from self -occupied residential property and 5% comes from the commercial shops and the vacant lands.
So having said that, I think, Srikanth has explained the regulatory environment around the lenders today. And our profitability is also on the good side. So the Board has taken a clear call that to have a good provision at the time when we can afford to do it. So that will help us as we move forward towards the challenging times. So keeping that advice in mind, we have gone up our provisions from around 50% to 55%. That's the background on it.
Nothing to do on collection, nothing to do on security. We've continued to -- we'll continue to show the robust collections and continue to show robust recovery from NPA accounts that will not change.
Srikanth Gopalakrishnan: So, Shubhranshu , just on your question on curing, what we treat it as rollbacks from 31 to 60 to 1 to
30 or 1 to 30 to current, these numbers used to be higher in the past because the flows were also a little higher. Today, given the fact that we have contained the flows largely , so the curing is also lesser. So what we're typically seeing is whatever a loan gets into a 31 - to 60 -day bucket, you will generally see about 90% of that loan stabilizing in that bucket.
So they don't roll forward also. You will see about 5% of those loans rolling forward, and 5% of those loans getting back to lower buckets. So this has been the last, I would probably say, 3, 4 quarters' averages. If you go before that, the numbers used to be -- the stabilization used to be more like 85%, the rollback used to be 10%. The flow forward was about 7%, 8%. And these numbers were a little higher earlier, but last 4 quarters, we are largely about 5% of roll forward, 5% of rollback and about 90% o f stabilization.
Shubhranshu Mishra: So we are almost curing everything that's getting rolled forward? Close to that?
Srikanth Gopalakrishnan: Close to that, yes.
Moderator: The last question is from the line of Aravind R from Sundaram Alternates.
Aravind R: Congratulations on the great set of numbers. Just a like a few questions. So can you give me a better information about EBLR, MCLR and fixed rate borrowing in terms of – percentage of borrowings, can you give some color on that?
Srikanth Gopalakrishnan: So Aravind, is your question about fixed versus variable rate borrowings?
Aravind R: Yes, sir. Yes, sir. Fixed rate and EBLR and MCLR, if you can give that too, yes.
Srikanth Gopalakrishnan: See fixed number, we have given, I think, we're at -- about 29% borrowings is fixed. So I'll say 70 - 30, 70% variable and about 30% fixed. In -- on the universe of EBR versus MCLR, I think EBR will probably be 10%, 15%.
Most of it is MCLR. It is only those banks who have very high MCLRs, their MCLRs are more than our overall borrowing cost, which is where we have gone ahead with EBR. I would probably put that number at about 10%, 15% or maybe 15%, 20%. 80% of our loans wi ll be on MCLR. And most of

these MCLR loans are also 6 months or 1 year MCLR. So we don't go with the 3 -month MCLR and all that.
Aravind R: Sure. And this income from securitization, like is it booked in interest income itself or is it part of the other fee income or whatever it is?
Srikanth Gopalakrishnan: No, no. It is part of the i

nterest on loan portfolio. That's typically treated as a loan portfolio and treated as borrowing. So you'll see that on the interest line, both on the income and interest expenses.
Aravind R: Even the differential that we get?
Srikanth Gopalakrishnan: Yes. So there is no upfronting of incomes at all, Aravind, in the securitization transaction. It is for all practical purposes under IndAS treated as part of your loan book, treated as part of the borrowing. So

it will come -- the 24% that we charge to the customer will come as interest on the loan portfolio. The
9%, 9.5% that we pay to institution will come as a borrowing cost and the differential flows into PBT.
Aravind R: Sure. Directly goes to the PBT. Okay. Okay. And just one last question. So AUM growth has been
phenomenal, like in Andhra Pradesh and Telangana whereas it has been a little slightly lower in
Karnataka and Tamil Nadu. Is it because of the branch additions t hat's happening in Andhra Pradesh
and Telangana happening in the existing cluster whereas in like other markets it's happening in the
newer clusters or any other reason for it?
Lakshmipathy Deenadayalan : The reason is simple. The team formed and the collection pattern what we see in Andhra and
Telangana makes us more optimistic to open more branches and recruit more people at the
geographies. But Tamil Nadu is not lacking. You would have seen Tamil Nadu br anches also going
up. And this -- next financial year, you will see lot of investments in Tamil Nadu.
Karnataka is stabilizing. During COVID, we had an impact in Karnataka slightly comparing to the
other 3 states of South. So we -- that's a prudent practice of Five Star . If we see any kind of slip, we
will take our good time to rectify that and move forward. So we are not in a hurry. But good news is,
I have been saying in last few calls that Karnataka stabilization is there to stay.
So now it's a time that we will be investing more branches in Karnataka, too, because the geographies
are quite bigger. It's a bigger state. So that's the background. No other background on split of our
branches in South.
Moderator: Thank you. As that was the last question, I would now hand the conference over to Ms. Gayathri
Shivaram for closing comments.
Gayathri Shivaram: Thank you. Thank you, everyone, for joining the call, and thank you to the management of Five Star
for giving us this opportunity to host the call.
Lakshmipathy Deenadayalan : Yes. Thank you all from Five Star team at -- from Chennai. So hope to meet you all in Q4
earnings
call with more vibrant numbers. Thank you all.
Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and
you may now disconnect your lines.

Call: May 2024

Date: May 08 , 202 4

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663

Sub: Transcript of the Earnings Conference Call for the quarter and Financial Year ended March 31, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on Thurs day, May 02 , 202 4.

The transcript can also be accessed from the link: https://fivestargroup.in/investors/

Kindly take the above on record.

For Five -Star Business Finance Limited

Shalini Baskaran
Company Secretary & Compliance Officer

"Five-Star Business Finance Limited
Q4 FY24 Earnings Conference Call "
May 02 , 202 4

MANAGEMENT : MR LAKSHMIPATHY DEENADAYALAN – CHAIRMAN AND MANAGING DIRECTOR , FIVE-STAR BUSINESS FINANCE LIMITED
MR RANGARAJAN KRISHNAN - CHIEF EXECUTIVE OFFICER , FIVE-STAR BUSINESS FINANCE LIMITED
MR SRIKANTH - CHIEF FINANCIAL OFFICER , FIVE-STAR BUSINESS FINANCE LIMITED

MODERATOR : MR RENISH BHUVA – ICICI SECURITIES

 Moderator: Ladies and gentlemen, good day and welcome to the Five -Star Business Finance Limited Earnings

Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr R enish Bhuva from ICICI S ecurities. Thank you and over to you, sir.

Renish Bhuva : Good a fternoon, everyone. Welcome to Five -Star Business Finance Q4 FY24 Earnings Conference Call.

On behalf of ICICI Securities, I would like to thank the Five -Star management team for giving us the opportunity to host this call .

Today , we have with us the entire top Management Team of Five-Star represented by Mr Lakshmi pathy Deenadayalan - Chairman and Managing Director ; Mr Rangarajan Krishnan - CEO, and Mr Srikanth Gopalakrishnan - CFO .

I will now hand over the call to Mr Pat hy for his opening remarks and then we will open the floor for Q&A. Over to you , sir.

Lakshmipathy Deenadayalan: Thank you, Renish. Welcome all for this F ive-Star’s Earning Call for the full year and for the Quarter
Ending Financial ‘24 .

We are happy and very satisfactory the way in which we came in, we brought in the growth combined with the quality and the profitability. As usual , let me start with the branch opening and employee addition. We have opened close to 147 branches for the full year and 40 branches in the Q4. As we have been saying in the last few quarters about the cluster branch approach where branch becomes bigger in size say above 2 ,500 accounts close to INR 50 crores of AUM , we bring in the clusters approach where we split that branch into two or three depending upon the area . And this has been done purely de -risking the branches having more number of accounts and more on a bigger team. So, equally the account gets split, and the team also gets split to the newer location . Out of 147, one -third will be on the cluster approach basis and two -third will be on the new branches basis which we have guided close to 80 to 100 branches will be opening year-on-year from a new branch basis.

We have added close to 975 employees in business and collection compared to 825 employees in business and collection last year. Last year , we opened 73 branches, so the employee addition is not much, it is related to that 80 to 100 branches which we have opened new. And interestingly, our opex has kept intact. In fact, it has reduced both for the full year and for the quarter. So, this shows keeping productivity at the top and de risking the bigger branches is the right model and right structure for Five-Star going forward . We will be repeating this for this year also.
 Now taking you to the disbursement , branch opening, and addition of business employees has contribu ted to the increase in disburse ment. We have done INR 1,336 crores of disbursement in last quarter . This is 20% growth year-on-year and 11% growth Q-on-Q and for the full year, we have done a disbursement of close to INR 4,881 crores which is 44% growth in disbursement. That has resulted in robust A UM, which has moved to INR 9,640 crores, registering at 39% year-on-year and 8% Q-on-Q and for the full year we h ave grown close to 39% for the financial year 24.

Now , let me take you towards quality , which is a very important metric :

The collection efficiency was good and stable. We stayed at 99% between last quarter and this quarter . And the unique customer collection was also at good levels. We were at 97.5% , the same as last quarter

, a bit of improvement, but broadly at 97.5% . Due to our good collection efforts and strategy what we have adopted , our 30+ has shown a good drop. From 10.5% in March of last year, it has dropped down to 7.9% for March of this year. This is a good drop compared to 30+ accounts. We will be in the same range of close to 7.5 % to 8% for this financial year ; and addition of branches , increase in A UM and in good quality , that has brought in good profitability for your company. Our profitability for the quarter rose to INR 236 crores, which is a 40% year-on-year and 9% Q-on-Q. And for the full year, it has moved to INR 835 crores from INR 603 crores, giving a 30% jump in PAT.

From the liability side, Srikanth will deal it in depth. The incremental cost was at 9.58 % compared to 9.57% last quarter and the cost on the book stands at 9.71%. With this kind of branch addition, disbursement and growth will continue for this financial year too. As we have moved from COVID , we have been giving a 30% above growth year-on-year. That will continue for this year too.

So, with this, let me hand over to Srikanth to go in depth. Thank you.

Srikanth Gopalakrishnan : Very good afternoon to all of you. As Mr Pat hy had outlined in his remarks, Q4 was yet another strong quarter for us ; across the various operational and financial parameters we had fared very well. As o n March '24, we had a borrower base of about 3 .9 lakhs, the loans. So, this has grown by about 31% on a year-on-year basis. So , the portfolio continues to be well diversified and not concentrated in pocket s. From a branch count of 373, we ended with 520, which is the combination of new branches and branches opened under the success strategy. Disbursements again, they are already touched upon. It grew 20% year-on-year and 8% quarter -on-quarter . AUM g rowth for the year was about 39% from around INR 6,915 crores, we had touched INR 9,641 crores .

On the financial metrics, our yields continue to remain consistent at around 24 % to 24.25% . Our cost of funds for the quarter dropped to about 9.64%. So, this has resulted in a spread of 14.55% as against the spread of about 14.1% for Q4 FY 23. With increasing leverage, there is a dr op in NIM. It has dropped from 18.47% in Q4 of last year to 17.19% , like I said pri marily on account of increased leverage. For the full year, we had a net interest margin of 17.4% as against 18% for the last financial year.

Our cost to income continues to remain very stable. For the quarter, it was at about 35.06% as compared to a little over 38% for Q4 FY23. We expect our cost of income to remain stable at around
 35% to 37% level, even in the steady state. All this has resulted in a ROA of 8.43% for the quarter and for the quarter the ROE for the first time has gone beyond 18% , we were at about 18.65%, but if you look at the full year, we had registered a ROA of 8.42%, which is a drop of 20 basis points comparing to last year and ROE of 17.6%, which is almost 2.6% higher as compared to last financial year.

From a borrowing perspective, we continue to be attractive from our lenders' side. We have about 45 lenders who have lent to us . While the bank loans continue to be the major portion of our debt , I think one of the very important phases that we have guided you last quarter and what we have done during this quarte r is the effort to diversify our liability franchise. We have made quite good progress on that front. In March, we received the sanction of INR 450 crores from NABARD , one of the largest development al institutions in the country, and the other news, which is also public information is IFC has subscribed to our NCD s for INR 500 crores. All these are at very attractive pricing. So, in Q4, we had received sanctions for about INR 900 crores. We availed about INR 950 crores, some of it com

ing
from the past sanctions. The weighted average rate continue d to be very attractive at 9.58% . For the full year, we had drawn slightly less than INR 4,000 crores, though our sanctions were at about INR 4,350 crores at an all-inclusive cost of about 9.54%. We continue to maintain a good liquidity buffer at about close to INR 1,880 crores and an additional INR 425 crores of sanction lines which are yet to be drawn.

We have already touched upon the collection efficiency, but I think very impressive numbers across 1+, 30+ and the s tage 3 assets. We are maintaining a very good provision coverage ratio both on the overall AUM and on the stage 3 assets. Our provision coverage on stage 3 continues to be at about 54.27% and on an overall basis, we are at about 1.64%. The restructured book is almost at an immaterial level as we speak. It is at 0.52% of our overall AUM, but even there we maintain a provision coverage of about 55%. So, all of this has given us a very good profitability of INR 236 crores for the quarter and INR 836 crores for the year, which is a roughly 39 % to 40% growth both for the quarter as well as for the full year . Our net worth is slightly shy of INR 5,200 crores as of March. So, the last couple of years, after COVID, has been very good years for us, very strong in terms of quality, profitability and growth and we expect that this momentum will be carried forward in the current financial year as well. On that note, we will open up for any questions that any of you may have. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Viral Shah from I IFL Securities . Please go ahead.

Viral Shah : My first two questions are for you; Mr Pat hy and the third one would be for Srikanth. So, sir, basically if we look at the business model that you have successfully scaled up, it is a process intensive model , right, a nd this is demonstrated by even your better asset quality outcomes ultimately on your write - offs, etc., but I wanted to check how are you able to scale up this business model successfully in the new geographies where you are growing in a non -contiguous manner because it requires your employees on the ground , you are recruiting right from the ground level up , so if you can throw more light over there?

 Lakshmipathy Deenadayalan: Yes, this is a very niche business model. As I have been saying, these customers for the business
needs and for any other housing or personal needs, they have to depend on the local money lending market. That is where Five-Star goes and caters and moves them from informal to form al. This demand is always robust , what I have seen in the last 20 years, and it continues to be robust. From a South perspective, we are South playe rs. If you look at the four bigger states in South, we ha ve a good presence, but we don't have a deep presence in the South. So, for a foreseeable future, if I am going to focus more on South, that will deliver the growth that we have been guiding to the market very comfortably. Having said that, we have also said that we want to have a reasonable presence in the rest of the country. That is where the new states have been put in place. We have a strong presence in MP and we have a very lighter presence in other 4 -5 states that we have in the rest of the country. So, for sustainable long growth, I think today South contributes close to 93% of our entire disbursement in AUM, even in 3 years down the line South will continue to contribute close to 85% of the growth and disbursement. So, I think our business model on the growth what we have created is purely based on the South a nd whatever comes in the rest of the country is going to be addition to our gro wth.

Viral Shah : Sir, follow up , so right now if I look at it, we have a

INR 10,000 crore s of AUM and the employee
base is around INR 9,000, so basically w hen we scale up right, I understand from a geographical perspective, it will be still S outh heavy, but I think directionally we are also going to expand our presence in the newer states, the Gujarat, Maharashtra, Rajasthan of the world and in those geographies because, say for example , we have to build a loan book of say , INR 5,000 crores, right over the next few years, it will also require 5000 employees . That is like 50% of the current employee base. So, how are we able to manage b ecause that is one thing that I think comes up in terms of the ability to scale the business ?

Lakshmipathy Deenadayalan : Yes, since it is a small ticket, close to 3 lakhs to 5 lakhs ticket size per file and operationally intense
business it needs more manpower than a bigger ticket size product. A few things here is , when we put up our branches in the existing locality, we recruit the officers from the locality. So, we don't have any constraint that officers who is coming from other NBFCs has to be in the similar space . As long as they are from NB FC space , we are happy to take them in and the business head who is in charge of the branch really matters for moving our business and collections. Having said that, that is our business model , we have to scale up with the people. As we have been doing in the past, we will be doing it very successfully in the future also. That is not the constraint from a Five -Star perspective .

Viral Shah: Sir, the second question was from the perspective of the cash collections component. So, I see that number has actually reduced dramatically from 62% to 47% now, can you explain like what is of course driving this on the ground and is there any intention of further bringing this down ?

Lakshmipathy Deenadayalan : Yes, as we have been saying in the past, there is no push from the company side that the customer
has to pay in non -cash, but having said that in last few quarters maybe in two years gradually when the UPA transaction is gaining momentum across Tier -3 to Tier -6 towns, our customers have also started to repay their EMI's through N ACH and UP I mode. That is why, if you see our non-cash portion has crossed 50 and it is close to 55 in the month of March, March month alone. And if this trend continues, maybe we will be close to 70% or 65 % to 70% by this financial year end.

 Viral Shah: And will this mean any savings in terms of opex , cash ending charges etc., no?

Lakshmipathy Deenadayalan : Not much in place really.

Srikanth Gopalakrishnan : Viral, i f at all it has to only be better Viral and at this point of time we are not guiding you for any betterment that will come in terms of opex . We will take it as it comes along. The intention is to get the customers, move from cash to non -cash which is obviously perceived to be a lot more risk free, so for now we are not guiding on any opex increases or saves to come in because of this.

Viral Shah: And the last question Srikanth for you is , right now , we have 14 basis points of spread between the incremental cost of funds and the back book and now that we have two quarters of track record in terms of tapping the capital markets, can we say that there is scope for the spreads to expand from here on by anywhere between 5 -10 basis points, it is not material , but in FY25?

Srikanth Gopalakrishnan : Viral, yo u are looking at the full year number, but if I look at Q4 number alone, the difference between incremental cost and the book cost is just 6 basis points. And while we have tapped into capital markets, we have not really gone deep there, especially in terms of getting mutual funds and all that where we believe that there could be some premium that we will have to end up paying . So, I would probably say,

the ability to get the spread expansion is not there . At this point of time , we will not guide you for an y of the spread expansion. In fact , what we have been saying is, there can be a slight increase in the cost of funds as well. It depends on what kind of rates we are able to get from banks and what kind of proportion we are raising from mutual funds where the cost could be slightly higher, could be offset a little bit of it with some priority sector lending some banks. So, at this point of time, don't factor in any spread increase to come in. We will see over the next couple of quarters in terms of where th is spread sort of normalizes once we get more into the mutual funds side of things.

Moderator: Thank you. The next question is from the line of Sameer B hise from JM Financial . Please go ahead .

Sameer Bhise: My question is for disbur sal growth for FY25 and maybe a couple of years down below because say if we look at Q4, it is at say 20% on a Y-o-Y basis , how does one think about disbursements and AUM over the next couple of years?

Srikanth Gopalakrishnan : Sameer, I think the way you will probably have to look at it is , see these are long term loans. So, while you look at above 30% growth that we are looking at for on the portfolio, the dis bursal will not see a 30% growth. It can even come in a little lesser. So, our point is so for example, this year we have done close to INR 4,500 -INR 4,600 crores of dis bursals. That number next year probably would be around INR 6,300 to INR 6,500. So, roughly the dis bursal growth we are talking about will be more like 25 % kind of a growth that we are looking at for 25 % to 27% growth. It will be slightly lower than the AUM growth that we are projecting given that we do a little bit of a long-term lending, so I will say maybe about 3 to 5 percentage points lower than the AUM growth is where the dis bursal growth would be.

Sameer Bhise: Secondly, Srikan thji, the coverage has been going up gradually, which is a good thing, w here do you see this stabilize?

 Srikanth Gopalakrishnan : Yes, I think where we are is a stable number. I would not really give too much of an emphasis on 1 - 2 basis points this way that way , like last quarter we were at 1.62% , we are at 1.64% as we speak. So, I think broadly anywhere between 1.5 % and 1.6%, 1 .65% is where we would like this to settle, at least in the short term, when I mean short term, at least the next one to two years kind of scenario and thereafter depending on how the portfolio performs, how our PDs and LGD s stack up . This number may even come down given that we are fully secured and secured against one of the strongest assets, we don't really see the need to create anything beyond 1.6% -1.65%.

Moderator: Thank you. The next question is from the line of Chandrasekhar from Fidelity. Please go ahead.

Chandrasekhar: Few questions , maybe you can help us on the cost of the IFC money on a fully hedged basis and given that I think raising external money at this point in time is a little cheaper, how do you just think in terms of funding between domestic and externally, the share sort of changing ?

Srikanth Gopalakrishnan : Chandra, the money that we took from I FC is rupee loan. So, we did not take it in dolla rs. So, there is no question of hedging there.

Srikanth Gopalakrishnan : Yes, the 9 .40% is the rupee NCD that we issued to IFC. They did not bring in dollars and so there is no hedging cost. The cost is at about what we took at was about 9 .41 including the little bit of a fee that we paid to them. So, it is a per month basis of 9.41 % as against 9.58% cost that we raised money in Q4.

Chandrasekhar: Maybe given that by the end of the June quarter, we would cross about INR 10,000 crores, just typically t he point where we start looking , approaching the rating ag

encies for an upgrade, just I don't understand some conversations and if the possibility of a rating upgrade sometimes ?

Lakshmipathy Deenadayalan : Yes, surely we are optimistic on that, Chandra . As you rightly said, we are moving from a 4 digit to 5-digit company very soon in this quarter . We will keep approaching them. We will see how does they see, especially the regulatory environment that that has been kicked in for last three quarters for the banks and NBFC's . We have to see how they are poised. From our performance onwards , we are improving on quarter -to-quarter basis. So, we have to wait and watch .

Srikanth Gopalakrishnan : Chandra, I just want to add, while Mr Pathy has guided that we will reach out to them, I would still think that Q1 of this financial may be a little early because our first rating upgrade came in December of 2022. So, that is just like about 15 to 18 months , when we would go back to them . Wh ile the INR 10,000 crore s is definitely a good metric to go back, I don't know from a vintage perspective whether they would like to look at it in Q1. I would probably think it maybe two to three quarters down the line rather than June, b ut having said that, we will keep making our efforts.

Chandrasekhar: And then lastly, just on the disbursement ticket size is more up to about INR 3.5 lakhs , I think directionally this eventually heads towards INR 4 lakhs to 5 lakhs, 4.5 lakhs by the end of this year or how should you think of that?

Lakshmipathy Deenadayalan : Chandra, we have been saying that our sweet spot is between INR 3 lakh and INR 5 lakh. T hat is where we come in . Neither a small ticket or a microfinance nor a affordable of INR 10 lakhs and
 above. So, we want to be in the range of INR 3 lakhs to INR 5 lakhs. T hat is our endeavor, but taking this inflation into account , from 3.5, we will probably be around INR 4 lakhs for this financial year. You are right.

Moderator: Thank you. The next question is from the line of Dinesh Kulkarni from RDST. Please go ahead.

Dinesh Kulkarni: I have a very straight forward simple question here. I see we have added close to 2000 employees in the previous fiscal ending FY 24, what sort of number we expect go ing forward especially for FY25, can we expect it in the same range, or it will be lower than what we have seen in the last two years ?

Lakshmipathy Deenadayalan : Thumb rule w hat we have been guiding is for every employee, the AUM will be around INR 1.25 crores. That is our thumb rule . We are now more than Re. 1 crore per employee. So, we will be in the same range around Re. 1.25 crore per employee. That is our range. So, depending on our growth, what we have guided is above 30%. Keeping that in mind, we will be adding that much of employees . Predominantly , more employees will be added in the business and collection purpose.

Dinesh Kulkarni: Just one more question , I think I missed out on the loan disbursal, can you just explain it more why it will be lower, you would expect it to be lower than the previous year , I think it was 25% or something you said?

Srikanth Gopalakrishnan : No, Dinesh, the question is not about the amount being lower. What I meant was, if the AUM grows by, let us say 32%, which is above 30% that we are talking about 30 to 33, you don't need 33% growth in dis bursals to come in because there is also the portfolio effect that will kick in. So, the dis bursal growth will probably be more like 27 %-28% rather than being at 32 %-33%. So, that is the number that I was talking about . It will definitely be more than 20% that we grew year-on-year.

Dinesh Kulkarni: Just the last question from my end. What kind of expenses, in terms of operating expenses, we woul d expect going forward, they would lower as a percentage of AUM or assets or they would remain in the sa

me range ?

Srikanth Gopalakrishnan : For the coming year, for this year, the number is at about 5.6%. This came down from about 6.2%, which was in FY23. So, there has been a sharp drop of about 60 basis points. This is also on account of the productivity increases, the efficiencies that we have brought in technology improvements and all that. So, I would probably think the ability to reduce this further would be a lot more grad ual than what you saw between FY 23 and FY24. So, like we had even guided in the steady state also we would probably be at about closer to 5% of opex ex-credit cost. So, we are talking about another 60 basis points of benefit to come in over the next three yea rs. So, don't expect a very sharp increase, but you will see some benefits coming through.

Moderator: Thank you. The next question is from the line of Aditya from MSA Capital Partne rs. Please go ahead.

Aditya: So, I just wanted to quickly understand from the management that how are we looking for the for the next 3 years , what would be our strategy, I understand that the growth strategy that we are looking at will be completely in South India, but wanted to get a color on what is the AUM per branch and disbursement per branch that we are looking at ? And now moving closer to three years, there will be

more three -to-five-year vintage branches that we will be having , so if you can just quickly explain that to me?

Rangarajan Krishnan : So, Aditya, I just explained a couple of points. Firstly, I think we are targeting a CAGR of at least 30% plus growth. So, which means conservatively on a three -year basis, we will be able to double our balance sheet. So, we will be close to INR 20,000 crores in three yea rs. That is the first point. Now, of this, what constitutes this INR 20,000 crores , it will largely be from the South . So, today South contributes 94% of the portfolio roughly, we believe the composition of central India and North India will at least keep improving over the next three yea rs. But I think probably about 90% of th e portfolio will continue to be contributed by South. Now , from a branch expansion perspective, we are already at about 520 branches at this point of time, we will very easily be able to double the points of presence in about the next three years, which means we will have close to 1000 branches in a period of three years from now. Like Mr Pat hy explained in the beginning of the call, this will be through a combination of new branches that we are opening, standalone new branches that we are opening and a spl it branch, and a split branch that sort of emanates from larger branch es. The split branch is part of the core strategy, which means we don't want any single branch to become too big and become too risky for any reason, whether it is business, whether it is collections or whether it is people dependencies , we want to make sure that the risks and the operational metrics are contained at a reasonable level. We could also fairly clearly say that I think over the next three years we are not deviating from the c ore business focus which is we will continue to be targeting small businesses and self-employed individuals . At this point of time, f rom a core perspective, we don't have any new product additions . The ticket sizes will be guided more in the nature of inflationary increases. So, maybe in about a three -year period we will be close to INR 5 lakhs at this point of time from about INR 3.5 lakhs . We have been very consistent with respect to both profitability and quality that will continue to drive whatever that we are doing. So, the growth is definitely not going to come at the cost of either profitability or quality.

Aditya : Sir, just a couple of questions also, in the previous participants qu estion where he had highlighted, where he had asked you about disburse

ment , so just looking this doing simple math , we should be doing easily a 30 %-32% disbursement growth even if we take our INR 13.5 crores of disbursement for branch what we did this year and we have added close to 147 branches , is my understanding correct?

Srikanth Gopalakrishnan : So, there will also be newer branches that will come in which may not do the INR 13-INR 14 crores disbursal that we are talking about , so you will always have a little bit of a lag there .

Aditya: If you can help me understand , say for example how you show vintage wise AUM, what would be the vintage wise disbursement track record of l ess than one year, one to three, three to five and more than 7 years?

Rangarajan Krishnan : No, I think from a branch perspective, it is not driven by vintage. It is driven by the number of people at the branch. So, there could be branches where we have only about four officers when we are starting, but there also could be branches where we have close to 10 officers. So, it is not really dependent on vintage, it is dependent on the number of people because what we are talking about is

incremental business during a month and that is not dependent by vintage . That is more based on how many logins each officer is doing and how many office rs are there in a particular branch.

Aditya: And in our presentation, we are showing that we want to come down to 8 to 9 days of TAT c ompared to what we are at 10 today, so this reduction that we are planning to do , will it be more tech oriented that is like we are expecting our productivity per employee to go up or we are planning to add more employees to reach this TAT?

Rangarajan Krishnan : No, I think this will be through a combination of tech plus some process optimizations that we will do. The 8 to 9 is also today driven largely by many external factors because we are dealing with properties, we take an external legal opinion for every property and that is like a pre -disbursement or a pre -sanction condition . So, there are dependencies, so I don't think it can come down by compromising on something which is core to the company, but we still have some tech initiatives , we went live with Salesforce only last year. And we have a lot of optimizations to do on the Salesforce. In addition, we will also be able to do some process optimizations that should get us another 15 % to 20% reduction in overall TAT .

Aditya: So, in the presentation, we highlight that the market size is 22 trillion , wanted to get a colo r at our ROI of 23 %-24%, what would be the actual market because you would have a clear understanding of how on the ground the picture looks like ?

Lakshmipathy Deenadayalan : See, what we have given that INR 22,00,000 crore s market opportunity is based on a study done by
CRISIL based on Five-Star business model. This is not based on generic point . It was based on Five-Star business model, those people who have shops , who are self -employed and who can afford to give a property as a security. So, that is where this number has been brought in. So, it is not a broad number, it is a specific number. If you are going to be in a Pan India player, this is a market that it is available to go and pick it up. So, it is Five-Star specific.

Rangarajan Krishnan: But Aditya, just to add another angle to this whole thing, we have always sort of maintained that this segment, which is graduating from informal to formal, they are not that sensitive to pricing. I think what they are more sensitive is whether they are able to get a loan and what is the quantum of loan that they are able to get and will that quantum helps them stand on their own legs, whether it is setting up a business or whether it is putting up a new asset in their family. So, with this, we believe that it is not about more of interest rate sensitivities

in this segment. It is more about pulling people from informal to formal into the game.

Moderator: Thank you. The next question is from the line of Ajit Kumar from Nom ura. Please go ahead.

Ajit Kumar: My first question would be , what is the need to keep 55% provision on your restructured book because I guess most of the restructure d book would be classified under Stage -2 and now we already have 55% provision on GS3, so what is the requirement of keeping this 55% provision on as the restructured book?

Srikanth Gopalakrishnan : So, Ajit, about 20 %-25% of our restructured book is in stage 3 , so which automatically has a 55% provision that we are holding. The other part is also that see in the restructured book what has also

happened is there has been a capitalization of interest that we did during the 6 months, when the customer did not pay, when we had given a moratorium period to the c ustomer , now that accrues interest on a month -on-month basis. Now , if at all there is a request from the customer towards the rear end of his loan in terms of any discount that he may need on his settlement , there may be some haircuts that we will have to take on this accrued interest not on the original principle. So, from that perspective , the need is that we want to carry, given that the portfolio is also accruing interest and growing because of the accrued interest on a month -on-month and a quarter -on-quarter basis. We believe that having a slightly higher provision on this book will be a little m ore prudent as compared to because it is also finding its way to the to pline every month. So, that is the intent of keeping a slightly higher provision.

Ajit Kumar: And second question would be , how is balance transfer out trending as of now versus historical level be the out rate?

Srikanth Gopalakrishnan : So, nothing material, just like what we keep telling. Very few of our customers actually graduate to the next level , so even if you look at BT out s today, I think it is more like 2 %-3% that we are talking about , so nothing to be really worried about or alarmed about. It is a very immaterial number , pretty much in line with historical averages.

Ajit Kumar: And lastly, if you can give a sense on balance transfer in rate, I mean people who are coming from other lenders to Five-Star, I remember it used to be roughly 6 % to 8%, 1 to 1-1/2 years back. So, what is this number right now?

Srikanth Gopalakrishnan : Formally, what you a re saying, it is about 5% or so, but the se are from formal lende rs. Our basic business model is to graduate these customers from unorganized financial institutions or money lenders to institutions like Five-Star. There, the number can be significantly higher, which obviously we don't track straight also because you don't really lend money to the money lender, and it does not give you the abi lity to track as we can track a BT in from a formal lender. BT in from formal lenders continue to be around the 5%-6% levels.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, I just wanted to understand something on the ROE and ROA profile over next 2-3 years because we do intend to increase our leverage, right , currently it is at 1.1-1.2x odd and as we increase your leverage, ROA would tend to go down and ROE would tend to go up, right? So, we have to see next 2-3 years , how do we see the trajectory of ROE and ROA profile for us our next 3 years?

Lakshmipathy Deenadayalan : Yes, as you said, 1.25% is debt to equity. The leverage is at close to 2.2%. What we have been guiding
to the market is we will not come to the market for the next 5 years. So, the game plan is to increase our leverage to close to 3.5% in the next 3 years or so . As you keep increasing your

leverage, your
ROA will come down because you borrow more money, and you pay interest on it. So, our guidance for the next 3 years ROA will be around 6.5 % to 7% and if you multiply that with the leverage of 3.5%, our guidance for next 3 years on so ROE will be around 20% plus. Good thing is we have made a good progress in both increasing our leverag e and profitability. So, that is you h ave seen that in this
 year and especially in this quarter our ROE has moved up 18% plus for the quarter and for the full year we are at 17.6% . So, that shows a very strong momentum that has been coupled with the leverage and the profitability.

Deepak Poddar: And this 3 year that we have seen , we would see a steady increase in a steady decrease in both ROA and ROA , right ?

Lakshmipathy Deenadayalan : Yes, t hat is the game plan will be constantly focusing to increase our leverage under the same business
model. So, that will bring down our ROA slightly on a quarterly and yearly basis and increase our ROE to that extent.

Deepak Poddar: And 100% of our loan book is secured, right?

Lakshmipathy Deenadayalan : Yes, 100%, no doubt about it. Out of 100 %, 95% are self-occupied residential property and 5% is
either shop or the vacant lands.

Deepak Poddar: So, 95% is self-occupied residential property ?

Lakshmipathy Deenadayalan : Yes, and balance 5% is also secured , secured by shops or vacant lands .

Moderator: Thank you. The next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: I just have one question. So, I think at some point in time in the past, you mentioned that one business officer can handle about 120 accounts and when I look at that ratio today, that is about 81 implying that a typical business officer is handling about 80 accounts, so what stops us from increasing the workload on a business officer rather than actually going for newer employees as that would help improve efficiency for you, that is my only question ?

Rangara jan Krishnan : So, rather, it is a combination of having some cushion because of attrition s potentia lly, so let us say if every officer is full up on this capacity and there is some addition which occurs, let us say in the middle of the month or during the quarter, it is very difficult for you to rearrange that office r's account to the others because they are already full up on their capacity. So, you can't really optimally operate at exact full capacity in every officer. So, that is the first part . And second when you are opening a new branch, it always takes time for this build up to happen, so it is not going to happen on day one. So, when you are starting , each officer, let us say logs in about 5 files and about 4 files get approved , it typically takes at least 2 years for that officer to accumulate close to 100 accounts. So, because of the timeline and because of operational reasons such as attrition, you can't really fully load it up. I think there will always be some lag and cushion which is there in the model.

Raghav Garg: So, if say, we were to look at this number on a 2-year lag basis, say number of accounts today on a base of employee base, say 1 year ago or 2 years ago, this number would be higher. Is that the correct way to look at it, what would that be?

Srikanth Gopalakrishnan : If you look at it one year lag , that number is more like about 100 accounts per officer , 3.8-3.9 lakhs
on about 4000 employees. So, yes that is probably one of the ways to look at it . I wouldn't say that is
 the most ideal way . The most ideal way would p robably when we get to a lot more steady state scenario where we are not opening so many branches or when we are not growing at very high level.
I think that is when we will probably

reach about 120 or so . Till that point of time , if you look at the
one year la g, you are right where if you are operating at about 100 to 110 that would be an appropriate number .

Raghav Garg: And one more thing, I think you had mentioned at some point that you would double the branches from here on, right? I think the base is about 590. If i t is the right number, which I am looking at, and then you will take it to , sorry 520 going to 1000 in the next 3 years, is that right? And this would be because of new branches as well as the splitting of some of the existing large branches, correct?

Lakshmipathy Deenadayalan : Yes, Raghav , you are right. There was a question from a n investor . For that we gave a reply that in
next 3-4 years, how does this busines s look like? So, we have said we wi ll be doubling our branches from 500 to 1000. This includes two things. We will be opening 80 to 100 branches year-on-year. That is the guidance that we have been saying to the market . Even last year we said we will be opening 80 to 100. We have done more than 100 bra nches. Balance is the split , two-third is the new branches and one -third is the split, so that will get continue d, and the split branches will take its way this year and maybe next year too. So, that can be even added . So, both put together is what we have said will be close to 1000 branches in next 3 -4 yea rs.

Raghav Garg: So, just a follow up on that. When I have looked at historically your business, what you seem to have done is that while the branch expansion has been there, you deployed more people in the same branch and that is why your number of people per branch has almost doubled in last, I think 5 -6 yea rs. Will that continue? Will you continue to deploy more people in the same branch, or will you cap it at say 18-20, which is the current run rate right now?

Lakshmipathy Deenadayalan : So, Raghav, that was the strategy that what we have been adopting in last 6 to 9 months which is a
cluster strategy. We don't want any branch to cross more than 2000 accounts that is INR 50 crores of AUM and we want that to be split into 2-3 branches. So, ideally going forward, Five-Star will operate in the smaller branches where the accounts are around 1000 accounts per branch that is INR 25 crores per branch. That is ideal . If a branch crosses 1000 accounts, a split will be made and a new branch around 5 to 10 kilometers vicinity will be put in and we will be transferring some accounts there. So, both the branches keep growing, so that is the strategy of cluster. Just to recall , there is one unforesee n incident, which has happened in another N BFC where hug e amount of fraud has been done in a single branch. So, I think keeping too mu ch of accounts and too much of AUM in a single branch really is a risk from a retail perspective. That is where we thought ahead, and we started to put in this cluster approach and splitting branches within the bigger branches. So, going forward , we will ideally want to be 8 to 10 members in a branch looking after close to less than 1000 accounts. That will be i deal. That is proven in Five-Star in last 6 to 9 months the smaller br anches are productive, effective and their collections and attrition levels and poaching levels are far lesser.

Raghav Garg: So, those 8 to 10 number that you are referring to employees , those are just the business officers, right?

 Lakshmipathy Deenadayalan : No, it is a combination of business collection and the support team. We give three support team for
every branch, which is one guy will be credit, one will be cashier and one will be operations. All put together, I said 10.

Raghav Garg: And you will cap the branch handling capacity at 1000 accounts, right? Is that the number ?

Lakshmipathy Deenadayalan : Yes that is ideal. That is what 800 to 100

0 is the ideal that what we are thinking right now.

Moderator: Thank you. The next question is on the line of Arvind from Sundaram Alternatives . Please go ahead.

Arvind: Sir, like our growth continues to be very strong, but when I started into geographies, I can see that AP and Telangana is like pretty very much strong and these are the two regions are primarily contributed to the A UM growth in FY24 and there have been some moderation and growth in Tamil Nadu and Karnataka regions. Any particular reasons the growth has slowed down a bit in comparison to like even the overall growth , can it improve in the subsequent years? That is my first question and branch additions when we t alk about like is it safer to assume that it will be again in the Southern region whereas the other regions would be minimal like 80 -20 something like that?

Lakshmipathy Deenadayalan : Yes. On the first point, Tamil Nadu and Karnataka ha ve not slowed down, whereas Andhra and
Telangana ha ve moved up. So, Telangana, Tamil Nadu and Karnataka, if you see standalone comparing to last year, they have also grown pretty, very well. And one more point to add , I have been guiding to you people that Karnataka was little over after, when the state was coming out of COVID for last few quarters, their performance has done extremely very well , the collection efficiency and the quality of asset that we are able to demonstrate in that state. So, that state will also be looking up for this financial year. So, if you look at this financial year, we will invest a lot in Tamil Nadu and Karnataka together that puts both the states competing with AP and Telangana which is really doing well. From the second question, on the branch addition, we have been always guidin g 80 to 100 new branches will be put up for Five-Star excluding the split concept what I said . Out of that close to 80% wil l be in South and as I said, Karnataka and Tamil Nadu will take a lion share in this financial year with Andhra and Telangana doing really well. So, out of 80% putting South and balance, 20% will be in the rest of the country. That too predominantly will be in MP and Maharashtra where we hav e, MP we have very strong presence and Maharashtra we have a very reasonable presence and both the states have been with us for the last 5 years. So, we have a reasonable experience in that state. So, that 20% predominantly will go to th ese two states.

Arvind: And then my next que stion is on the cost of funds front since incremental cost of funds is lower than the book , is it safer to assume that like the cost of funds would be unlikely to move further from this quarter the exit quarter? And also, to get the PSL benefit in terms of bank borrowing like we needed to do this Udyam registrations of our customers , has it been done?

Srikanth Gopalakrishnan : So, on the first point, I think one of the others had a similar question and I clarified . Today , there is no big delta between our cost of funds on the book and the cost of incremental debt. And given that we are looking to diversify our borrowing sources, hopefully we will have some more mutual funds and all getting into this where we may have to pay a little bit of a premium. We will not see any big benefit coming through in terms of the increase in spreads and all that . If at all there could be a slight

compression that may come through because we may want to pay a little higher to onboard the right kind of lenders to the company. So, there is not much scope for reduction goi ng forward both on the cost of funds on the book as well as cost of incremental debt. In terms of the PSL, yes what we guided, yes, we have made significant strides in terms of getting Udyam assist registration for our custome rs. Almost 8,000 to 10,000 customers have already been registered on the portal. So, during th

is year,
we are c onfident that we will be able to onboard lenders who will be lending against the PSL assets . So, our belief is that out of the overall di sbursals of, let us say, INR 6,500 crores that we are envisaging for the next year at least about 25 % to 30% of that would be PSL compliant assets and we should be able to get benefit on those assets from lenders perspective . The quantum of benefit requires to be seen whether it is going to be translating into a benefit on the cost of funds or people are going to be newer lenders who have been a little reticent to the company would come in to lend to us and all that , but definitely we will see at least above INR 1,000 to INR 1,500 crores of incremental debt that will be onboarded using the PSL assets.

Arvind: And we talk about, borrowings, like in fixed rate is 31% , so remaining , should it be like in repo linked or EMCLR linked or any mix on that ? And then another question is on credit cost , like credit cost in this quarter is slightly higher than the previous quarters despite our improving Stage -2 and stage 3 ratios, i s it to fortify the PCR or any other i ndicators which is showing like ?

Srikanth Gopalakrishnan : So, on your first question, yes, this will primarily be repo linked or external benchmark rate link facilities because some of the banks their one year MCLR or six-month MCLRs or even 3 months MCL Rs are higher than the overall cost that we are willing to give to those banks. So, if you have to borrow from the m we have to go with an external benchmark rate. So, the 29 %-30% will be external benchmark link ed primarily around the repo rate. See the credit cost increase for this quarter is primarily on account of a technical write -off that we have taken. So, the last couple of quarters, we have not taken any write -offs and given that we do get some tax arbitrage because of the write -off. This quarter we did take about INR 6 crores of write -off. So, if you really break up the credit cost of 69 basis points , it is roug hly 39 basis points on account of ECL provisions and about 29 to 30 basis points because of the write -off. So, if you remove the write -offs, the provision is in line with last quarter and last quarter we did not have any write -offs. So, broadly there is no increase in the credit cost assets. It is more on account of the technical write -off that we took during this quarter.

Moderator: Thank you. The next question is from the line of Chirag Fialoke from Rat na Traya Capital. Please go ahead.

Chirag Fialoke: Just one question , sir, on the liquidity side or just the cash in hand , could you just help us understand how do you guys think of that? Is it just in terms of number of months of disbursement and opex and even from a future perspective, when you do increase the debt, what kind of cash in hand would you want to keep?

Srikanth Gopalakrishnan : Chirag, b roadly, our liquidity policy is to maintain three months of operational expenses, three months of projected lender repayments and one month of projected dis bursals in the form of cash. This number will work anywhere around INR 1,500 to INR 1,600 crores given that our disbursals are also fairly strong . We are slightly higher as we speak. We were at about INR 1,875 crores. I think we want to continue this policy as we go forward at least for the next financial year. We will try and see how

we can align a lot closer to the policy than keep more money beyond the policy. But in terms of being a prudent lender and to ensure that we don't face any hiccups from a liquidity perspective, we would like to continue this. I think another thumb rule that you could probably look at is we will probably have around 15 % to 18% of our AUM in the form of liquidity even in the steady state scenario.

Chirag Fialoke: So, you could just repeat the

last number, 15, how much did you say?

Srikanth Gopalakrishnan : 15% to 18% of our AUM will be in the form of liquidity.

Moderator: Thank you. The next question is from the line of Nis chint from Kotak Mutual Funds. Please go ahead.

Nischint: This is Nischint from Kotak Securities. Just one clarification , you mentioned that your write -off is a technical write -off, but it is actually hitting your P&L right , it cannot be technical write -off?

Srikanth Gopalakrishnan : No, s o Nischint , what we mean as technical write -off is not in the strict legal sense of the term. It has more to do with the fact that these are cases which are recoverable where we have the property with us. Necessary legal actions have been instituted against the borrower , but because these are a little delinquent cases and we don't want to continually keep showing them as 90+ assets , we have written off. So, what I meant by technical write -off is there is not too much of doubt on the recoverability of these assets, but it will take time to get the money back from these custome rs. So, that is the difference between practical and technical write -off that we mind .

Nischint: And in terms of credit costs, would you be , because it is something which probably can hiccup, so in terms of credit cost as per your math, would you be closer to where we are at this quarter which is sort of around 80 basis points or probably the last 2 quarters where we are closer to 50 basis points ?

Srikanth Gopalakrishnan : I think we will be more closer to where we are this quarter, Nischint. I think we have been guiding even in the past for about 75 to 100 basis points of credit cost. So, I think it would be a lot more closer to where we are this quarter rather than what we were in the last year or in the last couple of quarte rs. So, yes, about 70 to 80 basis points is probably the number that we would like to carry on our P &L.

Nischint: And just clarification in the same point that you mentioned earlier, you will probably need to kind of keep something like 20% of your balance sheet in cash and liquid investment, is there a scope of reducing it?

Srikanth Gopalakrishnan : We will reduce it, so as we speak, it is at about roughly around a little less than 20% of our AUM , not the balance sheet, but we believe that the right number would be more around 15 % to 17%. So, there is definitely scope for reduction, but March being the quarter where a lot of people also want to lend money s to you, and especially the fact that we got sanctions from institutions like NABARDs , we are okay to maintain a little higher liquidity, but our ideal number will be somewhere around 15 % to 17% of AUM in the form of liquidity.

Nischint: So, there was actually an improvement right between December and March. So, if I actually look at it this quarter, you sort of benefited from maybe lower average cash for the quarter.

 Srikanth Gopalakrishnan : We will keep bringing it down. So, March will , most likely March will always be a little bit of aberration, but the focus is to be closer to 15 %-17% and not 20%.

Moderator: Thank you. The next question is from the line of Dinesh Kulkarni from R DST. Please go ahead.

Dinesh Kulkarni: My question is you mentioned that most of our branch growth would come from the South with 90% focus on the South, the question is why are we not focusing much on the North or Northwest part of India? A re we experiencing any competitive pressures there from MFI or any other competitors ?

Lakshmipathy Deenadayalan : Not like that. We have been here in South for the last 20 years, so we know this market. We know these customers, their behavioral aspect, everything we can able to read it very well and we are happy to say the regional player, we don't want to be seen as a Pan India player right now.

That is why our focus are more towards South and South is more stable and especially in collections, S outh is more stable in collection. And the four big stages where we have been present, we have not even made a 25% reach i n the respective states. So, a lot to be done in the South itself . That is point number one . So, we don't wan t to leave opportunity in a known market and go and search opportunity in an unknown market. So, that is logic number one . Second, having said that, we don't want to see as in North unknown market three years down the line. That is why we have been putting our branches in safer zones like MP where we have close to 60+ branches there . We have been investing this 60+ branches in M P for the last 5 years. So, we are doing it very well. Since we are breaking MP very well, we are now getting into the Rajasthan, maybe, probably Gujarat later part of this year and we have gone into Maharashtra and we have been in Chhattisgarh, so these are states where we are learning our experience slowly, steadily. So, it will be very useful when we look back ourselves three years down the line where our predominant growth will come from even in the rest of the country. That is our strategy.

Moderator: Thank you. The next question is from the line of Sagar Dua , an Individual Investor. Please go ahead .

Sagar Dua: Sir, I am an individual investor . Sir, I want to know as we are earning consistently wh y we are not paying dividends to shareholders ?

Lakshmipathy Deenadayalan : Yes, that is a good point that board is considering it . We will be coming out with the different thought process very soon. You will be hearing this good news from Five-Star very soon.

Moderator: Thank you. As there are no further questions, I would like to hand the conference over to Mr Lakshmi pathy for closing comments. Thank you.

Lakshmipathy Deenadayalan : Thank you. Thank you all. As we have been saying, we are very robust and very optimistic in the product and the profile of the customers whom w e lend, and this optimism will continue and see you very soon. Thank you.

Moderator: On behalf of ICI CI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

D
ate: August 07,2024
The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers, Dalal Street, Fort Mumbai 400 001
Scrip code: 543663
Sub: T
ranscript of the Earnings Conference Call for the quarter ended June 30 , 2024
D
ear Sir/Madam,
P
ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on
Thurs day, August 01, 2024.
T
he transcript can also be accessed from the link: https://fivestargroup.in/investors/
K
indly take the above on record.
For
Five -Star Business Finance Limited
S
halini Baskaran
Company Secretary & Compliance Officer

"Five-Star Business Finance Limited Q1 FY 25
Earnings Conference Call"

August 01, 2024

MANAGEMENT : MR LAKSHMIPATHY DEENADAYALAN – CHAIRMAN &
MANAGING DIRECTOR , FIVE-STAR BUSINESS FINANCE
LIMITED
MR RANGARAJAN KRISHNAN - CHIEF EXECUTIVE
OFFICER , FIVE-STAR BUSINESS FINANCE LIMITED
MR SRIKANTH GOPALAKRISHNAN - CHIEF FINANCIAL
OFFICER , FIVE-STAR BUSINESS FINANCE LIMITED

MODERATOR : MR SAMEER BHISE – JM FINANCIAL

 Moderator : Ladies and gentlemen , good day, and welcome to Five-Star Business Finance Limited Q1 FY '25 Earnings Conference Call hosted by JM Financial.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
Please note that this c onference is being recorded.
I now hand the conference over to Mr . Sameer Bhise . Thank you , and over to you, sir.
Sameer Bhise : Good morning , everyone , and welcome to the Five-Star Business Finance Limited 's 1Q FY '2 5
Earnings Conference Call. First of all, I would like to thank the management of Five-Star Business
Finance for giving us the opportunity to host this call.
From the management side, we have Mr. Lakshmipathy Deenadayalan - Chairman and Managing
Director; Mr . Rangarajan Krishnan - Chief Executive Officer , and Mr . Srikanth Gopalakrishnan
- Chief Financial Officer of the company .
As always, we will have opening comments from the Management , post which we will open the
floor for Q&A.
With that, I would now like to hand over to Mr. Lakshmipathy Deenadayalan for his opening
comments. Over to you , sir.
Lakshmipathy Deenadayalan: Thank you , Sameer. Good morning. I welcome everyone for this Q1 Earning Call for the
Financial year '24-'25. This is our eighth earning call. You have seen us in the last 8 quarters of
performance, what we say and what we do and what we have delivered in last 2 full cycles.
Before getting into the numbers of the June Quarter , let me give you some highlights :
Generally, June quarter is a muted quarter for all lenders. For Five-Star, we have done extremely
well and did highest ever numbers in this quarter.
To highlight a few, I am happy to say that our asset under management has crossed 10,000 crores
in June quarter. Very emotional, being the Chairman and Managing Director of the Five-Star.
When I joined 20 years back, we were at 10 crores. Today, when I look back and see the growth
what we have done in the last two decades, we have reached at 10,000 crores, which is 1 ,000
times in last 20 years. Thank you for all the support that shareholders have been offering to me
and my management team to run it in a steady and a stable way.
The second highlight is our profitability, which has crossed 252 crores in June quarter, which is
our ever-highest quarter of PAT recorded in the history of Five-Star.
Third highlight , our ROE, which is the return on equity, which is a very important metric for a
shareholder , is at all-time high of 18. 95% in a quarter and we will comfortably cross 19% for the
full year.
 So, with these positive highlights, what we have done in the June quarter, let me get into the
numbers. Starting from branches, we have opened 27 branches in the June quarter, which keeps
our total branch strength at 547 branches.
Disbursement which saw 1 ,318 crores in June quarter comparing to 1,336 crores in March quarter ,
which is almost flat , it is a good sign when a lender was able to deliver the disbursement equal to
the best quarter of March . That gives a very good kickoff for this full financial year.
When we compare with June of last year , we did a disbursement of 1,132 crores, which is 16%
higher than year-on-year. That has reflected in increase in our AUM, as I said , we have crossed
10,000 crores . We are at 10,344 crores as of June end, versus 7,583 crores in last June, registering
a 36% year-on-year growth, and from March, 9,641 crores registering a 7% growth on Q -on-Q.
Now, taking you to the collections, which is the most important part, our collection efficiency

in
June was a bit lower comparing with March . That is the usual effect of the June quarter. Adding
to that was the election heat and heat wave across entire country that had an impact on the
collection efficiency. Nevertheless, it was only a small blip . We were at 99.5% in March . We are
at 98.5% in June.
The unique customer collection efficiency, which we normally call collecting a due from all live
customer was almost equal with March. It was at 97.8% in March versus 97.2% in June. So, that
shows the slowdown is very, very small. This has reflected in cross Stage -3 assets moving from
1.38% in March to 1.41% in June, a small blip increase of 3 bps, whereas it was stable comparing
with last June, it was 1.41% versus 1.41% in this June too.
Now, moving towards the cost of funds :
Our cost of funds on book was 9.6% in June quarter, which was same in March quarter as well,
but the good news is the incremental cost of borrowing is coming down from 9.58% in March to
9.47% in June. So, this shows the interest from lenders’ perspective and the risk premium, what
was added to Five-Star is coming down.
The increase in AUM and good collections has resulted in one of the good profitability for Five-
Star. Our total income has gone up to 669 crores in the June quarter, comparing to 483 crores last
June year-on-year, registering a 38% year-on-year growth. And from March, it moved up from
619 crores to 669 crores, which is a growth of 8% , translating into good profit, as I said earlier,
highest ever profit that we have made in a single quarter. We have done 252 crores of PA T
comparing to 236 crores in March and 1 84 crores in June last year, registering a 37% year-on-
year growth and 7% Q -on-Q growth.
And finally, moving towards the returns, the return on assets is stable at above 8% comparing to

March. And as I said, the return on equity is a n all-time high at 18.95% comparing to 18.65% in
March quarter. And as I commented earlier, we will be comfortably crossing 19% plus for the
full year in this financial year.
 So, with these numbers, I will hand over to Srikanth – our CFO, to give detailed commentaries
on all the numbers.

Srikanth Gopalakrishnan: Good morning to all of you. As Mr. Pathy said, this is a very, very memorable quarter for us. We
crossed the 10,000 -crore mark in our A UM. So, this is a progress that has been built over the last
many years and it's a moment of real joy for all of us. I will touch upon some aspects which Mr.
Pathy has not covered. I don't want to repeat whatever he has already stated.

Our active loans have gone up from about, it has gone up to about 4.1 lakhs, which is a 29%
growth on a year-on-year basis. This clearly shows that the growth is still led by an increase in
borrower base rather than increase in ticket size. The ticket size remains almost flat at about 3.5
lakhs.

Our yields continue to remain consistent at around 24 %, 24.25% . Cost of funds is at 9.65%. So ,
the spreads are flat as compared to the previous quarter and similar to June '23 as well.

There is a compression in NIM s on account of increased debt and increased leverage. The NIM s
dropped to 16.72% as against 17.74% in Quarter 1 of last financial year.

Our cost -to-income continues to be very attractive. Inclusive of credit cost, this number was at
about 34.34% for this quarter as compared to 36.6% for the June quarter of last year. Again, as
we have guided in the past, we expect our cost-to-income to be around 35 %-36% levels in a
steady state scenario. So , there is not very great room available for continuous reductions in the
quarters to come. This has resulted in an ROA of about 8.23% for the quarter and a return on
equity of 18.95%, very close to 19%.

From a borrowing perspective, we have about 42 lenders who have lent to us. O

ne other
encouraging fact, in line with our stat ed strategy, we have started the process of diversification of
our borrowings. Our borrowings from banks, the proportion of borrowings from banks reduced
from 79% in March to about 74% as of now. If you compare it on a year -on-year basis, it has
dropped from 84% to 74%.

During this quarter, we received incremental sanctions of about 850 crores. We availed 825 crores
at an all -inclusive cost of 9.47%. The company continues to be conservative in terms of
maintaining good liquidity buffers and unavailed sanction lines. So , we had a liquidity buffer of
about close to 1,900 crores, 1,891 crores and unavailed sanction line of about 400 crores. We will
also see more non -banks, capital -market transactions and DFI getting added in this quarter and
the quarters to come .

We have seen a marginal dip in the collection efficiency. Mr. Pathy has already talked about that.
But for those marginal increases which has also impacted the current and the delinquency buckets
a little bit, from a provision coverage perspective, we are still very healthy and robust. We have
a Stage -3 provision coverage of 52% and then overall provision coverage of 1.63%. So, we will
continue to remain optimistic as well as cautious . We will maintain a good level of provision
buffer to protect us against any unforeseen risks.
 One of the other encouraging facts during this quarter is the penetration of digital payments. If
you recall, we had highlighted in the last earnings call that we would end this year with about
70% non -cash and 30% cash payments. We were at about 57 -43 as of last quarter.

But this quarter, we have actually made a very significant improvement on that. We are at about
65% of non -cash payments and 35% of cash payments. So, to achieve the number of 70 -30 that
we had guided you seems a very , very comfortable position for us. At this point of time, we don't
want to revisit our guidance, but 70 -30 is extremely achievable for us. So, that is another positive
that we have achieved during this quarter.

So, given all of these things, we had one of the best quarters in terms of profit after tax at 252
crores, a growth of 37% year-on-year and 7% on a sequential quarter -on-quarter basis.

Our net worth stands at about close to 5 ,500 crores . It is at 5 ,450 crores. So, again, we have
demonstrated good performance across profitability, quality and growth, which will continue in
the quarter s to come .

With these opening remarks , we will open out for any questions that any of you may have . Thank
you.

Moderator: Thank you very much . We will now begin the question -and-answer session. The first question is
from the line of Mahrukh Adajania from Nuvama Capital . Please go ahead.

Mahrukh Adajania: Congratulations on the results and on the 10,000 -crore mark. I just had a couple of questions.
Firstly, on your liquidity. So, now, do you see yourself maintaining such excess liquidity for a
long period of time? Because I guess the liquidity buffer has kind of increased over the last 3 -4
quarters, right , as in the level of liquidity buffer. Would that continue for some more time?

And then the other question is that there is varied feedback from lenders on how heat wave has impacted collections. Yours don't seem to be impacted in any big way. So, any comments you would offer on how you could have good collections in an otherwise bad quarter for others ?

Lakshmipathy Deenadayalan: Thank you, Mahrukh . Let me take up the second question. Then Srikanth can come in for the first question. Yes, Mahrukh , it was a tough quarter for all lenders. Generally , after pulling back everything from customers in March, generally there will be a muted quarter for June. Let it be banks or non -banks, the trend is the same .

But what happened in this June was a prolonged elections and prolonged heat wave had an impact on the cash flows of the customers. Adding to it, June was the school season. So, p eople have to pay their kids ' school fees. So , there were three challenges for every lender. I am not talking about Five-Star. For each and every lender at retail level, where they have one or two loans to repay, it was not easy for the customers to repay the EMIs on time.

But as I said, we have a very strong collection infrastructure at the ground level. This helps during these kinds of things, and we are able to monitor this very well because we know that May and June is going to be the difficult one. So , we had a good strategy, collection strategy, put in place

in May and June that has really had a good effect. There was a small blip, as I said in the opening remarks from the collection efficiency and you see DPD, th ere i s a small dip in each of the buckets . That will get corrected in due course of time.

So, I can even give you the update of July, which closed yesterday. It gives an encouraging sign, and it is better than the June month collections. We have to wait and see how August and September turn out for Five-Star. But yes, because of expected , one, and because of the strategy put in place, our impact was a bit lesser compared to other lenders. Yes, I also saw other lenders ' numbers , Five-Star is fortunate to have lesser impact compar ing to them.

Srikanth Gopalakrishnan: So, Mahrukh, your question on t he liquidity buffer that we are maintaining , our intention is to maintain around 15 % to 17% of our A UM in the form of liquidity. This is broadly the thumb rule that even bigger NBFCs are actually following. And we would like to maintain at about 15 % to 17%. We are probably 1 % to 2% higher than that.

But if you look at from a trajectory perspective , this number has been coming down. We were at about 20 % of our A UM that we had as liquidity in December. That has actually dropped to about 18% as we speak. See, it is not a question of the fact that we want to have a higher liquidity buffer. It is also a question of the kind of sanctions that we get, what are the sanctions that can be accommodated , and what are the sanctions that can be pushed out a little bit.

So, there is a little bit of balancing act that we play on this. But we will definitely ensure that we maintain about 15 % to 17 % liquidity. And a percentage or two higher will be because of specific names that we have been looking at onboarding. If they come in, like , for example, IFC could not have been tranc hed out. But we needed IFC and hence we had to take the entire 500 crores. There are still 400 crores of untran ched sanctions that we have as we speak. So , it is a balancing act that we do. But about 15% to 17 % is what we would like to maintain in a steady state scenario.

Moderator: Thank you very much. The next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: I have a few questions. So , one is, you know, on the business officers side, I see that the addition to business officers is nearly flat this quarter whereas in the last several quarter s, you seem to have beat it up. So , what's the thought process here behind no addition of these officers ? Is it that you hired a lot in the last four , five, six quarters and you want to utilize that capacity first ? That's my first question .

Rangarajan Krishnan: Raghav, in the last earnings call , we explained to all of you that the strategy from a branch expansion perspective is divided into two parts. One part is what we call as a split branch or a cluster approach wherein one bigger branch is getting broken, and it is from the bigger branch , we are opening another new branch. So, when this happens , there is a set of officers who get transferred from an existing branch to the newly opened split branch. So, this constituted about 50% of the branch openings last year and the balance 50% is all completely branches that have started from scratch .

So, if you look at in the first quarter of this year , we opened about 27 branches. Again , the split is very similar. So, wherein a number of new branches have been opened which is just split from an existing previously big branch and when this happens , officers get transferred from the bigger branch to the newly opened smaller branches.

So, it is not a linear addition of officers with respect to the branch openings. This is what is also giving us the leg up in terms of a little bit of lower operational cost that you can see reflected in

our financials.
Raghav Garg: So, that is why it is leading to say higher number of accounts being handled for and you got
impact, right, just the segregation of branches in terms of new branches and the cluster expansion.
Rangarajan Krishnan : Correct.
Lakshmipathy Deenadayalan: Raghav , just to clarify it further, it is not a higher number of accounts given to an officer . Where
an officer had a lower number of accounts , it has been adjusted in last quarter.
Raghav Garg: Just out of that 27, how much of that would have been because of the cluster expansion and how
much of those branches are completely new?
Rangarajan Krishnan : Raghav, roughly , it is 50 -50.
Raghav Garg: And just one last question on, you know, in terms of the number of loan accounts or loans
disbursed . The growth is about 11% . There is quite a bit of moderation. Where do you see this
number in terms of growth for FY '2 5 on a sustainable basis for say the next 3-4 years?
Srikanth Gopalakrishnan: Raghav, are you talking about the A UM growth?
Raghav Garg: No, I am talking about the number of new loans disbursed in this quarter .
Srikanth Gopalakrishnan: Number of new loans disbursed? See, the point that we are saying is that is linked to the overall
disburs al quantum that we are looking at. So, for example, between last year and this year, our
disbursals are expected to go up by about 25 %-27% and with a little bit of push up in the ticket
size, which will come because of inflationary increases, you will probably see the number of loans
growth by about 20 %-22% rather than getting to 25 %-27% kind of a number. So, I would say ,
broadly, anywhere around 18 % to 20% is the number of loans that you will keep going up, that
will be the disbursal number on a quarter on quarter basis.
Lakshmipathy Deenadayalan: So, Raghav, there are three things for the growth to kick in for Five-Star. The first one is the
branch addition. I will restate that even in this year, we will be adding close to 80 -90 new branches
and close to 100 split branches. So, the numbers will be close to 200 branch count, whereas new
branches will be 80 to 90 and the rest will be the split branches as Ranga explained to handle the
risk better. That's the first lever .
The second lever is the addition of officers. That will also be done in this year.
 Third is the increase in ticket size. We have been doing it at 3.5 . This year it will be close to 4.
So, all 3 levers put together, I am very confident that we will be growing at 30% plus for the full
financial year.
Moderator: Thank you. The next question is from the line of Renish Bhuva from ICICI Securities . Please go
ahead.
Renish Bhuva: Sir, just two things . One on the disbursement growth run rate side, which has been falling since
Q2, which has been now accelerated to 16% Y -o-Y. I can understand that it is a seasonally but
still we are looking at the Y-o-Y growth and not the sequential growth. And also, when

I look at
the disbursement per branch on a two quarters like this, just to eliminate the impact of new branch
opening, the run rate is now fall en to 2.7 crore in Q1 FY '25 from the peak of 3 crore in FY '24.
So, how one should read this data, I mean, a fall in disbursement per branch also, this is decrease
in the disbursement growth run rate.
Lakshmipathy Deenadayalan: Renish, let me clarify to all shareholders who are there in the call, don't go run rate per branch for
next to at least for 18 months because as Ranga said, there is a clear -cut strategy for Five-Star to
make all super branches into split branches and bring the number of officers which were close to
15 officers in the branch, close to 8 officers in the branch. That addresses a lot of risk and that
also spreads our wings across the geographies wherever we are present .
So, you have to only look at the AUM growth metric for at least the next three to four quarters
because if you go by branch count, it will be looking like as if the business done in a branch is
come down . It's not like that . For example , if a super branch would have been done 2 crores
business in a month , when the super branch is being split into two ideal branches , the run rate still
be at 1.25, but it will be read as 1.25 per branch.
So, that is not the right metric is what I think Ranga and Srikanth can clarify on that too. But you
have to see the A UM growth quarter -on-quarter, year-on-year where Five-Star wants to put up.
That is what I gave the commitment that even for this financial year, there is no change in our
guidance. We will be at 30% plus growth for the full year. For the first quarter, we have grown
more than 7% and we will be comfortably crossing 30% for this full year. And yes, June being a
seasonal one, and we have pulled out a lot of business in March month, there will be a slight drop
in the June month, which will get corrected in the September, December, March month. That is
how every lende r will look at that annual growth.
Renish Bhuva: My question is on the disbursement growth side. It has been running at some 40 %-50% Y-o-Y
growth . Then it fell to 33% in Q3 . Then it fell to 20 % in Q4 and now it is at 16%. So , I can totally
understand the branch metrics, which you just highlighted. But then the deceleration in
disbursement growth rate, what it explains that?

Lakshmipathy Deenadayalan: Yes, Renish, t he disbursement slowdown is here to stay, not only for Five-Star but for every lender in this country . Well , you will see the slowdown in disbursement . It's not because the opportunity is coming down , we have to also take into account what is the regulatory thought process and what is the regulatory commentary which we are hearing on a day -to-day, on a quarter -on-quarter basis. So, we should also be mindful of that. I said in the last quarter itself, let
 the dust all get settled, let our asset quality speak for ourselves. I think then the growth will be back on the same numbers what you have been referring to.

Srikanth Gopalakrishnan: So, Renish, it is also a question of a little bit of muted disbursements during COVID. So, if you are comparing, let us say, '22 to '23 where the disbursement number was much higher, it is not because '23 was significantly higher . It was because '22 was muted and '24 saw some bit of pent - up demand as well. So, you will see some moderation happening. I think those two are a little bit of years where you had some aberrations because of the base effect.

But otherwise, like I said, if we are looking at a 32% kind of a growth on our AUM , the disbursal growth will be more around 25 % to 27% because there will be some bit of ticket size increases and we are le nding for a 7 -year tenor. So, it won't go tandem hand -to-hand with the AUM growth. There will be about 4

-5 percentage points difference between the AUM growth and the disbursement growth.

Renish Bhuva: In fact, my last question was on this repayment rate side , right? So, we have always been highlighting that our behavior al tenor for loans is 7 years. But when we look at the repayment rate, it is hovering around 22% to 25%, which means the behavior al tenor is much less, of course, including prepayments, BT out etc. And when we look at last 3 quarters , it actually turns out to be some 7% sequentially, which is on an annualized basis upwards of 25%. So, how one should look at the actual tenure of your loans? Because then eventually it will start impacting the growth if disbursement doesn't come .

Srikanth Gopalakrishnan: So, you are right . I think one point that I want to correct in what you said is we always say that the origination tenor is about 6 to 6.5 years, while the behavior is more like 4, 4.5 years. So, you are right to the extent that you will see about 2 2% to 23% kind of a run -off every year, which will translate roughly to about 4.5 years of behavioral tenure.

So, I think that's a number that's broadly remained range -bound for the last 4 -5 years and we don't see that number significantly changing in the coming years as well. So, there will be normal repayments and there will be some level of repayments, which is also largely remained range - bound between 9% to 12% on a year -on-year basis.

Renish Bhuva: And sir, just last question, if I may . Sir, what is the reason for moderation in credit costs, which is again a reflection of Stage -2, Stage -3 provision, despite the fact that collection and 1% DPD is up sequentially?

Srikanth Gopalakrishnan: So, R enish, I think we have been building this credit cost over the last couple of years and it sort of has reached a stage where we are comfortable with these numbers. So, if you look at the PDs and LGDs, if we don't build some overlays, our PDs and LGDs will result in a credit cost that will be much lower than the ECL provision that we are carrying today. So, our thought process is, there is something that gets thrown by the model . There are specific overlay factors that we use to build the management overlays on ECL and we are comfortable around the number that we are carrying. So, it is not a question of the credit cost decreasing because we wanted to decrease it. It is a question of the model and the factors that we use for overlays, which gives us
 a number and we are comfortable around that number. Like I said, the Stage -2 provision of around...

Renish Bhuva: I just wanted to reconfirm that we have not changed PD -LGDs. This might be a little lower overlay this quarter, might have led to the sequential decline rate. Is that the fair conclusion?

Srikanth Gopalakrishnan: PDs and LGDs are getting a little better. For example, last year you saw the current proportion going up significantly from about 83% to 87%. So, that obviously brings down the PDs and the fact that we are able to recover well is also reflecting on a lower LGD. So, there is some improvement in PDs and LGDs as we keep increasing the data, a nd it is also a question of using the last five years ' data, right?

So, you have the earlier quarters going out and the later quarters coming in. Five years back , our DPDs were not as good as this. So, you will always see improvement in PDs and LGDs. But we sort of ensure that we build some management overlays to get to a number that the company, the board, the management and the auditors feel comfortable with.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswa l. Please go ahead.

Abhijit Tibrewal: Congratulations on again a good quarter and crossing that important milestone of 10,000 crores in AUM. Sir, first things first, I wanted to un

derstand this very good improvement in the cash
proportion in collections which has declined to 35% now . For the full year , you are still waiting for cash collections to decline to 3 0%. Just trying to understand what are those e fforts that have gone into this to kind of get here ?

Because like you recall , right , this was also something which was very widely debated cash proportion being high in the past . Sometime last year this used to be as high as 60 %. So, just trying to understand what changes have you done ? And do you now expect these things to be permanent and structur al in terms of change in employee , in terms of changing customer behavior ?

Rangarajan Krishnan : So, Abhijit, over the last two years , I would say that we have consistently been increasing the modes in which the customer can make a payment and most of it that we have introduced is all digital modes of payment. So, we first introduced a payment app wherein the customer can login into the app and then make a payment at any point of time. We have a tie up with Razorpay for this. So, a customer can make an app payment or a payment t hrough our website.

But I think the next big game changer started for us when we tied up with the BBPS. So, today , our customer can login to any of the popular BBPS apps which is Google Pay or Phone Pe and then make a payment to us through the UPI. And I think that's a very big game changer for us.

I think the next strategy that we introduce is that every passbook that we give to the customer , we started printing that with a very specific QR code wherein the customer can directly just scan the QR code and make a very specific payment to his account at the convenience of sitting from his home.

This we started from January, and I think from May this year , we have started another big thing , which is for all fresh payments, fresh disbursements that we make starting from the month of May, the UPI autopay sign up is mandatory for the customer. So, which means unless the UPI autopay is set up prior to the disbursement , we will not make the disbursement.

Earlier this used to be an offline process and there is a lot of translation errors between the time that you make a disbursement and actually the NACH mandate getting set up because there could be a number of reasons like it's an inoperative account or it's a signature mismatch or any number of reasons where your customer can find excuses of not signing up for a NACH mandate post a disbursement.

But when you make that as a compulsory precondition prior to the disbursement , we have seen huge uptick on that . And today , for 100% of the cases that is happening , but it's not necessary 100% of the customers will still make a UPI payment, but I think the effort is everybody finds , very few number of customers may not have the monies in their UPI account and on the time of the repayment date . They can always come back and pay through any other means or any other digital means. But at least the effort from the company side is very clear that unless you have an UPI, unless you do an auto UPI mandate with us prior to the disbursement, we will not be able to disburse.

So, I think these are clear structural changes that we have made on the ground and more and more customers are adopting for it. We have guided in the beginning of the year that we will be at about 70% digital payments, and I am fairly confident that we should cross that number comfortably.

Lakshmipathy Deenadayalan: So, just to add one point and even from the customer's behavioral aspect, there is a quite good bit
of change that we were able to see. We were not able to get it right two years before. We thought the cash still is the king at the ground level, but a lot of changes happened in last two years and when we approached whatever

Ranga said in last 24 months, that has yielding as a much faster effect rather than a slower one. So, we are very confident that except that little rural market, people still wanted to pay by cash. In semi -urban and fast-growing rural market, people adoption in digital payments are much higher and encouraging to see that our people are able to convince the customers and move towards that. So, all put together, I think we are good to go with 70 is to 30 and revisit after the march where we can take the 70 numbers too.

Abhijit Tibrewal: So, effectively speaking now , I mean , from March onwards , all disbursements that we will be doing will have a free condition of an UPI auto pay.

Rangarajan Krishnan : Yes, Abhijit, from May onwards.

Abhijit Tibrewal: Yes, from May onwards. Sir, the second question I had was for Srikanth sir. Sir, given the last yesterday's Fed meeting and the fact that there are now rate cuts which are there on the horizon, given that we still have almost 75% of our bor rowings coming from banks, you could just elaborate how have we kind of positioned ourselves on th ose spread side in terms of fixed to floating or for that matter a 3 month or a 6-month MCLR , how are we positioned ? And how can we benefit from any rate cuts?

Srikanth Gopalakrishnan: So, Abhijit, our breakup , in fact , we had given this in our presentation . Our breakup between fixed and floating today , we are at about 65% floating and 35% fixed. It went up a little bit because of the NCD issuance that we did to I FC. So, which is why the floating is at 65% and given the fact that we are also moving slightly away from our strategy of borrowing from banks, the floating will be a little lesser because the rest of the facilities typically tend to be fixed, especially on securitizations and all that.

On the floating, if we look at the breakup of this, the floating proportion, we have about 70% of that which is linked to MCLR and about 30% which are linked to the external benchmark rate. And even on the external benchmark rate, most of it, 75% of the EBR -linked facilities are linked to repo .

So, very clearly, if there is a benefit that is going to come through the rate cuts, we will definitely stand to benefit immediately from the day that the repo rate cut starts becoming effective, at least on about 30% of our facilities. On balance , 70% of our floating rate facilities, most of these are either a one -year MCLR or a six -month MCLR.

So, at various points of time, these benefits will come in. It will not come bunched up. It depends on when we have taken the facility and whether it is a six -month or a one -year MCLR. But I would say, from the day of the rate cut over the course of the next 12 months, we should see a significant benefit coming on at least 65% of our bor rowings.

Abhijit Tibrewal: And the last question that I had is, while I think in last earnings call, you were guiding for a credit cost of about 70 to 80 basis points for this year, a related question here is, how are we kind of looking at the provision coverage ratio on stage two, stage three? I mean, likely to maintain at similar levels, or there is a thought process that given that collections are improving, cash collections are coming down, non -cash improving, is there an idea to kind of bring down the provision ing coverage going ahead , maybe not just a couple of quarters, but maybe over the next one or two years ?

Srikanth Gopalakrishnan: So, Abhijit, the first point on the credit cost guidance , the guidance still stands at around 70 to 80 basis points . While this quarter we are reflecting about 61 basis points , it also has a proportion of write -offs. So, broadly about 30 basis points, we have written off about 7 crores of loan book . So, roughly the 60 basis points spread into 30 and 30, whic

h is incremental provision of about 7 odd crores and of about 9 crores and about the balance coming in from write -off.

See, we will continue to do some technical write -offs pur ely for tax purposes as well and given that the regulations permit these technical write -offs. So, at this point we are not changing the guidance o n the credit cost . We will continue to be at about 70 to 80 basis points for the foreseeable future .

In terms of the provision coverage, we are comfortable holding this number at this point of time . Our general thumb rule is about 50% provision coverage on Stage -3 assets and the overall provision coverage of 1.5 % to 1.6% . We are at about 1.63% . I don't think you will see any significant benefit to come in the short -term future in terms of the release of provisions.

But if we are seeing significant improvement in the portfolio, if you are seeing the factors which we have used for building overlays are not really coming out in reality, then we may have to relook at both the model as well as the overlay, which may probably bring down the provision. But at this point of time, we are not giving you guidance for any betterment or release of our provision. We will continue to be broadly at where we are. And given that the P& L has the ability to absorb the provisions that we are creating, why should we refrain from creating some buffers in good days, which can take care of us in rainy days. So, I don't think we are going to be aggressive in our provisions . We will be a lot more conservative.

Moderator: Thank you. The next question is from the line of Viral Shah from IIFL Capital . Please go ahead.

Viral Shah: Actually, I have a few questions. One, just from the perspective of quarter, was there any one -off in the other income because we saw a sharp increase on a sequential basis?

Srikanth Gopalakrishnan: So, Viral, you are looking at the non -operating income line.

Viral Shah: Correct.

Srikanth Gopalakrishnan: So, see , this will be other costs like storage costs and the fees that we get for the storage costs and all that. So, while you are seeing a 5 million to a 1.4 million number, this is not a very material number. So , it will broadly be the storage fees that we collect from the customers for storing their documents, which is typically up -fronted.

Viral Shah: Srikanth, while you are at it, on your previous comment with regards to the PCR, while I understand, of course, the eventual LGDs, especially on Stage -3, are not to the extent of what PCR we have, but I believe there is a soft regulatory nudge also to believe of maintaining 50% PCR. Would that be right?

Srikanth Gopalakrishnan: So, V iral, we would have probably guided you otherwise, but we are guiding 50% today because there is an expectation that we also, see because our LGDs are much lower , on a very big portion of our lending book, our LGDs will be probably closer to about 10 % to 12% number. So, even a 50% is a far -fetched estimate, but you are right. Yes, there is some bit of a regulatory expectation

in terms of maintaining a good cover on the Stage -3 assets, which is why we are guiding the market for a 50% PCR.
Viral Shah: And my next question is for Mr. Pathy and Ranga. So , in this quarter, we have seen that in the rural markets and especially for the MFI borrowers, the collection efficiencies as well as the asset quality has kind of worsened. In that environment, I understand there is risk for us also, but it was nowhere to the extent of what we have seen. So, have you seen some bit of prioritization amongst the borrowers to repay the secured loans and that they have their house as a mortgage versus the other news that they would have?
Lakshmipathy Deenadayalan: Viral, you are absolutely right. That's the underwriting model that Five-Star

took 22 years back.
Our underwriting is not for good times . Our underwriting is only for the bad times. So, that's why
 in the last 22 years, Five -Star is able to survive all big falls where bigger banks and NBFCs were not able to survive.
So, you are right . In terms of cash flow deterioration in a family, because Five -Star takes a family income and puts all the family members as part of the agreement , there will be a choice of customer whom to pay. So, generally, it tends to pay the mortgage loans.
That's what you see in HFC and mortgage lenders like Five -Star are not affected when there is a bit of cash flow dent happening, not permanently and just for a few months because of the heat wave, elections and school fees, what I said. Yes, this is a trend that you will see always and that will not change in the middle -class mindsets of our country.
Viral Shah: Lastly, in terms of the yields that we have, right, again , over here also , there has been a regulatory nudge for not just MFI lenders but even small -ticket lenders that basically , there should be some moderation in that and we have been talking about taking rate cuts. Any updates on that ? And how are you thinking about it going into F Y '25?
Lakshmipathy Deenadayalan: Viral, let me be very clear , maybe crystal clear , that there is no discussion between Five-Star and
regulators on the pricing front . Right? I think regulators have seen us for the last five years and not a discussion they had, or we had with them on the pricing side. It's a market driven and it's underwriting risk that what the company has , that fixes the, both fixes the pricing. So, there is no point on even discussing about that whether regulator has any concern or not. Regulator has absolutely no concern from Five -Star's perspective. So, let me be very clear and crystal clear about that.
And yes, we have been saying to the market that we will be passing on our benefits what we got from the banking side. We were waiting for the rate cut to happen across the world and especially in our country, but that we are not seeing. But you will see Five -Star cutting a bit of rates in this financial year. I can say you it will be around 50 to 75 bps of the rates , which is what benefit that we got from the bank for last two years , we are happy to say that we will be passing on to the customer in the due course for the all-new customers who are getting logged in in Five -Star from now to March.
So, that's the approach what the Five-Star has been taken and we have been vocal on this. We have been telling you from the first Con Call ever since that we met you that we will be passing on a good rate cut for our customers once the rate cut announcement is there in our country. But it is taking some time, but we want to go first. So, you will see a rate cut of 50 to 75 bps in next nine months to go.
Moderator: Thank you. The next question is from the line of Chandrasekhar Sridhar from Fidelity International . Please go ahead.
Chandrasekhar Sridhar: Few questions. May be just on the business growth, Tamil Nadu is now down to about 20% per annum. If you just take us through what's happening in Tamil Nadu, I mean , the bulk of the delta is actually coming from Andhra and Telangana. So, any particular change ? I mean , I can see there is a competitor NBFC, which has also started off in a fairly large way in this space, a larger NBFC .
 Just thoughts around that whether it's, you know, and that's their home market, whether it affects the competitive positioning over there. And MP was basically a market also where we had gotten a foothold, but it's sort of growing it where the company is growing at. Is there any particular challenges which you face ? That's questi

on one.
Second, two questions for Srikanth. One, I think there was an expectation that the cost of funds would go up marginally because you are diversifying into NCDs, and you need to pay up a little more because you are not getting your tenors. It's not going up. So, just maybe take us through what's there.
And then lastly, we have now crossed 10,000 crores . We will be having conversations with rating agencies around the ratings upgrades and what i f any potential implications on the cost of

borrowing?
Lakshmipathy Deenadayalan: Good morning, Chandra , I will take the first question, I will ask Srikanth to comment to second and I will also comment on the third. Chandra, from the first question, I will take it up Tamil Nadu and Ranga will talk about the MP. Nothing has happened in Tamil Nadu, Chandra. We are going as usual in Tamil Nadu .
I am just recollecting what I said in last call, or the last two calls . Tamil Nadu growth was not catching up with the growth of Andhra and Telangana. They were extremely growing very well. Growth from a team perspective, quality of files perspective, supervision team perspective, all were setting very well in combined Andhra, what we call as Andhra and Telangana put together. To that level, Tamil Nadu was not able to catch up. That's the only thing that what we saw Tamil Nadu as a share coming down for Five-Star.
But I have told that this year, you will see Tamil Nadu and Karnataka. I have also been saying to the market that Karnataka turnaround story is very good for Five-Star where we had a bit of slip in COVID and post -COVID and it was getting corrected and now they are one of the best performing sta tes for Five-Star. So, Tamil Nadu and Karnataka will catch up this year with Andhra and Telangana. So , that's the South story. That's where the confidence comes in that we will be delivering a (+30%) growth in the South very comfortably.
So, I will hand it over to Ranga on an MP perspective.
Chandrasekhar Sridhar: There is no competitive intensity being higher impacting in any ways.
Lakshmipathy Deenadayalan: Chandra, I will not say only in Tamil Nadu. Across all states, you see many companies jumping into small business loans, especially after seeing Five-Star success. For eight quarters, they have been watching us closely, both from a quality as well as profitability perspective. Yes, people are jumping into do bits here and there. That's the nature of the good business. That doesn't have any big impact in Tamil Nadu. As I said , Tamil Nadu team has not able to catch up the Andhra and Telangana speed. With this ye ar put in place and I have met all Tamil Nadu guys last month. I am very confident this year Tamil Nadu will see a good rise comparing to themselves , what they were in last year.
 Rangarajan Krishnan : Chandra, With respect to Central India , I think the challenges are a little bit different. The first
thing is in Central India , our ticket size is almost 40% lower than the ticket size that we see in South. So, despite that , if we are able to maintain the proportion of the overall A UM in Central India , it in fact means that the productivities are higher , but the ticket sizes are lower.
On a standalone basis , if you look at MP or MH , I think each of this is growing at about 50% CAGR last year while the company grew at about 35 %-36% CAGR. But that said , I think we are very clear and we are investing more in Central India. You will start to see the proportion of Central India slowly going up from here. It is not going to happen in a hurry. We don't want it to happen in a hurry because these are newer markets.
You have to be extremely calibrated with what you have to do. But 100% we are very clear that the markets will go up and there are enough investments that are happening on the ground. Even this

quarter , out of the 27 branches that we have opened , 14 branches are put up between Maharashtra, Madhya Pradesh and other Central Indian Geographies. So, we are very clear and keenly watching and investing in these states and the proportion will go up.
Srikanth Gopalakrishnan : Chandra , on your question on the cost of funds expectation to go up , first of all , thank you for asking this question because we don't want any of you guys to think that every quarter we are going to keep dropping our incremental rates. At some point , it definitely has to go up. So, see, the reason it has not gone up during this quarter is a couple of conversations that we have been having with capital markets, especially on mutual funds where the rates tend to be higher has not completely materialized.
Like I said, most of those transactions are expected to happen either in this quarter, which is Q2 or in Q3. So, you will definitely see a jump up in the cost of funds in the next quarter. So, given that these did not happen last quarter, you probably saw the rate going down from 9 .58 to 9 .49 or so. But definitely the number will inch up once we have capital market transactions coming in. So, that is in terms of the cost of funds expectation on the incremental borrowing.
See, on the rating discussions, this is something that we have crossed 10,000 crores. It's a very important landmark for us for the rating agencies. But our rating, the earliest rating agency that gave us the upgrade, gave it to us in December of 2022, so which is like 1.5 years now. So, 1.5 years is a little shorter time for us to push for a rating upgrade, given that it has also been two years of good growth.
And in fact, ICRA and CARE, the rating is about a year old and 15 months old with CARE and ICRA respectively. But having said that, we are having very strong conversations with them . We are demonstrating using our numbers, why we should probably command one notch higher rating than where we are today.
But realistically, I would probably think the best case, if I have to put my neck out and say, is

probably end of this calendar year or end of this year, or the more reasonable and the logical case would be if we are able to go with the March results, March '25 results, you know, I will say it has a very high probability of getting converted. But I would probably think it's at least two to three quarters away.

Chandrasekhar Sridhar: Last one, if I could just squeeze in, can you remind me right now the share of A UM which is for personal purposes versus business purposes?

Srikanth Gopalakrishnan: Sorry, Chandra , share of A UM in?

Chandrasekhar Sridhar: In business purposes, used in business versus for non -business purposes.

Srikanth Gopalakrishnan: Broadly about 65 -35.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities . Please go ahead.

Nischint Chawathe: So, this is on the interest rate of around 50 -75 basis points. So, from when are we really affecting it? And I believe this is again only for new loans.

Srikanth Gopalakrishnan: Yes, Nischint . In fact, I think we will probably be introducing this as early as this month, which is the month of August . So, sometime during this month is what we are looking at and yes, this will be on incremental loans . So, you will not see the yields dropping by 50 -75 basis points . You will probably see it dropping by one -third of the 50 -75 basis points because it will take time to impact the portfolio yield.

Nischint Chawathe: And is there a particular plan or a thought process in place, maybe for next year or something in terms of saying that you would want to sort of take it down every year by a couple of basis points and sort of move up the quality curve?

Lakshmipathy Deenadayalan: Ni

schint , not really . Let me recollect what I have been saying to the market . We got 150 to 200 bps of rate benefit from the banks, though out of that at least 50% we want ed to pass it on to the customers. That's the background. It's not of what is the means that we are holding and what is the pricing that we are lending, that's not the point. The point is we have been saying to the market for a long time, we were waiting for the rate cut to happen in our country over last September itself, but that didn't happen. So, we wanted to move forward and give the benefit what we got from the banks with the customers. So, it only depends upon the bank benefit what we got to transfer to the customers. So, next year we can't give a commentary right now without knowing what is the fresh benefit that we are going to get from the bank. This is only for this financial year.

Moderator: The next question is from the line of Ajit Kumar from Nomura. Please go ahead.

Ajit Kumar: Most of my questions have been answered. Just one or two quick questions. First, following up is on your ECL methodology. Just wanted to know how many years of data do you factor in the model and has it changed in recent time? And also, at what frequency do you revise or reassess your model assumptions?

Srikanth Gopalakrishnan : So, we follow as per the IndAS guidelines, Ajit. I think it's the last five years data that we use. So, every year the previous year's data goes out and every quarter, the previous quarter's data goes

out and the newer quarter comes in, which is as per the accounting standards. Typically, we really look at this model once in three years.

Ajit Kumar: One last question. Harping on this incremental cost of fund, which has gone down sequentially from which stream of funding this decline is coming -- is it majorly from bank funding where pricing has come off or from bond market borrowings?

Srikanth Gopalakrishnan : So, we have not done much bond market borrowing, Ajit, during this quarter, so which is why you're not seeing this cost of funds going up. So, largely banks are willing to lend to us at lower rates, even the IFC funding that we got was at lower rates. So, I th ink it's broadly numbers it's coming from DFIs and banks, which has contributed to the lower rate. I think once we get to the capital market, participants feed the mutual funds or the others, this cost will probably look like more around 9.60%, 9.65% rather than 9.48%.

Moderator: The next question is from the line of Kunal Garg from IIFL Securities. Please go ahead.

Kunal Garg: Sir, my question is primarily, you mentioned that there are few states where you see the downward trajectory in the business, right? So, what are the specific stress in the states in the coming months or in the coming quarters?

Lakshmipathy Deenadayalan: Kunal, can you come back? We didn't say there is any stress in any state in our commentary. What is that you are saying?

Kunal Garg: Sir, you mentioned that there was some business down in TN and Karnataka compared to the AP and Telangana.

Lakshmipathy Deenadayalan: No, what I said was the catch up by Tamil Nadu was not equal to the catch up of Andhra and Telangana. The Telangana and Andhra catch up speed was much higher than Tamil Nadu was what I am referring and there was no t any issue or a problem in Tamil Nadu state and I was giving

a commentary saying that in this year Tamil Nadu will catch up much better than what they were doing last year. There was no stress or any strain in Tamil Nadu and Karnataka.
Kunal Garg: So, the business growth will be continued in this Tamil Nadu and Karnataka as per the previous year, right?
Lakshmipathy Deenadayalan: Yes, very much so and it will be very stronger this year.
Kunal Garg: My second question is , have you given any top up loans this quarter?
Rangarajan Krishnan : So

, Kunal, we generally do top up loans, but top up loans is a very, very small proportion of our disbursal. In the last few conference calls , they've been taking , our top up loans are more like about 4%, 5% that's what we give. In fact , if you look at the overall book the top up, repeats, borrowers who have closed their loan and come back for another loan , all put together it will be more like 8% to 10%. So, that's not a big source of disbursals for Five-Star or a business line for Five-Star. Our business line primarily is to go into unpenetrated or underpenetrated markets and get fresh borrowers from the informal to the formal ecosystem.
 Kunal Garg: My third question is you mentioned that from May onwards you have made mandatory for UPI auto pay, right? So, is this 100% or still there are some pockets where you are giving some relaxation?
Rangarajan Krishnan : It's near to 100%, Kunal. So, they can either choose for a UPI auto pay or they can choose for an online NACH. Both these mandates are to be set up prior to the disbursement. See, we always had this condition, but the earlier condition was it can also be done post the disbursement because some of this was offline and offline takes a lot more time for us. Now, what we changed from the month of May is that you have to do an online registration, whi ch means the mandate is set up in favor of Five-Star prior to the disbursement. And this is near to 100%, there will always be corner cases, but almost near to 100%.
Moderator: The next question is from the line of Rohan from Faircom Family Office. Please go ahead.
Rohan: I have two quick questions. So, if we look at the MSME LAP segment, that has been a high growth area also for some of the smaller peers, however with a smaller average ticket size. So, smaller ticket size, does that interest you and what is the risk versus reward dynamics here and the minimum average ticket size that you would take on?
Lakshmipathy Deenadayalan: See, Rohan, Five-Star ventured into secured business loans to the informal segment of this country 22 -years back. We clearly understood what was the risk and what is the reward that we will be getting when you venture into this kind of profile of customers. This is what it's g etting reflected in last 22 -years. Yes, you have a risk, and you have a good reward for that. How do you balance that is what differentiates you as a good lender. Yes, 100% of our loans are secured. As Srikanth said, close to 60% goes to business end use and balance, 40% goes to the housing constructions and personal needs of these customers. The risk is, yes, these customers have bit of vulnerable cash flows and when they get into more unsecured borrowing in the market that tends to go to little more vulnerable. But, as I said in one of the questions, when a choice has been given to these customers durin g the downturn, whom to pay, they very clearly pay to a mortgage lender, let it be a housing finance company or a mortgage lender like Five star. Their choice is always to us. That's what it reflects during COVID -1, COVID -2 or the first quarter collection efficiency what Five-Star is able to do is the benchmark of HFC is what they have done in this country. So, this is the trend. This is the risk that you have to go through. And having done very successfully, yes, there are a lot of followers of Five-Star who intend to get into this segment. But if they don't understand the risk, if they don't see the cycles before pressing the growth, there will be a serious dent for their asset quality and that will slow down the growth going forward and Five-Star has learned it very well and we have been learner for the first 10 years and then the growers for next 10-years of our life. That's how we do it.
Rohan: Can you also explain your borrowing strategy? What's the rationale for moving away from bank bo

rrowing?
Srikanth Gopalakrishnan : So, Rohan, the rationale is a little simple. See, today, there are a lot of banks who are willing to lend to Five-Star given our asset quality, given our growth and profitability, they see this as a very attractive institution that they can lend to. But I am sure you would also be aware that there has been some pointers from RBI telling that the NBFC should look at diversifying their
 borrowings, get a little more into the capital market and all that. And when we become a AA entity, we are also mandated by SEBI to onboard incrementally 25% of our borrowings from capital market. So, given all of these thought process, we have now taken a very conscious call that we will get into the capital market, we will be fully prepared for any eventualities that may come or fully prepared when we become AA entity. So, some of these are in response to external factors that we are doing. But if we have to borrow from the banks, I think there are enough and

more banks which are ready today. But having said that, it's always good to have diversification in any of your streams which is the strategy that we are following.

Moderator: The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Sir, you've spoken about July collection trends being better than June. So, is it better in across buckets, I mean, is it better in regular bucket as well as in the delinquent buckets of 30 -60, 60 -90 as well when compared to June?

Lakshmipathy Deenadayalan : See, Rajiv, I have just seen it last night, I have not gone detail into it, but overall, our performance comparing to June should be better across states, across buckets. There will not be any significant difference between overall as well as the bucket wise. Rajiv, I'll ask Srikanth to connect offline, so you get more data when he has it.

Rajiv Mehta: Sir, just taking forward one comment that you made that typically in a stressed situation, the household prioritizes repaying you versus their unsecured loans. So, first is the categorization of those loans will be current with us, but in the current portfolio, what proportion of our customers would have a default on their unsecured line, but are current with us, do we track them differently?

Lakshmipathy Deenadayalan: No, Rajiv, we don't track our customers, we track them before lending a loan in a detailed way, we take at least minimum of two credit bureaus, High Mark and CIBIL before lending. But after lending, we don't track them from a credit bureau perspective, we track them based on the DPDs and what should the company do when he falls down the DPD, what are the measures that we have to take. That is pretty much in place. It's not that the current accounts or one DPD customers are being tracked from a number of loa ns that they have taken, and we don't have any control and we can't stop this unless until the other lenders are more clearer that once you see a bigger loan taken by the customer generally we should avoid lending to those customers. If that discipline is not there with other uns ecured lenders, we can't do anything on that.

Rangarajan Krishnan : Just to add one point here. See, when we have taken this at points of time, I think what Mr. Pathy is trying to say is we don't do this on a regular basis like every quarter we don't do a bureau scrub to see where other customers are vis -à-vis with us. Bu t I think when we have taken it at points of time, and we have done it quite a few times in the past especially during stress time s. So, if we have done it during demon, we have done it during COVID -1, COVID -2, at that point of time, the behavior is very clear in terms of priority of repayments and that ’s what gives us the confidence that, yes, when it comes to stress and when it when customers are forced to make a choice between repayme

nt of a secured loan versus an unsecured loan, they always tend to choose secured loans, especially if it's an emotionall y important asset to the family.

Rajiv Mehta: Just one observation. When I look at AUM of branch Tier, then the Tier-6 branch growth has been very significant in the last 12, 15 months. So, incrementally these Tier-6 branches have been contributing 60%, 70% of fresh growth. How should we read this?

Rangarajan Krishnan : We were anyway strong between Tier-4, Tier-5 and Tier-6 earlier also. Now when the branch split is happening so more and more branches in Tier-5 and Tier-6 are getting split because these are good pockets for us where the branches have grown to a reasonable size. So, earlier if you had one branch, now we are having two branches in Tier-6. I think that's what explains the contribution of Tier-5, Tier-6 towards this AUM proportion. But I think if you look at it overall from an AUM perspective, yes, leave the number of branc hes, we were anyway strongly biased towards 4 -5 and 6 -Tiers.

Rajiv Mehta: And when you speak about branch Tier, it is by location or by branch size.

Rangarajan Krishnan : It is by location. It is by the actual population where the branch is located.

Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

S Mishra: Two questions. The first one is around the disbursements. Given the fact that we have this churn of almost 20% to 25%, which was discussed earlier on the call, what percentage of our disbursement is to existing customers, what percentage is to new customers? Second is around the leverage of the customers. Whether they're existing or new, how often do we check on the leverage, how many other trade lines do these customers have? I do understand that a lot of them are new, but do they have any other informal c redit or any other unsecured, there's been a lot of proliferation of fintech is doing a lot of unsecured lending and of course that's also come down, but then have we done these checks more recently and what are our observations?

Srikanth Gopalakrishnan : Like we said, most of the disbursals happen to the newer customers only. So, maybe about 8% to 10% of the disbursals will be happening to our existing customers either through top ups or additional loans or fresh facilities after they close their old loans. So, about 90% of our disbursals happen to newer customers from the branch side. In terms of the leverage check that we do, we definitely do it at the time of underwriting, where we ensure that we try and get all the formal data t hrough the credit bureau reports, whatever possible informal data through neighborhood and trade checks. But beyond that, we don't have a process of checking this data on a periodic basis, because even if we check it, it's more academic data that we will have. I think Mr. Pathy just answered the last question where he said even if the customer is taking a loan the day after he has taken a loan from us, what is it that you can do? It should be up to the other lender to ensure that they are very clear that this guy has already leveraged himself with Five-Star. Now for us to take the data and do the scrub, like I said, it's an academic exercise and we could get into, but we don't have any periodicity at which we keep taking this data and try and see what is the leverage of our customers. We ensure that by takin g property , by making all the family members, there's applicants and co -applicants of the loan. The customer will give priority to us even in the most difficult time. So, that is something that we do rather than doing a scrub data and I don't know what we can do beyond that.

S Mishra: The quantum of disbursement in FY'24 is almost as much as the disbursement that we did in the previ

ous two years. Do we expect some degree of seasoning impact and then impacting the credit cost going forward because of the seasoning impact of this because it's a much bigger number, it's almost as big as the FY'22 and '23 number.

Srikanth Gopalakrishnan : See, this is again a problem because of FY'22 number having been impacted by COVID. So, FY'21 and '22 are the years that probably need to be kept out of our comparisons. But if you look at prior to FY'20 when we have been growing much faster or post FY'22 where we have been showing a good proportion of growth , we don't really see any kind of seasoning impact to come in. Obviously, there will be some impact, but we are also going to keep adding new customers, new loans. So, it will sort of balance each other. So, we don't really see any impact on the credit cost coming in because of fresh disbursements becoming muted and the seasoning impact coming through. So, it will largely offset each other.

Moderator: The next question is from the line of Sonal from Prescient Capital. Please go ahead.

Sonal Minas: Hi sir, this is Sonal Minas. Sir, I wanted to understand the maturity profile of any particular loan vis-à-vis the time that the loan has been on your books because you mentioned that typically it's a 7-year-old loan, that's the duration of the loan. So, how do you see the NPA panning out in one year, two-year, three -year, four year, if you could just give a bit of a color around that, that would be great?

Srikanth Gopalakrishnan : So, on a static pool, our analysis shows especially the later portfolio, the last 3 -4 years when we have implemented D1C1 completely, there is a drop in the probability of default, which means the number of customers who are turning NPAs itself have reduced. So, on this, typically what we see there is some level of peaking that happens around the three, three and a half years timeline. This used to be about two and a half, three years earlier, but that has got pushed because of the collection efforts. So, 3 to 3.5 years there is a peaking that happens, which probably goes to about 2 -2.5% on a static pool basis, sort of stabilize s, but it's also important that from an LGD we don't lose any of this because in most of these cases, while the customer might have slipped into NPA, might stay in an NPA , there is a empirical evidence to prove that when he settles the loan, he actually clears all the dues. So, our LGDs are very low from that perspective. But just to answer your question, yes, around three, three and a half years, there is a little bit of pea king to around 2 -2.5% of static pool NPAs, stabilizes, and then we are able to recover almost 99% of the principal that would have stayed as principal at the time of NPA.

Sonal Minas: Second question, which is I think write -off which you're talking about. If you just take maybe last ten years or maybe last five years and take a snapshot, like do you share data of how much write - offs have you done, what percentage of books would be, bec ause percentage numbers are a little misleading, but is it okay to say that 1% of all the books who are maturing in three, five years typically that's the write -off on the book, how do you understand that?

Srikanth Gopalakrishnan : 1% is a very high number. Generally, our experience has shown that our write -off tends to be somewhere around 25 to 30 basis points of our opening book. If you look at the last five years, we would probably have written off somewhere close to 60 to 70 cro res of loans. So, that's the

overall number, but broadly on a year -on-year basis, the technical write -off works to about 25 to 30 basis points.

Sonal Minas: And the actual write -offs will be lower than that?

Srikanth Gopalakrishnan : Actual losses will be less, yes.

Lakshmipathy Deenadayalan : As Srikanth said, this is fully a secured loan. It's only a tim

e gap that it takes for Five-Star to recover write -off from the legal course. So, the credit loss which is the ultimate loss that we suffer maybe is around 15 to 20 bps.

Sonal Minas: You were talking about giving top up loans, follow -up loans whatever they may call it, adds up to 8% to 10% of the books. As a prudent measure, these top up loans are typically given to customers once they finish a particular life cycle of a loan or they are given while the current loan is also outstanding, just trying to understand the process.

Rangarajan Krishnan : Top up loan is not an automatic program within Five-Star. The customer has to apply for a top up loan and he can apply for a top up loan after a minimum of two years of seasoning with Five-Star. So, when he applies for a loan, it's a fresh evaluation, credit does the entire evaluation of the loan, they will check the repayment, they will check if there is any improvement or decrease in his overall income or in the valuation of the property and then finally take a call on what is the loan amount that needs to be given. When the top up loan is given, the customer has to be a zero DPD customer. So, if the customer's track record is patchy for whatever reason he does not get sanctioned the loan with Five-Star. When we give a loan, we will make sure that both the loans run parallelly in the system because with the proceeds of the new loan, if you have to close the old loan, the history of the old loan goes away. So, we don't do that. We allow both the loans to run parallelly , which means loan runs to its original tenure, maybe let's say he took a loan for seven years, he applies for a loan at the end of three years in this example, the original loan will run for another four years, while the new loan gets sanctioned at this p oint of time, which will run for seven years from this period to the next seven years. Any deterioration in any of these two loans will result in an automatic degradation on the asset quality of the loan. So, it's not about old loan being extinguished, or the new loans being given separately. Both those loans will play to determine what is the asset quality for the particular customer.

Moderator: The next question is from the line of Vijay from Sharekhan. Please go ahead.

Vijay: My question is about borrowing mix. As you mentioned that you are moving towards the capital market, so what kind of the percentage you would see in terms of banks versus capital market? And if you move to a capital market what kind of the benefits the company will get?

Srikanth Gopalakrishnan : So, Vijay, I think in a steady state, this is not immediately, but maybe over the next two to three years, we are probably looking at banks to be at about 50% and balance coming in from capital market, securitization, DFIs and all that. See, from a benefi t perspective, like I said, we can do 100% from banks today, there are enough and more banks willing to lend to us, but it's a question of diversification, what are the sources that are available for you, certain sources can be on -tap, certain sources can be a little more like if a bank takes an exposure today, they'll wait for 12

months to take a fresh exposure, while that may not be the case with capital markets. So, it is a question of maintaining the balance between availability of funds and cost of funds. So, in a steady state, we expect it to be 50:50. Banks will always be relatively cheaper as compared to capital market transactions. So, we'll play the rate with the banks, but capital markets can give you good quantums and can be faster in processing renewals . So, all of those things will be taken care of when we look at the b orrowing mix.

Moderator: The next question is from the line of Arvind from Sundaram Alternates. Please go ahead.

Arvind: I think this question has been answered, but I would like to get a b

it more color on this, especially in terms of asset quality. Obviously, the MFI players have signed off some pockets of stress or risk coming up in different regions of the country, and o bviously, our customer repayment behavior is much better in terms of income as well as the repayment behaviour because it's a mortgage loan. But are you seeing any pockets of risk either in terms of regions or in terms of any economic activity, sir?

Lakshmipathy Deenadayalan : Arvind, what you read from the voice of MFIs, we also read that and it is true, I never denied it. I only said during this pocket of stress how does the customer differentiate himself from a secured loan to an unsecured loan. That's what my commentary was . And this is again proven in this quarter when unsecured guys were facing the pressure, secured loans guys like HFCs and mortgage lenders like Five-Star, we didn't see any big pressure at all, and we'll be bouncing back in the qu arter of September, whereas the unsecured lender will take a little bit more time to bounce back. So, there was a heat in election, heat in weather, and like I said, seasonal expense of school seasons in the month of June, all put together would have affected the minds of the customer. Generally, if a customer's mind get affected, they show it in the unsecured loan. That's my 20 - years experience. So, they will not show it in the secured loans. But having said that, I never denied that our customers have not seen any slowdown in the cash flows, they have seen the cash flows slowdown, no doubt about that because of the two factors what I said. But they w ill bounce back in the quarter of September and going forward. So, we will be very comfortable going forward.

Moderator: The next question is from the line of Dinesh from Finsight. Please go ahead.

Dinesh: I joined a few minutes late. Maybe you have answered this previously, but I just wanted to know how your employee addition program has been in this quarter because I just see the number has been pretty flat quarter -on-quarter, so how do we see for this ye ar and going forward?

Lakshmipathy Deenadayalan : Dinesh, yes, you are right. The number of branches have gone up, the number of officers are almost flat. This is what the commentary what we have been saying in the last two quarters that the split branch, the cluster branch approach is work underway. So, that's where you see number of branches more, but no big operational cost or officers getting added here. And just to recollect you, Dinesh, whether you have been tracking Five-Star for last four, six quarters, I don't know, we u sed to have a full -fledged collection vertical during the months of COVID, that helped Five-

Star to have a good asset quality and slowly and steadily we are moving that good numbers of collection team to convert into business. So, that is also being done side -by-side. So, both put

together, as per our commentary as per our guidance what growth that we intend to do in this quarter, accordingly the addition of officers is been done.

Dinesh: But can we expect at least the previous trend which we have seen in the past, would that continue henceforth maybe because once you add more number of branches or you split branches obviously would need some extra manpower there, right, to get more loans f or disbursal?

Lakshmipathy Deenadayalan : So, two things will come into play, Dinesh. One is when a collection officer gets into business, more number of files gets logged in and more disbursement will happen. That will be done, but I am saying it will be slow and steady, we are not in a hurry to convert everyone, we are converting wherever we see good traction in collection so that collection people moves into business. That's point #1. Point #2, as I said in an earlier question, 70 to 90 new branches wil l be formed in new locations, mostly in the S

outh and good numbers in the rest of the country. Those number of officers will be a clear addition to Five-Star in this financi al year.

Dinesh: But will that lead to any increase in operating expenses, or we would expect the OPEX as a percentage of AUM to remain fairly flat going forward?

Lakshmipathy Deenadayalan : Our cost to income, which is a clear metric of measuring what is the cost that you incur for the income what you get is at 34 -point something in this quarter. We will remain at 35%. That's the guidance what we have been given to the market and there will not be any increase or decrease in this number.

Moderator: The next question is from Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Sorry, joined in late, not sure if that got answered, but if you look at the AUM vintage, maybe that is now getting more skewed towards the lower bucket in terms of one to four years. So, is it more in terms of incrementally we have changed the tenor, or this is more in terms of the repayment which are happening and what the proportion is left on the AUM that is showing that kind of a vintage because the disbursal growth run rate is also relatively low?

Srikanth Gopalakrishnan : So, Kunal, I think the answer is in the last statement that you made. It is primarily because of the incremental disbursals that we are doing. There is a little bit of the run -off impact, which is there, like we said, while we onboard the loans for six to seve n years tenure at the time of origination, the typical behavior in tenure works out about 4, 4.5 years. So, a loan which typically would have been given let us say in 2019 or so, should have ideally been repaid by now at a port folio level, there will be loans obviously, but at a portfolio level it will not be a very significant percentage and with the newer loans especially the last couple of years, the growth has also been good. So, with the newer loans getting added, you will probably see the proportion of newer vintage loans being higher. I did answer a question earlier in terms of our experience from a static pool perspective where we are seeing very good traction on the newer vintage loans given our focus on D1C1 collection efficiency. So, it is not like you're probably going to see NPAs or losses that you probably saw, let's say, on a portfolio which was four years back. The newer vintages are coming with a much lower probability of default, much lower loss given default. So, even the static pools on the newer vintages will not cross 2, 2.5% of NPAs in a peak scenario, which we are expecting to be around 3, 3.5 years.

Kunal Shah: But in terms of contract tenor, that is something which we have not tweaked and still continue s.

Srikanth Gopalakrishnan : Yes. We have not tweaked.

Kunal Shah: And looking at that in terms of the borrowing, so maybe the ALM there is a clear maybe 10% decline in that tenor. Are we realigning the borrowing profile towards the lower tenor bucket, and just maybe as you explained, there was some benefit which has come to do in terms of the borrowing cost which you will tend to pass it on in terms of the lending rate, but maybe shifting this borrowing towards the lower tenor, would it further help in terms of the overall borrowing?

Srikanth Gopalakrishnan : Kunal, while it may help on the overall cost, I think we are very clear that we want to be at a match ed ALM, we don't want to carry that much of a mismatch. So, given that our behavioral tenors are around 4, 4.5 years, even our borrowings are more like four to five years on an average, while there are few entities which give seven years and all that, but generally they are about 4, 4.5-years and we are not looking at going too much down to the shorter tenor. So, we will ensure that we borrow similar tenures. So, we are not looking at too much of cost benefit to come in because

of borrowing for lower tenors and allowing any kind of a mismatch on the ALM to be there. So, we will continue to borrow at around 4 -5 years average tenor which is the behavioral tenor of the assets as well.

Kunal Shah: And lastly, you indicated that maybe running the CIBIL that again would be more of a academical exercise, but given what is being heard in terms of customer over leveraging, would we take some initiative this time because it's been heard across the indust ry or would we still wait for in terms of our 31 to 60, just to ensure that whether it's reflecting in there and then take the action, because I think there is a stress, it is building up. So, would we think maybe at least in terms of having some maybe guardrails out there?

Rangarajan Krishnan : Kunal, we can do this exercise, but I don't know practically can we with the information that let's say an ex -borrower has taken more monies, will you have the ability to go and control the borrower, that's the question. You may have the knowledge. But I t hink if you are confronting the borrower with this information, the borrower will say, yes, I have taken this loan, but as long as I repay your loan, what's your problem? I think if such a question is directly asked, there is no answer. So, we do keep moni toring this at pockets where we are expecting some stress to happen. But in 100% of the top up cases or let's say in cases where at the regional level we are potentially seeing some stress, we can definitely do this and make some policy level changes if ne ed be.

Moderator: The next question is from the line of Pranav Gupta from Alpha Investment Advisors. Please go ahead.

Pranav Gupta: What I was trying to understand is this branch expansion strategy that we have for this year, almost 50% of which will come from splitting off large branches. Is this trend sort of going to continue for the next 3 -4 years or is this something that we just see in the near -term, post which you will start opening newer branches rather than splitting a larger part of our branches?

Lakshmipathy Deenadayalan: Yes, Pranav, I think it all depends upon the number of super branches and bigger branches what we have in Five-Star. It's close to 200 to 225 branches, if I am right. Those are the branches that

we intend to make it a ideal branch. Ideal is a very clear terminology where we find that ideal branch will run through for next three years without any risk into it. It's not that the entire 500 branches will move towards split, it's only the bigger branches I think will be completed in a 12 -month period. So, we have already started it, maybe in the next 9 to 12 months period, this exercise will be perfectly done. So, that's the commentary that I can give now. In case maybe six months later, I can revisit what has happened in that.

Pranav Gupta: Second question is on Tamil Nadu. So, you mentioned that Tamil Nadu was not able to catch up in terms of growth over the last year, but you're confident that this year it will sort of catch up. But if you look at last year, are there any specific issues that we saw for the state, maybe attriti on that is something that a couple of other players in that geography mentioned or maybe some overleveraging of customers in certain pockets, is there something that we can point towards for last year, co uld you help us understand that better?

Lakshmipathy Deenadayalan: Pranav, nothing new. That's what I have seen because I said I met each and every member of Tamil Nadu team last month and previous month too. So, it's a general phenomena that Tamil Nadu is one of the best performing states for any lenders. So, you'll see every bank and NBFC having their presence in Tamil Nadu. So, it's nothing new that has happened anything in Tamil Nadu. Andhra and Telangana, maybe we are very, very good. So, those two states are catching up rightly good. So, Tamil Nadu was not able to match that speed. That's what I meant. There was no lesser speed in Tamil Nadu. If you compare Tamil Nadu on a yearly basis, there's nothing lesser in what they have been doing. While comparing with other two states, their catch up was slower is what I mentioned and that difference of catch up will be narrowed in this year. I am very confident from Tamil Nadu's perspective.

Pranav Gupta: One clarification. You mentioned that for the digital push or payments through digital methods, we sort of mandated a UPI auto pay. In case the customers EMI bounces because of lack of balance or any other reason on the UPI payment mandate, do we charge a ny fees or is that something that we don't do at all?

Rangarajan Krishnan : We do charge a bounce charge for any UPI or a NACH mandate which gets bounced.

Pranav Gupta: And the charges will be same?

Rangarajan Krishnan : It is the same. We charge Rs.500 per bounce and it is the same for any mandate which gets bounced.

Moderator: The next question is from the line of Sanjay Chawla from Denison Investment Managers. Please go ahead.

Sanjay Chawla: I have got a couple of questions. Can you indicate what is the target leverage ratio? Currently, it is rather low at 2.3 x. And the second question which is a related question is what combination of dividend policy, ROE and AUM growth you expect, that would take you to your target leverage and by when?

Lakshmipathy Deenadayalan: I have said several times. Let me repeat it. At a steady state, steady state means 2 -3 years down the line, we intend to be somewhere close to 3.75 x to 4x leverage. I am talking about leverage perspective, not debt -to-equity, debt to equity means it will be 2.75 to 3 and leverage of 3.75 to

4. That's where ideally Five-Star wants to fit into it. So, that will take another 2.5 -3.5 years from now to reach that stance. While doing so, our spreads will be close to 12% to 13% and NIMs will be close to 14%, 14.5%, 15% and that eventually translates to ROA of close to 7% and ROE, which will go beyond 20%. That where we guide the market in the steady state and we are very clearly right on the trajectory what we have been talking to the mar ket and we are very confident of reaching it ahead of time itself, but, let me not take it up in this point of time, it will be next two and a half to three and a half years where we will reach this leverage, ROA and ROE. From a dividend perspective, I thi nk we also gave a last answer to one gentleman who asked me in last earning call. You will hear good news very soon. Let me repeat the same to all the individual shareholders, you will hear very good news very soon.

Sanjay Chawla: You are obviously indicating that 20% -plus ROE business and getting to that leverage in 3 -4 years, let's say. An AUM growth you're probably looking at 25% CAGR. Am I correct on that?

Lakshmipathy Deenadayalan : So, we are looking at 30% CAGR growth for the next two to three years.

Sanjay Chawla: You will have to pay a substantial dividend to actually get to that leverage ratio in three, four years, I mean maybe 40%, 50% payout on your profit. Is that something a combination you're looking at to get to your target leverage?

Lakshmipathy Deenadayalan: Right now, we are not looking dividend payout from a leverage perspective. It's a board's call that board will take a right call. If the leverage is little lower also, but nothing to worry, our ROE guidance what I have said that +20%+, we will reach very comfortably.

Moderator: The next question is from the line of Hemant Patel, Alder Capital. Please go ahead.

Hemant Patel: Just notice that when I look at it from an AUM to branch Tier, your proportion of semi -urban allocation which is Tier-5 and Tier-6, I mean has increased from 58% two years back to around 70%. It seems like there

is an inclination towards a lot more on the semi -urban side. I just wanted to understand what's driving this inclination. Second, when I look at it from an RBI classification of rural which is 10,000 below pop, right, just wanted to understand what proportion of this Tier-6 caters to that segment of that market, is there a white space, is there something that you would look at going ahead as you expand your book?

Lakshmipathy Deenadayalan : Yes. Hemant, the Tiers what we indicate is our own classification. Tier -3, we call it as 20 lakhs plus population and Tier-7 we call as 25,000 plus population. That's our internal metric, nothing to refer to the commonality what other lenders do. Maybe we will align going forward with what the terminology that other people refer to. But even Tier-7 where we are now starting our presence, it has a 25,000 -plus population in that region. So, we are not looking into a 10,000 population at all, we don't want to get into that kind of rural market as of now because there are plenty and plenty of available spaces fo r us to move the customers from informal to formal. So, Tier-5, Tier-6, Tier-7, these three will be the driving force for Five-Star at least for next 24 months is what I think.

 Hemant Patel: Tier-7, what proportion that would be of the overall AUM?

Lakshmipathy Deenadayalan : So, Tier-7 we have just started I said. Even that is around 20,000 plus population. So, predominant our presence is will be at Tier-5 and Tier-6. Tier-7 has just started.

Srikanth Gopalakrishnan : Tier-3 to Tier-6 will be the major portion, 95%+ of our book will be from Tier-3 to Tier-6.

Hemant Patel: Yes, but I just was pointing this question towards the inclination to move more towards it. I mean, is it because you feel that the competitive intensity is more if I were to put it in urban areas versus semi -urban areas where you are actually heading towa rds lot more in terms of granular presence?

Lakshmipathy Deenadayalan : Yes, slowly the penetration will be happening in Tier-1, Tier-2, Tier-3 cities. So, if you see Tier-3 cities also, we are not very fond of. So, since you are not fond of Tier-3 cities, the alternative what we are seeing where the files are coming from, where the customers are coming from, it's clearly towards Tier-5, Tier-6. So, that's where we will be moving towards. And we want to keep ourselves closer to the customer. There is no need of keeping your branch in Tier-3 and sourci ng your files from a smaller location in Tier-5 and Tier-6. Better we keep our branch in Tier-5, Tier-6 location and call those branches Tier-5, Tier-6 locations. So, that's the thought process that we are currently in process.

Moderator: The next question is from the line of Dinesh from Finsight. Please go ahead.

Dinesh: My question is a very simple book -keeping question. What's the total number of diluted shares outstanding we have right now as of Q1? And what's the ESOP plan we have for the next few quarters and years?

Lakshmipathy Deenadayalan: Dinesh, can you repeat the first one?

Dinesh: The total number of diluted shares outstanding as of this quarter.

Srikanth Gopalakrishnan : So, diluted shares is about 29.5 crores.

Dinesh: And what's the ESOP plan for the next few quarters, like do we have any major SBCs?

Srikanth Gopalakrishnan : So, we had approved an ESOP plan about a few months back, Dinesh. So, that will be given. So, right now we have enough both in the older plans and the newer one that got approved a few months back. So, we will use that to incentivize our people. If there is a need at a later point of

time the board will deliberate and then we'll come to the shareholders, but nothing on the anvil right now.
Dinesh: Nothing more share dilution, right, apart from this, what we have already planned for, right, is that right ?
Srikanth Gopalakrishnan : Nothi

ng is on the anvil right now. 29.5 crores is taking into account all the dilutions, so nothing on the ESOPs right now.
 Dinesh: And my last question is on Maharashtra. We don't see , Maharashtra being such a big capital intensive and growing economy, almost on the verge of being 1 trillion now in the next few years.
Why are we not expanding so aggressively in Maharashtra?
Rangarajan Krishnan : So, Maharashtra, you will see us expanding very clearly this year. We were taking a little bit of a pause in Maharashtra because of COVID issues. But I think in the last two years, Maharashtra has performed very well for us. This year is an expansion year for Maharashtra. You already see us putting a good number of branches. Definitely I think from this year onwards Maharashtra will become a key market for us.
Dinesh: On average loan what we gave book value, that will remain same in Maharashtra, right, or will you go on a more conservative basis, okay, we'll start with the lower value and then increase it, like how are you thinking about it?
Rangarajan Krishnan : No, so far I think across all the states, we don't have a differentiated strategy from a product perspective. At origination, the LTV across all the states will range anywhere between 40% to 50% depending on the merits of the case. So, Maharashtra is no different from that perspective.
Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I now hand over the conference to Mr. Sameer Bhise for closing comments.
Sameer Bhise: Thank you very much everyone for joining this call today. Thank you to the management of Five-Star Business Finance for giving us the opportunity.
Lakshmipathy Deenadayalan: Yes, thank you, Sameer for taking us through and thanking you all the shareholders for your wonderful questions. If any question outside, please feel free to connect us directly so we can give you the clarity. With this, we will end this Q1 Earnings Call.
Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

Date: November 05, 2024

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663

Sub: Transcript of the Earnings Conference Call for the quarter and half year ended
September 30, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on
Tues day, October 2 9, 202 4.

The transcript can also be accessed from the link: https://fivestargroup.in/investors/

Kindly take the above on record.

For Five -Star Business Finance Limited

Shalini Baskaran
Company Secretary & Compliance Officer
 “Five-Star Business Finance Limited
Q2FY2 5 Earnings Conference Call”
October 29, 2024
MANAGEMENT : MR LAKSHMIPATHY DEENADAYALAN – CHAIRMAN &
MANAGING DIRECTOR , FIVE-STAR BUSINESS FINANCE
LIMITED
MR RANGARAJAN KRISHNAN - CHIEF EXECUTIVE OFFICER ,
FIVE-STAR BUSINESS FINANCE LIMITED
MR SRIKANTH GOPALAKRISHNAN - CHIEF FINANCIAL
OFFICER , FIVE-STAR BUSINESS FINANCE LIMITED
MODERATOR : MR RAGHAV GARG – AMBIT CAPITAL

 Moderator: Ladies and gentlemen, good day and welcome to Five Star Business Finance Limited 2QFY24-25 Earnings Conference Call hosted by Ambit Capital.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr Raghav Garg from Ambit Capital. Thank you and over to you, sir.
Raghav Garg: Good afternoon, everyone. We have with us today the management of Five Star Business Finance Limited represented by Mr Lakshmipathy Deenadayalan – Chairman and Managing Director, Mr Rangarajan Krishnan – Joint Managing Director and Chief Executive Officer, and Mr Srikanth Gopalakrishnan – Joint Managing Director and Chief Financial Officer.
Without much ado, I would like to hand over the call to Mr Lakshmipathy Deenadayalan for his Opening Remarks, post which we can open the floor for Questions :
Thank you and over to you, sir.
Lakshmipathy Deenadayalan : Yes. Thank you, Raghav. Good evening, everyone. A warm welcome to all the people who are on the
line. Happy to take you through on the Second Earnings Call for this Financial Year .
So, let me straightaway jump into the “Operational Numbers and Few Updates” which I wanted to

share with you all. First, let me take you through on the branches. We have opened 113 branches in the September quarter, out of that, 32 are new branches and 77 are split branches. Hope so that you people know what the split branch concept what Five Star has put in. Let me repeat, the split branches will address the concentration risk in a location. So, we will keep continuing the split branches as we go forward.

Now let me take you to the Disbursement :

We had a good disbursement of 1,251 crores versus 1,204 crores last September, registering a growth of 4% YoY and 1,318 crores in June quarter, which shows a negative growth of 5% Q oQ. Yes, we have slowed down our disbursement. This is a conscious strategy to moderate our portfolio growth for the full year .

Let me take you to the Portfolio :

Our portfolio stands at 10,927 crores versus 10,343 crores in June and 8,264 crores in last September, registering a 6% QoQ growth and 32% YoY growth.

Considering the current environment and regulators views what we hear, the board has taken a call to slow down the growth. So, our guidance for the financial year '25 will stand at 25%. We will take a call in the next financial year.

 Let me now move towards the Collections :

We have done well in our collections. Our September quarter collection efficiency was at 98.4% comparing with 98.5% in June. And the unique customers collection which we call, “Due One, Collect One” was at 97% in September versus 97.2% in June.

Now, taking you through NPA :

Our gross Stage -III assets was at 1.47% versus 1.41% which had an increase of 6 bps. At the current scenario, we have performed well, both in collections and maintaining a good asset quality.

Now, let me take you through on the Liability Side :

We were able to diversify our liability from banks to other forms of borrowing. Srikanth, CFO, will speak more about that. On the borrowing cost, the borrowing cost for the quarter was at stable at 9.65% versus 9.65% last June. Incremental borrowing cost w as at 9.52% versus 9.47% with an increase of just five bps.

Now, let me take you through “Other Updates” which I wanted to share with you all :

• First, the rate of interest. In line with our commentary over the last many quarters, we have now decided to drop our lending rates on incremental disbursal starting from 1st November

2024 by

200 bps, that is from 24.5% to 22.5%. I am happy to say this. Since our portfolio is a fixed rate portfolio, the spread compression impact will be on the incremental disbursement.

• On the second update which would be more interesting. We have done a bureau scrub of all the primary applicants on active loans as on September 2024. Out of our total active loans of 4.3 lakhs, we find that about 14% of our loans which is 59,000 loans are overleveraged, that is, the applicant having three or more loans with other financial institutions. Of the loans, which are overleveraged, only above 1,600 loans translating to just 0.4% of the total active loans, have exhibited lower collection efficiency in the last six months. Let me repeat, “only 1,600 loans translating to just 0.5% of our total active loans have exhibited lower collection efficiency in the last six months ”. We are monitoring this portfolio very closely and also decided to implement stricter underwriting norms for overleveraged loans going forward.

So, with those updates and the numbers now, I will hand it over to Srikanth to go more deeper into it. Thank you.

Srikanth Gopalakrishnan: A very good evening to all of you. As Mr Pathy has highlighted, we had a good quarter in the second

quarter as well despite some sectoral headwinds, especially those that are being faced by the unsecured lenders. But we being a fully secured product with strong underwriting and collections mechanism, I think we have managed to come out with a good set of results even during this quarter.

We have an active loan base of 4.3 lakhs. So, we are still not really putting too much of monies into the hands of the same borrower but diversifying our portfolio into a much larger base of borrowers.

Our yields continue to remain consistent at around 24% or so . With the drop in yields that we will be doing from 1st November, you will see the incremental yields going down, but for it to get reflected in the portfolio will take some time.

 The cost of funds again remained flat at 9.65%. This is ensured that our spreads have remained flat compared to the last quarter. There has been a slight drop in the net interest margin, primarily on account of leverage with the quantum of debt going up.

Our cost -to-income again pretty much stable compared on a sequential quarter and as we've been guiding in the past, we expect our cost -to-income and when we mean cost -to-income, we are also including the credit cost into this. So, including our credit cost, we will be at about 35% of cost -to-income even in a steady state scenario.

Healthy RO A is at around 8.3%. Our ROE has just crossed 19% for the first time. So, this is again on anticipated lines, compression in ROA and you'll see ROE sort of going up.
From a borrowing, we have 43 lenders who have financed to us. As we have guided in the past, we are clearly looking at moving towards other than banks to get our debt, and to that extent we have onboarded Nippon Mutual Fund and Kotak Mutual Fund as lenders to us. They have subscribed to our PTC transaction. Incidentally given that this is a public call and today it could be public news, we also had HDFC Mutual Fund and HSBC Mutual Fund subscribing to our PTCs today.
So, clearly the intent to diversify the borrowings out of the bank is showing a good traction. We have dropped on other than bank borrowings from 74% to 70% during this quarter. These come in at slightly higher rates, which is why we are seeing the incremental debt coming in at 9.52% as against 9.47% last quarter. We continue to be good on the liquidity buffer and Unavailed sanction lines. So, we had a liquidity buffer of close to 1,700 crores and close to 250 crores of undrawn sanction lines from banks and other institutions.
On the collection efficiency, there was a very marginal dip, which has also contributed to a sl

ight
increase in our DPDs. But if looked at from the context of what is happening around in the industry, I think the numbers that we have delivered are very imp ressive.
On the provision coverage, we continue to be attractive. We are maintaining about 1.65% of ECL on the overall AUM and about 52% of provision coverage on Stage -III assets. Like we said, we will continue to remain cautious on this and build adequate buffers in good times for any contingencies that might arise.
We clocked a PAT of 268 crores for the quarter, which is a growth of about 34% on a YoY and on a sequential basis our PAT went up by 6% from 252 crores to 268 crores. Networth is strong at about a little over 5,700 crores. So, Mr Pathy has already given the updates. The overleverage issue has not really caused much of an issue for Five Star, the borrowers of Five Star are continuing to pay to us.
So, given all of these things, I think we will continue to remain very focused, remain cautious and look at the environment closely before taking any of the decisions, because we all know what is happening around. But the silver lining for us is the portfo lio of Five Star is continuing to perform extremely well and we will continue to keep monitoring this as we go forward.
So, on that note, we will take a pause, and we will open up for any questions that any of you may have. Thank you.
 Moderator: We will now begin the question -and-answer session. The first question is from the line of Renish from ICICI. Please go ahead.
Renish: Just two things from my side. One, on a few business model changes what we have done, like lower growth and a rate cut. So, what kind of profitability impact do you see in FY'25, FY'26 and does it also mean that this steady state ROE which you guys might have thought about maybe when we started this business? And now given the changes which are sounding more of a structural in nature, what kind of ROE this business can now generate going ahead and the short -term impact because of the changes?
Srikanth Gopalakrishnan: So, on the first point, definitely there will be an impact on profitability more so in FY'25 on account of the lower growth, because like we said, the yields dropping, will not have much of an impact because it's going to be on a very smaller portfolio rather than we have about 11,000 crores of portfolio, which are fixed rate and running at a higher rate. But because we would grow about 4%, 5% lower than what our original guidance was, there will be an impact on profitability . See, we have not really worked out our numbers, but I don't think there is going to be a significant compression in our ROA. So, given where our assets will end at, I think we should be closer to about 8% of ROA for this year. But over a period, I think that definitely will drop to about 6% or so. But, Renish, this is not a new information that we are giving to you today. In fact, all the while we have been saying that our steady state spreads will be about 12%, which will translate to a steady state ROA of abou t 6% or so. So, on a steady state, there is actually no change in our guidance, only change will probably be on the growth. But at this point of time, we are not giving you growth guidance for a longer term. Like Mr Pathy said, the 25% growth is for this year, but we will continue to keep monitoring how things change, and growth is something that we can always fine -tune as we go forward. So, I don't think there is an issue from a steady state ROA, ROE as against what we have been talking. It is just that maybe it will happen in a little more faster manner than the sort of gradual manner that we highlighted you maybe when we have been meeting with you in the past.
Renish: We don't see any risk to our 12% steady state.
Srikanth Gopalakrishnan: At this point of time, no, Renish. Today, I think the way that

the environment is changing, while we
can be as proactive as possible, there are times when we will have to be reactive. But at this point of time, we don't really see a challenge to our 12% spreads.
Renish: My second question is on the borrower base, right? So, given the kind of things flows what we are getting on the MFI side and given our ticket sizes, maybe if you can just clarify what percentage of

our borrowers base are having MFI loans and how is the behavior of that pool? And link to that, do you foresee a ny, let's say collection challenge in that pool aspects actually the ones who might have two, three, four other MFI loans?

Srikanth Gopalakrishnan: So, Renish, just to give you a little bit of context, what we have been telling even in the past, our belief and today with data stands lot vindicated, is the fact that the borrowers have not seen a compression in their incomes. But obviously there is some level of overleveraging that has happened. So, what is happening is, people are starting to prioritize and in the order of their priority, we stand almost on top so which means that they are repaying us. And out of this scrub whic h we have done, we see that about roughly 30% of our borrowers also have an active microfinance loan as we speak.

While we have not looked at what kind of delinquencies those microfinance institutions are facing, we would just have an overall number and not an institution wise number. But even on the portfolio where there is a microfinance overlap, we have not seen any deterioration. So, the lower collection efficiency that we are seeing is just on about 0.4% of our base, which is about 1,600 loans. So, at this point of time, we don't believe that the issues that are being faced by the microfinance companies from their borrowers, the similar borrowers are prioritizing us and repaying us without any issue and there is no early warning signal or whatever it is that this could also percolate to our portfolio. But like we said, we will continue to keep monitoring the overleverage d portfolio very closely and be ready for any actions if they are warranted.

Lakshmipathy Deenadayalan: So, Renish, let me repeat and give confidence to the listeners. Five Star in the last 22 years, see, we have seen five crises starting from Andhra crises what happened to MFI and then reborn, then COVID and COVID -2 and now what we all call as overleverage crisis. In all the above 4 crises, Five Star came out very successfully because I keep repeating, even though we lend to middle and lower middle -class people, during the stress time, they prioritize whom to pay, whom not to pay. So, that is why you see the other players who are suffering, whereas the mortgage players like housing and us are comfortably placed because of strong security what we have and our collection infrastructure what we have put at the ground level, both are giving a good result in this quarter , and I hope and I am confident that this will continue till this gets settled.

Moderator: The next question is from the line of Viral Shah from IIFL Securities. Please go ahead.

Viral Shah: I had two questions. One is that with regards to the growth rate percentage specifically, which is 25%, is there any logic behind that or is this just based on the discussion with the regulator or the feedback that you would have gotten?

Lakshmipathy Deenadayalan: See, as I said in opening remarks, board has considered the current environment and regulators view, which you and me hear from all sources. So, Board has taken a very conservative call that to slow down the growth in this overleverage time. So, we feel that our board has taken a right call and not grow at the time when everyone speak about overleveraging. So, we have taken a call to step down a growth a bit from 30% what we said to 25% for this financial year. As I said in openi

n g remarks, we will revisit this in the next financial year when we feel and when the board feels the environment is good we will go back to our stronger growth as we have been doing in the past.

Viral Shah: My second question is that you mentioned that the 14% of your portfolio is basically overleveraged. Is this on a value basis or on volume basis like is it in number of the customers or by value of the loans that these customers have with you?

Srikanth Gopalakrishnan: So, this is on the basis of number of accounts, Viral, not on value. In fact, on value it will be slightly lower than this also, because if they have taken so many loans our loans also will not be at let's say 3.5, 4 lakhs. So, our amount would have been lesser. So, this is on an account basis. We have not done the analysis for the value, but very clearly, at the value basis, this number will be smaller.

Viral Shah: Also, because there would have also been a rundown on your exposures will be lower level. But as a corollary to that, if we get a color in terms of the definition that you use for the overleverage customer, is that they have three or more other loans, do you have color on what are these other loans, are they secured, unsecured, what is the value of the outstanding of other loans, any of those things?

Srikanth Gopalakrishnan: So, again primarily unsecured, Viral. So, we have seen overlaps with MFI, overlaps with gold loans, overlaps with vehicle loans and agri kind of loans. The overlap with LAP, housing or secured business loans are very, very small. And typically, the number is, yes, like we said 30% overlaps with the microfinance and maybe a similar overlap with gold, rest of the overlaps are smaller than 30%.

Viral Shah: When you mention that this overlap with vehicle loans, which vehicle, you mean to the two wheelers?

Srikanth Gopalakrishnan: Two wheelers. Yes. Some CVs could be there, but predominantly two wheelers.

Viral Shah: When you mentioned the LAP or the housing piece, do these borrowers have another house or the property against which they would have taken this?

Srikanth Gopalakrishnan: They should be having Viral, because we don't do any paripassu charge, it's an exclusive charge.

So,
if they have taken money from us on one property and if they have taken another housing loan, it should be on a different property. Like I said, the numbers are extremely small.
Moderator: The next question is from the line of Manik Bansal from Master Capital Services Limited. Please go ahead.
Manik Bansal: So, I am having a question on like average loan to value ratio has reduced from 40.5% in Q1 to 39% in Q2, which means that underlying collateral increased around 2,200 crores, loan book increase of 583 crores. What can be the possible reason? Is the bank focusing on prudent lending?
Srikanth Gopalakrishnan: So, the growth has slowed, right, the disbursal is lower. And on an LTV basis, when the loans run down, we don't revalue the collateral, but even assuming the same collateral value when the loan runs down, obviously, there will be a drop in the LTV. And when you are not adding higher LTVs at the pace that you have been adding in the past, this number will continue to keep dropping. So, you will always see a portfolio in a lower growth phase the portfolio LTV will continue to keep dropping a bit quarter -on-quart er.
Manik Bansal: We added 113 new branches this quarter, right? But the company's loan portfolio has grown by about 583 crores only in Q2. What can be the possible reason for this slower growth?
Rangarajan Krishnan : So, Manik, we have clarified that most of these branches are split branches. So, split branches essentially one larger branch getting broken into two so that does not automatically increase your business outcome or portfolio. So, it's more a risk management measure which we've been

explaining
in the past few quarters. So, over the last quarter specifically, we had focused on most of the branches, which have more than 1,500 loans and that's the effort which has happened. So, almost 77 br anches, out of the 113 that we have opened are split branch category. Also, the other point to note is when you open a new branch, it takes at least three to six months for the branch to stabilize. So, these are investments that we are doing now and over a period of time, these will yield results. So, it's not an immediate and automatic increase in business.
Manik Bansal: The securitization portfolio has grown from 14% to 18%. So, there's a 4% increase on securitized borrowing. And as the company's con call shows that we have onboarded Kotak Mutual Fund and Nippon Mutual Fund. So, will this impact the cost of funds in the coming quarters?
 Srikanth Gopalakrishnan: Sorry, we missed. What is the question?
Manik Bansal: So, will this impact the cost of funds or the overall borrowing mix?
Srikanth Gopalakrishnan: Like I said, Manik, this is slightly at a premium compared to our, let's say bank borrowing, but we are very clear that we want to diversify our borrowing sources. So, we end up paying about 20, 25 basis points premium on this. But generally, the way these things work is it will typically be higher cost in initial transactions, but once they get comfort, subscribing to our portfolios and seeing the performance, we are hoping that at some point of time the cost will start going down. So, we don't really see a long-term impact of these transactions on the cost of funds, but for getting the diversification impact, we have paid a little bit of premium.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Srikanth Sir, firstly I just wanted to understand, I am seeing on our slide 6, NIMs have expanded by almost 20 basis points QoQ. Is that the right observation?
Srikanth Gopalakrishnan: Yes, Abhijit NIMs have been expanded a little bit.
Abhijit Tibrewal: I mean, how should we understand this, because I mean, all along what our understanding is there are no yield increases that you are taking, on top of that. I mean I would say cost of borrowings what you've reported is also largely stable and leverage is indeed going up. What explains this NIM expansion?
Srikanth Gopalakrishnan: So, last point is where the difference is. The leverage for this quarter has actually come down a little bit. While it's not material, but if you look at our debt -equity, it's come down from 1.23 to 1.20. So, the pace of net worth growth is higher than the pace of the borrowing growth.
Abhijit Tibrewal: Obviously, I mean audit for the last year I am guessing would have happened by now. I mean in addition to the industry loan growth and pricing that you have spoken about, any other observations in the RBI audit?
Lakshmipathy Deenadayalan: Abhijit, I have not said this is the outcome of the RBI audit. I said the board has taken a clear view
and what commentary that we have been saying for the last quarters based on that, the rate of interest has been reduced, 200 bps, which we have been say ing to the market for some quarters and we have done it now with the approval of the board and this gets effected from 1st November.
Abhijit Tibrewal: But what I was trying to understand, Pathy, sir, is the audit is over now, there are no observations from RBI, right, is what I am saying.
Srikanth Gopalakrishnan : FY’23 inspection report has come. There are no material observations. There are qualitative observations obviously how we can strengthen our process around the complaints management. So, there are qualitative observations, and we have very clearly taken those suggestions from RBI and we have implemented most of it and given compliance t

o RBI also. FY'24 has also been completed, but
we have still not got the final report from RBI. Our interaction with the inspection team dur ing the
inspection leads us to bel ieve that there are no red flags, there are going to be no major observations
 or inspection findings. But again, we will just want to wait for the final report to come in before we
give you a very clear answer.
Abhijit Tibrewal: I wanted to understand while you have already articulated this 200 basis points cut in our incremental
lending rates that we are taking will obviously not have too much of an impact on yields this year,
but given that, I mean in the past you have said, ro ughly around 25% to 27% of our existing loan
book runs down every year, how will this impact come into the portfolio yields over a course of time?
Srikanth Gopalakrishnan: Over a period of time, what you are reading as 24%, 24.1% today will go down much more quicker
than what we have been guiding in the past. So, that's what I answered Renish also initially. The
impact will be on the faster pace of yield coming down on the book than what we had guided. So,
originally we were thinking that the book will start being at around incremental yields in three years,
but maybe today that could probably be in FY'26 /27 you will start seeing some impact which is more
sharper than what we would have guided. So, '25 I think we will largely be around 24% or slightly
lower than that, but in '26 -27 the drop will be a little more sharper than what we have been guiding
in the past.
Lakshmipathy Deenadayalan: So, Abhijit, let me reiterate what Srikanth said earlier. So, our long -term guidance, three years, five
years down the line, we will be in the spreads of around 12% and our return on assets will be around
6% and that's the steady state scenario that we are looking for.
Moderator: The next question is from the line of Dinesh from Finsite. Please go ahead.
Dinesh: My question is I would like to know we have split the branches and if I remember you mentioned in
the previous call that we would like to reduce the number of employees per branch from somewhere
around say like 20 -odd we have right now from. What kind of a number we are looking at like, I mean
will it be somewhere in the range of 10 to 12 because definitely some of the employees will get split,
right?
Rangarajan Krishnan: Dinesh, on a steady state, yes, we expect once the branch reaches what we call as an ideal branch
kind of a scenario it will have an average of about 10 to 11.
Dinesh: So, second question, I mean on the same line, we are increasing our branches, we are definitely adding
more employees here and we are reducing our interest rates maybe like whatever 200 basis points
and we know the situation is very tough. What kind of situati on actually is this out in the market and
we are reducing our growth targets as well like I mean, are we expecting the situation will become
even worse in the next maybe 2 -3 quarters or are you seeing maybe the last signs of the revival are
there, if you could just give on the overall macro what's your view?
Rangarajan Krishnan: Dinesh, I will add a couple of things, probably invite Srikanth also to add his viewpoints. I think the
first point on the interest rates, we have repeated multiple times even as part of this call like this is a
well-articulated strategy that we have had, and we have been sort of talking about this for the last few
quarters. The spreads that we had additionally enjoyed was because of the lower borrowing cost and
we were waiting for the most appropriate time to pass this on. And today th e board has given us the
final approval and we are going ahead with passing of about 200 basis points benefit to the customer.
So, this is exactly as we have anticipated and this does not deviate from any of the guidance that we
have given on the spre

ads part. So, that's clear. The second part I want to also reiterate is that we are
 not seeing any stress scenario from our books at this point of time. And the bureau scrub that we have
done is additionally giving us the confidence that if at all we will have to look at overleveraged
customers who are sort of not behaving well with us from a collections perspective, it's hardly about
0.4% of the portfolio, well in control, and anyway the situation is getting very, very closely monitored
including some tig htening of underwriting process as we proceed. But while things within your
control a re fairly okay, but there will also be scenarios that you have to watch out for from
macroeconomics perspective and what's happening in the sector. So, the call to reduce the growth
rate from about 25% now is more in line with what we are seeing around us rather than what we are
seeing within us at this point of time. And Mr Pathy has very clearly sort of detailed that out is that
we are not revising any long-term guidance. We are revising the growth guidance given for this year
and we will of course wait a nd watch as to how the situation evolves and take a call appropriately at
the end of this financial year.
Dinesh: My last point is on the things we discussed. We mentioned about overleveraged loans maybe around
1,600 accounts, right? My question is how do you come to know like did we give the loan them
towards the end like they have already borrowed from some other M FI and then we gave the loans or
what is the sequence of loans that have you done that study as well like I mean they were already
overleveraged and then we gave the loans because I want to understand the collection efficiency of
this particular 1,6 00 accounts, below the average or what's the situation out there?
Rangarajan Krishnan: So, Dinesh, both the scenarios are possible. Firstly, let me clarify that at the time of sanctioning of

the loan, any loans that they would have had outstanding at that point of time, we would have taken it into account before sanctioning our loan both from a DBR perspective and from our own risk management perspective. So, that's clear. But especially with respect to unsecured loans, you cannot stop any of these people to go and borrow from unsecured loans and that's where the overleve rage is sort of creeping up in the sector. So, I don't have an exact answer how much proportion of this 1,600 had three loans or more at the time of sanction and how much borrowed one more loan post sanction. So, today it stands put together about 1,600. But if I were to take a guess, it will be more than 50% of people would have taken a loan after we have sanctioned rather than the other way out.

Dinesh: But has this impacted our collection efficiency because it has marginally gone down, right, the risk is there, right?

Rangarajan Krishnan: Yes, the risk is there. That's why we are sort of isolating this 1,600 loans and then monitoring closely. Srikanth can give some more color about 1,600 loans.

Srikanth Gopalakrishnan: So, see, even on this 1,600 loans, it's not like none of these guys have paid any time during this six months. There are customers who have been paying maybe two installments, three installments during this period. But we are definitely seeing drop in collecti on efficiency which means there is some level of issue at their cash flow level which is why we are monitoring this portfolio. See, the other point what you said, at the time of underwriting we have a very stringent mechanism in terms of not going beyond 5 0% debt burden ratio. So, when you take all of that, it's little unlikely to presume that these customers would have had all this overleverage even at the time of underwriting the loan. So, it's more likely that they would have actually taken the loan post we are sanctioning the loan and that's what Mr Pathy

also alluded, right, in the personal loan there is no security. So, for others to just come and give the loan is a lot more easier than when you are doing a secured loan where it can typically

 be only one lender who can give. So, when there is a little bit of laxity in the discipline in the entire lending ecosystem, everybody in the ecosystem tends to get affected. The good part is the effect on us has been extremely marginal and unlike many other players who have suffered big on t he collection efficiency drops or credit cost or NP As going up, the impact that we have seen is almost close to nothing.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: On the credit cost side, I know we are slowing down looking at what's happening around, but given the ECL coverage that we are sitting right now, which is closer to 1.6%, do you think it is required that we kind of just inch it up a little bit and build a little bit of a buffer, let's say that something that you would have done during COVID or any of the stress periods?

Srikanth Gopalakrishnan: If you look at between the last quarter and the current quarter, it has inched up by about two basis points, while obviously you may think that this number is not a big number but the ECL model also gives us not too much flexibility to sort of keep pushin g these numbers especially when you have strong PDs and LGDs, but yes, we are fairly in sync with the thoughts that you have echoed that we will continue to keep monitoring this portfolio and wherever there is a possibility availabl e to us to push up some of these numbers, we will continue to keep doing. So, our ECL will always be at an appropriate level depending on how the portfolio is behaving. The bigger impact for us is on the LGD. So, even if the loan becomes default, kind of loss that we suffer. And I can give you a number, if you sort of put a weighted average LGD on the loans that have turned default, it's at around 10%, while if you look at Stage -III, we are holding almost 52% of provision coverage. So, it's a very high numb er that we are holding. While it maybe a little archaic from a comparison perspective, but if you look at this to the IRAC provisions that's required, we are almost sitting on 100, 120 crores of additional provisions. We had a very detailed discussion , and I think all of us including the management, the board and the auditors feel this is a very appropriate level of provision that we are sitting on.

Nischint Chawathe: And are there any covenants with banks on net NPA or any of that?

Srikanth Gopalakrishnan: There are covenants, Nischint, , but those are more like 3 -4% nowhere near our current levels.

Nischint Chawathe: I think what you mentioned is that you have around 46,000 odd customers who have more than three loans. Is that what you mentioned?

Srikanth Gopalakrishnan: It's about 58,000.

Nischint Chawathe: Total customers as of now are?

Srikanth Gopalakrishnan: About 4.3 lakhs.

Nischint Chawathe: And what we are then saying is that out of these, around 1,600 are the ones who probably have exhibited some stress?

Srikanth Gopalakrishnan: Correct. So, it is 4.3 lakhs, out of which about 13.7%, 58,000 customers who have three or more loans. Out of this 58,000 customers, 1,600 customers have seen some lower collection efficiencies,

 which could possibly indicate towards some stress in their cash flows and we are monitoring that portfolio. So, on an overall basis, it translates to about 0.4%.

Nischint Chawathe: And just a little bit of a waterfall on the steady state 6% ROA that we are looking at. If you could

give some color on that?
Srikanth Gopalakrishnan: The way that we are looking at is about 12%

spread, which will mean about 14% to 15% of net
interest margin at let's say 3, 3.5x kind of a leverage. From there, if we are looking at maybe about 5%, 5.5% of OPEX and about a percentage of credit cost, we wi ll broadly be at about 8.5% of pre - tax profit, on a post -tax basis it should be about 6%.
Nischint Chawathe: 3, 3.5 times of equity is something which we agreed with the lender?
Srikanth Gopalakrishnan: See, it's comfortable at the lender level and with the kind of profits that we also keep generating, we would want to get there first before moving to the next level. 3, 3.5 times is a very, very comfortable number for lenders, rating agencies and the ext ernal stakeholders.
Moderator: The next question is from the line of Aravind from Sundaram Alternates. Please go ahead.
Aravind: One question is so we have revised down our guidance on growth. Like if I back work, I could see like disbursements has to be flattish or even go down a bit in comparison to the second quarter. Like if that is going to be the case, would we slow down on t he branch addition or is my understanding right?
Rangarajan Krishnan: So, Aravind, branch addition is more a long-term strategy of the company. You will have to keep a lot of things into consideration including, putting up the distribution network, infrastructure, the people that you want to put in a branch and the risk management. So, it's not about the quarter -on-quarte r growth or in terms of adjusting based on the specific disbursement requirement of a company for a particular quarter. So, our branch expansions are more from a perspective that we have to become a company with larger distribution outlets, and we are also becoming a lot more well risk managed company. So, that has no direct impact on quarter -on-quarter disbursements. So, we will continue to do it. And usually also if you look at our historical track record we always upfront the branch addition. So, any branches that we wanted to put, it will obviously be much higher in the first half of the year rather than in the second half of the year which is what you are seeing even now. So, you will automatically not see us expanding branches in the same pace in the second half of this year, which is in line with what we have been doing for the last few years.
Aravind: On the slowdown in disbursements, what kind of additional guardrails in terms of underwriting are we going to take like because we are going to slowdown disbursements, like, are we going to require a much more comfort on LTV or like DBR like what are the things that we are going to do like in the near term?
Rangarajan Krishnan: So, Aravind, broadly, two, three things we have identified certain pockets where the stress could potentially get built. It could be based on a profile of customer, or it could also be based on the leverage of these customers. So, for these cases, we will definitely be tightening the underwriting norms both in terms of LTVs and DBR. So, that's the first step. And second, if we are also seeing any collection inefficiencies in particular pockets, there we will be tightening the entire cre dit
 underwriting norms in a much more stringent manner than what we are normally doing for the other part of the portfolio. So, we will take a call based on what we are seeing. The bureau scrub gives us a lot more insights and we will be using that to form the basis of underwriting principles.
Moderator: The next question is from the line of Chandrasekhar Sridhar from Fidelity International. Please go ahead.
C Sridhar: I have a few questions. So, when you dropped the disbursement rate from November and disbursements are really going to be weak in the second half given your sort of a number. I mean, if you look historically, I mean typically 40%, 45% of your AUM is contributed by that year disbursem ents, that number

is actually going to be pretty minimal for this year, and even if we move
it to next year, the impact is not going to be very significant So, I am a little curious to understand why you are saying th at sort of we will get to 12% spreads on an accelerated fashion, especially when the disbursement growth is slowing down and the impact on AUM in anyways on 12 months is not particularly significant. And obviously coupled with that 70% of the borrowings are variable 12 months out. Even if you have a 25-bps rate cut, it means sort of we get some maybe 8 to 10 bps or 15 bps some sort of an advantage on the borrowing cost. So, just curious to understand how you sort of get to 12% spreads in two years?
Srikanth Gopalakrishnan: So, Chandra, what we guided is for this year it will be at 25%. For next year, we are not predicating these numbers on a 25% growth. Hopefully, there will be some betterment of conditions and we could look at a different growth. But if you are going to grow at 25%, let us say for the next three years if the environment is going to stay where it is and we will have to grow only 25%, then I agree with your point, it may not happen in two years. In our guidances that we gave, we have n ot factored in for any of the rate decreases part. Because I think we also believe that if there is a rate drop by the RBI and our spreads are sort of inching up, we would want to continue to keep passing these rate benefits to the customers. We would like to operate at around 12% spread in a steady state scenario. So, the question is not whether the spread will go up. The question is we would want to keep the spread at around 12%. The only variable in that is the impact of the existing fixed rate book of a bout

10,900 crores. How that is sort of going to run down and how the new disbursals come in. There I agree with you if the growth rate continues to be slow, then yes, two years may not be a point, it may get pushed even beyond that. But if we are able to get to a little better growth rate in the years to come, maybe we will be able to accelerate that a little bit.

C Sridhar: You are not ruling out more than 200 bps. You are starting off at 200, at some point in time, maybe 12 months out, if you get a further rate cut, you'll just pass it on further disbursements?

Srikanth Gopalakrishnan: Yes, we will continue to keep evaluating the scenario and give the benefit to the borrowers. We don't want to unduly increase our spreads. We would like to operate around the 12% spread and the sooner that we can get there I think that's also a comfort in ternally as well as for the regulator.

C Sridhar: The OPEX is also largely sort of disbursement -driven business, I mean, if the disbursement growth itself slowdown, so wondering how do we start thinking, you said 5%, 5%, curious to understand, I mean ideally if your disbursements slows down your OPEX sho uld actually start slowing down?

Srikanth Gopalakrishnan : Our OPEX is a little more skewed towards fixed, Chandra, rather than variable. So, while the incentives are variable and are linked towards the disbursals, the proportion of the variable as a

component of the overall salary is more like about 30%, 35%. So, there is a 65%, 70% component that is fixed. So, even if there is a slowdown in disbursal you'll have to see that. In fact, if you currently look at it, our OPEX is not even at about 5.5% or so, it's lower, but we are not even assuming any scale benefit to come through there. For the current quarter, the OPEX is about 5.1%. But I am even assuming a little higher number because if the disbursal continues to remain slow, maybe the benefit of sca le may not come through. So, it's actually the other way than what you are thinking. Our OPEX is not much variable, it's about 60% fixed.

C Sridhar: Just when you put out a credit cost number sort of steady state i

n your ROE of 100 bps, I mean you said that your LGD historically has been 10%. Just curious trying to put the two and two somehow don't make sense together when you are talking about that. I guess it will be the sort of worst -case scenario you would be thinking of in terms of credit cost, right, unless basically you want to up your PCR to a certain substantially higher level?

Srikanth Gopalakrishnan: See, there is a buffer built there. Let me not disagree with that. It is also a question of how does the numbers look like when the portfolio start getting seasoned. See, what happens, when the growth rate slows, is that some of these things that we proba bly have not seen in the last five, seven years could probably come through. So, we are making necessary allowances for all of that. So, if the portfolio seasons, are we going to start looking at some of these things and when there are more of legal actions that we take, would that mean that there will be a little more discount that we will have to give to the customer, which means the LGD which is at 10% today will probably go up. So, some of these are points that we actually assume when we put out a 1% rate. But you are right, the 1% rate is probably on the higher end of the range. What we typically guide is about 75 to 100 basis points. When I gave you the ROA tree, I took the higher end of the range.

C Sridhar: What's the write -off number for the quarter? My calculated number is about 10 crores.

Srikanth Gopalakrishnan: It's about Rs.11 crores for the current quarter vis -à-vis Rs.7 crores for last quarter. So, for the full year, we have written off of about Rs.18 crores.

Moderator: The next question is from the line of Aditya Pal from MSC Capital Partners. Please go ahead.

Aditya Pal: Sir, wanted to understand that now on the ground any issue that you are seeing, are there any particular geographical pockets that you want to call out where you are seeing a lot of stress?

Rangarajan Krishnan: No specific geographical pockets, Aditya. I think the bureau scrub gave us some insights in terms of particular category of customers, but it is not concentrated to any single geography.

Aditya Pal: And sir, a broader point would be that is this a longer -term issue that you are seeing because what we are hearing from the listed microfinance entities that by Q4 the balance sheet of the customers should be fine with the good monsoon and income picking up in the rural areas. Anything that you want to highlight over there?

Lakshmipathy Deenadayalan: Aditya, my hope is this is not going to be a longer -term issues. When the microfinance companies slowed down their growth, when they are very clearer on whom to lend, how to lend, this scenario, that is we call that as overleverage scenario will slowly co me down and it will die soon. We are hoping for that. And regulators also are taking tighter norms on the unsecured loans. So, I don't see

this panning out for a longer period of time. It's going to be a shorter period of time. The board has taken a very clear call. During the shorter period of time, let's focus more on collections and credit underwriting rather than growing at this overlever aged time. So, that's why we have brought down our growth. So, my hope is it should be shorter, not more than two quarters from now.

Aditya Pal: Another question was that, so now we are splitting our branches, how long do you foresee where we are splitting our branches and then finally we will be following the organic branch growth, whether this entire program is completed?

Rangarajan Krishnan : Aditya, the split branch concept is not for growth. That's for addressing the concentration risk at a particular location. We have been explaining in a few quarters that when a branch grows beyond a size, we don't want the bunch of our employees in the sa me location and

bunch of our customers in the same location. So, to address the concentration risk, we are splitting that branch into two. So, the accounts are equally split, the employees are equally split. So, the growth will be as no rmal. Don't take these branches as new branches because those are old branches where the concentration risk is being put in place. The new branches which we opened 36 and which we will open as we go forward that will drive the growth much faster.

Lakshmipathy Deenadayalan : But, Aditya, if I were to just add a little more context to it because I understood your question slightly differently. You are probably asking us how long when we come back to you and say the entire branches are split and it is we are done with it.

Aditya Pal: Exactly.

Rangarajan Krishnan: We started this about in a more focused manner about two quarters back and we don't want to do all of it together. So, we are very choosy and careful in terms of how much we can do in a particular quarter and which states to focus in a particular quarter, like for example, this quarter, we focus sed extremely well on Tamil Nadu, in Q1, we focus sed a little bit more on AP. So, we will split it out in such a manner that we are able to digest it well without any undue risks at the ground level. We are right now focusing on any branch which has more than 1,500 customers. So, that's the first port of call. Once we are done with it, then we will get down to any branch which has sort of more than 1,000 accounts. So, I think in about two to three quarters, we should have been done with most of the splits which are already pending at this point of time. Beyond that, it will only be incre mentally, and organically whichever branch gets to that stage, we will get to a split stage. So, it's not going to be accelerated like what you are seeing now.

Aditya Pal: So, by mid-FY'26, should have been completed and we can start putting on an organic growth basis?

Rangarajan Krishnan: Correct.

Moderator: The next question is from the line of Seeraj Khan, who is an individual investor. Please go ahead.

Seeraj Khan: First question is with respect to our borrowing mix, how much is linked to the floating rate, the external EBLR, MCLR what is the percentage of it?

 Srikanth Gopalakrishnan: We have given this number. So, roughly about 35% is what is the floating rate book, which is typically either linked to about 37% is fixed, I am sorry not variable, about 63% is the variable rate which is linked to MCLR or EBLR.

Seeraj Khan: One of the earlier questions that was asked with respect to which of the states the bureau scrub showing any stress? I didn't catch that. Were there any specific states that are maybe in our core geography that are showing our stress?

Rangarajan Krishnan: No, we answered it earlier also. So, we are not seeing any geographical concentration of stress. The stress is more about the particular category of borrowers who are showing overleverage rather than any geographical concentration.

Seeraj Khan: In the states like Rajasthan, Maharashtra, Chhattisgarh, new branches that we have opened, how many were in these states? How much of a learning curve do you see and when do you start to see any one of these or maybe all of these becoming core geographies ?

Rangarajan Krishnan: So, just to answer, I think in the last quarter in Maharashtra, we opened 8 branches. So, we have not opened any other location. So, Maharashtra is only new learning state where we opened eight branches, and in the previous quarter, we sort of commented that in Maharashtra we are seeing very good signs of growth at this point of time, we have had more than four to five years of experien ce in the state and you will see us a little bit growing in a more accelerated phase in Maharashtra. So, Maharashtra is coming of age in that sense from

a learning state to becoming one of our important states. Th e other states will take a little more time for us.

Seeraj Khan: Incrementally, are we seeing a higher growth in the ticket size because gradually our ticket size on an overall basis has increased. So, how much of this is natural and how much of it is purely credit hunger that is there in the system?

Rangarajan Krishnan: See, for us most of the ticket size growth has only been natural and more inflation -driven. So, we are still continuing to maintain about 3.5 lakhs ticket size which is what we were pre -COVID and we have been guiding you that any ticket size increases will largely be inflation -driven rather than anything else. Yes, you are right in the sense that thi s profile of customers are credit hungry, but we are not changing our underwriting practices. So, we will only go with what we are comforta ble with and from a ticket size perspective it will only be inflation -driven for us.

Seeraj Khan: And finally, with respect to the credit cost, you had said it was 11 crores for the current quarter, 7 crores for the previous quarter. Was that correct?

Srikanth Gopalakrishnan : That's only the write -off, it's not the credit cost. Write -off is 11 crores for current quarter and 7

crores
for last quarter.
Seeraj Khan: And a final data keeping one. What was the sanction to disbursement and the login to the sanction ratio in amount and the size if you could share?
Rangarajan Krishnan: So, they have not seen any big differences. The usual login to sanction ratio is about 75% for us and sanction to disbursement ratio is close to 95%. So, these ratios are at similar levels at this point.
 Seeraj Khan: So, we should look for value of loan and cases or is it different?
Rangarajan Krishnan: More value, but these numbers are very close to each other.
Moderator: The next question is from the line of Aditya from Securities Investment Management. Please go ahead.
Aditya: We have taken this decision to cut our disbursal yield by 200 bps. But sir, in the previous quarter's concall we are looking for a rate cut of around 50 to 75 bps. So, what has led to this decision of increasing the rate cut?
Srikanth Gopalakrishnan: So, I think Mr Pathy sort of alluded to this that we have always been wanting to operate at around 12% spread, but what's happening in the external environment, the views of the regulators in terms of what we are hearing on the public domain, so some of these things have made us to take a call where we are cutting the rates a little more sharply than what we have been guiding in the past. So, we want to get close to the 12% spread as soon as possible rather than sort of waiting it o ut and getting it in a more gradual manner.
Aditya: And has that been nudged by the regulatory authority to cap the rate at which we can give the loan to the borrowers?
Srikanth Gopalakrishnan: There has been public commentary by the regulators, which all of us are aware of, and in some interactions they have also been sort of trying to understand the reasoning behind the rate that we are charging to the customers and they have had some inputs, while they've not really pushed or nudged or forced us to do any of these things, but we are taking it more on our own, but at the same time we believe that this will also put us in the good books o f the regulator. See, at the same time our spread being at 12%, two, three years back and today it's at 14%, doesn't really gel in well. And this is the guidance where we've been consistent. Aditya. We want to get back to the 12% levels. Today, we want to get back to that in a little more quicker manner. So, that is why it's a decision to cut the rates a little more sharply.
Moderator: The next question is from the line of Manav, who is an individual investor. Please go ahead.
Manav: Sir, as you said

that your AUM growth will be slowed down by now because in Q1 it was around 30% and now you have said around 25%. So, what will be the disbursement growth for this year FY'25?
Srikanth Gopalakrishnan: So, Manav, what we have always been saying is, don't get too focused on the disbursal growth because
the disbursal growth is not the only determinant, while it's definitely a pointer towards the AUM growth, it's not the only determinant. The way we will s ort of fine -tune our disbursement growth is depending on how the runoffs also stack up. We will ensure that we do adequate disbursals to get to the AUM growth that we want. So, while the disbursal growth may not be much for this yea r, our thought process is most likely you will probably see a flattish disbursal in the second half or maybe a very small increase compared to H1. So, if we do a flattish disbursal, we will probably end up with about 5,200 crores of disbursal for the full year as against about 4,800, 4,900 last year which will mean like a 10%, 12% disbursement growth translating to about 25% AUM growth. So, it also depends on what is the vintage of the portfolio, what kind of runoffs are we seeing on the portfolio.
 So, our point is don't get too glued on to the disbursal growth. That will be determined by the company in order to achieve the 25% AUM growth that we are guiding you.
Manav: Sir, on the ROE numbers, on a long-term basis, you said that ROA will be around 6% and the leverage now I think around 2.2, 2.3. So, what will the ROA numbers be shaping up for the next one to two years?
Srikanth Gopalakrishnan: So, see, this year we are not seeing too much of a compression in ROA because the rate drops that we are doing is only happening maybe for about five months of disbursals. So, there will be some compression, but our steady state guidance, Manav, is which we are thinking in about two to three years it will happen. What we are saying is the ROA will drop to about 6% and depending on where the leverage is at that point of time, the ROE will be a determinant number.
Manav: Can I assume that ROE would be around 21%, 22% in two, three years time?
Srikanth Gopalakrishnan: See, if the leverage is around 3, 3.5 , it's anywhere around 20% to 22%.
Moderator: The next question is from the line of Viral Shah from IIFL Securities. Please go ahead.
Viral Shah: I had a question with regards to the comment again that you had mentioned about the overleverage portfolio and also what is happening in the environment, especially when customers are going out and taking a loan after you have, say, given a loan. So, at a sector level, in case of MFIs we have seen that MFIN has now come out with a regulation stating that the loans need to be capped at four lenders.

Similarly, have you internally thought about capping, bringing in some say underwriting norm when you onboard the customers or conversely is this under discussion with MFIN to ensure that this kind of lending after some other lender has lent does not happen, not just on MFI loans, but even any other loans?

Srikanth Gopalakrishnan: See, whereas MFIN can control the MFI loans, I don't think MFIN can control any of the other loans. What we are saying is we will put some stricter underwriting norms whether we want to disburse loans to overleveraged customers or do we want to cap lower LTV, DBR and all that. I think a lot more will be driven by internal decisions. See, unfortunately, unlike MFIN, we don't have a common regulatory body for the other forms of NBFC, because there are multiple kinds of lenders, there can be bu siness loan lenders, vehicle lenders and all that. So, I think we will put some internal norms. We are not really looking at an MFIN kind of directive to come for us, but we will definitely tighten our underwriting norms.

Viral Shah: Sorry, Srikanth. My other comment was

with regards to have you represented to MFIN because many of these customers have gone out and taken a loan after you have given a loan, and in most of those cases it's MFI. I understand for us. There will be other ki nd of lenders, you don't have this SRO kind of body, but at least for MFIN can you ask them not just say 4 MFI loans but any of the four loans. so MFI lenders don't lend up giving loans to your kind of customers?

Srikanth Gopalakrishnan: No. Viral, I think MFIN has already taken some action. So, we will see how that pans out. But it's a good suggestion. Let's see. I think we can go and suggest, then MFIN take is also a point. But I think it's a good suggestion. We will keep it in our minds. If we are able to reach out to MFIN senior people level, we will definitely do that.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Given that, I mean, you started doing PTCs and seeing good reception from Nippon, Kotak and one more mutual fund that you spoke about. At some point in time will we also consider doing direct assignments to banks?

Srikanth Gopalakrishnan: There is no compulsion for us to do direct assignment. Our capital adequacy is very good. At this point of time we are not really looking at doing direct assignments because you know this, we have always been a company which wants to have the assets on ou r balance sheet. In fact, we started doing PTC only after Ind AS came into picture, because that allows us to hold the assets on our balance sheet. So, at this point of time, I think there is not a very serious thought internally to do direct assignments, but we will keep our eyes and ears open. So, if there is a benefit that the company can derive based on direct assignments, we can look at it. But anyway given that we are a held -to-maturity portfolio, we can't do that in big quantums. So, at best it can probably be about 6% to 8% of our overall book.

Moderator: The next question is from the line of Dinesh from Finsite. Please go ahead.

Dinesh: Sir, I have a very specific question here. We are doing pretty well in terms of the PAT number which is around 250 crores plus for the quarter. Can we expect to cross 1,000 crores mark in this financial year, is it possible?

Srikanth Gopalakrishnan: Yes.

Dinesh: Sir, I have a suggestion here because I was going through our deck on the page 58, we give a very detailed account of like number of employees headcount, because being an investor here, I understand. I would rather suggest we should not give this in so mu ch detail, because since we are running our operations so well, some of the competitors may take a look at it and it could become disadvantages for us in the future and we could just give total number of employees headcount, I think that would suffi ce I believe.

Lakshmipathy Deenadayalan: Thank you, Dinesh. Your suggestion is taken.

Dinesh: Sir, can we expect our cost -income ratio in the next 2 -3 years to decline to less than 30%. Is that a fair assumption or possibility?

Srikanth Gopalakrishnan: So, Dinesh, our guidance is inclusive of credit cost will be at about 35% to 36%. So, whether it's the cost-to-income, ex -credit cost will go down below 30% and all that, at this point of time, we don't want to guide you. Please go with roughly about 31%, 32% of OPEX to income and about 3% to 4% of credit cost -to-income.

Moderator: The next question is from the line of Seeraj Khan, who is an individual investor. Please go ahead.

Seeraj Khan: So, one question is with respect to the branches. So, what is the average time for the branch once it is set up to reach maybe say 1 crore of disbursement or what is the breakeven time for the branch to reach and then what maybe duration?

 Rangarajan Krishnan: On an average, a branch takes anywhere between 7 to 9 months to kind of reach this breakeven point.

We define a breakeven point at about 2.5 crores of AUM. So, at about 2.5 crores, the branch breaks

even on its own cost and start contributing towards profitability. Of course, the head office costs are
not covered, but all branch costs get covered at about 2.5 crores portfolio. So, the branch reaches
anywhere between 7 to 9 months.
Seeraj Khan: And then per branch disbursements, how much time does it take to reach maybe say 50 lakhs of
disbursement per month or 1 crore, how much time have you seen in your experience to reach these
levels?
Rangarajan Krishnan: Yes, I think the rough way to sort of look at it is that each officer can do about three to four
disbursements a month. So, just you can round it off at about let's say 10 lakhs on an average. So, if
you have five officers or six officers in a branch, the branch can easily do about 50 to 60 lakhs of
disbursements per month. This start happening anywhere after the third month onwards. So, it takes
so much time for the branch to build up a 2.5 crores portfolio between the 7th and the 9th month.
Seeraj Khan: One more suggestion that I also had. Would it be possible for us to maybe publish a fact sheet because
that would be very much helpful to maybe go through historical data also.
Srikanth Gopalakrishnan: So, we will look at it. At this point of time, we are not giving it, but your point is taken. Let us see,
when we will be able to implement it. We will try to do this sooner than later.
Moderator: As there are no further questions from the participants. I would now like to hand the conference over
to the management for the closing comments. Thank you and over to you.
Lakshmipathy Deenadayalan: Thank you all for taking your time and asking the questions. Hope we have clarified all. If
anyone
has any further questions or clarifications, please reach out to our IR team. So, we will be happy to
take it forward. And thank you and Happy Diwali to every shareholders, stakeholders of Five Star.
So, see you with better numbers in next quarter.
Moderator: On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may
now disconnect your lines.

Call: Feb 2025

Date: February 06 , 2025

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663

Sub: Transcript of the Earnings Conference Call for the quarter and nine months ended December 31, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on Satur day, February 01, 2025.

The transcript can also be accessed from the link: https://fivestargroup.in/investors/

Kindly take the above on record.

For Five -Star Business Finance Limited

Shalini Baskaran
Company Secretary & Compliance Officer

"Five-Star Business Finance Limited 3QFY 25 Earnings Conference Call"

February 01 , 202 5

MANAGEMENT : MR LAKSHMIPATHY DEENADAYALAN – CHAIRMAN & MANAGING DIRECTOR , FIVE-STAR BUSINESS FINANCE LIMITED
MR RANGARAJAN KRISHNAN – JOINT MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , FIVE-STAR BUSINESS FINANCE LIMITED
MR SRIKANTH GOPALAKRISHNAN – JOINT MANAGING DIRECTOR & CHIEF FINANCIAL OFFICER , FIVE-STAR BUSINESS FINANCE LIMITED
MODERATOR : MR RAGHAV GARG – AMBIT CAPITAL

 Moderator: Ladies and gentlemen, good day and welcome to Five -Star Business Finance Limited 3QFY25 Earnings
Conference Call hosted by Ambit Capital Private Limited.
As a reminder, all participant s' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr Raghav Garg from Ambit Capital. Thank you and over to you, sir.
Raghav Garg: Thank you and good morning, everyone. We have with us today the Management of Five -Star Business Finance Limited represented by Mr Lakshmipathy Deenadayalan – Chairman and Managing Director, Mr Rangarajan Krishnan – Joint Managing Director and Chief Executive Officer and Mr Srikanth Gopalakrishnan – Joint Managing Director and Chief Financial Officer.
Without Much ado, I would like to hand over the call to "Mr Lakshmipathy Deenadayalan for his Opening Remarks" and post that we can open the floor for "Questions ". Thank you and over to you, sir.
Lakshmipathy Deenadayalan: Yes. Thank you, Raghav. So, good morning, everyone, and welcome to the Q3 Earnings Call.
Let me begin like this. "Leadership" A leader is a person who takes up the challenge and comes out very successfully. We at Five Star have taken up three challenges in last quarter ; not only at Five Star, every lender or NBFCs in this country has taken up the three challenges: First is the foremost regulatory environment, second is the over -leverage environment and third is the liquidity environment.
We at Five Star have come up as a true leader who has overcome these three challenges very comfortably, at the regulatory, overleverage side and liquidity side.
With this optimistic note, let me get into more things which we wanted to share with you. Market always compares Five Star with microfinance. Again, we have proven to the market that we are not a micro finance lender.
With our collection efficiency and asset quality, we have proved we are not a unsecured lender, but a small ticket secured lender to the business community of our country.
We at Five Star always say that we are a collection -first Company.
See, we always give very important to the quality, then it should be followed by the profitability, then by the growth. So, that is the mantra of Five Star always and we always keep this mantra in our mind - collection -first Company.
In last quarter, we adopted "3Cs" to our success. First is the Collections, second was the Credit predominantly Underwriting during the overleverage environment, third is the Cost. We are happy to say we are one of the lowest cost -to-income entity even add ing the credit cost to that.
So, with this positive note, let me get into the numbers. I am not going to speak more about the numbers. I like my team to talk about the numbers more in detail, but to touch upon, we have opened 69 branches
 in the last quarter. Within that, 44 was split branch. We have already explained to the market what a split means for Five Star, derisking the loans and derisking the stance. So, out of 69, 41 was split branch and 28 was new branch and the guidance remains the same, we will be opening close to 70, 80 branches in a full year.
Next on "Disbursement," we have done 940 crores of disbursement, which is (minus 25%) year -on-year. Just to brief on that, we have given a guidance in last earning call on bringing down our growth to 25%. The strategy was very clear, to take a hit on Q3 an d do the business as usual in Q4 so that will keep our system and our business team bright. So, we don't want to prolong the dullness in our business,

so we
took a sharper hit in Q3 and Q4 will be business as usual.
Next, taking you to the AUM, we have grown our AUM to 11,178 crores, which is 25.4% year -on-year. This is as per our guidance in the last quarter.
Collections, as I said, from both the unique collection efficiency and general collection efficiency, the collections was more or less in line with last quarter. The unique collections was 97% equal to same in September quarter and collection efficiency wa s 98% more or less same in the September quarter.
Gross NPA, as per IRAC, gross NPA increased from 1.47% in September quarter to 1.62% in December quarter, with an increase of 15 bps. I think this is one of the best asset quality which you would have ever encountered in small ticket lenders.
Just to add a very important point which I thought to give to the marketers, in last nine months, we have written down 36 crores of assets. Even if you add back this 36 crores to the gross NPA, I am happy to say we are less than 2%, which is 1.93% is our gross NPA if you write back the write -off of 36 crores to the gross NPA, which shows the collection first and the underwriting asset quality what we have demonstrated even in the challenging environment.
And of course, the credit cost as we guided was 0.75% to 1%, our credit cost for this quarter is 0.69%.
Now, moving to the liquidity, Srikanth will talk more about that. Just to give a number on that, our incremental borrowing cost in the tight liquidity environment also was one of the best, our incremental borrowing cost was 9.56% in December quarter versus 9.57% in September quarter. With all above aspects, our profitability was very good. We are able to generate 274 crores of profit in three months,

which is 26% growth year -on-year. And to end up, we had a healthy ROA of 8.10% and a very healthy ROE of 18. 49%.

So, with this opening remarks, let me hand it over to my team. Let Srikanth take you through more about the numbers what I have explained.

Srikanth Gopalakrishnan: Thank you. Good morning to all of you.

As Mr Pathy outlined in his opening remarks, this was a quarter where in line with the demands of the environment, I think that's the most important thing that needs to be kept in mind, in line with the demands of the environment, we primarily focused on collections and then followed it up with disbursements and

growth which is very clearly reflected in our robust collection efficiency numbers and good asset quality numbers that was outlined by Mr. Pathy.

But before I get into asset quality and collection efficiency, let me touch a little bit on the operational metrics where we had an active loan base of about close to 4.5 lakhs, a little over 4.4 lakhs which is a 22% growth on a year -on-year basis.

The branch count stands at 729. So, we have added about 249 branches in the last 12 months. During the quarter, we added 69 branches. The split was given as 41 split branches and 28 new branches.

Disbursements - We had consciously slowed down so that we can be in line with our guidance and based on the disbursal of about 940 -odd crores, we ended with an AUM of Rs.11,178 crores, which represents a little over 25% growth on year -on-year basis.

As we had informed you last quarter, we had dropped our yields on the incremental loans during this quarter, which had seen our yields dip by about 15, 20 basis points for this quarter. The good point is the average cost of funds came down by two basis points. So, from 9.65 it had dropped to 9.63. So, there was a slight compression in the spread, but this is natural given the drop in yields. Consequently, there was a drop in NIMs as well. Our NIM dropped from 16.8% in Q3 of last financial year to about 16.5 6%. This is primarily on account of the drop in yields and some increase in our borrowings.

The cost -to-income remains robust, so we are at abou

t less than 35%, 34.87% to be precise for this quarter as against 34.42% in December of last year.

So, as we have been guiding, we are maintaining our numbers and we will continue to operate at around the 35% to 36% kind of cost -to-income. And when we mean cost -to-income, we include the credit cost as well. So, in the presentation we have given the breakup of what is the operational cost -to-income and the credit cost -to-income. So, this has resulted in an ROA of about 8.1% and an ROE of 18.5%.

One of the other biggest positives during the quarter , and this is something that the markets had apprehension about , is on the drying up of liquidity in the system. But I can very confidently say that Five Star continues to be one of the attractive institutions in the eyes of the lenders. Even during this quarter, we were able to onboard lenders like HDFC Mutual Fund, H SBC Mutual Fund, SIDBI, all of these came in for the first time, and SBI, which is the largest lender to us also gave an additional fresh s anction of 500 crores. So, out of these sanctions, we are actually sitting on unavailed drawals of about 600 crores after availing about a little over 1,000 crores. The other good part is the cost continues to remain flat. So, we borrowed incrementally at about 9.56% which is largely in line with what we had borrowed last quarter as well. On the book, our cost has come down by about two basis points from 9.65 to. 9.63.

So, there are 46 lenders to us today. The other strong point is , our reliance on banks - as we had guided you in the past, we are trying to diversify our borrowing base. So, our reliance on banks has actually come down from 70% to 65%, with 35% of our borrowings coming in from capital markets, from developmental institutions, both domestic and international, which is a significant positive for us.

So, during the quarter, we received sanctions of about 1,400 crores drawing about 1,045 crores. And as of December, our liquidity buffer stood at about 2,145 crores and without including unavailed sanction

lines of about 600 crores. So, from a liquidity perspective, I think we are very well placed to take care of the asset growth that will come during Q4 and the next financial year.

Collection Efficiency - There was a marginal dip, but I can save that despite the stress ed environment where people have seen significant drop in collection efficiencies, increase in credit cost and asset quality going up, we only saw about 30 basis points drop in our unique customers and 40 basis points drop in our collection efficiency. So, while there is a little bit of an inch up in our 30 -plus numbers which has increased by about 70 basis points on QoQ basis, we believe that , given the times , I think t hese are extremely good numbers that the Company has managed to achieve, and from here onwards, it should hopefully look better because Q4 typically tends to be a very good quarter for every financial institution.

On the Provision Coverage, I think we are still remaining attractive. We are not dropping our guard at all. Our provision coverage on the overall book has gone up by one basis point from 1.65% to 1.66%.

On Stage -3, we continue to maintain over 50% provision coverage. There has been a little bit of drop in Stage -3 and Stage -2. But this is compensated at an overall level. The drop is primarily on account of some overlays we have created on the restructured portfolio and in line with the runoff of the restructured portfolio, there is a natural reduction that's happening. While we actually look at the overall provision coverage on the overall AUM which remains fairly flat and we will continue to keep maintaini ng the

appropriate level of provisions in the quarters to come.
Lastly, we had a profit of 274 crores, representing a 26% year -on-year increase. This has resulted in our networth crossing 6,000 c

rores. We ended with 6,017 crores. So, I think generally all the metrics continue to remain fairly robust given the environme nt and given that Q4 typically tends to be the best quarter for any financial institution, so we expect to be back to business as usual in Q4. So, that's largely how the quarter performed for us.
So, with this, we will open up the floor to any questions that you may have.
Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and one on their touch tone telephone. If you wish to remove yourself from the question queue, you may press * and two. Participants ar e requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Aayush Sharma from Alder Capital. Please go ahead.
Aayush Sharma: Yes, good morning. Hope I am audible.
Lakshmipathy Deenadayalan: Good morning.
Aayush Sharma: Congrats on decent results. Mr. Pathy, I just had a couple of questions. First was on the asset quality. So, current stage one bucket has been on a slight decline, and while the other buckets from stage one to three are rising steadily as a percentage of AUM and nevertheless the ECL provisioning has not been in place to counter that phenomena and even that has be en on a decline. So, basically the buckets are basically trickling down. So, this has been seen as the onset of the current financial year. I just wanted to understand the strategy behind it and is it because that you are focusing on protecting the profitability of the Company or what is the strategy?
 Srikanth Gopalakrishnan: So, Aayush, what you said and what we are doing is completely on the opposite side. It is not as what you're thinking. So, there is no release in provisions to boost our profitability and that's why I very clearly mentioned in the opening remarks itself that on a overall basis, our PCR remains at flat to the last quarter. See, today the entire ECL framework is based upon the probability of default and loss given default. And one of the strongest points, if you even go back right to our DRHP days and thereafter when they have been giving our quarterly results, is that our LGD continues to be fairly low. So, we have an LGD of about 10% to 12%. Now, that means typically on a Stage -3 book , based on the data of the last five years for PD and last seven years for LGD, you are only required to maintain about 10% to 12% of provisions, against which we are maintaining more than 50% provisions. So, that's the kind of coverage that we are doing. I t's a fully secured product. Given the secured pr oduct, it is only a question of a timing difference between when it becomes an NPA and when we are able to realize the money. So, when your LGD is at 12% and we have also taken write -off during this year - like Mr. Pathy said, we had taken a write -off of about 36 crores. Now with this, it becomes very difficult for you to keep tweaking the ECL model to keep providing higher. Despite all of that, we are ensuring that on overall book our provisions are not dropping at all. So, if you look at the last few quar ters, we have been consistently maintaining at around 1.6% to 1.65% of provision coverage on our overall AUM. While there will be some bit of moments between the various stages, because it also depends on, let us say, which segment of the book is flowing t o Stage -2, what is the kind of LGD you have on the Stage -2 and what is the kind of PD. So, there are a lot of dynamics, but very clearly the question that you asked, or the impression that you are carrying in our mind that we are dropping our provisions to get our profitability to a certain level, it's clearly not right.
Aayush Sharma: Okay. Okay. Understood. That helps. And one on the NPA classi

fication, as you said, so the SARFAESI disclosure agreement that you've been providing us with on the website as of December 2024, so the outstanding amounts are way above and beyond the average ticket size of the Company and even they are more than the 10 lakh limit for loans, over which you have only 1% in the portfolio. And this comes out of the 4% of your portfolio with respect to the vintage of loans. And the NPA classification timeline is also 2015, 2018. So, you've been putting this since quite a long time. Just wanted an idea as to how is the auction process going for these properties and any updates on recovery or do you plan on writing off all these loans, what's the step ahead I want to know?
Srikanth Gopalakrishnan: Can we understand where you are getting numbers from?
Aayush Sharma: So, these are from the website that you've given, the SARFAESI disclosure document, which is as of December 2024, they are in total nine clients and yes.
Srikanth Gopalakrishnan: Which clearly talks about the fact that these are not high-ticket loans, right? If they are high ticket loans, typically those are the customers where we would have reached out for SARFAESI because NBFCs don't have the benefit of SARFAESI for less than 20 lakhs. So, if you really look at the 180 crores of NPA that we are carrying today, this is spread across a little over 6,000 customers. So, on an average, the ticket size is only about 3 -odd lakhs for these customers and again, the history of the Company shows that it is not like this 180 crores will straight flow into write -off and then get into recovery. There are some deep delinquent accounts, and even on these deep delinquent accounts, we continue to keep getting monies.

The second point from ou r presentation, if you look at, there is about 25 basis points of this 1.62% where the customers are classified purely in line with the new IRA C norms, but actually, as on date, they are less than 90 -days. So, they may be in anywhere betwe en one to 90 -days, but we still have to classify them as NPA because the new IRAC norms mandate that once an NPA, it's always an NPA till it comes to
 current. So, we don't really see a big number of writ e-off coming out of this. Obviously, there will be some technical write -off that we will take given our business plan and what the board approves in terms of the recoverability, the ability to recover from these customers, but eventual credit losses… and th is is something that we have been guiding for the last many years since our DRHP was there, it should not be more than 25 to 50 basis points. So, that's the eventual credit loss that we are talking abou t. Obviously, there will be credit cost s that we will keep taking to be a more prudent lender, but credit losses will be extremely minimal in this business.

Lakshmipathy Deenadayalan: Aayush, I am trying to understand your question, but before that, I wanted to give a clear guidance to the market. See, the SARFAESI only kicks in when your outstanding is more than 20 lakhs. Five Star's average ticket size is 3.5 lakhs. We have to keep this in mind. As Srikanth said, whatever the historical write -off what we have done in last 20 -years is 180 or NPA at 180 crores which comes from 6,000 customers which is around 3 lakhs. So, there's no question of SARFAESI, whether you have implemented or not implemented. But having said that, in the last few quarters we have told we have strengthened our legal recovery process, that is doing extremely very well. When we had our RMC meeting few days back, very clear cuts we have sho wn to risk management committee that what kind of recovery that we have done from NPA accounts and write -off accounts. So, it is crossing 10 crores of recovery from our write - off and NPA accounts on a quarterly basis without SARFAESI itself. So, that prove s that how secured loans that

what Five Star is giving. So, keeping that in point, average ticket size are well -well below the SARFAESI wherever the average ticket size are hitting the 20 lakhs and above, we immediately get into SARFAESI and make our recovery process. And we are hoping that in this budget also that through our association we have requested the government to make all NBFCs to be at par with HFCs, so we get our SARFAESI for the much lower ticket size also.

Aayush Sharma: Okay. Okay. Alright, I'll get back in the queue. Thank you.

Lakshmipathy Deenadayalan: Thank you.

Moderator: The next question is from the line of Mahrukh from Nomura. Please go ahead.

Mahrukh: Hi, good morning. Firstly, I just wanted to understand the collect efficiencies better. So, most lenders across products have been saying that October, November were very bad and December is better and maybe the first few days of January are also better. Are you seeing the same thing? And the drop in collections in the third quarter is in the syn c with the rest of the industry, right, and if you could explain the reasons for the same, I mean the reasons you guess led to a drop in collection efficie ncy? So, that's my first question. And then if there's any outlook on FY'26 growth and margins, if you could share that? That's my second question.

Lakshmipathy Deenadayalan: Yes. Thank you, Mahrukh. On the first question, yes, the lenders are right. The entire NBFC sector or banking sector face some kind of collections drop in October and November, predominantly to the festival, weather, rainfall across South. So, that was through. December picked up very well and it is continuing in January. So, Five Star is also seeing the similar trend. So, we are very confident that Q4 will be better than Q3. From an outlook perspective, as I said in last earnings call, we will revisit our business outlook at the end of March quarter. So, I'll come out with the outlook in the April earnings call more clearly.

 Mahrukh: Okay. But just to clarify, the drop in collection efficiencies happened because collections got difficult in rains or that just people don't pay during festivals or?

Lakshmipathy Deenadayalan: See, from Five Star perspective I was referring to the general lenders community, from Five Star's perspective as we have been saying, we have been lending to middle and lower middle class people ; their incomes are intact, their incomes are not dropped substantially. But the collection efficiency of some of the lenders dropped very drastically because of over -leverage and unsecured. So, Five Star is very clear. We are a secured lender. When a secured lender reaches out to our cust omer, the repayment culture is completely different. So, that is what we are witnessing in Five Star even in the difficult quarters. Yes, of course, we have to connect the customers little more and walk to their houses little more, that is for sure in last quarter, but we were able to get our EMIs on time.

Mahrukh: Got it. Thanks. Thanks a lot.

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Yes. Hi, sir. Just two questions. First on the 30 + is DPD. So, we have seen that sequentially it went up by almost 70 basis points. Now, of this, incremental 70 basis points, could you share some qualitative data in terms of what percentage of this could be because of the MFI or LAP and how much of this is due to

season and when we would sort of we get back those in Q4?
Rangarajan Krishnan : Renish, there are no specific trends that we are able to observe on the increase of 70 basis points, which
moved into 30 plus DPD. This i s seen across. We would like to blame it more on overleverage, which cannot be restricted only to MFI. So, in some scenarios we have seen that the overleverage has happened because of unsecured personal loans as we

ll. So, it's more a trend of overleverage than MFI is what I would like to put it as.
Renish: Got it. So, let me put it this way. So, do you feel this is sticky because if let's say if customers are overleveraged, is it right to assume that by Q4 there will be some less overleveraging or maybe a higher debt servicing capability and hence we will get back those accounts, how one should read this data for Five Star?
Rangarajan Krishnan : The way we are handling this scenario, Renish, is that we are arresting forward flows first. So, the core focus of the Company is how do you ensure that they're staying in the same bucket and we're able to collect at least one EMI per month from these customers, which will be our critical focus at this point of time. Rollbacks will take some time. So, at this point of time, it's too early to talk about rollbacks and how these customers get back to their current , or 1 -30. But I think, ye s, we are fairly confident given the nature of the security and given our strong field force at the collections at the ground level, we will be able to maintain these people for a much longer period, as opposed to somebody who does not have a strong collateral or the collection machinery at the ground level.
Srikanth Gopalakrishnan: Renish, just to give you some sense, if you look at the historical data, we do see some rollbacks on the 1-
30 to current that happens. And like Ranga said, keeping in view that we will ensure that a lot of these customers also stabilize in the bucket and just superimposing the historical rollbacks that we will have along with hopefully a better denominator effect tha t we will see in Q4, I think Q3, we're also seeing a slightly elevated percentage because the denominator effect has o nly been 2%. So, with all of these things,
 I think the number should look better and it's not like these are sticky customers who will roll forward, they may be sticky and stay in the same bucket or some percentage will roll back. I think you will see better numbers in March '25 is our thought at this point of time.
Renish: Got it, got it. So, the reason for asking this question is sir to get a sense on the credit cost trajectory, maybe in near term. So, what do you think, if let's say we are able to contain the borrowers in the same bucket, so then it is right to assume that the credit cost in this quarter is sort of sustainable and we might not see a further deterioration from here?
Srikanth Gopalakrishnan: I don't think you will see a further deterioration, Renish, to be honest. But we will have to see what kind
of a technical write -off we will probably want to do in Q4 as well. But I don't think you will see any kind of significant increase in the credit c ost in Q4. Whether some benefit will come as against Q3 is something that we will have to see in terms of what kind of write -off that we will want to make. But we are very clear that I don't think you will see significant inch up in the credit cost in Q4.
Renish : Thank you so much.
Moderator: Thank you. Next question is from the line of Viral Shah from IIFL. Please go ahead.
Viral Shah: Yes, hi. Good morning and thank you for the opportunity. I have a few questions. So, one is last quarter you had done the study of overlap with MFI customers by doing the bureau scrub. First of all, can you give an updated number if at all if you have done that? And also if you have done an analysis of on -us and off -us in terms of say defaults of these customers, that will be helpful . That's my first question.
Srikanth Gopalakrishnan: We have, we continue to regularly do the scrubs and the results for this quarter clearly shows that there
is no significant difference as compared to what we saw in September. So, the numbers are broadly the same. Yes, there are some customers who from overleverage became underleverage. There have be

en
some customers who became overleveraged because of other institutions giving loans, but broadly the number remains the same. But one very encouraging point that I would want to highli ght to you is that even on the overleverage portfolio, our unique customer collection efficiency and the portfolio bucketing is almost completely similar to what we are seeing on the overall portfolio. So, it is not like we are seeing any kind of higher stress or elevated stress on this overleveraged portfolio. With us , they are actually paying up quite well. We have not completely studied the on -us and off -us. Maybe we can take it up at a later point of time. But in terms of the performance of the overleve rage portfolio, it is definitely encouraging at least for the Company.
Viral Shah: Got it, Srikanth. That's helpful. And also if you can guide us for how one should look at the growth from a next year perspective? I understand now we are already 25% and meeting what was the regulatory expectation. But there has been also a change of guard. So, has there been any conversation with the representative of the regulator and any thoughts over there?
Srikanth Gopalakrishnan: Viral, I think our guidance stands. So, we are not changing our guidance at this point of time, be it

for Q4
or be it for the next financial year. We have not heard anything from RBI post our interaction that we updated you during our last earnings call. And with the regulator, if they have a pr oblem, they'll come back to us. And the fact that they have not come back to us means typically they don't see much of problems with the Company. It looks like they are satisfied with the act ions that we have taken. So, for

now, we are not changing any of our guidance. So, we will continue to be at whatever guidance that we gave you in the last earnings call. We will see. I think the new guard is also settling in. We just have to see what their focus is. Hopefully there will be some pointers that we will take from the monetary policy which will come in the next few days. And like Mr. Pathy said, maybe in the Q4 earnings call, we will have a lot more clarity in terms of where we will be for the next finan cial year and thereafte r.

Viral Shah: Okay. Srikanth, on this piece, just one more thing. So, on the growth front yes I understand that this year what you had guided for and probably maybe even committed to the regulator you'll achieve. But say from a medium -term perspective, do we see a growth acceleration or it's just completely subject to whatever the final discussion again happen whenever the representative from the regulator comes?

Srikanth Gopalakrishnan: Like I said, at this point of time, we are not guiding you for any acceleration. We will have to wait and see what are the focus areas both for the government as well as how does it gets translated into actions from an RBI perspective. So, right now if we have to give you anything, please go ahead with our existing guidance for the next financial year and thereafter as well. If we get to know anything more from the regulator in terms of they being a lot more positive on secured loans, I thin k hopefully there will be some pointers that we will get from the budget today as well. If we get some pointers, I think that is a call that will be discussed internally along with our board, and we will take suitable actions. But at this point of time, ou r guidance to you is whatever we gave you, continues to stand for this year and next year as well.

Viral Shah: Got it. And last question if I can squeeze in there. So, in terms of credit costs, see, I understand of course this quarter the stress and of course the cycle. But how should one look at say from a medium term perspective, the steady state credit cost and where I am coming from is that another lender has kind of given steady state credit cost structur

e, which is much different from what we currently are at. So, again, not from this year or even next year's perspective, but more on a steady state basis as portfolio seasons, how should one think of the credit cost?

Srikanth Gopalakrishnan: If you look at, let's say for the last two quarters, this has been at around 70 basis points, even for let's say last nine months last year and nine months this year, it has been anywhere between 50 to 70 basis points, but our guidance to you on the credi t cost is typically that the business model of Five Star can take a credit cost or will have to operate at a credit cost of around 75 to 100 basis points and I think we continue to maintain that same view that with portfolio seasoni ng and with the growth becoming a little more gradual, you will probably see some marginal inch -ups and the business model has the ability to absorb 75 to 100 basis points credit cost. So, even then we are not changing the guidance at this point of time. How you will see it, moving in a trajectory is something that we will also have to see when it will probably touch a 75 or 100. But at this point of time, the guidance is for 75 to 100 basis points of credit cost, though, I don't think in the short term we are going to hit that number, it may happen more around a medium term.

Viral Shah: Go it, Srikanth. Really helpful. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Chandra from Fidelity. Please go ahead.

Chandra: Hi, good morning. I had a few questions. One, Srikanth, could you please explain what is the reason for the high write -offs and you sort of seem to be indicating that you'll have write -offs again in the fourth quarter as well? That's question one. Second, with the MFIN guidelines coming from April, trying to

understand a couple of things -- can it result in maybe additional stress on some of our customers at this point in time or conversely, can it result in more demand for our product at some point in time? Third, have you all taken any credit call, for examp le, not to underwrite customers who have more than two loans outstanding, for example at the point of disbursement? And the last is that correct me if I am wrong, you had a 25% guidance for this year, but you had to put out a number for next year, are you saying that we should assume that next year is also 25%? Thanks.

Lakshmipathy Deenadayalan: Chandra, let me go from the third. See, we were very clear that we will revisit our growth guidance after the March quarter. That remains the same. So, there is no change as of now. So, we will come back after the March quarter depending upon the environment around us and the regulatory thought process we will take appropriate steps is what we said in the last quarter, that remains the same. So, we will come back on the April earning call. That's on the third question. On the seco nd question, yes, MFIN guidelines, initially we were happy that it's going to come in from January 1st onwards. It doesn't have any impact on collections because as I said in the early comments, our customers incomes are steady, there is no drop in that in come, but it is only because of the overleverage which was caused by unsecured lenders, there are some stress from those customers perspective. But these customers see secured lenders completely

different. That is why our asset quality and collection effic iency stood more or less equal to the last quarter. So, yes, on the advantage side, if the guard rails stuck in April onwards, that will create a good demand for middle and lower middle class customers to come to Five Star. That is most positive way, but w e have to wait and see whether they are going to implement in April or they are going to further delay it going forward.
Srikanth Gopalakrishnan: Chandra, before getting into the first question, I

just want to add one point on this MFIN question that
you asked. Yes, I think your assumption stems from the fact that their incomes are not sufficient to repay. So, they are actually taking loans from microfinance institutions to repay institutions like Five Star. I think that is where we have a different view. Our view is that their incomes are adequate to repay , let us say the original loans that they had which are predominantly secured loans , and the rollover that they were doing is more of unsecured loans with unsecured loans and that is where unsecured lenders have had to take a credit cost in the last two, three quarters as against secured lenders like us. Given the way that you look at it, our belief is that rather than more stress coming through, we will probably see a lot more demand, because these are customers who are probably going to MFIs for their working capital or for their other requirements. Now, given that MFIs may not be able to service their demand, there is a possibility that our demand will go up. In te rms of write -off, Chandra, I think the point that we have always been holding is, we will continue to take technical write -offs because there is an ability on the P&L to take these technical write -offs, it also gives some bit of a tax benefit to us. So, even the write -offs that we have taken during this quarter is a lot more technical in nature. We will continue to keep taking this depending on what we believe is the appropriate number for the Company both in consultation with the board and as well as the auditors. So, I am not guiding you for a similar number next quarter. I just said even if we take a similar number next quarter where we will be at in terms of credit cost, this is a decision that we will probably take closer to the quarter end rather than at this point of time. One other question that remains is in terms of the credit call on the overleverage customers. Ranga will give his thoughts on that.
Rangarajan Krishnan: So, Chandra, on the overleverage, see, that's an integral part of our credit decisions even before the crisis.
So, the debt obligations of any customers is already taken. We are very closely watching even from the bureau data in terms of how the overlever aged customers are behaving to us. At this point of time, we are
 not able to find any great difference between an overleveraged customers behavior for Five Star vis -à-vis the other customers. So, we have not taken any radical changes to our credit policy in terms of changes from what we were doing prior. But of course our analytics throws specific pockets which need some guidance or a change depending on a particular region or a particular state. T hose tweakings are happening like as usual this quarter also.
Chandra: Sure. Got it. Maybe I just squeeze the last one. Just the slowdown in disbursement in this quarter, how much of it was more the environment related call and how much was it was that we just needed to immediately just wanted to get to 25% AUM growth?
Srikanth Gopalakrishnan: Chandra, it's a combination of both. I would probably say it's a little bit skewed in terms of getting to our
guidance, and like Mr. Pathy said, you don't want to sort of keep the negativity in whatever little bit even in Q4. So, I think given that we wa nted to be at 25% growth, we just took a call to take that to sort of fine tune our disbursals during this quarter. So, I would say, yes, it is also a call taken given the current environment, but largely to get to our growth guidan ce.
Chandra: Thank you.
Moderator: Thank you. The next question is from the line of Abhijit Tebriwal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Yes. Good morning, everyone, and thank you for taking my questions. Just two questions. First thing, I am just trying to understand while we have already guided that credi

t cost in Q4 will not be very different
even if we take write -offs again. What I am trying to understand is directionally from a Stage -2, Stage -3 perspective, again, what I am trying to get that is at some point we have acknowledged that whatever increase in Stage -2, Stage -3 that we have seen is because of overleveraging, not necessarily MFI. And given that what we have seen at least in unsecured retail, typically Stage -2, Stage -3 tends to go up for a few more quarters, right, before things can start getting better. So, for us, given that it started predominantly in the last two quarters and like you'll acknowledge unsecured retail problems have been there for slightly longer than that, do you think there is a reason to believe that maybe for the next few quarters the tre nds on Stage -2, Stage -3 will be like what we have seen for the last three quarters?
Rangarajan Krishnan: Abhijit, firstly I think what you are seeing in Q3 is a combination of two things. One is, yes, there is a certain sort of customers who have flowed forward. Multiple reasons - could be because of general stress in the environment, could be because of the economic conditions prevailing, some bit of overleverage also which are seen. And the bigger part specific for Five Star is also because we have fine -tuned the disbursements to reach to a particular percentage of growth guidance. It's a combination of these two is what is showing you the fact that the slip ups has been a little more than what it actually is at the ground

level. We are very clear that in Q4 the growth guidance stays for Five Star, which means you will have denominator ef fect along with the fact that yes, it's also going to be the end of the year, which is generally the best quarter for any lender at this point of time. Notwithstanding this, please also relate to the earlier response that we had given that at this point of time the focus is ensuring that people are stabilizing in those particular buckets and not in rolling back. It's too early to comment for us to see if people will come back to roll back and we will get back to the position of what DPDs we had two or three quarters prior. So, we are not commenting on that at this point of time, but we are fairly confident of containing things at broadly similar levels of what we are seeing at this stage.

Abhijit Tibrewal: Got it. So, basically the takeaway is that we are at this point of time confident that we should be able to hold our 30+ DPD at current levels rather than seeing it increase from here?

Rangarajan Krishnan: More or less. Of course, we're all crystal gazing in terms of how Q4 will pan out, but I think it could be in similar levels is what we feel at this point of time.

Abhijit Tibrewal: Got it. This is useful. The only other question that I had, again kind of circling back to the provision coverage, Srikanth sir has already explained that some bit of it was because of the rundown in the restructured portfolio, which had management overla ys, but that is fair. But sir, over the last one year, 1% kind of PCR coverage decline in Stage -2, 4% kind of PCR coverage decline in Stage -3. All ECL models that we hear from other companies inherently also factor in macroeconomic factors and we also acknowledge macroeconomic factors have been weak. Shouldn't intuitively our models tell us that we should provide more rather than the coverage is coming down?

Srikanth Gopalakrishnan: Your point is valid partially where obviously macroeconomic factors play a part, but the way to look at it is the Company -specific factors play significantly larger part than the macroeconomic factors. So, typically, like I was telling, we have PD data in the model for five years and we have LGD data for seven years. Now, if you just go back five years, which would be around 2019, 2020 and all that, during that time, you would also have seen PD at a little more elevated level being COVID 1 , COVID 2 and all. So, the PD data itself for Stage -2 would have been higher, but if you look at the last let's say six to eight quarters, we're consistently making improvements in our flow forward rates. So, which means that the PD is lower. The second is, given that LGD is taken for the last seven years and we always had a very strong LGD. Now you put both of the se together, the improvement that we are seeing in PD and LGD is a lot more compared to the impact that macroeconomic factors will have. So, that's what I was telling. At an LGD of 10% to 12%, technically it would mean that I just need to create 10% to 12% of provision on my Stage -3 assets because it's a 100% PD, but we are maintaining 50%. So, while there will be some bit of movement between stages and I also said if the Stage -2 movement is coming from a segment which has a stronger PD and LGD, then you wi ll see ECL being lower . So, there are a lot of dynamics in play in the ECL model. What we try and ensure at our end is that at an overall level, can we maintain a coverage which is not dropping as compared to let's say the last year or the last quarter because the ECL provisions are a little bit fungible. It's not like you can use only this loan ’s provision for that loan. So, I don't think that's really going to make much of a difference as long as we maintain overall provision at an appropriate level.

Abhijit Tibrewal: Got it. Just wanted to squeeze one last question. Again, almost all lenders today are acknowledging that this year has been little weaker, not as rosy as last year and which is where the collection efforts are also higher, what Pathy sir also acknowledged that, we are having to visit customers and meeting more often to collect the money. So, so for us, I mean, will that reflect in our employee expenses or how should we think about it?

Rangarajan Krishnan : Abhijit, we have, as part of our structure, provided collection support to all the branches already and we keep evaluating that. Wherever we believe there are some regions or some pockets which need additional collection support, we have already enhanced them. What you are seeing in our Q3 numbers is reflective of any changes that we have already done for providing a little bit of additional support in certain pockets. I don't think we are going to materially change anything from the wa y that we have been doing business. The business model includes both business office rs and collection office rs at every branch.

Abhijit Tibrewal: Got it. That's all from my side. Thank you very much for answering my questions and I wish you the very best.

Moderator: Thank you. The next question is from the line of Vikas Mistri from Moonshot Ventures. Please go ahead.

Vikas Mistri: Thanks for the opportunity. I have a slightly longish term question on strategy as we move our AUM from 10,000 crores to maybe 40,000 crores. Are we comfortable with that number of the overleveraged customers which stands maybe 30% in the last quarter? We know that behavior is slightly different for secured and unsecured. But are we comfortable when we have a four times, five times larg er book?

Lakshmipathy Deenadayalan: For last 20 years, we have been lending to the secured small ticket loans for the business

customers and
we have been seeing the similar trends and this is the fourth crisis that I have been seeing in this lending universe, starting with Andhra Crisis , COVID 1, 2, de -mon, and now the overleverage. I am happy to say that in all this crisis, Five Star came out very successfully because we strongly believe this segment of customers are one of the safest. But having said that this ove rleverage has also taught us a lesson how does we have to handle this overleverage for small business loan customers. But if you clas

sify Five Star,
we have three, four category of customers, less than 3 lakhs, 3 lakhs to 5 lakhs, 5 lakhs to 10 lakhs and above 10 lakhs. If you see 3 to 5 lakhs which is predominantly at 53% and we will be happy to focus more on that and increase that share from current 50% to much above. So, in other sense, we are happy to stay with the 3 lakh to 5 lakh customers. Maybe we w ill be inching a little bit up towards 5 lakhs as we have been guiding taking the inflation into aspect in next few years to go, but the profile of customers we are happy to stay with them.

Vikas Mistri: Okay. Okay. My second question is as everyone alluded about the provisioning… as you already alluded that some portion of that has already been write -off. How much time it will take to get that write -off some portion of it, get write -back and will the pro visioning which we have done will start picking up from here on?

Srikanth Gopalakrishnan: See, typically for us the recovery on write -off loans takes anywhere between 18, 24 months because these
are also a little deep delinquent customers. And given that we don't have access to SARFAESI for all our customers, so we will have to go through the legal route. So, you'll probably see about 18, 24 months of timeline for these customers to come back. In fact, during this financial year, I don't have the breakup of which years write -off came in now, but during this financial year, we have managed to get a recovery of about 7 -odd crores from the past write -off loans. So, while these are classified a s different line items on the P&L, typically, if you look at the net write -off for this year, it is probably more around 27, 28 crores rather than 36 crores that you are seeing. And the more write -off you will also see more recoveries coming in, but typically the timeline is about 18 to 24 months for the recoveries to start coming in.

Vikas Mistri: Okay. That's comforting. That's all for my side.

Moderator: The next question is from the line of Divyansh Gupta from Latent Advisors. Please go ahead.

Divyansh Gupta: Hello. I hope I am audible. So, first question. So, if I look at your AUM by tier mix, for tier 6, it has jumped significantly from 35%, 36% to around 43% which if I back calculate from an AUM basically means that more or less all the disbursement has happened in tier 6. So, is this a correct understanding and have we let's say for the moment defocused from tier five and higher tier cities?

 Rangarajan Krishnan: This is partly happening because of the split branch strategy. So, as a branch is getting broken into two
or three , depending on the number of accounts, or the customers a particular branch is handling, you end up putting more branches in the same vicinity. So, if an existing branch, let's say was in tier 5 and you need to break the branch or split the branch into two or three, you cannot put all that in the same vicinity. So, that's the proportion of tier 6 which is going up. The strat egy has not changed, it's that more and more split is happening, the mix is changing a little bit.

Divyansh Gupta: Got it. And what's the definition of this tier 1, tier 6, is it like the government definition or there is some, let's say, internal definition that Five Star follows?

Rangarajan Krishnan: Yes, largely aligned with the government definition, but we have a little bit of classification for us also which we have given it in the earnings presentation.

Srikanth Gopalakrishnan: It's based on population. It's given on slide 54 that we are seeing - tier 1 would be in a population of more
than 50 lakhs, tier 2 is 10 to 50 lakhs, tier 3 is 2 to 10 lakhs, tier 4 is 1 to 2 lakhs, tier 5 is 50,000 to a lakh and tier 6 is less than 50,000. So, it's a little different from the government definition, and you can refer to slide 54 on our presentation for the definition.

Di

vyansh Gupta: Got it. Will do. The second question was that can you give a split between the business and collection office rs that we have, what would be the business because if I just divide the number of incremental loans by the business collection officer, it comes to around one per month, which seems a bit low.

Srikanth Gopalakrishnan: So, today the number of relationship officers we had was about 6,000 people. This is broadly broken up
into 4,500, 4,600 business officers and about 1,300 to 1,400 collection officers. So, you can take about 4,500 business officers out of the 6,000.

Divyansh Gupta: Got it. My next question was that given that we give fixed rate loans, is there any prepayment penalty when the customer prepays or is there a tenure after which if they prepay there is no penalty? And the link to question is that while we give a loan for seven years , I think we have mentioned that on an average 4.5 years is on book tenure. So, are they BT-ing out to someone else? And if yes, then who is the lender, who is giving loans to our customers and therefore probably a competition fo r us?

Srikanth Gopalakrishnan: So, we have a prepayment penalty, but we charge the penalty only for customers if they prepay within one year. Our belief is that we don't want to charge more to the customers, we want to be fair. So, if they are prepaying from their funds, and I am just going to take both the questions together, typically you don't see too much of BT out in the segment, you will see some one -off cash flows for these borrowers at some point of time in their life using which they will actually come a nd make prepayments on our loans either partial or full prepayment. And it's a little unfair if you're going to charge prepayment penalty to them on the money that they are paying, because this is also a segment of population which does not like to carry a debt on their asset. So, typically they would want the property papers back, which means if they have a one-off cash flow, they'll come, they'll pay up the loan with us and want to be debt -free. So, from that perspective, we really don't charge prepayment penalty after the first year and most of these prepayments happen from own funds. The proportion of BT out will be extremely minimal.

Divyansh Gupta: Got it. And just one last question. So, we give this lagged NPA numbers, right, one year, two years and we mention it as a percentage. I am assuming this is a percentage of disbursal and not percentage of average AUM for these two years lagged loans.

Srikanth Gopalakrishnan: No, no, it is percentage of the AUM, it is purely today's NPA, like one year lag NPA would mean the NPA as of December '24 as a percentage of the AUM as of December '23. Two year lag would mean percentage of NPA as of December '24 on the AUM that existed as on December '22.

Divyansh Gupta: The denominator is also based on AUM

Srikanth Gopalakrishnan: Yes, denominator will go back for a one year lag NPA and two years for a two years lag NPA.

Divyansh Gupta: Understood. And what would be this number for, let's say, 4, 4.5 years tenure? So, basically, what is our ultimate NPA that's on an average 4.5 years, behavioral tenure?

Srikanth Gopalakrishnan: It's too far -fetched. In fact, there are a lot of people who have been questioning even two years is far - fetched because essentially the assumption is that the loans that you have built in the last two years are not going to become NPA at all. And if they become NPA, you're not giving a denominator benefit. While we don't have the numbers and we don't even want to give out the numbers, but I think it's a little too far - fetched. The better way to look at would be what is the disburse ment at that point of time and the NPAs on that book from a static pool perspective. There we have said that typically the NPAs peak around 33 to 36 mont hs and in today's scenario it is anywhere around 2.5% or thereabouts.

Divyansh Gupta: 2.5% of the disbursal, right?

Srikanth Gopalakrishnan: Yes, at a peak level .

Divyansh Gupta: Understood, understood. Just one last question. What is the write -off policy that the Company for that after a particular we will do write -off?

Srikanth Gopalakrishnan: So, today the policy talks about write -off after four years of becoming an NPA, but in reality, we are a lot more conservative than that. We have actually written -off all the loans which are a little over two years NPA. So, very clearly, we take a more conservative stance in terms of write -off. So, you will not see any NPAs on the book, which are more than, let's say, two years and three months, but the policy provides for write -offs beyond four years.

Divyansh Gupta: Understood. Understood. That's all. Yes. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Pranav Gupta from Aionios Alpha Investment. Please go ahead.

Pranav Gupta: Yes, hi, team, and thanks for the opportunity. So, two questions on growth. One is this quarter, obviously, we saw a disbursement like you had mentioned previous quarter, but you also mentioned that next quarter should probably be in line with what we hav e seen in previous years. So, just to bring down the disbursement this quarter, what has led to this, whether it's higher rejection rates, whether it's lower sourcing and how do we get back to the normal run rate in next quarter? That's the fi rst question. And additional question on growth is, Srikanth sir mentioned that MFIN guard rails will probably provide

incremental opportunity for growth given that customers will get lesser and lesser unsecured loans to MFIs. So, what proportion of our AUM would come from top -ups or improvement in loans or anything which is on top of the initial exposure?

Srikanth Gopalakrishnan: Pranav, on the question of growth where you asked why we slowed down disbursals, did it come from higher rejection rates and all that, I think it was a conscious call to slow down the growth, so which means the focus was a lot more on collections than on incremental business and that is something that we sort of sensitized the field to do. It's got nothing to do with the demand on the ground or in terms of the higher rejection rates. Obviously, we had put in some additional elements into our credit underwriting model, but I don't think those have materially contributed, the main contributor is a conscious call to slow down to get to our growth guidance of 25%, which we have managed to achieve. See, in terms of the second point, the M FIN guard rails, see, our belief, I think fundamentally we have a little different perspective, and you guys have a little different perspective. You all think that people are taking unsecured loans to pay up secured loans. Our perspective on this is a lit tle different. They're actually taking unsecured loans to pay unsecured loans which originally started the overleverage. The incomes have not compressed, so which means they have adequate amounts to pay up on their secured loans that existed, let us say before this crisis started and they will continue to keep servicing these loans. So, if at all, the pain points will be for the unsecured lenders and MFIs who have started the overleverage in the first place as again secured lenders having to take any materi al impact, obviously, there will be some trickling impact, we cannot remain completely insulated, but I don't think it's going to have any material impact on secured lenders. So, from that perspective, I think rather than seeing it as a stress, we believe that, that could be an opportunity that will come up, but we will wait for the actual scenario to unfold before taking any actions from our side.

Pranav Gupta: I understand the p

oint where obviously these borrowers are not borrowers from unsecured to pay secured lenders. The reason I was asking the question is, from what I remember from earlier con calls, we have always been clear that we are not the kind of lender who's looking to do repeat business. So, there is sort of a disconnect on that front where if we think that MFIN guard rails will provide us incremental opportunities to lend, is there a change in stance? That's the question that I wanted to get a bette r understanding on.

Srikanth Gopalakrishnan: No, no, you are right, Pranav. I think we are not actively looking at repeat loans, top up loans, it's not a
line of business that we actually give a set of customers to our branches to do. What we are saying it is not like people who have taken loans fro m us, who have taken loans from MFIs, now if they are not getting from MFIs, they want more loans from us. These are customers who have probably not taken loans from us, they have only taken loans from let's say MFIs, unsecured lend ers and gold. Today, if those customers fit into our underwriting criteria, there is a possibility that they could have incremental business. That's why I said we will have to wait for the scenario to unfold before giving you any numbers in terms of whethe r we will see a spurt in demand and all that. At this point of time, we believe that there will be no significant increase in stress because of the guardrails that may be imposed from 1st April.

Pranav Gupta: Understood. That's very clear. Thank you. And just one more question on a little more medium term. Obviously, this business model, in terms of return ratio is pretty strong and today our balance sheet is sort of in a situation where we are possibly slight ly underleveraged. And with the strong return ratios and ploughing back to profits into the business, how should one think of reaching the optimum leverage level where this business model delivers 23%, 24% ROE that you've spoken about earlier, are we looking at
 either any inorganic opportunities or looking at stated dividend policy till we reach a certain leverage level, have there been any considerations on these fronts at the board level and what are the thoughts there?

Lakshmipathy Deenadayalan: See, I think I've been giving some inputs to the market for the last two years. Definitely, we have a strong
interest in lending to housing, because it complement s the profile of customers and the underwriting what we do and the assets what we deal with. But having said that, we are not in a hurry to get moved into an organic or inorganic route as of now. Today, keeping the environment in mind, it is better to concentrate on your strength rather than getting into an unknown territory. So, that is the call that we have been taken now at least for next two quarters, then we will see how the things get settled and keep yourself open for any inorganic or organic opportunity that comes before us. But as we speak today, there is noth ing on our table, we keep strengthening our business model what we have been doing for the last 20 years, that's the simple role that we are going to play.

Pranav Gupta: Right. Is there anything on the stated dividend policy, maybe it will be reach a particular leverage level, anything on that front?

Lakshmipathy Deenadayalan: Yes, as and when we reach a milestone, definitely, we wanted to share that, we are waiting for that, you
will hear the good news very soon.

Pranav Gupta: Sure. Thank you so much, sir. Thank you for answering my questions and good luck for the future quarters.

Lakshmipathy Deenadayalan: Thank you.

Moderator: Ladies and gentlemen, this will be our last question. It's from the line of MM Bansal from Master Capital. Please go ahead.

MM Bansal: Hi, sir, thank you for this opportunity. So, my question is on like what is the problem highlig

hted by RBI
- is it with respect to yield because we reduced the yield is by 200 basis points post the RBI direction, so is my understanding correct?

Srikanth Gopalakrishnan: First of all, let me categorically clarify, there have been no problems highlighted by RBI. So, it is just that
they keep giving some inputs be it on the growth side, be it on the lending rates and all that, and their perspective of how the environment is shaping up, whether there is a crisis that is getting built up, is it the

time for being a lot m ore proactive on growth or you need to be a lot more proactive on things like risk management and governance. So, these are pointers th at RBI keeps sharing not just with us, but across the various NBFCs which are there and it is up to us to take the appropriate actions to ensure that it's not just a question of satisfying the regulator, it is a question of doing things which are right for the Company from a long -term perspective and that is what we did both from reducing our growth guidance a little bit and dropping the yield. See, the dropping the yields was anyway on the cards for a long time. We have been clearly indicating to the marke t that we wanted to drop the yields on our incremental disbursals, And both of these were done at the time that we thought was appropriate. So, there is no problem that the regulator is highlighting, but we also have to keep track of the comments from the regulator and take appropriate actions, that will hold the Company in a good stead for the next, let's say 10, 20 years.

 MM Bansal: Okay. So, one more question. Like since FY'22, the main geographical presence of Five Star is Tamil Nadu, Telangana and Andhra Pradesh, but the other states are not able to contribute that much. Like, is there any difficulty being faced in that geographies like ther e is no major growth like we are having a concentrated growth from three states?

Rangarajan Krishnan: Manik , we started life in Tamil Nadu, today Andhra Pradesh has overtaken Tamil Nadu and Telangana is the third state which is contributing at least 20% of the AUMs. In the business of lending, we cannot be in a hurry to go and open in unknown locations. But hav ing said that, today, we have more than 100 branches beyond the South in the rest of country. The rest of country is growing at a healthy pace of 50% CAGR at least. So, we will continue to monitor it very cautiously, we are investing in people, we're inves ting in locations and that portfolio will continue to grow. But categorically, it's not that we have to suddenly achieve a particular share from the rest of country and hence we are not going to do anything which is sudden and knee -jerk reaction. We will g row it in an organic manner and a careful manner.

MM Bansal: One last question like what is the BT out percent and average credit score of the borrower that we do?

Srikanth Gopalakrishnan: Today, BT out will be more around 2% to 3%. Yes. So, it's not a very significant number. It's not like there are too many players who are willing to acquire these customers because it's also not an easy customer segment to serve. You need to have the right infrastructure in place to serve these customers. So, BT outs, our belief is will remain fairly muted for the foreseeable future at least short term to medium term. Today, it's around 2% to 3%.

MM Bansal: And average credit score of the borrower?

Srikanth Gopalakrishnan: 500 or so, average I am talking about, but you will always have borrowers who are above that level, below that level, but broadly it should be about 500 credit score.

MM Bansal: Okay, okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Lakshmipathy Deenadayalan: Yes. Thank you all. Even on the budget day, I am able to see a good number of participants to take up the call and understand what we did in Q3. As I said in the opening remarks, yes, challenges are yet to stay, how is that person or entity takes up the challenge and come out with successful. I am very confident that we will come out with a successful player even in Q4. So, happy to meet you after the Q4 results. Thank you.

Moderator: On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663

Sub: Transcript of the Earnings Conference Call for the quarter and year ended March 31, 202 5.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on April 30 , 2025 , for the quarter and financial year ended March 31,2025

The transcript can also be accessed from the link: https://fivestargroup.in/investors/

Kindly take the above on record.

For Five -Star Business Finance Limited

Vigneshkumar SM
Company Secretary & Compliance Officer

"Five Star Business Finance Limited
Q4 and FY '25 Earnings Conference Cal l"
April 30, 202 5

MANAGEMENT : MR. LAKSHMIPATHY D. – CHAIRMAN AND MANAGING DIRECTOR – FIVE STAR BUSINESS FINANCE LIMITED
MR. RANGARAJAN KRISHNAN – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – FIVE STAR BUSINESS FINANCE LIMITED
MR. SRIKANTH GOPALAKRISHNAN – JOINT MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER – FIVE STAR BUSINESS FINANCE LIMITED

MODERATOR : MR. ABHIJIT TIBREWAL – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Five -Star Business Finance Limited Q4 and FY '25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.
Please note that this conference i s being recorded.
I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal Financial Services

Limited. Thank you, and over to you, sir.
Abhijit Tibrewal: Yes. Thank you, Manav. Good morning, everyone. I am Abhijit Tibrewal from Motilal Oswal, and it is our pleasure to welcome you all to this earnings call. Thank you very much for joining us for the Five -Star Business Finance call to discuss their Q4 FY '25 earnings. T o discuss the company's earnings, I'm pleased to welcome Mr. Lakshmipathy Deenadayalan, Chairman and Managing Director; Mr. Rangarajan Krishnan, Joint Managing Director and CEO; Mr. Srikanth Gopalakrishnan, Joint Managing Director and CFO.
On behalf of Motilal Oswal, we thank the senior management of Five -Star for giving us this opportunity to host you today. I now invite Mr. Pathy for his opening remarks. With that, over to you, sir.
Lakshmipathy D.: Yes. Thank you, Abhijit. Good morning, everyone, and welcome, everyone, to Q4 and for the full year earnings call. I'm happy to say we have done a commendable performance for the full year and in the last quarter. As I said in my last earnings call, financ ial year '25 was a challenging year, both from business and regulatory environments. We at Five -Star, had forecast it well and done all the needed precautions.
Our proactive decisions on growth and lowering the yields has helped us to navigate the tough times. Our focus was on quality growth rather than just growth. With these opening remarks, let me take you through the operational performance of Five -Star. We have opened 19 branches in Q4, and our total count stands at 748 branches as of 31st March.
For the full year, we have grown from INR9,641 crores to INR11,877 crores AUM at 23.20%.
If the disruption in Karnataka from January to March was not there, we would have done our guidance of 25% growth, which I said in last earnings call. Disbursement gre w 9% year -on-year and 55% quarter -on-quarter, which indicates the business environment are better now.
So we are back with quality growth. On collections front, our unique collections metric was at 96.2% in Q4 versus 96.7% in Q3 and collection efficiency was at 97.7% in Q4 versus 98% in Q3. There was a small dip due to disruption in collections in Karnataka from January to March.
On NPA side, the gross Stage 3 assets have inched up from 1.62% to 1. 79% in Q4.
Again, Karnataka has played a part on growing this NPA from 1.62% to 1.79%. Having said that, I'm very confident that this will get stabilized in this next quarter. And still, I can say that we have one of the good asset quality for the profile of customer s whom we lend an average ticket size of between INR3 lakhs to INR5 lakhs. We stand one of the best asset quality lenders in the entire country.

On the cost of borrowing, our incremental cost of funds have dropped to 9.29% from 9.56%, nearly 27 bps drop. This shows the confidence that lender has on Five -Star and the rates are starting to come down. The cost of borrowing on the book is at 9.63%, sam e as last quarter. On profitability, I'm again happy to announce we have touched 4 -digit profit after tax for the first time in the history of Five -Star.
For the full year, we have done INR1,073 crores PAT against I

NR836 crores PAT for the
financial year '24, registering a growth of 28%. To commemorate this achievement, the Board also recommended a dividend of INR2 per share, which works out to 200% on face value and translating to a dividend payout of 5.5%, which is roughly around INR60 crores on the total profitability of INR1,070 crores.
I would also like to assure that this would not have any major impact on our capital adequacy and our need for capital in the future. With this, let me close my initial remarks and hand it over to Srikanth for getting into more details. Thank you.
Srikanth Gopalakrishnan: Very good morning to all of you. As Mr. Pathy said, I think given the headwinds that we have been witnessing, our results are quite commendable. We have been seeing headwinds both in the form of overleverage and also the disruption in Karnataka, especially in the last quarter.
Given this context, and obviously, the results will need to be looked at from this context, the results are definitely healthy and commendable.
To get into some details, as of March '25, we had an active loan base of more than INR4.5 lakhs.
This represents a growth of 19% on a year -on-year basis in the borrower count. We ended March '25 with a branch count of 748 branches. We have added about 228 branches over the last 12 months, but this is largely due to the split branch strategy that we had undertaken, where bigger branches were split into smaller ones or newer branches from a risk management perspective.
Disbursements saw a growth of 9% year -on-year and 55% on a Q -o-Q basis. We consciously slowed down disbursals in Q4 to get to our AUM guidance of 25%. And this quarter, we are back on track on disbursals. So the one quarter has not really had any impact on our disbursals.
Our ability to pull back the disbursals has been demonstrated in the last quarter.
AUM grew by about 23% on a year -on-year basis. If not for the Karnataka disruption, we would

have definitely achieved our guidance. But again, like Mr. Pathy said, I think we are an institution that focuses on quality growth and not growing for the sake of growth. We ended March '25 with an AUM of slightly short of INR12,000 crores.
We ended with INR11,877 crores. From a yield perspective, our yields gradually keep coming down. As you would recall, we had dropped our lending rates by about 200 basis points for all incremental loans from November, which will have an impact on the yield. So for the quar ter, the yield dropped to 23.7%. The spread remained healthy at about 14.1%.
There was no movement in the cost of funds because most of the funds that we took, we had taken in the last week of March. So despite the incremental borrowing coming at a lower cost, this has not reflected on the book yet. But the good part is it will sta rt reflecting on the boo k, resulting in better spreads.

The NIM also dropped because of yield drop, coupled with some increase in leverage. So the NIM dropped to 16.84% as compared to 17.19%. The cost to income, despite the headwinds that we are seeing, despite the credit costs that you see, our cost to income, inclusive of credit cost still stands at less than 37%. It's at 36.63%, which is well within our guidance of 35% to 37%. It had inched up a little bit because typically, in Q4, we also take some provisions for incentives , for certain conferences that we will conduct for our employees. So given this, typically, the Q4 expenses will tend to be slightly elevated. This has resulted in an ROA of 8.04% for the current quarter. ROE continu es to remain healthy at 18.36%.
From a borrowing perspective, we have about 47 lenders who have lend to us. What we had committed to you about 4 quarters back that the company has been looking at diversifying its borrowing base. I think it's clearly showing very strong traction. We had dropped ou

r borrowing
from banks. The proportion of borrowing from banks has come down from almost close to 80% to 63% as of March '25. So we had about 63% of borrowings from banks. And in the last quarter, we had received incremental debt of about INR700 crores. So we availed about INR1,100 crores primarily on account of some older sanctions that we had. And this came in at an all -inclusive cost of 9.29%, which is 27 basis points lower than the incremental -- the cost of incremental debt that we had in Q3. We continue to carry good amount of liquidity on our balance sheet. We had a liquidity buffer of close to INR2,300 crores and unlimited sanction lines of INR100 crores as of March '25.
The collection efficiency did drop a little bit. But if you look at it from a contextual perspective, the drop is not very material. There was a 30 basis points drop in overall collection efficiency and about 0.5% drop in our unique customer collection efficiency. There has been a slight increase in NPA from 1.62% to 1.79% on a quarter -on-quarter basis. Again, a slight inch up in the St age 2 assets as well. But what is also important to note is that we are carrying a healthy PCR on our overall book as well as on our Stage 3 assets.
Our Stage 3 PCR remains at 51% and our overall PCR remains at 1.63%. So given the situation, we continue to create appropriate levels of provisions on our books that can sort of insulate the company from any shocks in the future. All of this resulted in a PAT of INR279 crores, representing an 18% year -on-year increase.
For the full year, like Mr. Pathy said, we have crossed a PAT of INR1,000 crores, which is a really memorable achievement and an extraordinary achievement in the life of any company. We had a net worth of over INR6,300 crores as of March. So I think we are very, very healthy from a capital perspective.
There has been a little bit of asset quality impact. But if you look at it from a contextual perspective, I think we have delivered quite healthy results. What gives us confidence is the easing of interest rates, which will definitely mean lower cost of fu nds. The tax sops that have been given for the middle income people, which means there will be more money in the hands of people for consumption as well as investment, which means our borrowers' businesses will go up.

So I think this definitely we should start seeing the demand picking up. This will result in a healthy growth, good asset quality and a strong profitability for the company in the quarters to come. So with this, we will end our remarks. Happy to take any q uestions.
Moderator: Thank you very much . We have our first question from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania: I had a couple of questions. Firstly, you did mention the impact of Karnataka on collection efficiency. So is that the only reason why your X bucket and even your total collection efficiency is lower Q -o-Q? Is that the only reason? And how do we look at it going ahead, especially after the Tamil Nadu ordinance? So that's my first question. And then I have a few more questions.
Lakshmipathy D.: Good morning Mahrukh, yes. You're right. The impact of Karnataka ordinance was completely unexpected. No one was prepared for that. So till mid of Jan, things were as normal. So by the end of Jan, the draft ordinance came into picture. And the ordinance were introduced in the February month that had an impact till 10th or 15th of March.
So we have bounced back very well in the month of March itself. And this month, we are bouncing back better. That is one major reason. Another general reason is the overleverage crisis, which we have been talking for last 2 quarters is still prevailing. It 's not that completely they have gone.
But I'm very happy to say that small ticket lenders, both from fintech a

nd microfinance, they
have stopped substantial lending to this segment. So the overleverage -- the threat of more overleverage is gone now. That's why if you see our disbursement and b usiness were back as usual. So I will say 2/3 contributed from Karnataka and 1/3 contributed in general.
Mahrukh Adajania: Okay. So is that -- will that 1/3 ease anytime soon or it will take time only?
Lakshmipathy D.: As I mentioned in last earnings call, let me recollect what I have said is, I think the guardrails, what microfinance and other small lenders have put in place has to first put in -- has to come into act. I think I have heard something in last week saying that, that is deferred to 1st June or 1st of July, whatever it is. So I think that is the first indication that the overleverage is completely stopped and more leverage comes down gradually.
So I'm expecting at least from the June month or the July quarter, the small ticket lenders, unsecured small ticket lenders, they follow the guardrails what they have -- the self -regulated organizations have been put in place. So I think that's the first i ndicati on I'll be looking very keenly.
Second, I think since I have been saying that even though we lend between INR3 lakh to INR5 lakh ticket size, we are fully secured. So the behavioral aspect of customers remains completely different when they handle secured lenders. So I think we will be navigating this crisis with a healthy collections that has been shown on quarterly and mont hly. So this will be prevailing for at least for next 2 quarters is my guess.

Mahrukh Adajania: Okay. Got it. And just in terms of your guidance, now AUM growth will settle in the 25% range? Or do you see it picking up to 30%, maybe 2 years because the size still remains low, right? So how do you view your...
Lakshmipathy D.: So this year also, I think we are giving a guidance of 25% what we gave last year after October till things get settled. So we have to see how the new Tamil Nadu ordinance, which have passed, but we are well prepared in Tamil Nadu. It's a home state for Fi ve-Star. We can handle any kind of situations here. And let me tell till today morning, the situations are completely under control. There's nothing that -- whatever you have seen in Karnataka, nothing has happened until now. But this is a state of bigger banks and bigger NBFCs. I think state government will be very clear. And as I read the initial draft bill, the regulated entities like banks and NBFCs are completely excluded from this ordinance. That's what the bill said. We have to deep dive into the bill and see what are the implications. There will be some kind of disruptions, but not like what we've seen in Karnataka. That's the confident statement that I can give.
Mahrukh Adajania: Okay, sir, sir. And I have the last question. How do you look at cost of funds from here on as in that when we build out for the future for FY '26 rebuild and how much lower?
Srikanth Gopalakrishnan: Mahrukh, I think what is currently coming out is, see, especially the first repo rate cut that happened, there has not been much of pass on by the banks through lower MCLR. But after the second rate cut, we have seen banks already starting to drop their SA rates and deposit rates are also going down, which is a logical point for the MCLR drops to follow.
So -- and the other point is also that over the last few days, the expectation of the market in terms of interest rate drop during this year has gone up quite a bit. Originally, we were all thinking 50 to 75 basis points. But today, I think people are talk ing a lot higher. So our belief is that on an incremental basis, we should at least see 25 to 30 basis points of benefit coming through to us.
We also have about 65% of our book, which is variable rate, out of which roughly it is 50 -50. MCLR linked will be about

50% and EBLR linked will be about 50%. So even these should start
getting -- we should start getting benefits on r eduction because of MCLR drops.
So my sense is I think we should see a good reduction in cost of funds, both in -- on the

incremental debt as well as on the book in the next year to come. What is that proportion at this point of time, we'll just wait for banks to come down with their tho ughts on the MCLR. But I think it should be a fairly sizable number is our hope and guess.
Moderator: We have our next question from the line of Raghav Garg from AMBIT Capital.
Raghav Garg: Firstly, I just wanted to understand your thought process on the ECL provisioning. Stage 1 and 2 provisions have come down despite stress rising. So I just wanted to understand that wouldn't it be prudent to provide more or create some overlays in such a s cenario?
Srikanth Gopalakrishnan: Raghav, we are creating good amount of overlays. The only point is, if you really look at our PD and LGD rates, these are fairly low. In fact, our LGD, on one of our biggest segments, will be sub -20%. So when you have a sub -20% LGD, that means you are effectively going to be

creating only 20% provision on your Stage 3 assets, right? But if you look at our Stage 3, we are carryin g 51% of provision.
Obviously, we want to be conservative, and there is also some bit of input from the Reserve Bank of India on this where they are sort of expecting the NBFCs to keep their provisions on Stage 3 at around 50%. So a lot of our overlays actually go towards the Stage 3 assets, which means you can't keep creating too much overlays on your Stage 2 as well.
But this quarter, we have also created a good amount of overlays on the Stage 2 assets where, let us say, a 0 DPD customer at the beginning of the quarter did not pay any installment during that particular quarter, we have created overlay on such customers . So there's a small portion of such customers because of the overleverage and Karnataka disruption, we have seen during this quarter.
So there, we have created overlays. But given the low PD and low LGD, there is a little bit of a constraint in terms of creating too much overlays on Stage 1 and 2. See, Stage 3 is relatively easier because if there is a deep delinquent account, we can jus t overrule the LGD and create 100% LGD on that.
But that becomes a little difficult to justify when it is a Stage 2 account. And in the Stage 2 account, the proportion is also high. So you start creating an overlay, which adds to too much of provision. See, our belief is a provision of 1.5% to 1.7% is a very strong provision for a secured loan portfolio like ours. Now how do you distribute this 1.5% to 1.7% is what the company takes a call in consonance with the Board and the statutory auditors.
So there will be some ups and downs that you'll probably see in Stage 1 or Stage 2. But I think this is a consistent messaging that we've been giving for the last few quarters. In fact, last quarter also, I said that we will be more focused on the overall provision coverage rather than being -- rather than nitpicking too much on what should be the Stage 1, Stage 2 and Stage 3. Stage 3 is a little bit regulatory driven. So we will probably main tain around 50% on Stage 3. The balance will be given to Stage 1 and 2.
Raghav Garg: Understood. That's fairly clear. The other question is, why has the ticket size gone up this quarter? Is that entirely an impact of low disbursements in Karnataka? And is that it? Or there's something else to it? Because I think in the last couple of quart ers, you mentioned that you will try to contain your ticket size, right? So in that context, I just wanted to understand this a bit better.
Rangarajan Krishnan: So Raghav, the ticket size going up is a very conscious strategy. So we have been guiding over the last few quart

ers that in general, if you look at it, Five -Star's ticket size will be trending more towards INR4 lakhs to INR5 lakhs rather than being around INR3 lakhs. Pre -COVID, we were about INR3.5 lakhs, and we were guiding you that the ticket size will grow at least at an inflationary rate year -on-year.
So more and more, I think the sweet spot for Five -Star seems to be between INR5 lakhs to INR10 lakhs rather than consciously focusing on very, very small ticket size of sub INR3 lakhs. So sub INR3 lakhs also even this overleveraged crisis exposed very clearly that people at sub INR3

lakhs are the people and the vulnerable segments which got most affected because of the overleverage.
So there is a conscious strategy at least in terms of incremental disbursements can we move more and more towards a little bit higher ticket sizes and thereby get the overall average ticket sizes up. So this is something that you will see trending in Five -Star even in the future. I don't think we are changing our customer segments because we were -- earlier, we were present in this

segment.
But just that the importance and the focus that we are giving to this ticket size segment is a little bit higher than what we used to do earlier. So I think the average ticket sizes will tend to move up and go closer towards INR4.5 lakhs, INR5 lakhs as we see in the next few quarters.
Raghav Garg: Understood. No, the only reason I'm asking is because the -- specifically, you had stated that you would try to control the ticket sizes until the situation is over. So should we understand that things are improving at a faster pace than what you had expec ted initially, and hence, the call on increasing the ticket size?
Lakshmipathy D.: Gaurav, what Ranga said is the profile of customers remains the same, but we have started to pick a higher category of profile of customers in last few months. So if you see the addition of number of customers or loans to Five-Star stands at around 4% in last quarter, whereas the growth is at 6.25% in last quarter.
Generally, if you see earlier quarters, this -- both the numbers will go hand in hand. In this quarter, you see the addition of new customers to Five -Star stands around 4% to 4.5%, whereas the growth is around 6.25%. That shows the ticket size is slowly in ching up to the better profile customers in this segment.
So it is not that what we said in last 2 quarters, increasing the ticket size of the same profile of customers to whom we have been dealing with, that we have still contained it, but we are picking the best -- better customers in the profile of -- in the c ategory where we lend. And we will be within the range bound of INR3 lakhs to INR5 lakhs. That is the sweetest spot of Five -Star where you see lesser competition and really, it's a challenging underwriting and collection that has to be taken part. So ther e's no change in that.
Rangarajan Krishnan: Raghav, just one point to add in this is as we reduce the interest rates, it's also helping us be that much more appealing towards this slightly higher ticket size segment and more focused towards them. So a combination of all this is helping the ticket si ze improve a little bit as compared to previous quarters.
Raghav Garg: Understood. Okay. And do I have -- can I ask one more question, please?
Lakshmipathy D.: Yes, Raghav.
Raghav Garg: Yes. So any thoughts on pricing? This is a question that we keep getting very frequently. Any thoughts on reducing it further? Will you keep it here, I think not so much from a pricing point

of view, maybe from a spread's point of view, what are your thoughts? I think right now, you're lending at 22%, right? Any thoughts of reducing it further.
Lakshmipathy D.: Raghav, in my initial comments, I said proactively, we hav

e taken a call 2 quarters ago, reducing the rate of interest. I think that stands good for Five -Star. I think we have brought down on a sizable and good from a lending perspective, I don't see we wi ll be doing it. But as Srikanth said, we will be expecting the bank borrowing to come down in this quarter.
As I said, comparing to last quarter itself, close to 25 bps have come down on incremental borrowing. Those incremental benefits what we get from banks, I think, we and B oard will take a joint call saying that how much it can be passed on to the new customers.
Moderator: We have our next question from the line of Adityapal Singh from MSC Capital Partners.
Adityapal Singh: Great performance. Congratulations to the team. So a quick couple of questions. When we look at the deterioration of the collection efficiency, so you highlighted in your commentary that some part of it was because of Karnataka ordinance and some part of it was because of ca sh flow problems or overleveraging problems in some part of our customer base. So if I were to say it, is it largely the 70 basis points drop in our collection efficiency Q -o-Q largely because of the Karnataka issue? Or there is some fundamental underlying problem with the cash flows of our customers?
Lakshmipathy D.: Yes. Aditya, I recall what I said to the earlier questions is, the drop in collection efficiency from 98% to 97.7%. It is a drop of 0.3%, just 0.3% quarter -on-quarter. That's predominantly due to Karnataka's 2.5 months effect. It started in January, and it -- now the normalcy is coming back strongly.
But in March month, we bounced back very well. So that is the 2/3 impact. And the balance impact is that, in general, the stress in the system still prevails. It is not increasing, but still it prevails. So gradually, you'll see some kind of collection dip s here and there in some pockets from certain customers.
So both put together only that 0.3% drop you see in collection efficiency comparing to last quarter. And that general trend, I think, will still remain in next 2 quarters, not the Karnataka one. That is almost we are able to settle it very well. But the ge neral trend in the system, especially in the middle and lower middle class profile of customers will be there for next 2 quarters is my guess.

Adityapal Singh: Understood. And just harping on the asset quality point again. If I look at all the asset quality indicators, be it Stage 2, be it par 30 plus, be it a GNPA with 1 -year lag and 2 -year lag, there has been -- on last 4 consecutive quarters, we've seen it det eriorating. How much would you say that this is because of the problem in the microfinance and unsecured loan part? Or I would say that the control has happened, that is that the guardrails that have come in because of which the growth has slowed down in these pockets?

Lakshmipathy D.: Aditya, our guidance, if you recollect our guidance for past many years and when we become listed, we said our gross NPA will be sub 2% because please understand we are not lending to

the best of best profiles of this country. We are lending to our middle and lower middle class people where their underwriting is challenging and was challenging. As I said, even our asset quality has inched up to 1.79%, still I feel and I see which is one of the best asset quality to the segment of customers whom we lend.

So our guidance will be -- our Stage 3 assets will be sub 2%. That's where our guidance always stands. Having said that, the overall credit cost, our guidance will be sub 1%. This is where the range that we like to operate. And as someone indicated, our le nding rate is at 22% and our return on assets are at 7% to 8%. So keeping that in mind, asset quality at 1.7% -ish is commendable position in the market.

Adityapal Singh: Understood. And sir, just last 2 questions. So when I

look at the branches, so in Q1, we had added -- that is FY '25, Q1, we had added 27 branches. What was the split branches in that part in that number? And for FY '26, how many split branches are yet to be completed?

Rangarajan Krishnan: So Aditya, just on an overall basis, if you look at, we are close to about 750 branches. Now out of the 750 branches, we'll have roughly about 150 branches in just split branches. Now majority of the branches which got opened last year, last year, we opene d 228 branches, out of which 150 branches are split. We had explained this in the past, and I'm just reconfirming that.

Adityapal Singh: Just wanted the data points.

Rangarajan Krishnan: Yes, I'm just relating the strategy again. The first part of what we wanted to do as part of the split strategy is any branch which has more than 1,500 customers, we wanted to focus on them and then split it. That part of the split is largely over. Now we have a few more branches between 1,000 customers and 1,500 customers.

This is the split that will continue to happen this year as well. But definitely, it may not be as high as what happened last year. So in general, we are good to open about close to 75 to 100 branches every year, including the split branch. So I think we w ill stick to that same guidance as far as this year is also concerned.

Adityapal Singh: Understood. And sir, this -- in the balance sheet, there's a capital work in progress of INR62 crores. And another last question would be that a new state has been added. If you can just help me understand these last 2 points.

Srikanth Gopalakrishnan: See, the capital asset is a building that we had purchased for construction of head office premises. So that will come up over the next few years because this is a place that we have purchased, you need to demolish the existing building and construct. So t hat is the capital work in progress that you are seeing there. I didn't understand. We have added the Gujarat state. What is your question?

Rangarajan Krishnan: He wanted to understand which state. We have opened Gujarat. We have the first branch there in Ahmedabad.

Moderator: We have our next question from the line of Renish from ICICI.

Renish: Congrats on good set of numbers. Sir, just 2 things. One on the sort of clarification side, I will take that first. See, in terms of ticket size and all, of course, you did mention that INR3 lakh to INR5 lakh will remain a sweet spot for us given the kind of yield a nd the credit cost. So on this basis, obviously, this will be the profit driver. But when we are saying that incrementally we move towards better quality and higher ticket size in the same customer segment to INR5 lakh to INR10 lakh.

So how one should think in terms of AUM mix changing over the next 2 to 3 years given there is a bit of a change in strategy. And obviously, INR5 lakh to INR10 lakh ticket size segment is more crowded than sub INR5 lakh ticket size, especially in TN when even large NBFCs are also operating in same segment at 16%,1 7% yield. So how one should think in terms of AUM mix changing? And also, will this have any corresponding impact on the yields, which are at 22%

currently?
Lakshmipathy D.: Renish, so let me go a little deeper into it. As we stand today, the ticket size of more than INR10 lakhs constitute close to 10% -- sorry, 5% of our overall book, 5% of our overall book. And the majority of our book stands at below INR5 lakhs and some good amount of book stands at below INR3 lakhs. What we are trying to do is below INR3 lakhs segment, we are trying to be a little careful in these times and start focusing on the ticket size around INR3 lakhs to INR5 lakhs more. So that is t he first scenario.
That is why you see the ticket size have gone up a little INR50,000 from quarter -on-quarter. But having said that, what Ranga mentioned

was, we will be also focusing on above INR10 lakhs cases, but not in a big way. Maybe the overall above INR10 lakhs, which stands at 5% now can go up to 7%, 8% in the next 1 year or 2 years.
Srikanth Gopalakrishnan: Renish, just want to add, I think more than the focus that we give on greater than INR10 lakhs, the focus will be a little more on INR5 lakhs to INR10 lakhs. So what you're seeing is about 13% of INR5 lakhs to INR10 lakhs today. That can even -- so -- and what is sub INR3 lakhs today, which is roughly at about 32%.
If we are able to move about 5%, 10% of our book from less than INR3 lakhs proportion to INR5 lakhs to INR10 lakhs. So the way you probably look at it is less than INR3 lakhs will be more around, let's say, a 20% level and more than INR3 lakhs or 3 lakhs to INR10 lakhs will be the large portion of our book. Today, you have 1/3 of our book in less than INR3 lakhs. I think we want to cut that to maybe around 20% or 25% in the near future.
Lakshmipathy D.: On the pricing side also, as we said, the yields drop, what we did 4, 5 months back, that will also help us to get into a better ticket size segment. And more focus will be on INR3 lakhs to INR5 lakhs segment. That will be the predominant book of Five -Star.
Renish: Got it. Got it. So basically, we are not changing the strategy, maybe given the current time wherein below INR3 lakh is appearing more vulnerable. So we are sort of changing that mix to 10% between INR3 lakhs to INR5 lakhs and INR5 lakhs to INR10 lakhs. I mean that's the fair assumption, right?
Lakshmipathy D.: Yes, yes, yes.

Renish: Okay. Okay, got it. And now sir, secondly, on this Tamil Nadu issue, and I'm just sort of drawing lines from the product again, how it impacted our book, right? So given only 6% exposure in Karnatak, we saw at least a quarter facing a problem. And obviousl y, TN issue will be far lesser in terms of impact versus Karnataka. But at the same time, we are almost 30% in TN.
So how are you confident that Q1, Q2 sort of will be at par with your assumption in terms of credit cost and asset quality? Because when you are saying that we'll be able to maintain credit cost at 1%, essentially means that we are actually not factoring any of the issue from TN. So how one should read this?
Lakshmipathy D.: See, as I said in earlier question, the Karnataka was completely taken by surprise. So that circumstance is not prevailing in Tamil Nadu as we speak now. So none of our employees from Tamil Nadu branches have reached out to head office talking about this b ill. So that means it's very clearly contained and people have understood that banks and NBFCs are excluded from this. But having said that, there will be some kind of pressure, a little bit of disturbance at the ground level. We can't say there is nothing can happen.
For that, we have to wait and see. Maybe 15, 20 days from now can emerge as a clearer picture in Tamil Nadu rather than today. But my hope and confidence is Tamil Nadu is the home of many big lenders, both banks and nonbanks, right? So we are well equipped here and the connectivity, branch setup, people, all are well equipped to handle any circumstance. And being a hometown, that gives me a confidence that we can handle it far, far better than Karnataka.
Renish: Okay. Got it. And sir, just maybe a follow -up on that. So maybe asset quality, collection, et cetera, might impact any sort of spinout as per our expectation. But just the thought that -- I mean, as a cautious stance, are we thinking to recalibrate disburs ement in TN, at least for Q1?
Lakshmipathy D.: So as I speak now, we have not taken any decision on lowering the disbursement. The disbursement will be as usual in Q1 for Tamil Nadu. As I said, 15 to 20 days will give us a more clearer picture. If there is a need for that, definitely we'll be proactive on tha

t.
Moderator: We have our next question from the line of Viral Shah from IIFL Capital.
Viral Shah: First of all, congrats on, I would say, a good set of results given the current environment that we are in. Sir, I had a few questions. Just first, one follow -up to your comment with regards to yields. Basically, you taking into account whenever the banks pass on their benefit.
Correct me if I'm wrong, but you had actually mentioned that you had proactively passed on this

200 bps of rate cut ahead of the, say, anticipated reduction. So with this reduction in cost of funds coming through, do we further anticipate, I would say, inc remental yield lending rate cut over the next, I would say, 6, 12 months?
Srikanth Gopalakrishnan: So Viral, I think what we meant as proactive was driven by us. But if you really look at our cost of funds, let's say, 2, 3 years back and where we were when we dropped our yields, it has actually come down from about 11.5% to 9.5%. So there was a benefit that was required to be passed on to the borrowers.

The only point was given the uncertain times, interest rates were moving up or rather they were not cooling off, you were seeing risk weights having an impact on possible capital and interest rates. So given the uncertain times, we had actually been pushin g. But then when we are seeing that the regulator might step in or is getting a little uncomfortable with the kind of rates that entire NBFC industry was operating at, we proactively dropped the rates. So that is what we meant by proactive.
Now we will definitely keep watching the space as and when we get a benefit that is -- that we believe is long -standing. See, in this segment, you cannot keep dropping the rates and then pushing up the rates on a quarterly basis or on a half yearly basis. Once you drop the rate, it has to be there for a long period of time.
So when we believe that the benefit in cost of funds is long -standing and permanent for us, definitely, on a proactive basis, we'll want to pass it on to the customers. So when we mean by proactive, it is not like at the instance of somebody. We want to do it on our own. So that's the intent.
At this point of time, again, just giving you a little more clarity, we believe that the rates that we are operating at and not just the interest rate, Viral, it's including the processing fees and others, what you call as the portfolio rate or the average annual percentage rate, APR. I think from what we understand is, we are at a range which is comfortable to the regulator also.
So there is no additional action that is required from the company's end at this point of time. We will keep evaluating the spreads. And if we see that the cost of funds is dropping materially and in a long -standing manner, definitely, we'll take the call to pass on that benefit. But our thought at this point of time is that maybe this may not be required for the next 3 to 4 quarters.
Viral Shah: Got it. This is very clear. And just one more follow -up on that. Now that the regulator has again reverted the risk weight on bank lending to NBFCs, do you anticipate and want to, say, again, go towards bank borrowings, given the advantage that it has being a floating rate book plus the relative ease of getting it?
Srikanth Gopalakrishnan: So your point is valid. In fact, we had a fairly detailed discussion internally on this yesterday at our Board meeting as well. So given that the regulator may not be too fussed about diversification. Obviously, internally, from a risk management perspecti ve, we want to keep a diversified borrowing book.
So it's not like we are just going to go back to 80% of bank borrowing again. But yes, given that the regulator may not be too pushy and the fact that it's a declining interest rate scenario, which means bank borrowings will come in a lot cheaper. The

risk weight has not really had an impact on us. Even when the risk weight increased, we were able to push back any increases that the banks wanted.
So I don't think that had any major impact. But with the interest rate cycle turning, definitely, bank borrowings will be a lot cheaper. If you look at our Q4, where we had borrowed, we have borrowed -- we have taken a lot of bank sanctions out of them, wh ich is why you're seeing a 27 basis points drop in the cost of incremental debt.

So given that perspective, I think we will want to be a little more biased in favor of banks. So whether 63% proportion of banks will continue to keep dropping, it may not. Maybe we would like to operate at a 65% to 70% bank proportion, which will also giv e us a good benefit of the cost of funds.
Viral Shah: Got it, Srikanth. And 2 more questions, I would say for Mr. Pathy or Ranga. If you can see, if we just take a step back from all of this crisis, maybe it will take another 2 quarters or 4 quarters whatever it is, but does this structurally increase the, I would say, the TAM and the ability for us to grow given their, I would say, relative pullback in the credit availability for those bottom of the pyramid customers. And are you seeing some of that happening already given that we are

now probably now 12 months into the cycle? Just some -- from a medium -term perspective, any
color if you can give on that?
Lakshmipathy D.: We are very optimistic on total addressable market. There's no change on that perspective. But
if you see the lower middle class people where the leverage has gone up, I think fairly for last 6
months, the extra leverage was not building up. To that extent , the credit which was flowing
very freely to them, was completely pulled back, especially by the small ticket unsecured
lenders, fintechs and micr ofinance.
So that we are able to see from our new applications which we are receiving on a quarterly basis.
So that is a very encouraging signal. That is what I said. In Q4, the business environment is
looking better, and this better will become better and better if you move quarter -on-quarter.
But having said that, the guardrails, what was being brought in by the MFI has to be
implemented. If that gets implemented, 2 things will be positive for Five -Star. One is the credit
demand will be high because usually what they were getting from micro fin ance, the supply is
now coming down.
So that brings in a good quality of customers to pick and choose from even below INR3 lakhs
segment. That is one positive. Second thing is the overleverage is contained. The cash flow
remains healthy in the rural market, our collections will be stabilized.
Viral Shah: Got it. And on your comment, sir, with regards to the MFI guardrails getting implemented, has
the 3 lender cap not been implemented? Because our sense was that it has already gone into
effect from 1st of April.
Lakshmipathy D.: No. I think as per my information, what I have been received a few days back, it's been pushed
to June or July. But I'm not into that point because you have to check with the micro finance
organizations.
Viral Shah: Fair enough, sir. And sir, last, if you can just give some updates on our medium -term strategy to
say, getting into another product, say, affordable housing, what is the thought process over there?
Or is it too early right now to discuss that?
Lakshmipathy D.: I will not say it's too early because we have been discussing this product all the while, because
it's 100% or more than that complementary to the existing product that what we have, mortgage

loans to business and non -business customers. Definitely, you'll see some kind of strides that we
do organically in Five -Star.
Maybe we'll at least start up that initiative in the l

ater part of Q3 or Q4 of this financial year to
begin organically getting into that product with our existing branch network. As you see, we
have close to 7,000 employees in business and collections and 750 branches network spreading
across more deeper in south. So I think that gives us an easy runway to get into this product,
which we have been talking and thinking for a long part.
Viral Shah: Got it. Sir, in the -- then when you do that, at least in the initial stages, I know you will be
utilizing the same branch network and all, but it will require some bit of additional resources
and processes to be there. Should we anticipate, say, some incr ease in your opex or once you
start that for, say, a year or so?
Lakshmipathy D.: Viral, that is too early to answer that. You asked my thought process. I told you the thought
process. How we are -- we'll be planning at least a later part of this financial year. We have to
look into it. So a lot of these things will be addressed at that point of time.
Moderator: We have our next question from the line of Madanagopal Ramu from Sundram Alternate. Mr.
Madan, are you there? We'll move on to the next participant from the line of D ivyansh Gupta
from Latent Adviso rs.
Divyansh Gupta: One data point question. So what would be our non -collection employee count of that 6689 . And
the associated question is that if I look at per loan per business employe e, at least in the last
quarter, it was 1 loan per month. So does it mean that for any scale up, we will keep on increasing
our head count? Or is there a headroom in increasing this productivity?
Lakshmipathy D.: So let's Srikanth and Ranga give the answer for the first one which you asked. On the second
part, in general, when we move up to INR12,000 crores of AUM, the general metric was that
employee, the AUM will be around INR1 crores to INR1.25 crores. That was our historical
average. So we will be getting into that INR1.25 crores AUM per employee. So that's our
endeavor. That's also one of the reasons where the ticket sizes are moving up will help us to get
into that INR1.25 crores per employee zone. So that's our comfort.
Rangarajan Krishnan: Yes. Total number of business offices alone at the end of last quarter was 4,889. We also ended
up disbursing last quarter, 37,855 loans. So if you look at it on an average, every office r is doing
about 2.6 loans per month.
Divyansh Gupta: Sorry, you said 4,889, right?
Rangarajan Krishnan: Yes. 4,889 office rs disbursing 37,855 loans, translating to 2.6 loans per officer per month. This

is what happened in Q4. Yes.
Divyansh Gupta: Got it. Got it. Understood. The second one was that in the last con call, someone had asked and you had mentioned that our average CIBIL score is around 550 right? So if let's say, I divide this into a spectrum of saying NTC and more than 650 and whatever remains else. So what will be the distribution?

And is there a -- is this a specific, let's say, underwriting policy? And is this a part of the strategy itself to target a lower CIBIL customer because then other banks are not lending to him. He only has an option of going to a money lender and therefore, Five -Star wins with its pr oducts and offerings?
Srikanth Gopalakrishnan: Yes, I think the completely new to credit, we have been telling and December broadly remains flat at what we have been telling is about 25%. You will probably see about 10% of the -- 10% to 15% of people who are at 650 and above or maybe 700 and above. The re will be at least 55% to 60% of our borrowers who are probably operating anywhere be tween 400 to 550 or 400 to 600.
So see, the people who are, let's say, 700 and above or those -- they are being catered to by the larger NBFCs, banks, they're getting higher quantum of funds, they're getting cheaper funds. So that is not the target market for us. O

ur target market is eit her a person who is coming to the formal ecosystem for the first time for this size of loan.
You could have borrowed a product loan like a microfinance or a gold loan. But for this size of loan and a secured loan, we are probably the first lender to almost 90% of our customers. So we will continue to focus on this segment, the 80% being NTC and people with some, let's say, 550 to 600 kind of a credit score because these are people where the target market is high, where we are able to command a slightly better pricing, leading to better profitability, and there are also not much alternatives availa ble for them. So they will continue to be our target market.
Divyansh Gupta: And will this also be for our home loan or home loan because, at least in the LAP, there's a house that you can go and take, whereas in housing, he's actually putting in equity and building a house. And therefore, the collateral is not necessarily, I won't say perfect from a documentation perspective, but it's not ready, right? So will this change from a home loans perspective, if there is any thought on it?
Rangarajan Krishnan: Divyansh, 2 points. Firstly, I think definitely, the home loans profile should definitely look better than this because the yields are not going to be the same. So we cannot operate the same level of risk. If the risk reward has to work out in your favor, then obviously, we're going to target a slightly different set of customers from a home loan perspective. But like Mr. Pathy put it, we have enough time to think and put the product strategy for it. It's not happening at this point of time. We still have a couple of quarters away.
But broadly, the thought process is very clear that we cannot target the same set of customers here. But I think I also want to add a second perspective to what Srikanth just said. Just because we are going and targeting somebody with an average score of 5 50 does not automatically mean that the customer is a high -risk customer. Over the years, we have understood as to how to glean these customers and see how 2 customers having 550 score is not the same. Somebody would be having 550 because he has defaulted on a secured private lending loan and somebody could be having 550 score because he has secured on a gold loan or, let's say, a government -guaranteed loan.

So we don't view these 2 customers very, very similarly. And I think over the years, we have sort of understood as to which is an acceptable risk for Five - Star and which is not an acceptable risk for Five -Star. So that gives us the edge to go to this cust omer segment even with a score of 550 and ensure that we are not as risky as what it is perceived in the general trend in the market. So I think if you keep this perspective, it's slightly different targeting segment that strategy that we adopt at Five -Star.
Divyansh Gupta: Understood. Understood. Two more questions. One is a very basic data question. So in the call, we have mentioned more than INR10 lakh AUM is around 5%, whereas in the present ation, it's around 1 and 0. So net -net, it's 1%?
Srikanth Gopalakrishnan: You're right. I think 5% was a little more colloquially mentioned , but it's about 1% to 2%.
Divyansh Gupta: It's 1%. Got it. Got it. And the last one is that if I look at our lagged NPA numbers, so the level of, let's say, 30 -- 2-year lagged NPA is around 3.7%, which is, say, at least from the presentation

perspective that we have been disclosing was, let's say , last seen in September of '20, which was, let's say, a natural disaster, not planned an d not under our control, right?
So it is reaching those levels. So while I understand there might be a Karnataka -led noise. But Karnataka, let's say, 2 years ago, was also 7% or 6% of our portfolio. So it cannot be only Karnataka. So one is how should we read into thi

s? And what are the actions we are taking to bring it back to, let's say, a more comfortable number?
Srikanth Gopalakrishnan: So firstly, when you said Karnataka was 6%, 7% even 2 years back, we are not talking about Karnataka's proportion. It is 6%, 7% it has been for the last, let's say, 2, 3 years. But today, the level of NPA in Karnataka is higher than what it was 2, 3 years back. So that is what is contributing. So if you look at our absolute NPA itself, it has gone up this quarter, right? And in the last couple of quarters, we have been seeing a little bit of impact on our portfolio. And when you com pare this with a 2 -year lag, it will obviously look a little worse.
See, our guidance to you on a 2 -year lag is it will be anywhere around …you know the 1.36% and all that you are seeing in Q4 FY '22, I think those are not sustainable. We are seeing -- the normal NPA numbers for this business model is sub 2%, which means if you're looking at a 2 - year lag, and I'm assuming 25% growth on a year -on-year basis, it should at least be 3% to 3.25%. So even in the current quarter, w e are not way off on a 2 -year lagged NPA number.
But we would like this number to be more around 2.5% to 2.75%. And obviously, we are -- there have been some disruptions, but we are taking the necessary action to bring this down. So with the portfolio moderating, you will -- I don't think you will ever s ee a 1.3%, 1.4% kind of a 2 - year lag numbers and all that. You'll probably see that in the normal NPA, a 2 -year lag will probably work more around the 2.5% to 3% number.
Moderator: We have our next question from the line of Chandrasekhar Sridhar from Fidelity International.
Chandrasekhar Sridhar: Can you just remind us on the change between the yields, which you had done, there were some thoughts around not having a blanket reduction, but changes in yield basis of the quality of the customer sort of trying to tell essentially to the regulator that there's a lot more signs behind the

pricing. Is that in force as of now? And how does that play through in the context of given that some more increase in ticket sizes, does that mean that the customers who are now coming closer to the INR7 lakhs, INR8 lakhs will come at lower than the 200 bps reduction as a result?
Srikanth Gopalakrishnan: Chandra, when we revised our interest rate model at the time of reducing the rates, we had clearly gone to a risk -based pricing. And short answer to your question is it is in both. So the range of interest rates is anywhere between 21.5% to 22.95%. So the blended yield comes to about 22.25% to 22.5%, -- so which is where we said it is a drop of 200 basis points on an average basis.
But there is a customer who today could get a 21.5%. There is a customer who can get close to 23%. So it's a completely risk -based pricing depending on the score of the -- credit score of the borrower, depending on the end use of the loan that we give to, whether we can classify them as a priority sector loan or not.
So clearly, it's a risk -based pricing, which is involved. See, our belief is the current drop in interest is reasonable enough for us to even look at a slightly better profile of customers. So it doesn't mean that if we have to go to a better profile of cu stomers or given the fact that we are going to a better profile of customers, there will be more yiel d drops that will have to come.
The current drop itself is sufficient to attract better quality of customers within the overall customer target that we have. So that's why we said at this point of time, we are not envisaging any further drop in interest rates. I think this will be an evolving ...
Chandrasekhar Sridhar: It's not about dropping, the question is the mix changing with the mix changing and then given that you're working with rather than a blanket you're working with a range

, you'll have more customers coming in at the lower end of the range is the question?
Srikanth Gopalakrishnan: So I think we've seen that Chandra . No, I understand. We have seen that. So today, when we said it's a 200 basis point drop, our average lending, which used to be at about 24.5% or so prior to November. Today, it's coming more around 22.25% to 22.5%. So there are people -- there are about, I would say, 25% of the customers who were coming sub 22.5% maybe some proportion, which is between 22.5% and 23%. So which i s why you are looking at blended yield of closer to 22.5%. We are not seeing the mix significantly changing in the -- at least in the near future.
Chandrasekhar Sridhar: The second was just on AUM per employee. By when do you think you can get to this 1.25?
Lakshmipathy D.: Chandra, we are hoping that by this financial year end or mid of next financial year, you will see that AUM per employee inching up. It all depends upon the growth, right? So growth depends upon the environment, which we are. We're hoping this environment will be better, better as we

move towards quarter -on-quarter, that will inch up the growth, that will inch the AUM per
employee to where we want to be.
Chandrasekhar Sridhar: I mean it essentially means that employee count over the next year should not be more than 4%, 5% increase saying direct -- you're saying in 1.5 years ,5% to maybe 7.5%.

Lakshmipathy D.: It should be. It should be. Because that's why I gave an indication, the quarterly AUM growth was 6.25%. The new addition customers were 4.5%. So to that extent, we don't need so much of employees for the meaningful quarters. You're right.
Chandrasekhar Sridhar: Got it. And just the last question. Did I hear it right that the cost of fund reduction you expect for the whole year is 25 basis points?
Srikanth Gopalakrishnan: At least. So 25 to 30 basis points is what on the incremental cost. So this is from the current level, Chandra. So we are at about 9 .30, 9 .35. So from here, we are expecting 25 to 30 basis points on the incremental cost. Obviously, there will be some further benefit coming in from the book cost as well because MCLR will drop, EBLRs will drop. So then the overall benefit can be slightly higher than even 30 basis points.
Moderator: We have our next question from the line of Pranav Gupta from Aionios Alpha Management.
Pranav Gupta : Just a couple of questions. A, if you talk about TN and comments from a lot of other lenders from various segments. I mean the biggest issue …
Moderator: Sorry to interrupt Mr. Pranav your voice is quite muffled.
Pranav Gupta: The question was mainly relating to Tamil Nadu, where a large part of the issue faced by lenders over the last couple of years has been high attrition rates. And if we sort of now think about it along with the ordinance. How should one think of the costs y ou mentioned ...
Rangarajan Krishnan: The audio is not clear.
Pranav Gupta: Is it clear right now? Can you all hear us?
Moderator: Yes, sir, we can hear you. Pranav, we were unable to your half question.
Lakshmipathy D.: But I understood this question. Let me address it to the extent I have understood the question. See, I think the ordinance has just got cleared. It's just yesterday, it got cleared. So in 15 to 20 days, we will know how the impact is going to be at the gro und level. But ordinance clearly states that regulated entities are out of this. So that's the confidence that I said that disruption may be, but it will be far lesser than Karnataka. That is from a collections perspective.
From a disbursement perspective, I see nothing getting stopped in Tamil Nadu because this is a hometown of Five -Star. We have been here for the last 40 years, and we know the customers better in this segment like beyond anyone. From an attrition perspectiv e, see, it's too

early to talk
about attrition. Why -- how is this attrition is -- I don't think attrition is directly connected with the bill or ordinance what -- it gets cleared in the state, right? There will be some kind of difficulties in collection and we agree the difficulties and we let the people to do what best they can do.
That -- I don't think that has a direct impact on the ordinance what -- because I can clearly say in Karnataka, the attrition was not anything got alarmed because of the ordinance. There was disruptions. There was some kind of harassment because we didn't anticipate that kind of

ordinance to get into a state. But here in Tamil Nadu, we are well prepared. I don't think that will be any cause of concern from an attrition perspective.
Pranav Gupta: So just on the attrition bit, just to clarify. Obviously, I was not implying that the attrition sort of links to the ordinance. What I was trying to understand is that most lenders have seen attrition, which is why collections in Tamil Nadu for lenders hav e sort of been impacted. And now that the ordinance is also in place which increases the impact further. How should one think about that? That was the question. But I'll probably take that off -line later. The second question is...
Lakshmipathy D.: Pranav, I can answer that. I got it. From Five -Star perspective, Tamil Nadu is one of the best collecting states. I don't know about other lenders for Five -Star that comes on the top of our list from a collections perspective. So that's our confident and strength what we have in the home state of Five -Star that will keep continuing. So this bill will have a very less disruption and very short disruption. That's what I hope for.
Pranav Gupta: Right. But just as a follow -up to that, then, I mean, how should one tie that up with the relatively slower growth there in Tamil Nadu, given that it's the best connecting state, how should one think of that, just as a follow -up?
Lakshmipathy D. : Yes, that I've been talking in the earnings call for quite a long time. So we said this financial

year, Tamil Nadu and Karnataka will inch up their growth. That's what exactly happened in Tamil Nadu. If you see Tamil Nadu on a quarterly basis, it's perform ing really very well. So you will see Tamil Nadu as a state today being at a little sub -30%, will cross 30% very comfortably.

Pranav Gupta: Sure. Understood. Sir, second is just a clarification on the cost of funds bit. I know you sort of highlighted that on multiple occasions, but just to clarify, given that we have already taken the price cut of -- on a blended basis of 200 basis points. Obv iously, that's more on a risk -based level. But this sustainable dip in cost of funds that we think would sort of play out over this year of 30, 35 basis points. Srikanth sir mentioned that we could see some pass -through to incremental custome rs. But is that sort of tied up purely with the risk -base pricing? Or is it sort of a downward revision of the overall range of pricing that you mentioned earlier?

Srikanth Gopalakrishnan: So Pranav, firstly, I want to clarify. I think this 30, 35 basis points that we are looking at for the current year, that is not going to have any impact on the yields because see, again, in our customer segment, 25 basis points of reduction in rate alone make absolutely no difference for the customers. So -- when you do a yield drop, it has to be closer to 75 or 100 basis points or so. That is what makes a meaningful difference for you to attract better customers.

So this 30, 35 basis points, I think, is not going to result in any yield reduction. If let us say, there is a possibility of a rating upgrade that we get and the situation becomes a lot better, we are able to borrow at much cheaper part. Like we are able to borrow at 75 basis points lower than where we are borrowing today.

Tha

t is when we will start looking at the yield reduction, which is why we said given that all of these things look a little unlikely at this point of time or may happen only towards the second half or end of the year, there is unlikely to be any interest rate reductions for this financial year.

Pranav Gupta: Perfect. That's very clear. And just one last question regarding the dividend that we paid out. Obviously, this is more as Pathy sir mentioned, on a milestone basis, but any policy that we are stating around this? Or can we look at this just as a one -off m ilestone -driven event?

Srikanth Gopalakrishnan: No, Pranav. I think now we are getting into a dividend paying mode. So it's not a milestone - based event. I think we will become a dividend -paying company. The payout will obviously be gradual. We are not going to take it to any significant numbers shortly. I think we want to be gradual and measured and pay the appropriate level of dividend to our shareholders.

So we have kept a max range, which is quite high. So at this point of time, I don't even want to talk about that. But our payouts will probably range anywhere between 5% to 8% for the foreseeable future. So that's -- but I think you will see the company pa ying out dividends every year thereafter.

Moderator: We have our next question from the line of Manik Bansal from Master Capital Services.

Manik Bansal: So my question is, what is the reason for the 35 bps increase in capex -- I mean opex ?

Srikanth Gopalakrishnan: 35 bps increase in opex . Okay. So that is primarily because of the denominator also being lower, right? So where we wanted to be at 25% growth, we are at 23%. So consequently, you're also seeing the total assets being lower than where we wanted to be. So if you're looking at ano ther 2%, that means it will at least be another INR200 crores to INR300 crores of balance sheet size going up, which will obviously would have dropped in. So the question is the opex is a little front -ended, which will get absorbed by...

Manik Bansal: Sorry to interrupt. It's opex . 30 bps increase in opex .

Srikanth Gopalakrishnan: So opex to assets only you are referring to, right?

Manik Bansal: Okay.

Srikanth Gopalakrishnan: So when the assets are lower, the opex to assets will be lower -- will be higher.

Manik Bansal: Okay. So next question is, as you mentioned that there is one branch opened in Gujarat, right? So how do you look to expand in that state? What kind of opportunities you see there? Because if we look at the branch network other than Andhra Pradesh and Tami l Nadu, so it has not grown that much in the past many quarters. So is that the same thing that is going to happen in Gujarat also?

Rangarajan Krishnan: Manik, I don't know the basis on which you are making this comment that branches have not increased only in these 2 -- except in these 2 states. We have given the branch count and it has increased across. And today, there are multiple states where we are r eaching -- 100 branches, including our latest state, which is Madhya Pradesh, which is having 94 branches as of March.

We have expressed our strategy multiple times in the past. Any new state that we enter, the first 18 months to 24 mo nths will be a very measured growth.

We will not put up more than 4 branches. And only when we get confidence in the state, we expand further. Gujarat is no different. So for the first 18 to 24 months, you will not see us opening more than 4, 5 branches. Once we get confidence in the state, it's a very, very large state. Many established lenders have been doing business for decades in that state. So it's important for us to understand and track that state very well. But we will take our time. After 18, 24 months of good operations there, then I'm sure tha

t is going to be a very big state for us.

Moderator: We have our next question from the line of Shrinjana Mittal from RatnaTraya.

Shrinjana Mittal: I have 2 questions. So I understand that the Karnataka impact on the collection has already been discussed. But I just wanted to see if it is possible, can you share the collection efficiency number ex of Karnataka for the last 3, 4 quarters?

Srikanth Gopalakrishnan: Shrinjana, we will probably take it offline. We don't have the data ready for the 3, 4 quarters. So we'll have to take it offline.

Shrinjana Mittal: Sure. Just one more bookkeeping question. So in this quarter, what would be the number of split branches that we have opened?

Rangarajan Krishnan: Sorry, in this quarter? Can you repeat the question?

Shrinjana Mittal: The number of split branches that we have opened in the last 3, 4 quarters, if you can share that as well.

Rangarajan Krishnan: So last 1 year, roughly about 148. 148 split branches out of the 228 overall branches.

Moderator: We have our next question from the line of Sarthak Nautiyal from Eraya Capital.

Sarthak Nautiyal: Congratulations on a good set of numbers. So I have a few questions. Considering 25% of AUM growth and drop in yield roughly by 200 basis points versus last year, what kind of earnings growth are we expecting in FY '26? And what is our target for ROA and R OE in the near term?

Srikanth Gopalakrishnan: See, for FY '26, you're right, the earnings growth will be slightly muted. So if you are looking at a portfolio growth of about 25%, given that we have dropped our yields from November and you will see a full year impact, I think we should look at an earnings growth anywhere between 12% to 15% for FY '26.

See, ROAs, I think if the leverage is not going to go up significantly, ROAs will continue to be around 7.5% to 8%. We are not going to see any significant reduction in ROA, which also means that ROE will also not go up in a quick manner. So both of them w ill move in a gradual manner. Earnings growth will be at about 12% to 15%.

Sarthak Nautiyal: Okay, sir. Okay. Also, sir, I want to understand what is the end usage of our loans and what kind of collateral we have against the role?

Rangarajan Krishnan: End use of loans is broadly 3 purposes: business purpose constituting about 60%; 25% will be for construction of a house or purchase of a property; and the balance 15% will be for personal consumption, which has a large cash outlay. So it could be medical emergency, education or consumption -related purposes. And the kind of collateral that we have for all these loans, we

don't differentiate the loans based on end use, both the underwriting and the product features are very, very similar for all the 3 end users.

The collateral is a self -occupied residential property. 95% of the loans is backed by a self - occupied residential property. The balance 5% would largely be commercial properties that the customers own. Maybe about a percentage out of the 5% will be also on vacant lands, but it's a hard collateral.

Sarthak Nautiyal: Okay. So also as our NPAs are increasing, so are we planning to auction the collaterals that are -- to address this issue?

Rangarajan Krishnan: No, I think we are well within the range in terms of NPAs. What the numbers that you have seen is because of a temporary disruption in a particular state, we have never auctioned any of this, and we are confident of our usual negotiated settlement with the customers. There is a legal team in-house that we have, which pursues the 90 plus customers. And we are very, very confident that it will happen in the normal course. We have never auctioned any collateral so far in the history of Fiv e-Star and we will continue to do the same at this point of time.

Sarthak Nautiyal: Okay. Okay. Sir, just a last question. So how are the inc

entives of disbursement deal structured?

Like in any manner are they responsible for collection also? Or they are purely assessed on disbursement targets only?

Rangarajan Krishnan: So we have 2 types of office rs at the base level, offices who do business and collections. And this team generally handles lower vintage customers. So typically, about less than 24 -month customers is handled by this team. And we also have specialized collection teams, which handles higher vintage customers at the branch level. Now obviously, the people who handle only

collections are incentivized and measured only on the collection efficiency that they do.
In terms of business, what people are responsible for is, one is what is the quality of sourcing and the disbursements. Second is of the loans that they have disbursed, how much of it is turning into early arrears or early mortality accounts within the fir st 12 months and 24 months. The third part is also within the 12 to 24 months that they are handling, how is the collection efficiency of those customers measured. So it's a combination of all these 3 is where they are measured and rewarded all.
Moderator: We have our next question from the line of Siraj Khan from Ascendant Capital Partners.
Siraj Khan: Sir, a few data keeping questions, then I'll quickly come to my questions. Firstly, what is the breakup of the -- in the AUM, salaried and self -employed customers?
Rangarajan Krishnan: Self-employed will be roughly about...
Siraj Khan: Self-employed and salaried.
Srikanth Gopalakrishnan: See, if you remove shopkeepers, so shopkeepers will be about 60%. Self -employed will be about 25%. 15% of our customers will be salaried, typically cash salaried or contracts and labor and all that.

Siraj Khan: Understood. Understood. And could you just give me the number, the number of files that we disbursed during the full year and the sanctions, the number of files, if that is or amount, whatever the...
Srikanth Gopalakrishnan: The full year disbursals we have given, it's close to INR5,000 crores, INR4,970 crores.
Siraj Khan: The count I m ean to say. The count of files is that?
Srikanth Gopalakrishnan: Just go ahead with your next question. We'll get the data back.
Siraj Khan: So the first question that I have is with respect to the growth. Now I know that the state of -- that we have some problem with one particular state. Ex of that, how do you see the growth panning out with respect to a breakdown of how much of the growth wi ll be productivity -led inflation in the average ticket size and the change in the mix?
So what I want to understand is the breakdown of the growth with respect to these aspects? And also with Maharashtra now becoming in the range of inflection point where we have 25 branches, that state should start scaling up. So with respect to new geograp hies and the existing geographies, how will the growth breakdown in these 2 parameters?
Rangarajan Krishnan: So Siraj, firstly, the overall growth guidance the company is giving is at about 25%. Now obviously, the mix of how this 25% is going to be achieved is going to be through a faster growth in some of the inflection point states. Like rightly, you mentioned Cent ral India, we have just crossed the milestone of INR1,000 crores portfolio in Centr al India at this point of time.
So that will definitely continue to grow at a faster pace than some of the older states that we have. As of now, the mix is roughly about 8% of our portfolio is Central India, and that will continue to inch towards the 10% and 12% in the years to come. We had guided that over the steady state of about 3 to 5 years, we will have at least 15% to 16% coming in from Central India and the rest of it coming in from the southern states.
So within this state -specific strategies, will continue to happen like this. Produ

ctivity -led
improvements to an extent will definitely happen. And that's -- I think we are not bad on productivity. Like I mentioned to a previous question, we are almost alr eady at about 2.6 loans per officer per month in terms of disbursement.
We will expect this to inch up to closer to 3 loans per officer per month, and that's a great productivity for us to maintain. We will also gain some things out of the increase in the ticket sizes. So even if the ticket size increase is close to, let's say , 5%, 6% per annum, a combination of productivity increase and this ticket size increase, we are very confident of delivering a 25% kind of a growth that we have guided for.
Siraj Khan: Understood. But so like just to break it down, so like 10% would be productivity, 10% would be growth with respect to volumes and expect -- could that be possible to do it?
Rangarajan Krishnan: Roughly, you can say 5% productivity increase, 5% ticket size. The balance 15% is acquiring incremental customers, both through our existing branch network and the new branch...

Siraj Khan: Understood. And with respect to the reasons, now as you said that Central India will be a good part of the coming few years as we move ahead. So in the current scenario, with respect to some of the other peers that -- and other companies that are there in the mortgage segment, there are some more with respect to Central India, specifically the states of maybe Madhya Pradesh,

Chhattisgarh, even parts of Maharashtra, seeing some bit of stress that is being built up. So are you seeing any of that? Or our customer segment is exclusive of that what the other players are seeing? That is one.
Rangarajan Krishnan: So far, no specific trends that we are observing. But these are early days. Having spent more than 5 years in states like Madhya Pradesh, we understand the state fairly well. And we have built up good teams, both at the leadership level in the respective s tate and at the ground level.
So anyway, we'll be watchful of how any of the states are going to emerge and confident of handling it. Siraj, also just answering your prior question on the number of loans which got disbursed, it's 1,38, 660 loans during FY '25.
Siraj Khan: Okay. So that is the disbursement count. And also the sanction number, if that is available, the number of sanction count?
Rangarajan Krishnan: So sanction does not matter, and we don't reveal it specifically. Usually, the disbursement ratio for us is about 95%.
Siraj Khan: 95% is sanctioned to disbursement?
Rangarajan Krishnan: Yes.
Siraj Khan: And the login to sanction, if that would be possible in amount basis or account, however?
Rangarajan Krishnan: So maybe about 75% to 80%.
Siraj Khan: 75% to 80% of the login to sanction. Great. And just final bit on the branch expansion. What will be the absolute new number of branches, not the split, the absolute new number of branches that we are targeting for the full year? And will that be again predominantly focused on the c ore geographies or more on the new geographies?
Rangarajan Krishnan: I think specifically this year, Siraj, given that we have opened quite a lot of branches in FY '25, the focus of the company will clearly be on getting productivity and making sure that these branches are performing up to their optimal level. That will be point one. So maybe the branch count will definitely be slightly lesser. We usually guide for about minimum of 75 new branches in a particular year. So maybe the number in terms of new branches will be slightly lower this year. A combi nation of new plus split will be equal to 75 to 100.
That's the guidance that we are giving you for this financial year. As usual, the focus will be more in the established states that we do. We will, of course, open new branches in the new locations. Last year, if you look at it in FY

'25, we opened close t o 50 branches in Central India.
Maybe it will continue to be a slightly lesser or an equal number in Central India. The rest of the branches will come in from our core geographies of the 3 states in South India, which is Tamil Nadu, Andhra and Telangana.

Siraj Khan: Great. And finally one on the credit cost, what would be the guidance for FY '26?
Rangarajan Krishnan: Our guidance stays at 75 to 100 basis points.
Moderator: We have our next question from the line of Madanagopal Ramu from Sundaram Alternates.
Aravind R: This is Aravind, sorry. Sorry for the mishap . Congratulations on the good set of numbers in the light of tough situation in the segment we operate in. Sir, like we are building capacity in terms of branch addition, in terms of employee addition, and we are focusing more and more on like INR3 lakhs to INR5 lakhs rather than less than INR3 lakhs and on INR5 lakhs to INR10 lakhs.
In the wake of all this, like we still have a very conservative growth guidance of 25%. I'm just wondering like do you think like if the credit environment improves, we can easily increase the growth guidance like, let's say, 2, 3 quarters down the line if the demand improves -- sorry, if the credit situation improves?
Lakshmipathy D.: Yes, you're perfectly right. As I said, the total addressable market is very big, and Five -Star is in this segment for the last 20 years. That gives a clear edge for Five -Star to move ahead. That's what we are doing it. But as I said in the initial point that quality is almost the most important for any lenders. So if you see, I think the political issues are also now starting to come up. You saw Karnataka last quarter, you are seeing T amil Nadu now.
We don't know, right, which will be the next to following state. So keeping these all in mind and INR12,000 crores of AUM, 25% growth is not a normal one. I think it's a commendable growth, keeping your asset quality and credit cost one of the lowest in the industry for the yield what you generate. So I think that's more important. So growth comes a littl e later, the quality and profitability has to be in front end so that growth is always -- can be taken up.
Moderator: We have a last question from the line of Nikhil Agarwal from VT Capital.
Nikhil Agarwal: While it has been touched upon, my question is more strategic aspect related, which is your shift from the less than INR3 lakh ticket size to INR5 lakh to INR10 lakh ticket size. I just wanted to know that the drop that we have seen in production efficiency, like you said that not entirely is attributable to Karnataka and some of it is the lower ticket size due to low leverage. So I just wanted to know how much of that is from this segment, which is why we have taken the decision

of...
Srikanth Gopalakrishnan: So I think Nikhil, we are -- first of all, we are not taking the decision of quitting any segments. We will continue to operate withi n that segment also.
Nikhil Agarwal: Right. .
Srikanth Gopalakrishnan: So what we are saying is given that we have also dropped our yields, it is allowing us the flexibility to focus on the premier customers within this segment, which is where we are going to, let's say, INR3 lakh to INR5 lakhs or INR5 lakhs to INR10 lakhs. So -- and see, one of the points is the less than INR3 lakhs typically -- despite the fact that we do secured loans, we do much longer tenure loans, there is a tendency for people to bucket us with microfinance

institutions. So which is probably maybe one reason that could have that could have caused some impact.
At this point, if you ask us to break the impact between these various points, I don't think we'll be able to do that. Like Mr. Pathy said, the broad thing that we have seen is about 2/3 coming

from Karnataka – if you want to split 1/3 into sub INR3 lakh, 3 lakh to INR5 lakh, I think that will be -- that's beyond the company at this point of time.
But our belief is the stress in the less than INR3 lakhs segment is probably slightly higher as compared to, let's say INR3 lakh to INR5 lakhs or INR5 lakhs to INR10 lakhs where the customers are a little more savvy. Their incomes are a lot more stable. So from a collections perspective, they tend to be a lot better customers. So which is why we are moving, let's say, 10% population from sub INR3 lakhs to INR3 lakhs to INR10 lakhs.
Nikhil Agarwal: And one last question. The credit cost guidance of 75 to 100 bps, is it a midterm long -term guidance or is it for FY '26 only?
Srikanth Gopalakrishnan: The range is -- I would say it's a midterm guidance at least. We are not going to change the range unless situations get very different. For FY '26, I can probably say that we'll be more closer to the lower end of the range rather than the higher end of th e range. But our guidance stands at 75 to 100 basis points for the medium term.
Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Lakshmipathy D. : Yes. Thank you. So good to hear a lot of questions coming out from state -specific and growth specific. I'm confident that we will navigate all the tough times, and we'll come out of better results in the first quarter of this financial year. Thank you.
Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines

Call: Aug 2025

August 4, 2025
The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663
Sub: Transcript of the Earnings Conference Call for the quarter ended June 30 , 202 5
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on July 29, 2025 .
The transcript can also be accessed from the link: https://fivestargroup.in/investors/
Kindly take the above on record.
For Five -Star Business Finance Limited
Vigneshkumar SM
Company Secretary & Compliance Officer

"Five Star Business Finance Limited

Q1 FY '26 Earnings Conference Call "

July 29, 202 5

MANAGEMENT : MR. LAKSHMIPATHY DEENADAYALAN – CHAIRMAN AND MANAGING DIRECTOR – FIVE STAR BUSINESS FINANCE LIMITED
MR. RANGARAJAN KRISHNAN – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – FIVE STAR BUSINESS FINANCE LIMITED
MR. SRIKANTH GOPALAKRISHNAN – JOINT MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER – FIVE STAR BUSINESS FINANCE LIMITED

MODERATOR : MR. AJIT KUMAR -- JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Five -Star Business Finance Q1 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone . Please note that this conference is being re corded.
I now hand the conference over to Mr. Ajit Kumar from JM Financial Institutional Securities Limited. Thank you, and over to you, sir.
Ajit Kumar: Thank you, Shruti. Good morning, everyone. I'm Ajit Kumar: from JM Financial. Welcome to 1Q FY '26 Earnings Conference Call of Five -Star Business Finance. To discuss the company's earnings, we have with us Mr. Lakshmipathy Deenadayalan , Chairman and Managing Director; Mr. Rangarajan Krishnan , Joint Managing Director and CEO; Mr. Srikanth Gopalakrishnan , Joint Managing Director and CFO. On behalf of JM Financial, we thank the senior management

of Five -Star for giving us this opportunity to host y ou today.
I now invite Mr. Pathy for his opening remarks. With that, over to you, sir.
Lakshmipathy D : Yes. Thank you, Ajit. I welcome everyone for this earnings call, and thank everyone for taking up this call in the morning. With me, Ranga, the CEO; and Srikanth, the CFO, we three jointly take up this earnings call. Let me not run through the numbers because I know the numbers are with you for some time. Instead of getting into the numbers, I want to take you through on the Five-Star's thought and aspect and remedies what we have b een doing on this pain point.
So let me start. In this financial ecosystem, the pain do not start with one and end with the same. It affects the entire ecosystem, but the pain differs from lender to lender. One who has better underwriting and good collection infrastructure will have th e least pain. Yes, from Five -Star's Q1 performance, the number shows the pain. If compared with others in the segment, then we will realize the stress is far lesser for us.
As I said, I want to spend some time with you all on following points. What is the cause for this pain? Where is the pain coming from? What are the remedies taken? Where are the early signs of improvement coming from? And what is our outlook for financial year 2026?
Let me begin with a very important question. Where is the -- what is the cause for this pain? Yes, you all know it is overleveraged, highly indebted low financial literacy in small ticket borrowers, which has led to this overleverage. Last 24 to 18 months, we saw high spurt in credit moving towards this segment in the form of micro finance, personal loans and credit cards. To add to this, the states like K arnataka, the ordinance, which was enacted early this year has added more pains to this.

Where is the pain coming from? We see the pain in small loan borrowers , to be more specific, below INR3 lakh ticket size and customers from risky locations and colonies. They were the target customers of microfinance personal loan lenders. We see the more pain coming from these ticket size and these segments and these localities.
Most important, what are the remedies taken by Five Star? We have slowed down our exposure to below INR3 lakh loans and started to focus on INR5 lakh to INR10 lakh segment, but our sweet spot will remain in INR3 lakh to INR5 lakh. Even in INR3 lakh to INR5 lakh segment, highly indebted customers and customers from risky locations and colonies are avoided.
With respect to overleverage, we check the leverage of customers prior to sanction of our loans, and we adopt conservative practices

on debt burden ratio and LTV. However, the problem has
cropped up with customers overleveraging themselves post taking our loans, which is what has caused some level of stress.
To address this, we are making some changes on customer profile and underwriting side. We are focusing on better quality customers, more financially literate customers who will not overleverage themselves even during the times of high liquidity. This also means we are focusing on higher ticket customers, who have better financial understanding and historically, we have also seen this portfolio performing much better for us. We are also avoiding certain customer profiles, certain geographical areas where we find collections problems and consequent asset quality stress.
With respect to income evaluation, we are also avoiding or giving much lower weightage to customers with high proportion of agri and other seasonal incomes. Further, wherever we find multiple member of the family involved in the same self -employed employme nt, we are restating the incomes to a much lower level so that we protect our downside.
Where are the early signs of improvement coming from? The lessons learned by the lenders who have caused this pain, the uncomfortable runaway pace at which the consumer credit was given for last few quarters have stopped. The new guardrails has been put in place by MFIN. This will ensure no new overleverage pain is caused in the system.
Since many or almost all microfinance and personal loan lenders have written down bad loans, this is -- technically, the overleverage has come down to small borrowers, hence secured lenders like us will start seeing pickup in collections going forward. To be more data specific, our July month collections till now comparing with April month has shown good improvement both in D1C1 and collection efficiency.
Finally, coming to our outlook for the financial year 2026. This quarter, I mean, July, August, September, this quarter, we'll see the pain to continue, but will get stabilized by quarter end. Second half year from December and March quarter onwards, we wi ll see improvement in growth , collections and leading to better asset qualities.
Hence, we are not revising our growth and profit guidance of 25% growth and 12% to 15% profit for the financial year 2026, which we gave last quarter. If any out of control happens due to

external factors, we will come back on this. The credit cost guidance for the full year will be in the range of 1.20% to 1.25%.

To conclude, yes, we admit we have slipped from our own standards, but let me assure you all, Five-Star's secured lending product with better underwriting and good collection infrastructure, we'll be the last to get hit and first to bounce back. We will bounce back quickly.

Now on the second most important development, which I wanted to share to you all. Yes, you would have seen the exchange notification. Ranga, our CEO, is stepping down. He is resigning from our company. He's been with me for the last 10 years. He's been in the company for the last 10 years and this remarkable track record with me taking this company from nowhere to a unicorn and from a unicorn to a listed entity has spoken a lot about his credibility and capability. For last few months, he has been sharing his desire to be an entrepreneur -- to take up the entrepreneur activity and being an entrepreneur myself, so I felt this is not right to stop him. Hence, finally, in the month of June, we both agreed and we took th is to the yesterday's Board meeting, and Board have approved this. And he will be relieved from the company's activity from 14th August onwards.

Having said that, I'm an operational guy. I've been operating this company and built this business model for the last 22 years. And we have a strong second line management team across all functions. So we se

e no disturbance on Ranga's exit, and I'll be tak ing up the entire operational work. As usual, we both were sharing it, 60%, 65% , I was always doing it and he was doing 30%, 35%, and we exchange states in a year or a quarter. So little overlook has to be -- has to come from me, and we have a very strong level -- second level management, as I said earlier, across business . collections, credit , operations in all departments. So that will augur well for the growth of the company as usual.

So with this, let me hand it over to Srikanth, CFO, to take you through our numbers.

Srikanth Gopalakrishnan: Good morning to all of you. As Mr. Pathy said in his opening remarks, this has been a little bit of a muted quarter by our standards. We would have certainly liked to perform a lot better. But for reasons which are a bit beyond our control, the performance has been a bit muted, but we are very confident that we will be able to quickly turn around from where we are to come back to our earlier levels.

I'll just take a few minutes to give some update on some of the numbers for this quarter and for the year -to-date, which pretty much is the same. Despite the constraints that we are seeing and the crisis that has been caused by the overleverage, we continue to invest in physical infrastructure.

We have not stopped our branch opening nor have we stopped splitting the branches which have become bigger. So during this quarter, typically to a Q1 trend, we have opened about 19 branches, so which is -- which ended with 767 branches as of June 30, '25. Our customer base is at about close to 4.8 lakhs.

Consciously, we slowed down on our disbursals because during periods of stress, it is not prudent to be aggressive on lending. The focus was a lot more on collections. We -- even from the management oversight perspective, we put a lot more on collections. So the disbursements had a little bit of an impact. It was almost flat compared to the same quarter last year. Consequently, AUM growth was also a little bit muted at about 5% quarter -on-quarter and 20% year -on-year. But this is all on account of the current crisis that we are seeing. Once we turn around and get our numbers back on track, we'll get back to our growth target as well, which is why we are not revising our growth guidance from our stated 25% level. We have ended with a portfolio of slightly short of INR12,500 crores.

On the financial metrics, consequent to the yield drop that we did on our incremental loans from November of last year, and we had guided that every year, you will probably see a compression in yields by about 60 to 75 basis points, because we did drop our incremental yields by about 200 bps. So you have seen a 20 basis points drop in the current quarter. Ou r yields stood at around 23.5%.

But the positive aspect that we have seen is in 1 quarter, we have been able to reduce our cost of funds by about 10 basis points, thanks to the repo rate cut by RBI and our ability to negotiate better with lenders. Our incremental debt has come in at 8.59 %, 70 basis points lower compared to the last quarter, which is a very significant drop to be achieved in 1 quarter.

The cost to income has inched up a little -- has inched up quite a bit primarily because of the credit cost. If you strip the credit cost away from it, I think we are largely flat, probably a percentage point up because of the increments that we'll give, t he effect of which will be caught up over the next 3 quarters.

But the credit cost has been on the higher side. It has gone up from about 0.7% to 1.3%. So we are revising our guidance a little bit to be at around 1.2% for the full year. This has resulted in an ROA of 7.24% and an ROE of about 16.57%, but we should be able to pick up these numbers as we go forward, especially on the ROE with growth coming in and leverage g

oing up.

As I said, on the liquidity side, on the funding side, we have made very good progress during this quarter. So we have -- while the quantum raise has been a little lesser given typical seasonality of first quarter, but the cost is extremely attractive. And also during the quarter, we have had our outlook on our rating increase from stable to positive, both by India Ratings and CARE Ratings. So hopefully, that shows the trajectory of the ratings to come in the next few quarters.

Overall, for the quarter, we had clocked a profit after tax of INR266 crores, which is a 6% growth on a year -on-year basis. But compared to the last quarter, it was down by 5%, primarily on credit cost. We also maintain a good level of provision coverage. So if you look at the overall provision coverage on the portfolio, it has gone up from 1.63% to 1.94%.

And on Stage 3, we continue to maintain more than 50% of provisions. This also has a good amount of overlays that we have built on customers where we possibly saw some kind of an

overleverage stress, people who moved stages in the same quarter, moved multiple buckets in the same quarter.

So the number that you're seeing has a good amount of overlays. As we go forward and our asset quality gets better, hopefully, we will start seeing some release of these provisions or the necessity to build incremental provisions will be a lot lesser. Our net worth stood at a little over INR6,500 crores. So the task before us is cut out.

We have taken necessary remedial measures, and we are completely focusing on what to be done to ensure that Five -Star gets back to its own standards, and that is something that will keep us busy for the next 1 to 2 quarters. Hopefully, we'll keep meeting y ou as we go forward with better numbers.

So we'll take a pause and happy to take the questions from any of you. Thank you.

Moderator: The first question is from the line of Mahrukh from Nuvama.

Mahrukh: So I have a few questions. Firstly, that collection efficiency for the quarter is at 96.3%. So what needs to change in the macro to take it higher, right? Because this is kind of a lagged impact from leverage. So unless things change in the macro and these are secured loans, so people do want to not have their properties sold off or not having to sell their proper ty and yet they are defaulting.

So what needs to change in the macro? And is there visibility -- good enough visibility that, that will, right? Because I think other banks and other lenders have also pointed out to incremental stress in a few segments. So that's my first question.

And then one lender said on their call that they are seeing incremental stress on South -based mortgages because they had acquired -- so AU said that and they had possibly acquired Fincare. So is it the same overlapping segment? Usually banks don't operate in your segment, but they did an acquisition, so asking. So is this like stress in the South -based mortgage segment? Or how do we view it?

Lakshmipathy D : Yes. Thank you. I'll go one by one. First, from the collections question, what you asked. See, from the macro perspective, as I said, I believe two things, which I feel these are the green shoots from a macro perspective. One is the microfinance lenders and personal loan lenders, they have taken up the credit growth more sensibly.

To add to it, the guardrails, which has been put in place is effectively working out is what I'm hearing from the market. So I believe no fresh overleverage has been created to any customers or any families going forward. That's the first green shoot I see.

But having said that, what will happen to the already customer who sits on high overleverage. That is where the key difference comes between a secured lender and unsecured lender. As I said in my opening remarks, you see quite a bit of write -downs happ

enin g from microfinance
and personal lo an lenders for last 3 quarters.

If you see Five -Star, we have not written down any number this quarter. But when a loan is getting written down, especially unsecured loan getting written down and the collection people stop approaching the customers, the secured lenders keep approaching t he borrowers always. So earlier, if there was 2, 3 lenders focusing on collections from our customers, today, it will be only the secured lenders, who will be focusing the collections on the same customers. Good thing to remember is that our economy is doing well, and we see t he cash flow is not dropped at any of the middle and lower middle class people, especially who is related to real estate segment, carpenters, plumbers and all. So the cash flows are there. So now the customers will start paying the EMIs to the secured len der, where I said Five -Star will be one among them to see the collections getting uptick.

So to add to that, now we have added more collections people at the ground level. To be more specific, in last quarter alone, close to 200 collection officers have been put in place wherever we see pains, both at the branch level and even at the state leve l. So this will augur well for our outlook, saying that the improvement will come from next quarters onwards.

On the South based, let me not mention any of the names that what you have referred. From a Five-Star perspective, yes, we got a hit in Karnataka, but that was purely based on ordinance, which was put in place from Jan, and it got spurted out in the March, April, May due to the local politicians, police and financially illiterate customers. But even in Karnataka, I can give you the good numbers. comparing it April to June, you see a 3% to 4% uptick in collections metric in this month.

So that gives us the confidence slowly the ordinance are getting resolved and the registered lenders and secured lenders for -- like Five -Star will be in a very good position in coming months. Other than that, we see some kind of strain or stress in Andhra to be a little specific. But leaving that Telangana and Tamil Nadu in a very, very strong wicket.

Mahrukh: Got it. And just in terms of credit cost, in the second quarter, they stay elevated, but they'll stay similar or there's a possibility of higher credit cost?

Srikanth Gopalakrishnan: Mahrukh, the possibility of higher credit cost at this point is not existent. We don't expect the credit cost number to go up in second quarter. It will either come down marginally or probably stay where it is and then start decreasing from the second half of the year. But we don't envisage any increase in credit costs for the second quarter.

Moderator: Our next question is from the line of Renish from ICICI.

Renish: A couple of things. So one is this strategy, right? So you highlighted about we'll be moving towards the INR5 lakh to INR10 lakh ticket size and obviously, we'll continue to focus on INR3 lakh to INR5 lakh. But just wanted to understand what kind of a NIM yield impact do you see due to incrementally higher disbursement in high ticket?

I don't know whether this will be for, let's say, short term or structurally, we'll be moving towards that ticket size. And obviously, that ticket size currently is highly competitive with a lot of

affordable housing guys are doing the product, especially in South. So where do you see NIM yield settling with this revised strategy on the ticket size?

Lakshmipathy D : Yes. See, first of all, INR5 lakhs to INR10 lakhs segment is not new for Five -Star. If you break up the Five -Star's portfolio, close to 15% of our existing customers are INR5 lakhs to INR10 lakhs. In fact, it is a little more if you take above INR10 lakhs also. So this is not a new segment

that we are entering into. We are already participating in a good way. What we are trying to say is the less than INR3 lakh segment will be slowly run down.

And to the extent, the INR5 lakh to INR10 lakh segment will be focused. Suppose INR1 lakh to INR3 lakhs segment is close to 30% as you speak, we are intending to bring it down to 25% in this March that 5% incremental growth will come from INR5 lakhs to INR10 lakhs.

But let me be very clear, our main focus will be between INR3 lakhs to INR5 lakhs. That's our sweet spot. So we are not seeing any competition in pricing in INR5 lakhs to INR10 lakhs, because as you mentioned, the people are most interested in above INR10 lakh segment, even average of INR10 lakh segment. So I don't think there is much competition here. We are an existing player in this segment. And we will see that slowly we are inching up close to 20%, 25% of our portfolio in INR5 lakhs to INR10 lakhs seg ment.

Srikanth Gopalakrishnan: Just wanted to add a couple of points. See one is when we are talking about INR5 lakhs to INR10 lakhs, we will be more closer to INR5 lakhs than to INR10 lakhs. So it is not like a segment where we are going to tread on the feet of the others. It is still a segment that is not focused by many of the players. The second, our confidence also comes from the fact that we had dropped the rates by 200 basis points.

So to that extent, there is more competitiveness in Five -Star today to reach out to this segment and meet their demand. So we really don't see the need for any significant drop in yields to cater to this segment, which will have an impact on NIM. So I think with our current yields, we should be able to improve this INR5 lakhs to INR10 lakhs. So you will not see any kind of a NIM impact.

Renish: Got it. Got it. But if you can share the yield difference between these two ticket size would be helpful.

Srikanth Gopalakrishnan: So Renish, today, it is not on the basis of ticket size. It is on the basis of whether the customer has a higher credit score, whether the customer is taking the loan for business purpose, which will make him qualify as a priority sector asset for a bank l ending. So for that purpose, we give a 1% or a 2% subsidy. Now our belief is people who are taking a higher ticket loan will be a lot more prone towards that. Like they may have a little more registrations. They may be more easier to onboard for Udyam Assi st registration. So inherently, they will get a little better rate compared to a, let's say, a sub INR3 lakh customer.

Renish: Yes, yes. I mean that's what the whole point is, right? As we move to risk -based pricing, naturally, the inherent of this customer profile will be better than, let's say INR1 lakh to INR3 lakh or INR1 lakh to INR5 lakh ticket size. So will we be actually capture this risk change. And hence, there will be impact of yield. But I understand, I mean, as you rightly said, as of now, it

is not on the ticket size, and we might be offset this with the cost of borrowing benefit. I mean is that a fair assumption?

Srikanth Gopalakrishnan: Yes, Renish. The second is, for now, like Mr. Pathy said, we are probably planning to push this by maybe another 5%. And even if the yield differential is 1% between a priority sector and the nonpriority sector customer, you're not going to see that affect ing the portfolio significantly, maybe 5, 10 basis points on the yield, which may comfortably be able to address it through the cost of funds better.

Renish: Got it. Got it. And just the last thing on this spike in 30 plus DPD. So if you can just take us through the flow forwards from a 30 to 90 plus in a normalized scenario, and how do you see these flow rates behaving in current cycle over the next 3 to 6 mon ths?

Srikanth Gopalakrishnan: Renish, generally, the flow rates from 30 to 90 plus -- 30-plus to 90

-plus is largely arrested. So you will probably see about -- historically, and I'm not taking the last quarter because last quarter has been a bit of an aberration. But if you generally l ook at it, you will probably see about 90%, 95% plus stabilizing in the 31 - to 60 -day bucket. And whatever flows in out of the 61 to 90 -day bucket, we see a D1C1 of somewhere between 90% to 95%.

So you are probably looking at maybe 5% to 10% of loans that you probably slip from a 30 -plus to 90 -plus historically, that flow rates have seen a little bit of an impact in the last quarter or maybe the last couple of quarters, but we are confident that we'll be able to arrest the flows as we go forward and bring our flow rates back to historical levels.

Lakshmipathy D : And Renish, to add a point here, yes, we were talking about the flows. If you see Five -Star's recovery from 90 -plus has gone up very well. You all know that we have set up a legal recovery team. Today, it is more than 100 people, 100 advocates on roll. if I can share the numbers in last financial year, on an average of INR12 crores to INR14 crores were recovered from NPAs. I'm talking about 90 -plus accounts, 90 -plus DPD accounts and written -down accounts. So this year, from June, September, December, March, you will see that moving close to INR18 crores to INR20 crores of recovery every quarter. So you will see close to INR70 crores to INR80 crores of NPAs getting recovered. So that will also add, even though there is some flow from 5% or 8% flow from 30 -plus buckets to 90 -plus.

Renish: Got it. Sir, just a last thing a bit from a clarification side. So we have been talking about setting up or strengthening our collection team in the sense. So where do we stand on that front?

Rangarajan Krishnan: Renish, this is Ranga here. I just wanted to state that the collection team strengthening is clearly happening. Today, what we are doing is we are looking at specific pockets where there is higher collection stress, which is the pockets of both Karnataka and in Andhra Pradesh. In both this, Mr. Pathy has just spelled out that we have added almost 200 collection officers. So this is more on pin codes and branches where we are seeing more collection stress. I think that support is being g iven.

Today, overall, we have close to 2,000 collection officers. So that's a large enough vertical for us to relook at in terms of where we wanted to put collection strength. I think it's largely stable

today. If at all, we see any emerging stress pockets, specific pockets or branches, we will continue to keep adding those. But otherwise, largely, the structure is in place.
Renish: Got it. So this 2,000 office rs are not only for collection. I mean there is no credit sales target for them?
Rangarajan Krishnan: Nothing. These are exclusive collection people today. We have also had a split between they handle what kind of accounts. The collection team today handles all the DPD accounts. So they only handle the arrear accounts. So there is more focus, specialized f ocus given by the collection team, while the business team handles all the collection -- I mean, current accounts only. So for the DPD that we have, this 2,000 is more than adequate, and they have an appropriate supervisory structure a bove them to be monitored.
I think this entire structure was both from a division of accounts and in terms of adequacy of office rs, this got fine -tuned over the last 3, 4 months. Today, we are more or less adequate. I think we should take care of -- we are not seeing any new stress emerging anywhere. So wherever we saw stress, this collection team is already put in place. Hopefully, this should suffice and see us through over the next couple of months.
Moderator: Our next question is from the line of Nischint Chawathe from Kotak.
Nischint Chawathe: Karnataka is

just around 6% of the business. So if you could spell out in terms of how much of the incremental stress during the quarter came from Karnataka? Was it anything meaningful?
Srikanth Gopalakrishnan: The NPA, Nischint, in Karnataka did go up. So there was an increase in the NPA number. But the point is given that Karnataka is only about 5% to 6% of our portfolio, it's not a very significant number. So the incremental addition to the NPAs would have bee n more like INR15 crores, INR20 crores from Karnataka, because the proportion of portfolio is much lower there.
We also saw some bit of an impact on the Andhra Pradesh portfolio, especially on the smaller ticket sizes, where we did see some bit of an impact on the NPA number. And given that that's a much larger portfolio, so it's a combination of 2, but I would say in absolute quantum, Andhra Pradesh costs are a little more stressed given its sizable proportion rather than Karnataka.
Nischint Chawathe: We had done a scrub, I think, a couple of quarters back, where we did highlight that the overlap with microfinance customers was not very large and the exposure to stressed customers, again, over there or overleveraged microfinance customers was in single digits. So I was just curious what has really changed? Have people taken loans since then or the same kind of borrowers have defaulted? Or do you see the borrower set who is kind of under stress being completely different this time aroun d?
Srikanth Gopalakrishnan: Nischint, one thing that came, and we did last in December, and we have actually done a scrub now. What we are seeing is the overlap has actually gone up, not just with microfinance, but even at an overall level, what used to be about close to 15% for us i n December has actually crossed 20% levels. I think we are somewhere between 20% to 25% of overleveraged customers on the book.

Microfinance -- consequently, microfinance has also gone up. So what used to be about 30 -odd percent of microfinance. In some states, it has gone up much higher. In some states, it has gone up. I think what we've also seen is, especially in states like Andhra and Telangana, where for almost 1.5 decades, microfinance were not there. We did see the entry of microfinance back maybe in the last year or so. And there has been a little more possibly hi gher quantum lending by microfinance in those states, which h as caused some stress in those pockets as well.
But from a behavior of the over -leveraged customers, we are not seeing too much of a stress in the higher ticket segments, like INR3-plus lakh segments. We are not seeing the over -leveraged customers either defaulting with other institutions also and definitely not defaulting much with us. Where we are seeing the stress is in the lower ticket customers and more so in the overleveraged segment within -- overleveraged customers within that segment.
Nischint Chawathe: Sure. And just if you could share some thoughts in terms of how the -- how kind of things move forward after Ranga's exit. Obviously, it's played a very meaningful role. And I think as a team, you have done very well. So how do you kind of plan to plug tha t? And how do you kind of arrest any further exit of employees?
Lakshmipathy D : I can assure you there is no further exit of management team or employees will happen because of Ranga's exit. because, as I said, he has been with me for the last 10 years. And purely to take up the entrepreneur activity, which I said in the opening remar ks, he was discussing with me for last some time. So I thought this time I should really encourage that. So I encouraged it. And at the appropriate time, we spoke to the Board, and so we are bringing it in the June quarter.
Having said that, Ranga reports to me. So I'm always an operational guy in the last 22 years of my work in Five -Star. So it is one more ad

ded few states to me. But at business and collections,
I can name there are 3 strong management people, Vishnuram, who 's the COO and Sathya, who's the CBO and Murali, who is the Head of Business, is already there in the system.
So along with them, I'll be the fourth person to take care of business and collection alone. So with this strength, you can see that there's no -- nothing gets affected and business will be as usual for Five -Star. And as I said, other departments like cred it, IT, you can see from our management team, there are already chiefs and deputies there. So we don't see any issues because of this exit.
Nischint Chawathe: Got it. And just on the incremental cost of funds, going back to Srikanth, do you think this 8.6% -- I mean, it's a very sudden drop. Do you think it is kind of a function of the mix? Is it sustainable? Or where do you see this going?
Srikanth Gopalakrishnan: So the thought, Nischint, is that will it stay at 8.60%? We don't think so because we have borrowed a little lesser this quarter, and we have only taken from banks. Having said that, we would want to continue the diversification and not lose the benefits t hat we derived in the last year. When we go there, I think the cost would be a little higher.
But our guess is, I think it is definitely not going to go beyond the level. So 8.60% may read more like an 8.75% levels for the full year. But I think we should be able to manage at 8.75%

for the full year. At this point, I don't really see why it should cross 8.75% on the incremental borrowings.
Nischint Chawathe: Got it. And best wishes to Ranga for his future endeavors.
Moderator: Our next question is from the line of Parag Jariwala from White Oak.
Parag Jariwala: One question is if you can just elaborate that in 1Q, let's say, April, May, June, how has been the collections and any DPD movement has taken place, if you can? Just to know that whether the pain was more in the month of April, May or it was more in the m onth of June. That is one question.
Secondly, one question is that how are you approaching the DPD customers currently? I mean, are you started now proper recovery in the sense that giving notices and possessing the property? Or are you still willing to give 1 or 2 installment time and then proceed with the harsh recovery, if you may call it? So yes, these are my two questions.
Lakshmipathy D : Yes. Yes, Parag, let me go one by one. I think first from the performance of last quarter, April, May and June, more or less, all the 3 months were reacting a little lower comparing to our standards of collections. So there's no much difference between Apr il was good or June was good. All 3 months was not good as per our standards.
But July onwards, since I shared my numbers, I mean, my performance with you, July looks really impressive. If this impressiveness continues in August and September, you will see much stronger stabilization in the Q2, and that will also seed us to better c ollections in Q3 and Q4, as I stated earlier.
On the second point, DPDs focus, when Ranga answered a question, we were very clear that now the accounts, both current customers who have no DPD and the customers who have DPD is being segregated and the customers who have no DPDs has been handled by the business team. So they are much softer customers, much easier to handle and mostly, they will get the EMIs cleared by themselves. So that leads to only DPD customers. The entire DPD customers or what we call arrear customers are handled by the entire coll ection team.
The 2,000 officers and more officers to join in this quarter, along with the supervisory layer, now they are starting to focus only on the DPD customers from April onwards. So you -- we would have -- we have seen a good improvement in this quarter beginnin g onwards. So that's where we have changed our

approach.
The team that was handling both the current and arrear was now being split. The current is now handled by business team who are sourcing the files and the entire arrears has been handled by the collection specialist, who will focus and follow up with the c ustomers more so that your EMIs are recovered on time.
Moderator: Our next question is from the line of Vikas Mistry from Moonshot Ventures.

Vikas Mistry: Sir, just harping on the same point of collection efficiency, can you quantitatively define that what has been the collection efficiency in August?
Lakshmipathy D : Can you come back?
Vikas Mistry: Yes. Just on collection efficiency, as you say that this data in December, again, the overlap is

higher, and we continue to see collection efficiency dipping, but what gives you so much
confidence that we will not be having higher credit cost? And can you give me quantitative
figures on August collection efficiency numbers?
Srikanth Gopalakrishnan: So see, this -- it's still there are 3 more days to go, and you will have some good amount of collection efficiencies coming in the last 3 days. So at this point, like Mr. Pathy said, compared to the first month of last quarter, we are better off, but I do n't think we'll be able to give any specific numbers at this point.
Vikas Mistry: Like we can connect after month end.
Srikanth Gopalakrishnan: After the month end, we can see if we can give some information to the entire public. Let's see. I don't know how we -- generally, we don't have a practice of publishing information to specific -- on a month -end basis or on the performance of the month. Bu t let's see if we can do something. But what we are seeing is the trend is definitely improving compared to the first month of last quarter, it's looking better.
Vikas Mistry: Thanks, on the Disclosure, if you could be able to give. And second is that on overleverage. So how can you quantitatively define how much that tightening of new loan generation we have done? Let's suppose earlier we were giving loans to the customers which are having ma ybe 2 loans? And what is the condition right now to address this overleverage prices not happen in future?
Srikanth Gopalakrishnan: See, Vikas, prior to the sanction of a loan, we always had a very stringent underwriting mechanism. As we discussed, we take all the obligations of the customer. And after knocking the obligations from the incomes, we only go for a 50% debt burden ratio. S o our underwriting was quite stringent. The problem is once you have given the loan, there is no way that you can protect the customer or stop the customer from not overleveraging himself. And given the profile of our customers who are not very financially literate or savvy, when liquidity is available, they will go and overleverage themselves.
So that was the problem that we saw, which is where in his opening remarks, Mr. Pathy addressed this. Today, we are moving away from this profile of customers. We are getting to a little more higher quality profile of customers, whose financial understandi ng is a lot better and who will not overleverage themselves for frivolous reasons even when liquidity is available.
So the question is not about how many lenders have given to them before we sanctioned the loan. That was always under our watch. The problem was how many lenders gave money to that particular customer after they have sanctioned the loan. Moving to a differ ent profile of customers, we believe that, that will get addressed. And obviously, the guardrails that

microfinance have put in should also ensure that the overleverage problem does not drop up again.
Rangarajan Krishnan : One point to add here, Vikas, is if you can look at the number of office rs that we have and the number of

branches that we have, both have significantly gone up. But despite that, if you look at the disbursements, it's more or less flat. That only shows you that even though the sourcing is -- volume is high, we are that much mo re choosy in terms of whom to give and whom not to give at this point of time, which means the rejections in credit level has gone up. So it's a tightening right at the sourcing level in terms of at least potential customers who we think might get overleveraged in the future. Those are trying to get arrested right at the sourcing stage.
Moderator: Our next question is from the line of [Subhanu Bangal from Tree Head Capital
Subhanu Bangal : My question on cost -to-income ratio. This quarter, cost income has almost significantly gone up. How -- what is the guidance going to follow up?
Srikanth Gopalakrishnan: Subhanu, so like we said, the cost to income has gone up primarily because of credit costs going up. So if you break up the 41%, I think it's broadly 33% cost to income and about 8% of credit cost to income. So that 33% will be largely range bound.
We should probably see somewhere around 30% to 32% of cost coming in because this quarter also has the increment impact, right? You have not seen incomes fully coming in, but the cost starts hitting from day 1. The credit cost should also normalize because we have taken a good amount of provisions. So our belief is the cost to income should stay somewhere around 35% to 37% at least for this year.
Subhanu Bangal : From H2?
Srikanth Gopalakrishnan: From H2, that's right.
Subhanu Bangal : Yes. My second question on AP. First is AP collection efficiency improved from the June quarter? In July?
Srikanth Gopalakrishnan: For July? Yes.
Subhanu Bangal: Yes, yes.
Srikanth Gopalakrishnan: So Subhanu, like I said, July is still not over. We still have 3 more days to go, and there are quite

a good amount of collections that generally happen in the last 3 days. So at this point, even AP is looking better compared to April, which is the first m onth of last quarter. We don't have -- we'll probably be able to give you the final data only after the month is over.

Moderator: Our next question is from the line of Karthik Srinivas: from Unifi Mutual Funds.

Karthik Srinivas: I just had two questions. One, on the attrition rate at the loan officer level, what would be the ballpark attrition rate at the loan officer level and the borrower count per loan officer, has it gone up or down after we have seen some amount of stress building up? So t hat's question number one.

And question number two, just taking cue on the remarks that you have had on underwriting practices. I just had -- see, we submit -- how often do we submit the loan details to CIBIL or TransUnion so that the problem of overleverage is arrested at the house hold level. So how often do we submit the data to them?

Srikanth Gopalakrishnan: Karthik, on your first question, we have not seen any significant spurt in attrition over the last, let's say, 3, 4 quarters. It is slightly on the higher side. As we have said, especially if you look at the officer level, the business and collections, thi s number on a quarterly basis is anywhere around 17% to 18%, which means you're talking about 65% to 70% of attritions happening at the officers on an annualized basis.

That number has broadly remained the same. You will probably see 0.5% move this way, that way. Most of these comes from people who have stayed with us less than 1 year. So if the officers continue for more than 1 year, the attrition is significantly lower there. It may even drop to as low as about 20%, 25%. So nothing very peculiar to what has happened in this quarter is reflecting in attrition.

On your second question, today, we submit data to the bureau on a fortnightly basis. So which is something that we are man

dated to do. And we always are very high on compliance. So we submit the data to the bureaus on a fortnightly basis.

Karthik Srinivas: Got it. Because since the MFI companies that we often speak to submit on a monthly basis, so how do we ensure that at the time of -- or during the course of the loan, the indebtedness at the household level is monitored. So do we take any extra steps? I un derstand that once we loan it to them, we can't do much about it. But do we have -- have we put in additional guardrails as to how we manage the indebtedness at the household level on an ongoing basis, maybe in our collection efforts?

Srikanth Gopalakrishnan: There is a regulatory necessity for even MFIs to submit data on a fortnightly basis. So this has come in, if I remember right, maybe in the last about 6 months or so. So today, every institution has to submit data to the bureau on a fortnightly basis. So i t is not the earlier practice of where people submit on a monthly basis. So at best, you are probably taking a risk for 15 days and not beyond that.

Moderator: Our next question is from the line of Raghav from Ambit Capital.

Raghav : I have three questions. So one is just a clarification question that your credit cost guidance of 1.3%, that's on total assets, right, not on gross loans. Gross loans, it would be more like 1.6%, 1.7%.

Srikanth Gopalakrishnan: Our ratios are on total assets, average total assets.

Raghav : Understood. Secondly, see, how are you thinking about recoveries? I asked this because in this quarter, you haven't written off any loans like you mentioned. And if I look at the trend for the last couple of quarters, there have been some write -offs. And a lso in one of the previous calls, I think you had mentioned that there was some pressure on customer cash flows, if I remember it

correctly. Today, you seem to sound a lot more positive on that aspect. So is your assessment that the customer incomes are getting better and will get better and that will help in repayments?

Lakshmipathy D : Raghav, let me answer this question. I think the customers' cash flows are not better, but it is staying on where it is. My answer was always there was no dent in the cash flows. Is the cash flows are getting better? No, I've not told that the cash flows a re getting better. There is no dent in the cash flows. The bigger problems is not on the cash flows. The bigger problems is the overleverage in the EMI capability of that family or that person has caused the confusion in the minds of the customers whom to pay, whom not to pay.

So that is where you saw all secured, all unsecured MFI getting disturbed 3, 4 quarters before, and it pain still continues. I just saw 4, 5 days back, MFI's results, one gold standard MFI results,

which still shows 8.8% of credit cost even in the month of June. So that clearly shows the pain points in MFI still continues.
So now the customers will realize and has to realize that he has to pay it promptly to the secured lenders. So now the time has come for him to differentiate between the unsecured and secured lenders, which he was clubbing for last few months.
Since the collection efforts for the unsecured guys will come down substantially because you all know that if one EMI has gone, the loan has gone for unsecured. So our collections efforts will continue even in a DPD bucket. So that is the confidence which is showing up in July and showing up in my commentary that coming months, our collections will be better than last quarter.
Raghav : That I understand this is that the customer cash flows are where they were before, but there is also a higher percentage of overleverage customers or overlap with MFI. But you think that, that will not result in incremental stress in the coming quarters at best or worst case, the stress will stay at this level and probably come dow

n in the second half. Is that how you...
Lakshmipathy D : Yes, Raghav, that is our belief. That is what I said, what is happening in July month and what is happening from the data is what I see, there is a substantial write -off from these lenders. That means the customers' technical overleverage is slowly coming down. So yes, its liability to repay will only lie with the secured lenders. So Five -Star being a secured lender, we will be first to get that EMI in a normal method, what we used to get before this overleverage crisis step. That is our foc us.
Raghav : That's clear. Last question, see, when I look at the net slippage for this quarter, say, as a percentage of disbursement, maybe the disbursements, which would have happened in first quarter of FY '25, that number is at 7% and it has shot up versus what the recent trend was. My only question is, how should one think about NPAs and a static pool of loans in a business like yours?
Srikanth Gopalakrishnan: Raghav, I think this is probably not the representative quarter that you should be considering because obviously, the slippages has been on the higher side. But we are very clearly guiding you that we should be able to control the slippages as we go forwar d. But I think on this, let me

better understand your data. We can connect offline. I'll better understand your data and give you some sense on what kind of slippages you should probably be assuming.
Moderator: Our next question is from the line of Girish Shetty from Girik Capital.
Girish Shetty: Just two questions from my side. One is you mentioned that you had a discussion with Mr. Ranga on the -- on his exit since few months. So any succession plan that you've done in that time? Anything you have in mind internal or external for the CEO position?
And second question is, just wanted to understand your model. So if I look at your loan book, like when it was at INR3,000 crores, INR4,000 crores kind of a level, you had a similar number of employees, like 3,000, 4,000. Now at INR11,000 crores, you have 11,000 employees, obviously, because you do a lot of focus on collections.
So just wanted to understand when your AUM reaches INR25,000 crores, INR40,000 crores, INR50,000 crores kind of level, would you be needing the same number of employees? So just wanted to understand on the scalability part of the business. Yes, those are my two questions.
Lakshmipathy D : Yes, I'll go one by one. On the first part on Ranga, clearly, now the focus for me and the management team will be getting back the business collection and quality for our Five -Star standards as quick as possible. So that is our first intent, and that is w here our entire focus is going to be.
As I said in earlier question, the depth of management team in each department, especially business and collection department, as I said, along with me, there are three management people who are heading at Chief and head levels will be functioning with me for -- to ensure that growth collections are back on track. That is the first and the top priority that I've taken now.
Yes, the succession will be -- has been discussed in yesterday's Board, and we will take it to the Board at an appropriate level, appropriate time. But I can surely tell you that next 9 months, the focus in my mind will be only on the operational side, not on the succession side. But maybe at the end of March, I can give you a more clarity on the need and appropriate time that what Five - Star needs for a CEO role. So till that point, I'll be the complete in charge of operations. That is what Board intend to do, and that is what I'm intending to do.
On the second question, yes, you're right , for some years as the growth momentum was kicking in for Five -Star, the average employee to AUM was around INR1 crore, but our historical numbers goes up to INR1.25 crores pe

r employee. That is what we have been saying always. At
a steady level, maybe INR30,000 crores, INR50,000 crores, you will not see the same INR1
crore per employee. Maybe you'll be seeing INR1.25 crores per employee, and that also augurs
well when we are moving up the ticket size.
Moderator: Our next question is from the line of Pranav Gupta from Aionios Alpha Managers. Your voice
is a bit low. Can you please...
Pranav Gupta: Sir, the first question is on the DPD movement and the trends that we've seen this quarter. Based
on the collections that we've seen in July, how do you think about the D1C1 collection efficiency

and flow forward from 0 DPD? Has that stabilized? Will we probably see another couple of
quarters of further downward movement before it stabilizes? How should one think of that?
Broadly talking on the D1C1 bucket?
Lakshmipathy D : Yes, Pranav, I think for this quarter, you will see much stabilization coming into the picture.
You will not see much of improvements in DPDs. But as we step into second half, December
and March quarter, the growth kicks in. Growth also brings in a good am ount of current
customers to the current bucket denominator effect.
And you see the collection efficiency and D1C1 are going up in December and March quarter,
you will see the improvements coming from December and March. This quarter, as I said in my
earlier opening remarks, you will see a much stronger stabilization at th e quarter end.
Pranav Gupta: Right, right. And just a follow -up on this. You mentioned one could see much higher recoveries
coming in from the NPA bucket. Is it safe to also assume that given that we've put in a lot more
people in collections on the DPD buckets, you'll see pullbacks c oming in from this quarter or
maybe that is something that we sort of start expecting from next quarter onwards?
Lakshmipathy D : See, pullbacks currently, we are not committing anything on pullbacks. But currently, what we
are committing is a stabilization of customers in their respective buckets. I think that is the first
and foremost effort that we will put in. Of course, there wi ll be a few customers who will be
coming back to the better buckets.
What I mentioned earlier on that good amount of recovery coming in, I was mentioning about
legal recovery. That is you recover your money from the deep delinquent customers, 90 -plus
customers and written down customers, that will see close to INR70 crores to INR80 crores
getting recovered in this financial year is what I mentioned.
Pranav Gupta: No, absolutely. That's very clear. The second question is on the opex bit. Obviously, this quarter,
we saw the cost ratios inch up a little bit purely because of business being slightly on the slower
side. But over a 2 -, 3-year perspective, how should one think about cost to average AUM or cost
to average assets incrementall y?
Srikanth Gopalakrishnan: Pranav, you're talking about opex or credit cost?
Pranav Gupta: Opex . We saw that inch up a little bit purely because of slower disbursements. But on a more
medium -term basis, how should one think about cost to average assets?
Srikanth Gopalakrishnan: We are not changing our guidance on any of them. The only guidance we are changing is on
credit cost to average assets, which we used to talk about closer to 100 basis points, 75 to 100.
That number, we are pushing it to 1.2%. Other than that, the guidance that we gave on the opex ,
which will probably be about 5% -- at 5% levels, continues to hold good. No changes to our
guidance on that.
Moderator: Our next question is from the line of Shrinjana Mittal from MS Capital.

Shrinjana Mittal: Just one question. Internally, we track an asset quality metric call early mortality account. So is
it possible for you to share like what

was that number for this quarter versus same quarter last
year and last quarter?
Srikanth Gopalakrishnan: No, are you talking about quick mortality?
Shrinjana Mittal: Yes, quick mortality, yes.
Srikanth Gopalakrishnan: See, that number will be very small, yes. See, the number has gone up. So in percentage terms,
that number will be extremely low. But in terms of the number of accounts, yes, there has been
an inch up what used to be maybe 75 to 100 accounts has actually g one closer to 150, 160
accounts for this quarter.
So this is basically whatever has turned NPA during this quarter and disbursed in the last 12
months. So that number has inched up a little bit. But I think in percentage terms, if you look at
it, it will not be very, very meaningful.
Shrinjana Mittal: Yes. Got it. And this stress is coming from the same set of customers, which we earlier spoke

about?
Srikanth Gopalakrishnan: Yes.
Moderator: Our next question is from the line of Rakesh Kumar from Valentis Advisors.
Rakesh Kumar: So sir, just on this overleveraging part, like as a preemptive measure, like how soon do we get the understanding that the borrower whom we have lent is now overleveraged, because as you said that you get the CIBIL filing is happening around 15 days' time. So how soon do we get that information that the borrower is overleveraged now?
Srikanth Gopalakrishnan: Rakesh, we can get it whenever we want because the credit bureaus today have a scrub that they can give us on -- any time we want. But generally, doing this, it has its cost implications also. So we do it at best once in quarter, but there are times when w e probably do it once in half a year. But in a time when we are facing some level of stress, I think we can get to know of this within the next quarter.
Rakesh Kumar: Yes. So I don't know, like you will -- as a practitioner, you will know better that should we increase the frequency of the same or not subject to the cost involvement issue? And secondly, after having known that, like how soon we can wind up our positions or maybe increase the security level of the assets from the borrower?
Rangarajan Krishnan : Rakesh, that's not possible because you have given out a loan based on a specific collateral. So if the borrower happens to overleverage, especially post the loan that you have given, there are only 2 things that we can do. One, I think we can try to get t o know that information as soon as possible. Second, we can have a close monitoring of that account and increase our collection efforts.
But we cannot recall the loan or we cannot increase the security cover that we have, because the borrower is not giving you an additional collateral to make you more comfortable. So that's not

a practical option. But the practical option is more how do you avoid such customers in future and how do you increase the monitoring level for this customer who has gone a little bit overlevered.
Moderator: Our next question is from the line of Divyansh Gupta from Latent PMS.
Divyansh Gupta: So the first question was that, see, the MFI stress that was going on was something as a known factor. And we know that typically people will default on the unsecured first and then finally, they will stop paying the secured loans, right? So the question i s that was this quarter's number was much worse than what we had anticipated because we would have seen all the cycles in the past, right?
So I just wanted to get a sense, was it a bigger surprise than what we would have estimated? And how should we understand that how much pain is more or less because people are saying at least on a recognition basis, it is at least Q2 should also be affecte d by at least one MFI players?
Lakshmipathy D : So you're right that this came in a bit surprise. Otherwise, I would have guided in March quarter itself that this

is coming up. If you see December to March, our credit cost has -- our NPAs were only gone up 10, 15 bps, which is normal, right? Only in thi s quarter, you see the NPAs shooting up. So this was a little bit of surprise to us.
But when we did a study in April, May and June and found out the cause of the pain, that's what I started my commentary saying that what is the cause of this pain, where this pain is coming from. And based on that, what are the remedies that Five -Star has taken from June, July month onwards.
So it was a surprise for us, a bit of surprise. But also, I'm confident because finally, MFIN guardrails are put in place, personal loans and fintechs are wiped out. So this gives us confidence that no more overleverage will be created for a time being per iod at least to the customers of Five-Star.
And we are also moving away from the low segment, financially illiterate people. So this would all put a clear fencing that going forward, our asset quality will be much better. So yes, it was a surprise, a bit of surprise in the June quarter.
Divyansh Gupta: Got it. And the second question associated with, let's say, the asset quality only. Is that ex of Karnataka and Andhra Pradesh? Is the asset quality -- can you just provide a sense on the asset quality ex of Karnataka and AP? And the associated question is that Karnataka, I understand there was the whole ordinance issue, which caused confusion. Any reason why AP specifically has escalated with respect to asset quality?
Lakshmipathy D : Yes. I think let Srikanth get that data if he has right now. So till that, I will explain about that Karnataka and Andhra. Karnataka, as you rightly say, it's the ordinance impact, which started in Jan and which is slowly coming down. As we see this month, we are quite 2%, 3% better than where we are in April month collections. So slowly, I think Karnataka is bouncing back in collections first. Business, we are not looking to grow in Karnataka at least for next 2, 3 months.

We'll see how the collections trend is stabilizing there. Based on that, our business call will be taken in that state.
In Andhra, there is no ordinance that took place, but the below INR3 lakh segment was much larger there. So -- and we were gone to some riskier localities, colonies and minority communities where people got confused and got impacted due to unsecured lenders, not paying to unsecured lenders. So they're showing a similar tr end to a secured lenders. Hopefully, this month, people will realize and come back on paying their EMIs a bit regularly. That is our hope. So that is where there was a stress in Andhra in last quarter.
Divyansh Gupta: Got it. And does that then mean that on an ongoing basis for future, we are going to avoid these, let's say, high riskier place? One question.
Lakshmipathy D : Yes, I said in the opening remarks itself, we'll be avoiding INR1 lakh to INR3 lakhs segment where the risk is higher at current period of time. I will not say always, but at current period of time, the INR1 lakh to INR3 lakh segment is avoidable by Five -Star, and we are moving that whatever dip you see in that segment will be added in INR5 lakhs to INR10 lakhs segment.
Divyansh Gupta: Got it. And on the CIBIL check, do we do -- while we do -- we will do CIBIL check for the people that are getting in -- with whom we are getting in the loan agreement with. We also do a CIBIL check of all the family members is a fair assumption, right?
Lakshmipathy D : Of course, as Five -Star business model always we see -- we say that we lend to a family rather than to an individual. If you see Five -Star each agreement, you will at least see 3 to 4 co - applicants along with the applicant. So the entire earning family mem bers will be taken into agreement. And for the entire people, the CIBIL Highmark credit bureau checks will be done.

Divyansh Gupta: Understood. And just the last question, while I'm assuming the data is getting accumulated or processed, is it fair to assume that given, let's say, the situation of NPAs and, let's say, the leadership transition, housing launch is delayed? Or are we still looking to launch something in housing within this year?
Lakshmipathy D : Nothing is getting delayed here. The planning is quite active. So let me give you some input in the next earnings call.
Divyansh Gupta: Sure.
Srikanth Gopalakrishnan: So Divyansh, on the data, if you ask Tamil Nadu and Telangana, like I think I mentioned earlier itself, they are doing much better than the company average. Tamil Nadu's NPA is sub -1.5%. And Telangana's NPA is at about a little over 2%. So both of these ar e below the numbers for the company. Rest of the country is slightly worse, but not unduly worried there because the proportion is small, and there have been some legacy issues because of which the NPA is looking a little higher. B ut the two big states of Tamil Nadu and Telangana are performing very well.
Moderator: Our next question is from the line of Darshan Deora from Indvest Group.

Darshan Deora: My first question was on the LGD or the loss given default. So given the loan book is 100% secured and back to mostly with SORP, what has been the company's actual experience in terms of the loss given default?
Srikanth Gopalakrishnan: In seasoned portfolios, we typically see a loss given default of anywhere around 15% to 20%. But this is also not on account of the principal that the company loses because the loss given default computations also assumes the time value, which means the ac crued interest will also need to be taken into account. So primarily, we lose money only on the interest component. But if you look at -- I think this is the data that we used to give till about 4 quarters back. On loans which were NPAs at the time of settlement, not every NPAs, that number will even be a lot better. But at the time of settlement also, if a loan is an N PA, on an average, we recover somewhere around 18% to 20% of IRR on those loans. So the company has not really lost principal on any of its assets, but some bit of IRR compromise is what we end up doing.
Darshan Deora: So just to understand, if I were to look at, like, say, the operating history of the company or the history of the company since it began, the actual principal write -off would be negligible?
Srikanth Gopalakrishnan: Negligible. So generally, we guide for a credit loss of anywhere around 25 to 50 basis points, but that is all it is.
Darshan Deora: Got it. Got it. And just to understand this distinction that you have made in terms of the officers where now the officers who are looking out to origination are only looking at DPD -- sorry, at regular collection and you have sort of this separate team of 2,000 people who are handling the DPD cases. This -- the existing team has been segregated into these 2 separate teams or these 2,000 people have been taken hired or this team has been picked up laterally by hiring people

laterally from the market?
Rangarajan Krishnan : So Darshan, of this 2,000, we already had a team of close to 1,500, 1,600 over the last few quarters. We have only added the rest of it as part of the ongoing efforts in terms of giving specific support on wherever we see the stress pockets.
But I think what is new is not the -- it's more than -- it's not about the team, but it's about the account segregation between the teams, which have happened over the last 1 quarter. So earlier, what used to happen is we used to divide the segregation of accounts between the 2 teams more by vintage.
The business team used to handle accounts of less than 24 months and the collection team used to handle accounts of greater than 24 months, irrespective of the bucke

ts. But what we have put forth now is the business team will handle current accounts, curre nt buckets and the collection teams will handle DPD buckets.
So that's the split which has happened over the last about a quarter or so. More to give emphasis on the fact that DPD customers require special efforts and special attention to ensure that they are not going forward flows and sort of arresting and getting them back on track.

Darshan Deora: Got it. By the time of going IPO, the officer was in charge of -- the same officer was in charge of origination and collection. So there has been that sort of tweaking of the business model over the last 4 quarters.
Rangarajan Krishnan : Yes, correct.
Darshan Deora: Got it. And good luck, Ranga with your future entrepreneur initiatives.
Moderator: Our next question is from the line of Aditya Das , an Individual Investor .
Aditya Das : So I had a bit of a longer -term bigger picture question. So I understand 1 or 2 quarters we have increase in credit cost because of the issues in Karnataka . But over the longer term, 3, 5 years from now, I just wanted to understand how do we see the business? What is structurally the ROAs or NIM and ROEs that we expect out of this business? And like what is the sustainable credit cost that you can expect on a longer -term basis?
Srikanth Gopalakrishnan: Aditya. So I think whatever guidances that we have given to you in the past, and Mr. Pathy alluded to this also is for the medium term. So for now, I think given the situation that we are in, it's a little difficult for us to give you a very long -term guid ance. But probably for the next 3 years, we intend to grow at a CAGR of 25% on the loan book.
We will definitely see profit growing at 15% to 18%. This year may be a little muted because last year, we dropped our rates, so which is why we were guiding for a 12% to 15% for this year, but that number will pick up over time.
ROAs will certainly drop because we will keep continuing to increase the leverage. So if you look at the next 3 -year kind of a picture, we should probably be operating anywhere around 7 -ish kind of an ROA. And assume if you are able to get to a 2x, 2.5x ki nd of leverage, we should -- rather, I would say, debt equity, maybe a 2x debt equity, which means close to a 3x kind of a leverage, we should be looking at anywhere around 18% to 20% of ROE for the next 3 -year horizon.
The only change that we have made is our guidance on the credit cost, which we used to talk about 80 to 100 basis points. We are pushing that number to about 1.2% because there could be some macro level issues that keep cropping up now and then.
And for us to operate at a tight credit cost of 80 to 100 basis points, especially when we are becoming a lot bigger, we'll probably, let's say, a INR20,000 crores, INR25,000 crore portfolio by then, would mean it will be quite a bit of a stretch. So we are pushing our credit cost guidance to about 1.2%. Other than that, none of the other guidance has changed. Whatever we have been giving in the past continues to hold go od.
Aditya Das: Okay. Just one additional question here. So if ideally we are moving the portfolio under INR3 lakhs to more like INR5 lakhs to INR10 lakhs segment, should not the credit cost be -- like the credit cost guidance should ideally remain the same or come down because those segments should ideally have better quality customers even on a longer -term basis?

Srikanth Gopalakrishnan: We are not planning to move the whole stock there, right? So maybe you'll probably see 5% being moved year -on-year. So which can have a benefit on the credit cost, but will it be significant or material? I think we'll probably take a look as we go forward and then maybe need be look at the guidance at a

little later point of time.
Today, we would like to be a little more conservative on our guidance given what we have seen over the last few quarters and which is where we are guiding you for 1.2%. If at all, you may probably see some positive surprises going forward. But yes, at this point, we would like to continue with our guidance of 1.2%.
Aditya Das: Got it. And just if I could squeeze in one more question. Again, it's a little bigger picture. How -- like what do you see the opportunity size in this segment that you're really catering for now if you kind of move 5% to 10% of your portfolio to INR5 lakhs to INR10 lakhs. So what is the opportunity on a longer -term basis that you see this INR5 lakh to INR10 lakh and INR3 lakh to INR10 lakh segments? And how big can our loan portfolio really be considering all of this?
Srikanth Gopalakrishnan: You would have seen in our DRHP and a few other DRHPs that came post that, where the opportunity for this segment is quite high, and this is coming from the industry report that CRISIL has been doing. We also had some IFC follow -on studies on their origina l 2018 report. The opportunity size is very high.
Some people talk about INR22 trillion. You talk about -- I think it's a few lakh crores. So I don't think the constraint is going to come in terms of the opportunity size. As we said, we intend to grow at least at a CAGR of 25%, so which means you can work out the numbers. We ended with close to INR12,000 crores last year. So that means we'll probably be at about a little over INR15,000 crores for this year. And from there, we just have to bake in.
So our intent is, just because the opportunity is large, we don't want to grow in a very aggressive manner. We want to have a growth combined with the right quality of assets that we onboard, which we believe at around 25% levels, we should be able to achi eve. So that's what we will be targeting. The market is never going to be a constraint for this 25% growth. If need be, we can grow higher, but we would like to have the quality growth.
Moderator: Ladies and gentlemen, this was the last question for today, and I now hand the conference over to the management for closing comments. Over to you, sir.
Lakshmipathy D : Yes. Thank you all for patiently listening and questioning us on the clarity about last quarter's performance. Hope you have given the clarity. As I said in the opening remarks, this is one of the quarters that you see your company standard coming down a l ittle bit on growth, collections and quality. This quarter will be a stabilization quarter and quarters to come, you'll see back -- get back the growth collections and resulting in good quality. So with that, connecting you on the next earn ings call for the Q2 numbers. Thank you.
Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 4 , 2025
The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663
Sub: Transcript of the Q2 FY 2026 Earnings Conference Call
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q2 FY 2026 Earnings Conference Call held on October 29, 2025 .
The transcript can also be accessed from the link: https://fivestargroup.in/investors/
Kindly take the above on record.
For Five -Star Business Finance Limited
Vigneshkumar SM
Company Secretary & Compliance Officer

"Five-Star Business Finance Limited Q2 FY'26
Earnings Conference Call "

October 29, 2025

MANAGEMENT : MR. LAKSHMIPATHY DEENADAYALAN - CHAIRMAN AND MANAGING DIRECTOR , FIVE-STAR BUSINESS FINANCE LIMITED
MR. SRIKANTH GOPALAKRISHNAN - JOINT MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER , FIVE-STAR BUSINESS FINANCE LIMITED
MODERATOR : MR. SANKET CHHEDA - DAM CAPITAL ADVISORS

Moderator : Ladies and gentlemen, g ood day and welcome to the Five -Star Business Finance Q2 FY '26 Earnings Conference Call Hosted by DAM Capital Advisors.
As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing *' then '0' on your touchtone phone.
Please note, this conference is being recorded.
I now hand over the conference to Mr. Sanket Chheda. Thank you and over to you, sir.
Sanket Chheda: Yes, thanks and very good evening to all of you. We have with us the management of Five -Star to discuss their Q2 results and outlook thereafter. We have with us Mr. Lakshmipat hy Deenadayalan who is the Chairman and Managing director and Mr. Srikant h Gopalakrishnan

who is Joint Managing Director and Chief Financial Officer.
Without further ado, I will hand the call over to Mr. Lakshmipat hy for their opening remarks and then ma y be we will follow up by question -and-answer. So, over to you, Lakshmi pathy sir and Srikanth sir.

Lakshmipathy Deenadayalan: Thank you, Sanket. Good evening. We welcome all to the Q2 earnings call.
As we have updated in the last quarter, we have given a stable performance in the current quarter across various metrics.

The downtrend that we witnessed in Q1 has been arrested in the current quarter. And from here onwards, we believe that we would see some green shoots emerging in Q3 and a much stronger performance in Q4. We have taken several strategies and actions towards this across sourcing, credit underwriting, collections and risk oversight. Thes e are marked out as focus areas for us in the quarters to come. And we believe this will pave the way for building a bigger and stronger portfolio in coming quarters. While our asset quality and credit costs have seen marginal impact in the current quarter as compared to the previous quarter, these still stack up better than many of our peers operating in the small -ticket secured and unsecured loan space. As I had said in the past also, we believe that a trend reversal is likely on the horizon and is expected to play out over the next couple of quarters.

Our investment in physical infrastructure and people continues as can be seen from the addition of 33 branches and 769 business and collection office rs during Q2. During this quarter, we disbursed Rs. 1,196 crores of loans as against Rs. 1,290 crores in Q1. And the drop in disbursement can be attributed to the additional controls that have been implemented for the first time during this quarter towards onboarding the right customers. With our system getting attuned to these changes, we should start seeing increase in disbursements and increased A UM growth in quarters to come.

Our collections from unique customers and overall collections have remained stable compared to the previous quarter. Collections from unique customers stood at 95.1%, the same as last quarter, and we have seen an improvement in the overall collection effic iency, which went up from 96.3% in Q1 to 96.7% in Q2. These metrics show early signs of reviv al, though in a gradual manner.

During this quarter, we availed incremental debt of Rs. 1,068 crores, and the cost of incremental debt came in at 8.56%, which is marginally lower than the cost of incremental debt borrowed during previous quarter. Cost of the funds on the book has dropped by about 27 bps, and given our cost of incremental debt, we should see improvement in the cost of funds for the full year.
With incremental yields on assets coming in lower than the book yields, since we lowered our yields in last November, we expect to bridge a good portion of the yields drop through d

rop in
cost of funds. We continue to have a robust liquidity on the balance sheet of Rs. 2,360 crores.
For the quarter, we achieved a PAT of Rs. 286 crores, 7% higher as compared to the previous quarter. Even during these extremely challenging times, we have been able to achieve healthy return ratios, as can be evidenced in the increase in return on assets from 7.24% in Q1 to 7.49% in current quarter . An increase in return on equity from 16.57% in previous quarter to 16.91% in the current quarter.

I am also happy to inform all of you that we have commenced our housing loan product during this month. The first few logins have come in and in various stages of processing. While this may not have a significant impact on growth for this financial year, this would be a lever of growth for the coming years. We expect to deliver on the guidance for this finan cial year that we have given you and look forward to the much better and stronger second half of this financial year.

Now, let me invite Srikant h to take you through more on other numbers.

Srikanth Gopalakrishnan : Good evening to all of you.
After a difficult quarter in Q1, when we had met you all post our Q1 results, we had very clearly guided that we expect the second quarter to be a quarter of stabili zation. And as we speak, we stand vindicated in our belief. The second quarter has been a stable quarter across various metrics as Mr. Pat hy has pointed out. He has touched upon many of the operational metrics. Let me quickly delve into a few of the financial metrics and then open out for any ques tions that any of you may have.

Our yields continue to be around 23.2%. We have had a good drop in the cost of funds, which has come down to about 9.27%. So, the spreads have fairly remained constant on a sequential basis at around 13.9%. The NIM again has been consistent on a sequential bas is. But obviously, NIMs have an impact of leverage getting built up. So, it will continue to drop as we go forward and have a good portfo lio growth. Our cost -to-income ex -credit cost is largely stable at around 31%. The credit cost guidance that we revised last quarter, we have been able to maintain the credit cost at around 1.34%, which is very marginally higher than what we had in Q1. So, even across asset quality, collections efficiencies and in the credit cost, we have remained stable. This has resulted in an attractive RO A of close to 7.5% and an ROE close to 17%, which are very good numbers given the trying times that we are all in.

From a debt perspective, lenders continue to see us as a very strong borrower. So, we did avail more than Rs. 1,000 crores during this quarter. And during the quarter, we also on -boarded J .P. Morgan, one of the largest banks in the world. And this was for a very sizable investment into our PTCs of close to about Rs. 650 crores, about $75 million and at fairly attractive rates. So, not just any lenders, but even pe digreed lenders are looking at Five -Star as an attractive destination to lend their moneys to. So, we should be able to build on this foundation and which will also aid in our asset growth in the quarters to come.

Our collection efficiencies have been largely stable. Unique collection efficiencies stood at 95.1 and we saw an improvement in the overall collection efficiency by about 40 basis points. We believe we should see improvements coming in Q3 and hopefully a m uch stronger quarter in Q4.

On the provision coverage ratio, we continue to hold close to 1.9% of provisions on the overall book. While our PCR on the Stage -3 assets dropped a little bit, this is purely on account of the write -offs that we have taken. So, if you would understand, whenever we take a write -off, these are typically deep delinquent assets on which we carry a much larger provision. So, there will be a drop in the provision coverage

. But we are still having a very healthy provision coverage on Stage -3 at over 45%. And when you compare this with peers in the industry, this still stacks up as one of the high numbers.

On the profitability side, we had a good quarter. So, our profits grew 7% year -on-year and on a sequential basis. We clocked a profit of about Rs. 286 crores during this quarter and which resulted in a net worth of about Rs. 6,800 plus crores as of September 30th.

So, on various metrics, this has been a calm and a stable quarter. Our belief is that we should start seeing improvements coming through in Q3, which will pave the way fo r a stronger Q4 and thereafter.

With these opening remarks, we are happy to take any questions that any of you. Over to all of you for any questions.

Moderator: Thank you very much . We will now begin the question -and-answer session. First question is from the line of R enish from ICICI. Please go ahead.

Renish : Sir, two, three questions from my side. So, one on this early bucket pool, right? So, 30 plus has again gone up to sort of more than 12%, the highest since COVID. So, how do you see the early bucket moving going ahead? I mean, obviously, you did mention about tightening credit filters ,

etc. But do you see any green shoots in October or I mean, any early sign of the bucket pool softening down going ahead?

Lakshmipathy Deenadayalan: Renish, our thought process is going forward, at least for the next three to six months, we don't want any buckets to bulge up. So, we want to bring in a stable performance across all buckets. So, that's our prime focus. If you see unique customers at 95.1%, that means there will be some slippages from current to ar rears. So, that is inevitable. We are trying to arrest that in this quarter. Hopefully, I am seeing this quarter, the focus will be more on current customers, not much slippages from current customers. Eventually, this 30 bucket will start stabilizing and coming down.

Renish : Okay, I mean, so basically, what you are trying to say is, the current focus is containing flow forwards in the already delinquent p ool, and the early bucket pool might start improving after a couple of quarters. Is that what you are trying to highlight?

Lakshmipathy . Deenadayalan: From this quarter onwards is what I am trying to say. What you said is right from this quarter onwards.

Renish : Okay. And sir my second question is around this disbursement run rate, right? I mean, last year or so, we have added almost 140 branches, added more than 2 ,500 people. But disbursement has been little curtailed. I understand that we have been very guarded when it comes to sourcing new customers, etc. But when do you see the disbursement run rate start picking up meaningfully , when do you see this, the infrastructure wise which we added in last year or so, start generating business?

Lakshmipathy Deenadayalan : See, as I said in my opening remarks, we have brought in the underwriting tightness and risk oversights work by creating layers before a file even gets into the log in stage. So, this kind of controls is very new for our system. We have done it in the last quarter. So, close to 5 ,000 office rs are there , close to 1 ,000 BMs are there , to get attuned to this new system, it will take some time. So, that is why we said in Q3, you will see a better performance and a very stronger performance in Q4.

Renish : Okay . So, basically, this quarter, most of the operating parameters are sort of bottom out. I mean, disbursement, as well as the sort of credit costs are sticked out. Is that the fair assumption?

Lakshmipathy Deenadayalan: Yes, that's our belief.

Renish : Okay, I do have a few more, but maybe I will come back in the queue. Thank you very much and best of luck sir. Thank you.

Moderator: Thank you. The next question is from the line

o f Viral Shah from IIFL Capital. P lease go ahead.

Viral Shah: Thank you for the opportunity and I would say congratulations on a good set of numbers. Mr. Pathy, if you can elaborate on two things. One is the changes that you have highlighted and

mentioned also in the press release with regards to say the sourcing, underwriting, if you can just elaborate and try to give us a flavor of what are the things that you have changed. And consequently, because of that, do you think, like how much time do y ou think we will take to go back to say a Rs. 1,400 crores kind of quarterly disbursement run rate? That is my first question. And the second is on the asset quality front, while I look at the unique collection efficiency remaining stable Q -O-Q, but the overall collection efficiency has started improving. And this has been actually accompanied by your net slippage is improving both on Stage -2 and 3. First of all, do you see now the recovery starting to come back even from delinquent customers? And secondly, more importantly, while you are talking about we are on the cusp of it, how strong this improvement could be? Can we start seeing a 30 plus DPD reducing from say 3Q onwards? Those are my two questions. Probably I will come back in the queue for other questions.

Lakshmipathy Deenadayalan : So, I will start with the second question. I think as I said in first one, we want to stabilize one more quarter from each DPD bucket perspective. So, we are not here to say that reversal will start happen ing in this quarter. We wanted to stabilize in this quarter and we will see the reversals happening to the extent possible in Q4. That is our plan of action as we move forward. On this, we are putting in collections effort and the legal recovery team. As I mentioned in last call also, a good chunk of legal recovery team has been put in place where they are starting to yield good results. That is why you see whenever an NPA gets closed, you get a lot of arrears coming back to us. That is where you see the colle ction efficiency has gone up. So, the legal recovery team is doing extremely good work and you see a lot of reversal happening going forward. On the first question, on the disbursement side, I think the levels that what we have increased from a supervisory perspective is giving us a good result. Just to share some data, in Q1 we had a 25% rejection ratio, whereas in Q2 we had a 41% rejection rat io compared to login files getting in. So, that is how I measure the strength of layers that we have put in from a quality files perspective is show ing good results from the system perspective. But as I said, 5 ,000 people of sourcing and 1,000 branch managers of sourcing attuned to this system is new for them. So, it will take some more time and some more months to get attuned. So, this quarter, we will see better disbursement comparing to Q2 and a stronger disbursement coming in Q4.

Viral Shah: Got it, sir. Thank you very much.

Srikanth Gopalakrishnan: Viral, I think Mr. Pathy has clearly articulated the changes that we have done. One other thing that we have been highlighting to you even in the past also is the slight shift in focus of customer profile. So, while branches have been little more attuned towards focusing on sub 5 lakhs ticket size, today we are moving the focus slightly towards the 3 lakhs to 5 lakhs and 5 lakhs and 10 lakhs. So, that also takes a little bit of time. So, the changes that we actually made is in terms of going behind the righ t customers and ensuring that these are underwritten in a stronger manner by stronger people. So, we have added more layers in terms of doing the underwriting checks, which has caused a little bit of an impact in this quarter. But I would say that most of that have been ironed out. If you look at September standalone, the numbers have been very good. In fac

t,

we have crossed more than Rs. 500 crores of disbursals in the month of September. And we should start seeing good run rate coming in Q3 and Q4.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Good evening. Thank you for taking my question. So, the first one is, I mean, if you could just give some geographic color around what is it that we have seen during this quarter? Which are those geographies where we have seen better performance ? And likewise, given that we are expecting Q3 to be a quarter of stabili zation and improvement from Q3 onwards, which are those geographies in particular which will contribute to that? The second question that I had was on the guidance front. Now that we are looking at Q 2 stabili zing, it's much stronger improvement from Q3 onwards , how is it that we are looking at the rest of this year in terms of growth, in terms of credit costs, as well as if you could speak a little bit on FY '27 in terms of guidance? And lastly, while I acknowledge that both the MFI and the Micro LAP product that we do are very different, I mean, for at least the last couple of quarters, right, at least in MFI business, we have seen that the goalpost has just kept moving after every quarter. In other words, what I mean is we are still seeing some of th e NBFC MFIs increasing their credit cost guidance for the coming quarter and the next two years. So, how would you kind of look at that, given that in the past, we have acknowledged that we also have maybe 40 %-45% of the customers where there's an overlap of microfinance business ? So, just those couple of questions if you can help with . Thank you so much.

Srikanth Gopalakrishnan: So, Abhijit, the first point, you are talking about the geographic color . Like we said, I think we have seen a good amount of stabili zation across the various geographies. So, there is no specific geography where we can point out a more than normali zed improvement or a more than normali zed worsening. The one geography which continues to be a little bit of a concern is Karnataka, where the numbers are still a little higher. But given that our portfolio in Karnataka is only about 5 %-6%, this is not going to have a very significant impact on our overall A UM. But otherwise, we have seen improvements even in the other bit of a problematic geography that we had, which is Andhra Pradesh . Even there, we have seen some bit of improvement happening in this quarter. So, largely, the 18 basis points increase in NPA has been, I would say, uniformly contributed across geographies . There is no specific geography which has seen significant improvement or significant worsening, which is also giving us good hope and belief that overall, at a macro level, als o things are getting settled in a nd from here onwards, we should start seeing things improving. So, there is no specific concern on any geograph y at this point of time. The concern again is on the ticket size. So, if you look at across our portfolio, where we see higher delinquencies or higher NPAs is still in the sub 3 lakhs ticket size. So, if there is a geography with a little more pronounced proportion of sub 3 lakhs, that geography is probably showing up a little bit of a higher number in terms of delinquencies and NPAs. Otherwise, we are not seeing any geographical differences in any of t he states. Coming to your question on guidance, Abhijit , at this point of time, we would like to say that whatever guidance we have given you in the past, we are not changing the goalpost at this point of time. We still hope and believe that we should be able to de liver on our guidance. Mr. Pathy also talked about this in his opening remarks. We still believe that we should be able to deliver on the guidance that we have given you. So, at

this

point of time, there is no change in guidance either on growth, profitability or asset quality or credit cost. Sorry, could you please remind on the third question?

Abhijit Tibrewal: The third question was around this micro -LAP and MFI, where I acknowledge that while both products are very different so if you could elaborate?

Srikanth Gopalakrishnan: Abhijit, this is the point that we have anyway clearly told you, while there is an overlap from an MFI borrower perspective, the behavior of the borrower is very different when it comes to different products. So, while the borrower definitely tries or he is hopeful that he is able to get benefit from a secured LAP lender also… Abhijit, is that your line where we are seeing quite a bit of disturbance?

Abhijit Tibrewal: Sir, I was on mute.

Srikanth Gopalakrishnan: Okay. Yes, now it's okay. Sorry. So, what we are saying is while there is an overlap and we saw a temporary issue because there was a little bit of a behavioral issue from the borrower side, when they saw that microfinance had written off their loans, the collection efforts had reduced. And t here was a hope that secured lenders also will follow that path. But when they see secured lenders coming to them, following up more frequently, taking necessary legal actions, the behavior defi nitely changes. And that is what we are seeing in this quarter. While it is still happening in a very gradual manner, we still believe that just because a borrower has taken a microfinance loan, which could have been written off, while his belief might be there. The quest ion is, depending on the actions that the lender takes, the borrower's behavior will also shift. So, we are still confident that even those borrowers who slipped in Q1, we will be able to collect the entire money back from them. But the que stion is, you may not be able to do it through, let's say, a regularization kind of a route, like collecting multiple installments from them. But you need to bring them back towards the behavior of paying one installment every month. And then it's just a question of maybe 1- or 2-months extension in tenure, by which time they will pay up their entire loan. So, we don't really see any impact in our eventual losses or in our eventual ability to recover from these borrowers.

Abhijit Tibrewal: Got it, sir. This is useful. I just wanted to squeeze in one follow -up question. While you said that there is no change in guidance, I just wanted to understand from next fiscal year onwards, what should be the steady state credit costs now?

Lakshmipathy Deenadayalan : Abhijit, we have told you in the last call itself, the credit cost guidance change, what we said in last call from 0.75 to now it is 1.25 to 1.35 range, will hold it for shorter period of time, right? I don't think next year we are going to change the guid ance on credit cost. This customer needs this kind of credit cost, it is what that we have concluded and we have told that guidance. This will hold on for at least next 18 months -24 months.

Abhijit Tibrewal: Got it, sir. Thank you so much. I wish you very best. Thanks.

Lakshmipathy Deenadayalan : Thank you.

Moderator: Thank you. The next question is from the line of Raghav from Ambit Capital. Please go ahead.

Raghav: Thanks for the opportunity. I just have two questions. One, the business office rs' count is up to 35% versus last year. Obviously, the focus has been mostly on collection. But when you decide to press for growth, will you continue to hire with same intensity, or will it be lower? Because given the current capacity that you are creating, can be utilized for growth so I just wanted to understand what are your thoughts on this?

Lakshmipathy Deenadayalan: Yes, Raghav, you are right on that. Buildin

g the infrastructure should not stop unless until your business runway looks very dull. But our business runway looks very bright because today the biggest opportunity is small business loans and small secured loans. So, we are continuously creating the infrastructure. And if we see the stabilization continuing and no more damages happening to the repayments, I think then the business pedal has to be moved up. So, that is what we are expecting in Q3 little bit and Q4 more strongly.

Raghav: Understood.

Srikanth Gopalakrishnan: Raghav, just giving you a breakup , the 700 odd officers that Mr. Pat hy alluded to in the thing, that also has collection officers. So, it's almost like 500 business officers and about 200 collection officers. So, we are strengthening both sides of the operations such that we have the necessary infrastructure when we want to press the pedal of growth. At the same time, we are building a good collection support to ensure that there are no slippages.

Raghav: Understood. And the stability in unique collections that we have seen in Q2 over Q1 is a result of that. Is that understanding correct because of the investment that you've done in hiring collection o fficers over the last one year?

Srikanth Gopalakrishnan: That's right, Raghav.

Raghav: Understood. And one more related question is that you said that 1.25 %-1.3% is something that should be a steady state number on credit cost. Does that translate into say 4.5 % to 5% kind of static NPAs, if we were to look at NPA on a static pool Does it translate into that kind of a number, around 4.5% -5%. I am just asking for my modeling purposes.

Srikanth Gopalakrishnan: So, Raghav, we will take it offline. We have not really looked at that. The number seems a little high what you are talking about, but obviously then on a static pool , whatever we used to guide about 3% odd -3.5% on a static pool will go up. But I am not sure if it will go all the way up to 5% and a ll that. Let's take it offline.

Raghav: Sure. Just last question, the write -offs were quite high this quarter. How much more do you expect to write off in the second half? And how should one think about the Stage -3 coverage? Will you take it back to 50% overtime ?

Srikanth Gopalakrishnan: This write -off, the way you should look at Raghav is, it is done for the first half of the year. So, while we have done it in one quarter, but it's for the first half of the year. So, we are talking about, let's say a 50 crores write -off that we have done. So, it's broadly I would say 25 :25. But then the next two quarters, the write -off will be a little higher because the financials allow that and we would want to take benefit of technical write -offs. So, the write -offs will be a little elevated compared to the run rate that you saw in the first half of the year. So, maybe from your modeling perspective, you need to bake in a little higher write -offs for the rest of the year. And from a provision coverage perspective, as we take more write -offs, mathematically the coverage will come down. And the current regulatory cli mate is also that they are not really pushing for any specified coverage number on Stage -3. So, it will largely be guided by our ECL model and our LGDs, which probably should be somewhere around the 40 %-45% kind of a range. So, it is not like we are working with a specified number in mind. It will be coming out of our ECL

model. At this point, we don't envisage taking it back to 50% just from a number perspective.
But if the model throws 50%, let us say for whatever reason at a later point of time, that's the
number it will be. If the model throws let's say 4 2%, it will be 42%.
Raghav: Understood. How much write -off can we build for second half?
Srikanth Gopalakrishnan: Raghav, any numbers , why don't we just take it offline?
Raghav: Sure.

Fair enough. Thank you.
Moderator: Thank you. The next question is from the line of Amit Khetan from Laburnum Capital. Please
go ahead.
Amit Khetan: Hi, thanks for taking my question. So, my first question is on OPEX . So, if I look at the last
couple of years, right, our OPEX to total assets, average assets has been in the 5 %-5.5% range.
Now, that was a fairly benign credit environment. Going forward, as you are guiding to higher
credit costs as well as picking up the collection and legal recovery team, how do you expect this
ratio to evolve on a steady state basis?
Srikanth Gopalakrishnan: Amit, this is again something that we have been talking in the past also. So, generally, at least
for the short to medium term, the guidance continues to stand at about 5 %-5.5%. While we will
definitely get some benefit of scale, we will also be upfronting certain investments, in terms of
collection support, in terms of technological investments and all that, which will continue to
keep the OPEX a little elevated than where we would like to be. So, I think you should build in
about 5 %-5.5% of OPEX for the short to medium term.
Amit Khetan: Understood . Second question was on the housing product. Can you throw some more color in
terms of what is the customer profile you are targeting? What are the yields, ticket size and
geographies that you are currently looking at?
Srikanth Gopalakrishnan: So, see, housing product has actually been introduced in some of the safest and the strongest
branches of the Company, so in about 175 to 200 branches. We are expecting to lend to the same

profile of customers, maybe people whose expectations are a little higher, average ticket size of
about 6 -8 lakhs. Because these are people whose expectations are higher, but may be the incomes
from a LAP tenure perspective don't match up. But given that they are going to be using this
money for housing, we are expecting a yield somewhere around 16 %-18% and lending for up to
15 years or so, or maybe beyond that, depending on the requirement of the customer, which will
make the customer qualify for let's say a 7 -8 lakhs kind of a loan. So, that's the profile and the
product characteristics that we are targeting.
Amit Khetan: Got it . And you intend to apply for a separate housing license or how should we think about
that?
Lakshmipathy Deenadayalan : Currently, not now.
Amit Khetan: Got it. But we would be disadvantaged, right, because we c an't access NHB housing finance?
Lakshmipathy Deenadayalan : I think Srikanth has told you, from a debt perspective and the pricing perspective, Five-Star
is very attractive and we are able to get the current debt at around 8%. And for the housing,
which is a priority sector, we may even target lesser than that percentage, which will augur well
for us. So, debt and pricing will n ot be a problem.
Amit Khetan: Got it. Thank you and all the best.
Lakshmipathy Deenadayalan : Thank you.
Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: Thanks for taking the question. So, firstly, when we look at in terms of the number of people,
may be on a Q-o-Q basis, there's almost like 1,000 which has got added, particularly in the
business and collections. And that too, I would say, like, maybe more on the business side. So,
is it with the confidence with respect to preparing ourselves for the growth? Is that the right
observation?
Lakshmipathy Deenadayalan : Yes, Kunal, you are right. Close to 800 office rs have been recruited in last quarter. Out of
that, if you see, 600 has gone to business and 200 has gone to collections. Rough figure, right?
So, this clearly indicates the focus is back on business. When the collection gets stabilized, as
I've been saying in the call, you see the pedal pressing for the business, whi

ch will happen in Q3
and Q4. Yes, we are pre paring for a good business.
Kunal Shah: Got it. And secondly, on account side, is there some rejigging which has happened or maybe
have they been moved to some other place b ecause almost like 180 -190 people moving out of
accounts. So, is it something like maybe they are getting towards the business side of it? Has
there been any rejigging?

Srikanth Gopalakrishnan: No. So, Kunal, what we have done is you would see that number a little more at the operations side. So, earlier, we used to have an operations officer and cashier. So, the number, if you see, the drop will be in the cashier side. So, we used to have a cashier and an operations officer in a particular branch. Given that the cash proportion has significantly dropped and the newer branches, the digital adoption has been extremely high. What we are now doing is we are only having one pe rson. So, not having two persons as cashier and operations officer separately. They are having a branch support officer. So, those have been mapped under operations. So, none of the accounts are cashiers. People have actually moved to business support and all that where they will be doing both cash receipting in the branches and also doing the operational support for the branches by acting as a branch support officer.
Kunal Shah: Okay. So, almost like 190 of cashiers coming up and operations officer going up by almost 150 or so.
Lakshmipathy Deenadayalan : That's right, Kunal. As you see in our presentation, our digital penetration is moving up from 81% to 82%. Slowly, gradually, we intend to take it to 85%. So, the work of cashiers is going to come down as we go forward. So, we are deploying them in the operational work.
Kunal Shah: Perfect. Got it. Thanks a lot.
Moderator: Thank you. The next question is from the line of Ajit Kumar from JM Financial. Please go ahead.
Ajit Kumar: Thanks for the opportunity. Just 2-3 questions from my side. First, coming to FY '26 AUM growth guidance again, which is roughly 25% versus 18% growth currently. Our trend in terms of disbursement become very steep. Almost around Rs. 1,800 crores to Rs. 1,900 crores of disbursement per quarter is needed in next two quarters versus Rs. 1,200 crores to Rs. 1300 crores of disbursement that we are doing currently from last 8 to 9 quarters. Do you think this kind of acceleration in disbursement in second half is possible?
Srikanth Gopalakrishnan: Ajit, if you look at disbursals in Q4 of last year, we were almost at about Rs. 1400 crores to Rs. 1500 crores of disbursals . So, if not for the issues that we probably faced in Q1 and some consequent changes that we have done because of that, we would have been disbursing more around, let's say, 1500, 1600 kind of disbursal run rate in the first half of the year. So, to move towards, let's say, 1600 to 1800 is not difficult in the second half of the year. Obviously, the company wil l keep the necessary caution in mind before stepping up the disbursals . But our point is, it is not something that is not doable. We have done it in the past and based on our run rate, we should be able to do that. So, it's not an unachievable number, but we will definitely keep various aspects in mind before pushing the pedal of disbursal. At this point of time, we are not revisit ing our guidance on our growth.
Ajit Kumar: And on credit cost, I just wanted to confirm again, FY '26 guidance is 1.25 % to 1.35%, as you highlighted just now, because the last quarter call credit cost guidance was 1.2 % to 1.25 %. So, just wanted to reconfirm credit cost guidance for FY '26.

Srikanth Gopalakrishnan: So, Ajit, even last quarter, we said 1.25 to 1.3 -1.35 only. So, the guidance stands. So, we have not changed our credit cost guidance

. It will be around 1.25 % to 1.3%.
Ajit Kumar: And this is as a percentage of A UM, right? Not as a percentage of assets?
Srikanth Gopalakrishnan: No, t his is as a percentage of total assets. When you compute on A UM, this number will be more around 1.5 % to 1.6%.
Ajit Kumar: Okay. And just last one, AU M growth in Tamil Nadu has been lagging from last few quarters and has come down to only 10% odd in this quarter. Any issue in Tamil Nadu in terms of growth or asset quality as it is your home state?
Laksh mipathy Deenadayalan : No, nothing. Tamil Nadu is gearing up very well and the collections also is very good. So, you see a good amount of rundown is also happening in Tamil Nadu when the collections are stacking up very well. So, I don't see anything coming top and you see improvement in this in next six months also. So, slowly that state will move towards 30% of overall A UM.
Ajit Kumar: Okay. Sure. Thanks. That's it for my side. Thank you.
Moderator: Thank you. The next question is from the line of Chandrasekhar from Fidelity. Please go ahead.
Chandrasekhar: Good afternoon. So, the yield drop since you instituted the disbursement cut has almost been 100 bps on the book. Now, typically in one particular year, you have about 40 %-45% is that which has been originated in that year. Now, this year obviously a lesser portion has been originated because disbursements have been slower. So, how could there be a 100 bps drop in book yields when only 35% has been originated during that year? Have you all done some differential pricing of some people even be low 22% yields?
Srikanth Gopalakrishnan: No, Chandra. This is a little bit of a function of the delinquencies as well. If you look at accounting methodolog y or interest accrual methodology, that follows an ideal schedule. Whereas, as per the Indian accounting standards, the unpaid interest gets added back to the principal. So, let us say if a customer does not pay, you are charging a penal interest which does

not get accrued on books. But what happens is the interest as per the original schedule is the one which is in the numerator, while the denominator, the interest also gets added. So, whenever there is a little bit of a delinquency that gets built up on the portfolio, you will see a little bit of yield drop. If you want to look at the overall number, you should probably add the penal interest to this and compute the yields. But even that will be slightly lower because generally the collections itself has been a little muted. So, it is a function of accounting rather than any f urther drops that we have done.
Chandrasekhar: Understood. But there has been no change. Otherwise, you have broadly...
Srikanth Gopalakrishnan: At about 22% -22.5% .

Chandrasekhar: Understood. Then, employee cost growth has been 15% but the count is up to actually 25%. So, what is happening here? How is there such a substantial difference? That is the second one.
Srikanth Gopalakrishnan: A lot of the growth has actually come in towards the end of the second quarter b ecause collec tions, we were putting people. B ut when we saw that things are stabilizing, like Mr. Pat hy said, the business office rs have been added more towards the end of the quarter. So, you are not seeing their cost fully absorbed yet. So, that is why I would say, do not look at an OPEX of 5.07 as compared to 5.47 on a sequential basis. This is, you should probably build somewhere between 5 % to 5.5% for the full year. 5.1 is not the indicative number that you will probably see for the full year.
Chandrasekhar: And the last question is, obviously, you are saying that your recovery, legal teams are able to recover from the assets better. My understanding for this business is that the threat of recovery works more than the actual recovery. It is very tough to actually

recover. So, given the ticket sizes, you can't even use SARFAESI . So, is there been some change that you are able to recover more now than in the past?
Lakshmipathy Deenadayalan :Chandra, I think I've been articulating these things since beginning. This is a myth that you people think that smaller ticket size loans properties cannot be sold or brought in for action. That was a conscious decision that Company has taken for last 20 years not to go into auction route rather than negotiate with the customer and collect your dues. That is how we contained our NPA. But having said that in last two years, since listing, we started to focus on bringing the properties of NPA customers to auc tion and taking them to the legal proceedings. So, we have put in a chief legal officer 24 months before and today we have close to 150 legal people who are working on legal recovery. So, that is why I said in last conference call also, earnings call also, close to Rs. 75 crores to Rs. 80 crores of NPA will be recovered for the full year. Just to give you the number, last quarter, July, August, September, close to Rs. 20 crores of NPA got resolved in a single quarter. So, that again shows even though small ticket size, the properties are genuine, the documents, legal documents are very clear and buyers are the re so that we are able to recover close to 20 crores of resolutions happening from deep delinquent NPAs and this will continue.
Chandrasekhar: Thank you.
Moderator: Thank you. The next question is from the line of Aravind Ravichandran from Sundaram Alternates. Please go ahead.
Aravind Ravichandran: Thank you so much for the opportunity and congrats on the good set of numbers on a tough environment. I just want some clarification in terms of credit cost guidance. We mentioned 125 to 135 b ps. Is it on the total AU M or on average A UM or like an average total assets like on a balance sheet that we are talking ?
Srikanth Gopalakrishnan: Aravind, it's average balance sheet assets, total assets.

Aravind Ravichandran: Because like, generally in market, like we talk about when we say credit cost, it's usually on average A UM. So, that's why. So, if you can make clarity on like, if it is an average advances or average A UM, it would be better so that everyone would have a clear idea of what we are referring to. That is my request.
Srikanth Gopalakrishnan: Aravind, we will take a look. Generally, we have all our ratios on total assets. So, we don't want to think as a separate number. But we can give you guidance depending on how the trend was in the past in terms of how it will look on an average A UM. But we can take it separately.
Aravind Ravichandran: And I would like to understand the new housing loan which we are introducing, like, how are we, like looking to scale it up? Like, are we looking to make it like a 5 % or 10% something like that over the next few years? How are we looking to scale up a s a percentage of the overall AU M over the next few years, if you can give some color on that?
Lakshmi pathy Deenadayalan : It's a little early to speak about going forward. But now, as we have introduced in October

month, we have picked up close to 12 5 to 150 safe locations of Five -Star across India. And we have introduced for only for those branches. So, the logins are coming in, the processing is going up. Maybe in this financial year, we may build up close to 100 crores -150 crores of pure housing loan portfolio translates to 1 %-1.5% of our A UM. Going forward, let me give you a good color after six months of being in this product, maybe after the March quarter.
Aravind Ravichandran: Okay . Also, can you just share like what are the actual write -offs in this quarter?
Srikanth Gopalakrishnan: It's about Rs. 49 crores, Ar avind.
Aravind Ravichandran: Okay. Thank you. And if I have anymore

, I will always come back in queue. Thank you.
Moderator: Thank you. The next question is on the line of Rehan Syed from T rinetra Asset Management . Please go ahead.
Rehan Syed: Hello, good afternoon and thank you for giving me the opportunity. Just I wanted to confirm that my all questions have been answered. So, like , could you please give me the economics of new branch that you have added in FY2026? Specifically, time to breakeven and productivity curve relative to earlier vintage ?
Srikanth Gopalakrishnan: So, Rehan , this is similar to what we have been doing in the past also. So, every branch typically takes anywhere between 6 months to 9 months for achieving a complete breakeven. Because they are able to log in, we start with about 5 officers and each officer logs in about 4 odd files out of which 3 get converted. So, which means it's about 15 files that gets logged in on a monthly basis, which will roughly work out anywhere at about 50 lakhs to 60 lakhs. And then when the portfolio reaches about 2.5 crores to 3 crores, we are able to breakeven. There are branches which do this in 6 months. There are branches which do this in 9 months. So, if you look at it, I think, historically, we have seen that almost 98% of our branches reach this breakeven between

6 to 9 months, there could be some very few outlier branches, nothing has changed for the newer branches also.
Rehan Syed: Okay, thank you for clarification and good luck for your coming quarters .
Moderator: Thank you. The next question is from the line of Sanjay Ladha from Bastion Research. Please go ahead.
Sanjay Ladha: Hi, sir. Thank you for the opportunity. So, I just wanted to know that , we are focusing on housing ticket size loan book. And what we have observed and listening to various other players, most of the players are entering into this secured segment. So, my two questions, how you see competition in that space? And most importantly, are you seeing NIM will maintain at this level given the competition will increase? And of course, you already highlighted that this is going to drop down going forwar d as you start taking leverages on that side. But if you can highlight more on to that, where we see the stabilization taking place ?
Lakshmipathy Deenadayalan : We understood your question. The housing product, what Five -Star intend to commence , I think is not comparable with other affordable housing players, because we are not going to be in the ticket size of 10 -15-20 lakh space. As Srikanth explained in the earlier question, the profile of customers whom we have been dealt for last 20 years, for those profile of customers, we find there is a huge space for the house to be built. So, our average ticket size for the housing product what we have built will be aroun d 7 to 8 lakhs. So, that is the ticket size and the profile of customers whom we are focusing. We believe the competition is not as intense as it is if you cross about 10 lakhs or 15 lakhs. So, we will be able to maintain the pricing what we said. That's our commentary as of now.
Sanjay Ladha: Sir, but just wanted to take a follow up on that side. As you rightly said, there would be a yield of 16 % to 18% as you alluded . And if my thinking is correct, on 16 to 18 and on lower of the interest expense on that side, we will see some NIM moderation on that side and that number on ROA will drop out that as well. Is my understanding right on that side or as a company you are thinking on a different line?
Srikanth Gopalakrishnan: So, Sanjay , housing is not going to give you that ROA that our current product is giving. It is something we have been talking about in the earlier calls as well. Housing we are doing it from a product diversification and from the market being available where there ar e customers who are currently being excluded from our len

ding. So, we will tap into those customers. It will be a stickier product. It will help us on the balance sheet side. So, combined ROA will definitely drop because on the housing side we are not expe cting an ROA which will be like 7%, 7.5% and all that. Even the current product ROA will compress given the increase in leverage. But put together, we should be able to deliver you a 6 %-6.5% ROA. And at a good leverage, if you are able to push it, that should be an attractive RO E for the investors. So, yes, combined basis, there will be a compression in ROA, but it will also give a kicker from an ROE perspective.

Sanjay Ladha: Thank you so much for the clarification. So, my another question would be, as we are very much focused on secured loan book side and as I see, we have a very low LTV as well. So, we are very much secured portfolio as we speak. So, the Stage -1 and Stage -2 increasing and as you rightly alluded in your previous comment that you will see higher recovery going forward. And in the past also, I have checked your numbers. So, at times there is a Stage -1 going towards 10-11 at FY '22, but that not reflected into GNPA level. But this time, the scenario is something different. So, just wanted to know more clarity on that side , what is happening? I understand, the dynamic is such where the numbers are going up, but the previous cycle does not support me and show me that your numbers are different. So, before , I wanted to understand your viewpoint on that side.

Srikanth Gopalakrishnan: Sanjay, that is the advantage of a secured product. In an unsecured product, let us say a loan flowing int o Stage -1, 1 DPD or a Stage -2, typically, you will see it free flowing into Stage -3 and the recovery will be very low because the ability to recover on an unsecured loan is very less. Whereas in a secured loan, while the customer may slip on installment for justifiable reasons, there may be a good event happening in the family or a bad event happening in the family. Given that t his is a strong and an emotionally attached asset, the customer will not continuously keep slipping into further buckets. So, which would mean that you are able to control a lot of flows into NPAs. So, that is why we have always been saying that our softer buckets will be a little elevated, whereas our harder buckets will be a lot controlled. And that is an experience that the Company has been seeing for the last, not 1 -2 years, but maybe for the last 2 decades. And that's the nature of the secured loan. Given the nature of the security, you won't see free flows into NPAs.

Sanjay Ladha: Sir, just a follow up and it would be last from my end. Sir, just wanted to understand in the previous conversations you have alluded that the asset quality on the GNPA side from 2 to you are expecting from 3.5 and credit cost side has also increased. But in the past, never has that happened. So, just wanted to understand why this discrepancy is now, if the model is something getting different. So, just wanted to understand more clarity on that side.

Laksh mipathy Deenadayalan : Sanjay, our guidance what we gave, credit cost of 1.25 to 1.35 and the NPAs level around 2.25 to 2.5 takes into account, because this is the first time we see a overleverage crisis from a small ticket borrower segment. So, the earlier crisis was not done by the lenders, it was being done by the environment and from a government perspective from demonetization and COVID. So, we were able to come out of that because the cash flows were safer and clearer. Even current scenario, the cash flows are there, but the over -leverage has been made a big dent in the repaying capability of the sub 3 lakh segment. So, that is why we have revised our guidance from 0.75 credit cost to 1.25 to 1.35 and our NPA sub 2% to a round 2.25 % to 2.5% at least for the shorter term. So, and clearly with this kind of yield, you cannot operate for a longer period of time at the credit cost and the NPAs where Five-Star was handl ing in last 10 -15 years because the competition is also going up in the segment. People lend more and so you have to be adjustable according to the environment. That's why we changed our guidance in credit cost and NPA from last quarter onwards.

Sanjay Ladha: Sir, thank you so much for the clarity. All the best. Thank you.

Lakshmipathy Deenadayalan : Yes, thank you.

Moderator: Thank you. The next question is from the line of Bunty Chawla from ASK Wealth. Please go ahead.

Bunty Chawla: Thank you, sir. Thank you for giving the opportunity and congrats on a good set of numbers. Just one clarity, FY '26 A UM growth still stands at 25% for full year, right?

Lakshmipathy Deenadayalan : Yes, we expect to deliver that.

Bunty Chawla: Secondly, on the spreads per se, as you have said now, we are focusing more on higher ticket side customers where the yields are a bit low. So, going forward, the yields as we have seen in last 5 -6 quarters, it has come down to 13.9% kind of a thing. What should be the sustainable run rate when we are focusing on higher ticket si ze loans?

Srikanth Gopalakrishnan: You are talki ng about spread, not on yields.

Bunty Chawla: Yes.

Srikanth Gopalakrishnan: Spread will be about 13 %-13.5% on a steady state.

Bunty Chawla: Okay, 13 %-13.5%. Although we are still having a chance to decrease the cost of borrowings. We have a space for that ?

Srikanth Gopalakrishnan: But there will be a little more compression in yield also as the loans keep building up, b ecause today we are onboarding loans at 22.5%. So, it will come down more to around 22.5% to 23%

and whatever cost of fund . So, I think 13 %-13.5% should be a good number to work around this.
Bunty Chawla: Okay. And any similar guidance for FY '27 if you can share like A UM credit cost which you have shared for FY '26?
Srikanth Gopalakrishnan: Similar numbers. I think for FY '26-'27 on the spread side, we should be at about 13 %-13.5%. And AU M growth and credit cost for FY '27? We will come back to you. So, at this point of time, given the kind of environment that we are living with, we would like to deliver the FY '26 numbers. But generally, we come back to you towards the end of the year with guidance on the next year. I think please hold till then. We will come back to you with our guidance.
Bunty Chawla: Okay. Thank you. Thank you and best of luck.
Moderator: Thank you. The next question is on the line of Abhishek Gulati from AG Wealth. Please go ahead.

Abhishek Gulati: Actually, I was observing the numbers of other lenders in the same region that are doing asset -backed lending. How are they reporting a bit of a strong asset quality and loan book growth? Is it the case with us or as we are also doing asset -backed lending, so in that, don't we add that thing that the person is having more MFI exposure, we should be lending less to them? So, have we added these checks now or we were missing them previously?
Srikanth Gopalakrishnan: We have always had these checks. So, when we are lending the loan, we look at all the borrowings that he has taken, we look at his leverage, we knock off all those obligations and go with conservative debt -burden ratio of 50%. But what has happened is, pos t taking our loan, if he has gone and leveraged himself more by taking more from MFIs, for whatever reason, they have been giving the loan to him. Now, how do you control that? So, the question is not about us not having those chec ks. The checks have been existent for the last 10 -15 years when we have been operating in this. It is just that post taking our loan, there have been more leverage

that the
customer has borrowed. Today, that is something that you can't do anything, right? But we ensure that through the security, we have the priority on the customer repayment. So, he will typically pay us rather than paying a microfinance customer.
Abhishek Gulati: Understood. Now, in the quarter to FY '26, 2 -3 microfinance companies have come up with results. They have highlighted in their conference calls as well that the asset quality is improving and in future it will keep on improving from here on. Also, are you witnessing the same trend in the MFI borrowers as your borrowers are having that loan as well? So, witnessing that things are gradually improving in the MFI category as well?
Srikanth Gopalakrishnan: We are seeing this across the board. So, it is not like an MFI category is improving or a non -MFI category is deteriorating. The good part is, yes, on the MFI category, maybe the over leverage is not getting built up. On the non -MFI category also, things are looking up, which is why we have been able to deliver a stable quarter in Q2. And you will see improvements happening from here onwards.
Abhishek Gulati: Understood. That's all from my end and hope things should improve from here on for us as well.
Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.
Mahrukh Adajania: Hello. My first question is on credit cost again. So, in terms of your guidance, the credit cost guidance will stay here as in at 1.25 to 1.35 for 18 months. That is because of the below 3 -lakh segment, or just because of the earlier strong growth which leads t o the seasoning of the book?
Srikanth Gopalakrishnan: So, on account of two reasons, Mahrukh . One is because of the sub 3 lakh segment which is still undergoing some bit of a stress. So, it's not going to come out in a hurry. The second reason, I think a few minutes back, Mr. Pat hy was also taking that you cannot keep putting undue stress on these borrowers or on our staff to ensure that there will be no flow forwards or the unique customer collections will be at a very, very low level. So, we need to have a little bit of flexibility, which is why we are saying that our earlier guidance of 100 basis points is a little bit of a

stretch ed target and we have moved this to about 1.25 to 1.35, which will give a little bit of a breather in terms of for our staff and we have the yields and the spreads to absorb this. So, it's a combination of these two reasons.
Mahrukh Adajania: Got it. And just in terms of growth accelerating in the second half and then even more in FY '26, do you see any green shoots for growth or was there some growth that you were earlier avoiding and now you feel more comfortable doing? And of course, I heard you on the bit of housing growth or affordable housing that you would be looking at ?
Srikanth Gopalakrishnan: So, the first point is, which I think all of you are aware, the overleverage is certainly coming down. And even MFI lenders have been talking about the proportion of greater than three loans

coming down in their portfolio. So, which means the strength of the borrowers is that much better . The second reason is, we have now put additional filters and additional controls to ensure that the right borrower is being on -boarded. So, with these two filters, once our branches and our staff g et attuned to onboarding the right customer and our underwriting norms being able to filter the borrowers a lot better, we should be able to build a stronger portfolio. With the attunement getting better, the ability to onboard more customers will also inc rease, which will mean better growth.

Mahrukh Adajania: Okay. Thanks a lot. Thank you.

Moderator : Thank you. The next question is from the line of Siraz Khan from Ascendancy Capital. Please go ahead.

Siraz Khan : Thank

you for the opportunity and a good set of numbers. What I wanted to know, with respect to the growth background, You said that we will look at the guidance for FY '27 later, but assuming it's at 25% or whatever number, I believe because we are moving to a higher ticket size, the large part of the growth will c ome from the higher ticket size a nd because of housing, again, technically a move to a product which is of a much higher ticket size. So, a large part of the growth will be driven by ticket size i mprovement. Will that be correct understanding?

Lakshmipathy Deenadayalan : The ticket size increase is right because last earning call itself, we said our focus will be 3 lakhs
to 5 lakhs, which is our core, and 5 lakhs to 10 lakhs is where our exposure will go up. So, yes, a combination of these two will result in increase in ticket size. But housing loan, as I said in opening remarks itself, we have just launched it. A few files have come in and the process is on. So, we don't expect more than 100 crores, 150 crores of A UM getting built in housing. So, that will not contribute m uch of that. Increasing ticket size and increasing office rs count will definitely give us a good result in Q3 and Q4.

Siraz Khan : Sir, I was also looking at it from a longer -term perspective, say like FY '28 or FY '30 perspective. By that time, the ticket size will materially increase because of both moving to higher ticket size on our core business and also on account of affordable housing. So, let's say approximately 50% of the growth would come from the ticket size is what I was getting at. I got that.

Lakshmipathy Deenadayalan: Yes, Siraj, I agree to this . But at the current moment, let's not talk more about next financial year. So, we can talk much about after this financial year.

Siraz Khan : Got it. And just a couple of clarifications. Of the Rs. 49 crore write -off, how much is the technical write -off and the overall and the total write -off, the breakup of that in that condition?

Srikanth Gopalakrishnan: Siraj, for us, all of the loans are only technical write -off because we do have the properties and we will be able to get good recoveries out of this. It's only a question of time.

Siraz Khan : Okay. Next, on the fee income, s o what I can see our fee income has improved a good bit during the quarter. What is the fee income that we are tapping into that it is increasing? And will this be also like a kind of a cushion that we are adding to our spreads and the overall NIMs ? And where do you see this piece with respect to the fee income moving ahead?

Srikanth Gopalakrishnan: See, on the fee income, this is on account of two things or technically one thing, which is a legal and an inspection fee that we take from the customers for logging in the loan and for processing the loan, which is about Rs. 4 ,000, Rs. 2 ,000 taken upfront and Rs. 2,000 taken later. So, as the logins increase and as the disbursements increase, this number will look up. So, it has just gone up from about Rs. 9.6 crores to Rs. 11.2 crores, which is primarily improvement in logins that have happened during the quarter. So, there's no big aberration. So, depending on whatever disbursements you are modeling, you will have to take a similar increase in the fee incomes.

Siraz Khan : Okay. Actually, I was looking on a YOY basis. So, it was Rs. 6.7 to Rs. 11.2. So, that is fine. So, there is no insurance or anything of that sort in the fee income. We just have this legal inspection. No insurance fee income or anything of that sort ?

Srikanth Gopalakrishnan: So, we don't take any insurance commission or whatever it is. This is just legal inspection and we take Rs. 500 for storage cost. So, nothing beyond that.

Siraz Khan : Got it. And with respect to the credit cost, just to clarify, what I wanted to understand was, out of the

1.35%, a big part of it will be our PCR, the provisions that we do. So, do we intend, because we want to maybe, say bring our overall GNP As also and NPAs down. So, will we take a conscious call to have a management overlay or something of that sort to cushion, beef up our provisions so that the asset quality kind of remains stabilized , kind of a buffer created?

Srikanth Gopalakrishnan: See, most of our ECL provisioning comes from the model because we have a very robust ECL model which has been working for the last about 7 -8 years without any major tweaks that we have done. So, most of it will be from the model. Obviously, there will be s ome overlays that we will build in for specific event -based occurrences. Like, if there is a little bit of a stress in

Karnataka that we are seeing because of the ordinance, we will maintain a little bit of a higher provision there . But most of it will be coming in from the model itself.

Siraz Khan : Understood. And final couple of ones. We are seeing a trend in securitization moving a bit higher. In this quarter, it's 20% of the total borrowing profil e. How do you see this moving,

because this will also impact our P&L , there will be a good impact on the P&L on the positive side because of the upfronting and reversal. So, where do you see that going?

Srikanth Gopalakrishnan: Siraj, firstly please understand these are PTC transactions. There is no upfronting of income. There is no off -book treatment. So, these are treated as on -book assets. These are treated as borrowings. So, that is why we do this. These are not assignment transactions where we up front the income. So, from that perspective, this is treated like any borrowing. So, if a lender is comfortable doing a term loan, we are happy. If they are comfortable doing an NCD or a PTC or a bond or whatever it is, we are agnostic about that.

Siraz Khan : Understood. Thank you for the clarification. And finally, with respect to the states in which the affordable housing that we have started, which states or any specific state or any group of states that we have started this?

Lakshmipathy Deenadayalan : It's not specific states. Across six states, we have chosen the most safest and vintage location and we introduced the product in those locations.

Siraz Khan : Understood. And finally, on the other locations, I mean, Maharashtra and other states that have been there, how do we see the plan going ahead? I mean, do we still look to consolidate or do we go to growth in the coming quarters?

Srikanth Gopalakrishnan: Siraj, if you are specifically asking about Maharashtra, yes, that is a turnaround state for us. We will definitely grow the state in the coming quarters. But there are few other states which will continue to be in an experimental mode. We are trying to understand the geography, understand the borrower behavior and these are Gujarat, Rajasthan, Uttar Pradesh. So, there will always be a combination of matured states, which will be growth drivers for us and early states, which will be experimental areas and then which will help us with growth in the future years. Siraj, if there are any further questions, I think we are happy to connect with you offline.

Siraz Khan : Thank you. That is it.

Lakshmipathy Deenadayalan : Thank you. Can we take a last call or last two calls?

Moderator: Thank you. This will be the last question from the line of Shubhranshu Mishra from Phillip Capital . Please go ahead.

Shubhranshu Mishra: Hi, good evening. So, the first question is with respect to the penal interest. While I see the payables and the GNP A moving, however, I don't see the change in penal interest by a huge margin. Second is if we can speak about the concentration of disbursement in the top 50 branches, top 100 branches and the top 200 branches. These are my two questions. Thanks.

Srikanth Gopalakrishnan: Shubhranshu, first of all, penal interest is accounted on receipt basis and not on accrual . So, irrespective of the GNP A moving up or moving down, it depends on the collection. And just because the GNP A is more, you are not going to get as much as penal interest collection. But

this number will keep moving out depending on the ar rears in the coming quarters. See, on your second question, let's connect offline because at this point of time, we don't have ready -made answers on the top 50 -100-200 branches. But we can connect offline and give you the details.

Shubhranshu Mishra: Right. Sure. Thank you.

Moderator: That was the last question. I now hand over the conference over to the management for the closing comments.

Lakshmipathy Deenadayalan: Thank you. Thank you all for attending this call. As we said, this quarter has been very stable. And going forward, Q3 and Q4, we expect that growth will come back and we will meet you soon after the Q3 numbers. Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, thank you for joining us. You may now - *disconnect your lines.

Call: Feb 2026

February 03, 2026
The National Sto ck Exchang e of In dia Limited,
Exchange Plaza,
Bandra-Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663
Sub: Transcript of the Earnings Conference Call for the quarter ended December 31, 202 5
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on
January 29, 202 6.
The transcript can also be accessed from the link: https://fivestargroup.in/investors/
Kindly take the above on record.
For Five -Star Business Finance Limited
Vigneshkumar SM
Company Secretary & Compliance Officer FIVE STAR a
Business Finance Limited
Five-Star Business Finance Limited
Registered Office: New No. 27, Old No. 4, Taylor's Road, Kilpauk, Chennai -600 010.
Phone : 044 -4610 6200, e-mail : info@fivestargroup.in , Website : www.fivestargroup.in
CIN: L65991TN1984PLC010844

"Five-Star Business Finance Limited 3QFY 26 Earnings
Conference Call"

January 29, 2026

MANAGEMENT : MR. LAKSHMIPATHY DEENADAYALAN – CHAIRMAN
AND MANAGING DIRECTOR , FIVE-STAR BUSINESS
FINANCE LIMITED
MR. SRIKANTH GOPALAKRISHNAN – JOINT MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER , FIVE -
STAR BUSINESS FINANCE LIMITED
MODERATOR : MR. RAGHAV GARG – AMBIT CAPITAL PRIVATE
LIMITED
FIVE STAR a
Business Finance Limited
~
Business Finance Limited FIVE STAR :••. AMBIT
Acumen at work

Moderator : Ladies and gentlemen, good day, and welcome to the Five -Star Business Finance 3QFY 26

Earnings Conference Call , hosted by Ambit Capital Private Limited.
As a reminder, all participants' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand over the conference to Mr. Raghav Garg. Thank you, and over to you, sir.
Raghav Garg: Thank you, and good morning, everyone. On behalf of Ambit Capital, I would like to welcome you all to the third quarter FY26 earnings call for Five -Star Business Finance Limited.
Joining us from the Management today, we have Mr. Lakshmipathy Deenadayalan – Chairman and Managing Director; and Mr. Srikanth Gopalakrishnan – Joint Managing Director and CFO.
I would like to thank the Management for the opportunity to host this Earnings Call .
We can now begin with the opening remarks from Mr. Lakshmipathy Deenadayalan, and post that we can open the floor for questions. Thank you, and over to you, sir.
Lakshmipathy Deenadayalan: Hi, Raghav, and thank you for that. Good morning, everyone. Welcome to the Five -Star Earnings
Call.
To begin with, we all know small -ticket loans are facing its tough times. During tough times, we take a 3-step approach. Understand the tough times well or the crisis well. Second is, fix the problems. Third is, move ahead.
So, Five -Star also follows the same 3-Stage approach during the tough times. We have understood these tough times or crisis very well and we are in the last leg of fixing the problems, keeping long -term perspective in our mind, not short -term. Third is, moving ahead. That is none other than accelerating the growth.
I am happy to inform that the actions taken over the last couple of quarters across underwriting and collections have ensured continued stability in softer bucket collections in Q3, which is an encouraging trend , as it would, over time, have a positive impact on our portfolio quality. We have seen the first reflection of this in Q3,

where the current proposition of our portfolio has gone up from 81.67% in September to 81.77% in December. Though it is a marginal rise, it is a clear positive signal for us.
Our focus on collections is also reflected in our collection metrics, with both unique customer collection efficiency and overall collection efficiency remain stable at 95.1% and 96.6%, respectively, compared with last quarter. We compute the overall and u nique customer collection FIVE STAR a Business Finance Limited

efficiency in the most conservative manner by including the entire stock of Stage -3 or NPA loans into consideration.
If the NPA loans are excluded, the unique customer collection efficiency goes up from 96.5% in Q2 to 97.26% in Q3. Additionally, the unique customer collections on the current book, which is the most important bucket for any lender, have gone up from 98.5% in Q2 to 99.01% in Q3.
It is also important to note that these metrics have been achieved without any major addition to the denominator, and hence these metrics clearly reflect the improvement in the performance of the book in the softer buckets, showing a clear signal of revival.
On the other hand, the slippages in Stage -3 or NPA continue to remain slightly elevated, which reflects the persistence of some level of stress among our portfolio of borrowers. While this has caused some spike in our Stage -3 or NPA assets, I do not see any fundamental issue given the secured nature of our loans, and I am confident that we will be able to roll back these customers or settle their loans without any principal loss through concerted collection efforts. And the improvements are expected to be visible in Q4 and thereafter.
During Q3, our recoveries from NPA or technical write -offs amounted to about INR 23 crores in a quarter, and given this trajectory, we are confident of maintaining a healthy recovery trend in quarters to come. Despite the slight elevated slippages, the credit cost has only gone up marginally from 1.34% in Q2 to 1.44% in Q3, reflecting adequate provision coverage on our loans.
We do not subscribe to the philosophy of taking huge technical write -offs to bring down our Stage -3 or NPA assets. We believe that this leads to a negative borrower behavior and consequently causes a break down in the credit culture. On the contrary, we believe in taking a prudent level of technical write -offs, irrespective of some spike in Stage -3 or NPA assets, but at the same level, we would spur our recovery efforts to bring down the levels of Stage -3 and NPA, which will ensure that the borrowers remain serious about paying up on their loans.
Given our clear focus on collections and controlling the slippages, we have gone slow on disbursement, leading to growth moderating even during the current quarter. Our focus clearly is on getting our collection strategy and actions completely in place before moving over to the

business acceleration. I am very confident that over the next couple of quarters, we should be back on track, both on growth and asset quality .

Now moving to the other aspects, we continue to invest in people and in physical infrastructure, reflected in the additions of 35 branches and 678 business and collection office rs during Q3, in line with our collections focus.

The number of collection office rs increased to 2,452 as of December, as against 1,329 last year, December 2024. We are also, in parallel ly, building a full -fledged collection vertical right up to FIVE STAR a

the senior people at HO, and this, once fully set up, will have a very positive impact on our collections and asset quality going forward.

Our disbursements during the quarter stood at INR 976 crores, which is about 18% lower compared to the previous quarter. This is

in line with our strategy of getting our collections fully in place before accelerating our disbursements. The additional underwriting controls that have been implemented are also helping us onboard the right customers who would help maintain stron g asset quality in the quarters to come.

On the borrowings, during the quarter, we availed incremental debt of INR 460 crores, and the cost of incremental debt came at 8.19%, which is slightly lower than the cost of incremental debt borrowed during the previous quarter.

Over the past 1 year, the cost of funds on the book has dropped by over 50 bps, from 9.63% to 9.12% from Q3 last year to Q3 this year. And given our cost of incremental debt, we should see progressive improvement in the cost of funds in the quarters to come. This helps c ompensate for the lower yields and largely protects the spread.

We continue to have a robust liquidity on the balance sheet of INR 2,276 crores. For the quarter ended, we achieved a PAT of INR 277 crores, 3% lower as compared to the PAT for the previous quarter. The drop is on the account of one -off in the last quarter, coupled with a marginal impact due to the implementation of new labour code.

Comparing with last Q3, we have moved up from INR 274 crores PAT to INR 277 crores PAT this quarter. Our ROA and ROE remain healthy at 7% and 15.8%, respectively. With our concrete actions, both on collections and growth fronts, I am very confident the company would get back stronger performance over the next 1 to 2 quarters.

Thank you and over to Srikanth for more detail into it .

Srikanth Gopalakrishnan: Good morning to all of you. As Mr. Pathy had clearly highlighted the various actions that the company has taken, and also in line with what we had indicated to you in the previous quarter, our efforts during the current quarter were fully attuned to continuing the stability that we had achieved in collections. And w e are happy to inform you that we have managed to keep our collections in the softer bucket stable even during the current quarter.

As was said earlier, our current proportion has gone up by 10 basis points during the current quarter, which clearly shows stabilizing our improvement in the collections in the current book. Despite slight elevation in the slippages, which obviously we will be taking necessary actions to contain them, our focus has clearly been on keeping the customers in the softer buckets, that is less than the 60 -day bucket, to pay on time, because this is what will make them less vulnerable from a slippage perspective. FIVE STAR a

In fact, one of the data points that we would like to give you is that during the current quarter, our Stage -2 assets stood at INR 1 ,249 crores, almost the same as what was there in Q2. So, barring the slippages that went into Q3, there were no fresh slippages that came in from the Stage 1 to Stage -2 in a very meaningful manner, which clearly shows that the slippages in the softer buckets are remaining in control.

On the yields, the yields are moving in the same trajectory that we have guided in the past, about 20 basis points of drop every quarter, primarily on account of lower yields on incremental disbursements, but we have managed to counter this well with simil ar drop in our cost of funds, so the spread remains almost stable at about 13.9%.

There has been a marginal increase in Opex due to lower disbursements and lower growth, and coupled with credit costs, we have seen our NIM s compress by about 50 basis points on a year -on-year basis, and our ROA has come down by about 1% from 8% to 7%.

For the quarter, we clocked a PAT of INR 277 crores, 1% higher on a year -on-year basis. For the 9 months ended December 2025, our PAT stood at INR 830 crores, as against INR 793 crores for the same period a year ago, which is an increase of 5%.

We managed to get a good amount of debt from marquee names even during the current quarter, so we had availed about 460 crores of incremental debt, though the sanctions received were almost at INR 1,225 crores. And as Mr. Pat hy pointed out, it came in at a very attractive all - inclusive cost of 8.19% .

And I am also happy to inform all the investors and analysts that during this quarter, we have signed a loan agreement with Asian Development Bank, one of the largest and most eminent global DFIs, for a sanction limit of $100 million, which will be availed ove r the next couple of quarters. We stand very good from a liquidity buffer and unavailed sanction lines perspective. Liquidity buffer was at INR 2,276 crores and unavailed sanction lines were little less than INR 1,500 crores.

Our net worth as of December stood at INR 7,083 crores, crossing INR 7,000 crores for the first time. Even in difficult times, we clocked an ROE of close to 16% and we would like to assure all of you that we are taking concerted efforts to set our collections in place , and we believe that we will start seeing the results of these efforts sooner, which will give us the confidence to push up growth and lead to an optimal level of growth in the quarters to come.

With that, we will take a pause, and we will be happy to take any questions that any of you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment , while the question queue assembles.

The next question is from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah: Yes, hi. Good morning , and thank you for the opportunity to let me ask the question. So, I had a couple of questions. So, Mr. Pathy , if you can say give the numbers on the unique collection efficiency on the current customers, right, and also without the NPA customers for the last 3 quarters.

Srikanth Gopalakrishnan: So, Viral, we do have the numbers for the last couple of quarters, but just bear with us while we get the number for Q1. Mr. Pathy said, I think the current collection efficiency has gone up from 98.5% to 99% in this quarter, and the unique customer collection efficiency, excluding the NPA book, went up from 96.5 % to 97.3 % during this quarter. I will just come back to you with the Q1 numbers.

Viral Shah: Got it, Srikanth . Thank you. Secondly, I wanted to check with regard to the growth. I understand you mentioned that now after, say, achieving somewhat degree of stabilization on the asset quality front, we will start focusing on growth.

Now, when we talk about that, right, next year if I look at the disbursement growth, if I bake in say a 20%, given how sharp the rundown has been on the disbursement front since last 1.5 year, right , it's fair to expect mathematically that at least next year the AUM growth will be more like 20%? And there on maybe, of course, our medium -term target remains, but it will be more of a backhanded thing. So, just wanted to get a sense on that front , before I get to my last question.

Srikanth Gopalakrishnan: See, Viral, at this point of time , we will probably come out with our numbers post Q4 results, because like we said, we are also setting up our collections in place, and depending on how the collections set up, it will give us the confidence to accelerate on the disbursement side. See, as all of us know, disbursement is the easier part in the lending business, while collections is the most difficult part.

So, once we are able to get our collections strategy and actions in place, we will probably come back to you with the guidance on the growth for FY '2 7 and years thereafter. But at this point of time, bear with us. You will have to give us another quarter for us to come out with exact numbers.

Lakshmipathy Deenadayalan: So, Viral , Pathy here, let me add to what Srikanth says. In today's earnings call, no numbers should be discussed, no guidance can be discussed from a growth perspective. As I said, we are in the last leg of Stage -2, where we are fixing our problems, keeping long term in our view. So, that is our focus.

Once that is done, I think the rest remaining is just only the business, right? We have infrastructure, we have people, we are recruiting people. Once we put our collections in order and see this for 2, 3 quarters, stabilizing and improving across all fronts, then the left out is only business. We can talk business a little later.

Viral Shah: Got it. No, that makes sense. I just wanted to understand from an infrastructure standpoint, right? Over the last, I would say, 1 year, despite we kind of pulling back in terms of growth, we have been investing on infrastructure, right , even ex of collection people ? So, which is why I think once we see an improvement, what is the extent of improvement that we can anticipate is what I was trying to get a sense of. But fair enough, I am not looking for numbers. But just more qualitatively, we are very much on, I would say, top of it on ce we have asset quality under complete control, right?

Lakshmipathy Deenadayalan: Yes, exactly. I think you made a very valid point. We added 35 branches in last quarter also, and we added 678 employees in last quarter also. So, that clearly shows the business is here to stay for a long period of time. When you want to accelerate , is the prudent way any lender has to look into it. As I said, we wanted to understand fully, fix it fully, then accelerate the growth. That is what the prudent lenders that we have been .

Viral Shah: Fair enough. I understand and I agree. My last question, Srikanth, is to you. Just on the cost of fund piece, Srikanth, what is the incremental room for you to, say, reduce the cost of funds ? Over the last, I would say, 3 quarters , we have already seen a close to around 50 bps reduction in cost of funds on an overall book basis. So, what is the further room that we have on an overall basis?

Srikanth Gopalakrishnan : So, Viral, I think the last repo rate cut which happened of 25 basis points, for now I am not talking about the MCLR drops that may happen , because that is definitely not within anybody's control. But we have at least 25 %-30% of our book , which are linked to repo rate , t-bill and external benchmarks.

So, that transmission should start happening, which we have not seen it much , because this repo rate cut itself happened only in November. So, I think if I have to put a number, maybe another 10 to 15 basis points benefit should certainly be there, purely on account of actions taken by RBI. But the good part is also that we are borrowing at rates which are much lower than what is the cost of funds on the book, which should also give us a kicker in te rms of benefit and cost of funds.

So, again obviously we will be working out a detailed business plan in the next couple of months. But for now I would say at least we have another 10 -15 basis points benefit that will come over in the next 3 to 6 months.

Viral Shah: Got it. And just on the ADB piece, Srikanth, if you can just share what is the fully loaded cost that we have signed the agreement with?

Srikanth Gopalakrishnan: So, this will be slightly on the higher side, Viral. Obviously , the fully loaded cost will also be determined by the hedge rate when we avail the facility. But I think the number should be anywhere about 25 to 30 basis points costlier than what we are borrowing. So, maybe somewhere around 8 .75 to 8.80%. FIVE STAR a

Viral Shah: Got

it. Makes sense. Thank you so much , and all the very best.

Srikanth Gopalakrishnan: Thank you.

Moderator: Thank you. The next question is from the line of Abhijit from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes. Good morning, sir. Thank you for taking my question. Pathy sir, j ust one question here. We went through the opening remarks you shared very detailed. But I think you started by saying that we all know small -ticket loans are facing tough times. Then you explained the 3-step approach , and the fact that we are maybe the fag end of the second step, which is fixing the problems.

So, in the past, we have shared that this crisis that we are seeing right now is predominantly in the small ticket size, less than 3 lakh segment. So, for the benefit of all of us, given that we are in the fag end of the second stage, if you could just help us understand what actually led to this crisis. Was it just customer over -leveraging and spillover of MFI stress, which is the crux of this problem?

And then when we say fixing the problems, beyond setting up dedicated collection verticals, what other steps are we taking to fix the problem?

Lakshmipathy . Deenadayalan: So, Abhijit , let me go very short on this. We can connect offline for a very detailed discussion about this big subject. See, we all know this crisis started on an over -leverage. But today, the crisis has moved from over -leverage to behavioral crisis. That is what I said in my opening comments. There are 2 ways to address this tough times.

The one way is clean your book fully and start afresh. I do not think that is a prudent one. The prudent approach, what Five -Star is taking right now, is fighting back in the se tough conditions

with the customers and explaining about the good credit culture. So, that is why it is taking little time for Five -Star to show a good revival in collections as well as moving towards accelerated growth.
So, my short answer to this, today we are seeing a behavioral crisis. If one lender writes down a loan, that affects the other lender psychologically. So, it takes some time for the lender to prove himself before the customer that what kind of security that we have, what kind of collections infrastructure we have.
So, that seriousness has been slowly, steadily, has been built in the customer's mindset, which I said in last earnings call also. And we are doing it for the benefit of small -ticket lenders, because this credit culture should not break down. It should continue going forward. So, that is why it is taking little longer time for Five -Star.

Abhijit Tibrewal: Then what steps are we taking on the fixing front, except for this full -fledged collection vertical that we are now setting up? What other steps are we taking for fixing the problem?
Lakshmipathy Deenadayalan: See, 2 things are, underwriting steps have been taken. Second thing, collection vertical step has
been taken. Abhijit , you can connect offline with Srikanth to go more detailed into that.
Abhijit Tibrewal: Sure, sir. And then the last question , which I had, is, I think, what you alluded to in your opening remarks about current or the 1 plus DPD, right , which improved about 10 basis points, which actually suggest s that the early bucket delinquencies are stabilizing.
So, 2 subparts to this question . First is, now that we are almost closing January now, have the collection trends been stable on a slightly improving trend versus what you saw in December? And then within that, are there particular states where the problems are more pronounced versus other s and where maybe things will recover slightly , maybe 1 or 2 quarters later, versus a broad -based improvement that you might start seeing from this quarter onwards?
Lakshmipathy Deenadayalan: So, Abhijit, yes, January gives

us a very opening month of this March quarter have done well.
We have to compare that with October, not with December, because within the quarter also, the first month and the last month has a slight difference.
So, when you compare with October, we are really doing well in January also, in spite of a lot of holidays that we had - New Year, Republic Day, Makar Sankranti , Pongal holidays. This is a holiday month when we compare in south. I do not know about north. But in spite of that, we are holding up our collections very well in January.
Abhijit Tibrewal: And sir, some state -specific color, if you could share, where the problems are much more pronounced versus the national average?
Srikanth Gopalakrishnan: So, Abhijit, I think the good part that we are seeing in January is that the slippages are a lot more muted compared to, let us say, October, which was the first month of the previous quarter. So, I think that augurs well from a Stage -3 perspective.
On stage 1, the numbers are fairly in line. But then, if the first month, especially a month riddled with holidays, can give this kind of a result, I think Feb and March should be more exciting months and we should see a better trajectory. So, I would say across all the stages, things are looking up.
Abhijit Tibrewal: Got it, sir. Thank you for patiently answering all my questions. And I wish you and your team the very best.
Srikanth Gopalakrishnan: Thank you.
Moderator: Thank you. The next question is from the line of Renish from ICICI Securities . Please go ahead.

Renish Bhuva : Yes. Hi, sir. This is Renish from ICICI. Just 2 things. One, to Mr. Pathy, let us say whatever initiatives we have taken in the last 6 to 12 months in terms of tightening the credit filters , beefing up the collection vertical . So, any initial indicators that whatever loan we have disbursed in the past 6 to 12 months, the credit behavior of those customers are far better than the book customers? Any qualitative understanding around that?
Srikanth Gopalakrishnan: Renish , for sure, the behavior is better. But I do understand that some of these things stem from loans which are for much shorter tenure . See, for us, we generally do not see many delinquencies in the less than 12 -month bucket. We also track this very closely, what we call as an early arrear report.
So, you will generally not see that much. But I can say that relatively, the last 6 -8 months, the loans that we have given , post additional filters being put in are looking a lot better. People are

paying on or before the due dates. People are paying a lot more through NACH, which are also qualitative points that will help us ease the collection pressures when, let's say, delinquency hits and all that. So, the short answer is, yes, we are seeing good improvements in the recent book that we are onboarding.

Renish Bhuva : And just a follow -up on that. So, it is right to assume that, earlier, we used to have 25 %-30% overlap with MFI customers. And I am assuming, under new regime, that overlap will be minimal or maybe nil as well.

Srikanth Gopalakrishnan: It's reducing, Renish, but not in very meaningful numbers. See, the way you also need to look at it is, we are the next level of reach for the MFI customers. While MFIs cannot go beyond, let's say, INR 1 lakh, INR 1.5 lakhs. When the MFI customers want a higher loan, they come to institutions like Five -Star. So, you will always see that overlap being a lot more pronounced compared to many of the other lenders.

Lakshmipathy Deenadayalan: So, Renish, let me be very clear with you and everyone who is listening this. See, in earlier days,
we call MFI lenders lending to productive poor. That is why MFI culture started in our country.
But today, I think MFI lending equal or even 1 leg above where Fiv

e -Star lends. So, except you
and me, everyone gets a loan from MFI customers, right?
I think there is no more productive poor or middle class or lower middle -class people only get MFI. That's the trend that I am seeing, right? Even a customer has INR 1 lakh earning has MFI loan. What does this mean? Right? Nowhere MFIs' philosophy, what we have been talking for decades have gone.
So, we have not moved up the ticket size, but they have moved up the customer segment and they are equally lending to the small business and small ticket loans. So, you will not see MFI overlap with small ticket lenders, maybe you will see more MFIs lending to small ticket business customers like Five -Star.

Renish Bhuva : Okay. So, basically, you are saying that MFI will now become a competition for our product?

Lakshmipathy Deenadayalan: No. MFIs, I have told in detail, maybe we can connect offline for detail . They have 3 hurdles to cross before lending to small ticket loans like Five -Star. The first hurdle is the ticket size, second hurdle is the underwriting, third hurdle is the tenure.
I think people who want working capital loans, their first preference may be the gold loans and MFI loans. But people who wanted to set up a shop, set up infrastructure , and wanted that loan to be a longer tenure, that is where Five -Star and other small -ticket secured loans come into the picture. So, it is the end use that differs between MFI gold loan and Five -Star.

Srikanth Gopalakrishnan: So, Renish, I think the point that Mr. Pathy was trying to make was not from a competition perspective , it is from an overlap perspective where we believe that the overlap will continue to be pronounced , because MFIs are also reaching out to those customers who probably in the past, they would not have reached out to. But they can never give the quantum of loan or the type of loan that Five -Star gives. So, competition is not the problem, but overlap will always be there.

Renish Bhuva : Got it. Got it. It is very, very helpful and very clear. Just the last, Srikanth, I know you are not giving guidance at this point in time, but maybe just need a qualitative comment around it. So, let us say, when we look at the incremental cost of borrowing versus the book cost, right, there is a huge 80, 100 basis points gap there, which fairly means that maybe over the next 3, 4 quarters, the NIM expansion will continue.
And as you said, December has been fairly good month, and when we look at the numbers as well, Stage 1 has come down, Stage -2 is flat , and obviously, Stage -3 is higher, because there might be higher performance from Stage -2. So, in that sense, if your early buckets are taken care of, maybe by Q4 things will be much better.
So, in a nutshell, is it fair to assume that ROA and ROE have bottomed out in this quarter , and maybe next quarter onwards, though there might be a further increase in credit cost, but your NIM expansion will sort of offset that impact. And hence, the profitability will remain intact and it should ideally improve from FY '27. Is that the fair assumption?

Srikanth Gopalakrishnan: Renish, that's a fair assumption. But the one point which we are also contemplating at this point in time is also on the Opex , which is something that we have kept extremely tight over the last many years. But with many companies coming into this segment , and there is a competition that is coming in with attrition going up, I think it will also be imperative for us to spend a little more on Opex to retain the right kind of employees for the kind of growth that we want.
So, the only point that we need to keep in mind is how this Opex is going to sort of eat into some of the benefits that we will get either on account of the cost of funds and all that. So, which is why we will also have to delve a

little more deeper into that subject , before we can give you an FIVE STAR a

answer. Maybe over the next 2, 3 months, I think we will probably be in a better position to give you a sense on this.

At this point of time, there are quite a bit of moving parts, and we are trying to set those which are most important right first, and then we will come back to the others. Possibly, we could connect after a couple of months and then see how Q4 or FY '27 sort of shape up.

Renish Bhuva : Got it. And just last clarification. So, you did mention about current bucket collections efficiency in the month of December. So, incremental stress asset formation at least in the month of December is lowest in last 6 months?

Srikanth Gopalakrishnan: Sorry, Renish, I did not get it. Renish, can you please repeat?

Renish Bhuva : Yes. Sure. So, Pathy sir did mention about the collections efficiency being improving to 99.05%. I think it was 98.5% in last month or last quarter, I am not too clear about it. So, which means the incremental stress asset formation is coming down. And if let us say, this 99%, so ideally it should be lowest in the last 6 months?

Srikanth Gopalakrishnan: Yes. I would say it is even the lowest in the last 3, 4 quarters , because if you look at the addition to the Stage -2 assets, in absolute terms, I am not talking in percentage terms. This quarter has probably seen the lowest addition to Stage -2 assets in the last maybe 4 to 5 quarters. What used to be about INR 130 crores, INR 140 crores, this quarter I think it's almost like INR 70 crores, INR 80 crores. So, it seems the lowest addition , and that's where our focus is also to keep the customers in these soft er buckets.

Renish Bhuva : Yes, yes. So, I was actually trying to highlight that only, so that entire quarter, obviously, it has become half at INR 80 crore. But I am sure December, it would be the lowest, at least in this 3 months as well.

Srikanth Gopalakrishnan : That's right. You are right.

Renish Bhuva : Okay. Okay. This is good enough. Thank you, and best of luck.

Srikanth Gopalakrishnan : Thanks Renish.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Hi. Couple of questions. So, firstly, as you mentioned, like, now it's becoming more of a behavioral problem. Earlier, it was more of overleveraging. So, when I look at it both in terms of the repeat customers, are we getting more prudent in terms of underwriting to these repeat customers , given the behavioral issue? FIVE STAR a

And how about the rejection rates? How they have gone up over past 3 quarters? Is it stabilized? Has it gone up in Q3 compared to where we were in Q1?

Srikanth Gopalakrishnan: Kunal, our repeat customers' proportion or our repeat customers' process tend to be the same. So, we have never been and we are not in a hurry to give repeat loans. So, the customers should have had 2 years of track record with us before they can even come for a repeat loan. And there is a completely fresh underwriting that we do before giving a loan to the customer. So, we have always been extremely prudent in terms of repeat customers.

And typically, you do not see too much of a behavioral issue in repeat customers , because we have seen their behavior with Five -Star for 2 years, so they know what the company expects from them, and we know how their behavior is going to be. So, I do not think we are seeing much issue from a repeat customers' perspective.

On your question on rejection rates, yes, the rejection rates have gone up in the last couple of quarters, but it is not consistently going up. It is probably staying somewhere at around the 38% to 40%. This number used to be close

r to 30% or so prior to m aybe Q2 or thereabouts. But in Q2 and Q3, we are seeing fairly stable rejection rates at about 38% to 40%.

Our belief is maybe we will see few basis points drop over the next few quarters once our people start understanding the kind of files that the company is comfortable lending to , and then they will start onboarding the right files. Today, it's still at a little early stage from an onboarding files perspective, but that should get settled. So, we are not really worried about that.

Kunal Shah: Sure. And second question was with respect to the overall ECL provisioning. When we look at it across the buckets, sir, there is a sequential decline out there in be it terms of Stage -3, Stage 1 as well from 0.26% to 0.21%. And maybe the last 2 years pool would fall maybe into this, and the earlier, maybe better behaving pool would move out. How should we look at the overall coverage? Will there be a requirement for the higher coverage , maybe from the current levels of 1.83 of the AUM as we go f orward into the next 3 to 4 odd quarters?

Srikanth Gopalakrishnan: No, Kunal, I think while you are talking about stages separately, the way you also need to look at it is what is the overall coverage, like you touched at the end. See, whenever we are having a write -off, these are loans which are fully provided. And if you would recall, at one point o f time, we were carrying almost a 50% provision coverage on the Stage -3 assets, which was largely through overlays and where we have been conservative.
Today, the provisions are getting used for the write -offs. So, it is not like we are bringing down the provisions. That is why despite Stage -3 coming down from 45% to 40%, Stage -2 coming down from 4.9% to 3.9% and Stage 1 coming from 0.26% to 0.21% , our overall coverage has just dropped by 6 basis points. So, our belief is that at an overall level, and if you just go back 1 year, this number was at 1.66%. So, we are already carrying almost 17, 18 basis points higher on an overall book level.

And this is something we have also told you in the past. Our belief is that maybe around 1.5% to 1.6% is probably the appropriate level of provision for a secured book. Most of our peers who are operating in secured assets do not even carry this kind of provision. But we keep taking a look at this and ensure that we carry an appropriate level of provision. For the foreseeable future, you will see this number hovering maybe around 1.7% to 1.8%.
Kunal Shah: Yes. Sure. No, that's where the question was like, this quarter also it appears more than INR 60 crores has been written -off, because any way on the ECL side, it's been down and overall provisioning number is INR 57 -odd crores. So, maybe would not it be prudent to maybe utilize these write -offs, and at least try to maintain the coverage in that band rather than getting the overall coverage down on every write -off, yes.
Srikanth Gopalakrishnan: But Kunal, then that's a double -edged sword, right? See, because today, we have probably written -off all loans which are more than 450 days. And then you start creating more provision on a less than 450 -day asset, you are also setting a precedent which at some point of time the auditors are going to hold against us saying that, during this quarter you maintained so much, you continue to maintain.
So, I think the question is, as and when you have the deeper delinquent loans go away from your book, your provision coverage will naturally come down. But at an overall level, we are still at a very healthy provision, and that is something that we will continue to carry.
It will be a question of how the move happens from a book perspective, what kind of write -offs are we doing. So, you will see some movement. So, I think I would not give too much of importance

to difference within the stages rather than being at an overall book level.
Kunal Shah: Sure. Got it. Yes. Thanks. That's helpful.
Moderator: Thank you. The next question is from the line of Parag from White Oak Capital. Please go ahead.
Parag Jariwala: Thank you. So, I have 2 questions. One, you mentioned in the call that basically you are trying to even improvise the behavior of the customer s, because now the microfinance problem has become a behavioral problem as well. So, I just want to know that what methods currently are we employing? I mean is it educating the customer and all is the primary focus or we are also going for repossession or some kind of other harsher way like giving legal notice and all?
And if we have done any repossession during the last 6, 9 months, I just want to know what the success rate of selling down or recovering? So, that's the first question.
Secondly, in last few calls, you highlighted that you want to slowly build the affordable housing book as well. So, what is the status there? Or you want to kind of wait for this asset quality problem to settle down before growing that book? So, these are my 2 questions. Thank you.

Lakshmipathy Deenadayalan: Yes, Parag, I will go from second. Yes, affordable housing has been put in place from last quarter onwards. But as I said, even in the LAP book, we are not in a hurry of accelerating things. And for sure, for the new product, we are not at all in hurry in accelerating things . I think we have disbursed close to, or we gave sanctioned close to 100 files of housing, which has given us an encouraging feedback.
So, when we accelerate the LAP book, we will be also accelerating the housing book. Maybe we may think of even putting up a separate team to make it more serious from a growth perspective on the new product. That's on the second question.
On the first question, there are lot of things that we can explain, but we can take offline for what all efforts that we have put in place. See the behavioral aspect, what I said, I never meant for a

Stage -3 or NPA customer. I meant on standard customers.
See, in a village or in a town, for example, a lender has written down a loan and lender is not turning up on collections, that has an effect on the next house, right, where some other lender would have lent, right? So, that is the behavioral aspect that is causing the other , most importantly, the secured lenders in that locality. So, it is taking more time for us.
Obviously, I told it in last quarter itself, and the encouraging signs are, behaviorally, people are behaving very well now. And the simple method is keep connecting with the customers very often. Maybe meet them 4 times in a month, continuously meet them and explain them about the other lenders versus Five -Star, the secured nat ure, and how important the credit score is for you as you move up in the ladder for your business growth or a housing need.
So, all these things take much longer time for customers to understand that differentiating between one lender and another lender. So, now you see the efforts what we have been putting in for last 6 months have shown the results for us.
So, I think mostly, we are good to go with the behavioral crisis. It should be behind us after this quarter. That's why I said once we fix in, we are in the last leg of fixing in the problems. Once we fix in the problems, the next stage is just growing, accelerating our growth.
Yes. We will move ahead.
Moderator: Thank you. The next question is from the line of Nischint from Kotak Securities. Please go ahead.
Nischint Chawathe: Sir, maybe you answered this, but how long do you really wait before writing off a loan if the customer is not delinquent? I think you just mentioned 450 days. But given the way where we are probably in the c

ycle and probably where the customer is behaving, would you really want to wait for that long?

Srikanth Gopalakrishnan: On a secured loan, it's quite soon, Nischint. In fact, in the past, we used to write -off beyond 24 months of NPA, beyond 18 months of NPA and all that. We have actually brought it down to 15 months right now, which is quite soon. So, I do not think at this point of time, we will look at accelerating this. But again, it will be determined by what we want to do on a quarter -on-quarter basis.
But from a principle perspective, I think we are comfortable with 450 days where we are writing off. And incidentally, in the state of Karnataka, we have been a little more aggressive also. It's even less than 450 days where we have written off some of the loans. So, it's a case -to-case state -specific call also that we could take.
Nischint Chawathe: Got it. And would you prefer to sort of just make some higher buffers or provisions and clean up the books , maybe not a write -off, but just keep a buffer and sort of move on with business as usual?
Srikanth Gopalakrishnan: See our belief is that our provisions are still quite high , given the write -offs that we have been doing , because these write -offs also have an impact on the loss given default that you have. So, that's why I was telling , we believe a prudent provision cover for a secured book will be more around 1.5%, 1.6% level. We are already at 1.8%. So, I think the buffer is already built into this.
It depends on how things pan out, whether we would want to release more provisions or keep it at this level is a call that we will take in the quarters to come.
Nischint Chawathe: Because the incremental trends are looking fine. So, it's probably just a decay, which kind of increases, right? So, beyond the point, you just maybe provide for it and ensure that the P&L is insulated.
Srikanth Gopalakrishnan: Nischint, it's a call that Board and Management will take. Like I said, we will ensure that we continue to create an appropriate level of provision.
Nischint Chawathe: Got it. We will leave it that. Thank you very much.
Moderator: Thank you. The next question is from the line of Chirag from MS Capital. Please go ahead.
Chirag Fialoke : Good morning. Thank you for the opportunity, Srikanth and Mr. Pathy. Just 2 questions. One, just bookkeeping wise, what was the write -off that was taken this quarter? Could you just help us with that number?
Srikanth Gopalakrishnan: So, about INR 63 crores.
Chirag Fialoke: Understood. INR 63 crores. Thank you so much, Srikanth. And the second, maybe slightly unfair sort of a question. But of the GNPA pool today, the INR 400 -odd crores, 10,000, 12,000 customers, just could you give us a qualitative sense on what proportion of these do you think will become a D1C1 kind of regular paying from here on. Might still stay in GNPA, but you can

still collect versus what proportion do you think you will have to take legal recourse or you will have to sort of go into repossession? Is there any sense of the stress pool, how much is it where you can sort of start collecting versus where you will have to go for a legal recourse, if my question was clear?

Lakshmipathy Deenadayalan: Yes. See, once the customer has moved to Stage -3, which we call NPA, we do not get into a concept of D1C1 at all , because we go and ensure that whether we do a partial settlement or a full settlement thereafter. So, there is no concept of collecting one due from NPA customers , because then again, the behavior aspect changes there.

So, once the customer becomes NPA, we strongly believe that there's no concept of collecting a due from them. We have to be very clea

r on settling the loan or partly paying the maybe 5, 6 installments together. So, then only the behavioral from an NPA perspective has been maintained.

Once the account becomes NPA, it's been taken over from the legal recovery team. As I said, they do 2 aspects. One is they continuously start the legal recovery process, fixing arbitrator , taking an arbitrator de cree, then going into an EP and bring ing the property to auction.

Simultaneously, the legal recovery team continues to have a dialogue with the NPA customers to either make a partial payment or full settlement before any kind of court order comes in , because that puts them in a real shame at the local village or a local town.

So, in short, there is no concept of D1C1 in Stage -3 assets, either we prefer to settle the loan or accept their part payment . And legal recourse does not stop, it starts from the day when it becomes an NPA.

Chirag Fialoke: Understood. And just to be clear, so you are saying the partial payments that happen, right, at that point in time, obviously, the loan will move away from being a GNPA to being a standard loan. That's what you mean by partial settlement that there should be large enough.

Lakshmipathy Deenadayalan: Yes, you are right. There are many cases or many instance where the customer pays all the arrears at one go. So, he comes to the current bucket. But once taken over by a legal recovery team, that account does not form a part of the collection or the business team. Once gone to the legal recovery, even customers are in current bucket, they stay in the legal recovery team itself.

But as I said, the motto of our legal recovery team is not to collect EMIs from current accounts. They push them for the settlemen ts.

Chirag Fialoke: Understood. So, the INR 400 crores, what is your sense in terms of how much of it is like a behavior problem where probably 3 -, 4-year legal recourse is not what will end up happening, but what will end up happening will be an earlier settlement? Or do you think this is a ll extremely stressed, will take 3 to 4 years to get sort of cleaned up? I am just talking about the GNPA pool right now. FIVE STAR a

Lakshmipathy Deenadayalan: So, it started as a stress 3 quarters before, maybe last March quarter and this June quarter it started as a stress in the customers' family , because the cash flows are intact, but the overleverage and the EMI capability of that family has sh ot up 5x, 10x more than what they are meant to do, so it started as a crisis, debt crisis in the family. But when other lenders does not get into a collection mode rather than they go into a cleanup mode, then it slowly moves into a behavioral aspect.

So, that is where we came across 2 quarters ago that the behavioral aspect is more pronounced than the overleverage issue s. So, that we are setting things right. We are in control of our customers, at least, for our customers. And we are bringing back a good behavior and good credit culture. That is why you see across buckets, except that slippages, except that all buckets are behaving better.

I think going forward, this behavioral aspect, to our customers, we are in a strong belief that they have been rectified and they have recovered from the behavioral aspect.

Chirag Fialoke: Understood. Thank you so much for the opportunity. Wishing you all the very best. Thank you.

Moderator: Thank you. The next question is from the line of Adityapal from MSA. Please go ahead.

Adityapal : Thank you so much for the opportunity. Just want to double click on the curing bucket. I think the last participant was also asking about that. If I were to look at all the buckets, what would be your curing rate? The reason I am asking this is that if I look at over the last 4 quarters, the proportion of your 30 DPD has actually tilted more towards the

later end of the buckets, which is causing concerns to me that. This is what I think that the credit cost has not bottomed out and will go up maybe in the next couple of quarters.

Srikanth, if I am wrong with that, you can please correct me.

Srikanth Gopalakrishnan: Aditya, these are certain housekeeping questions that we can probably take it offline. We will connect at some point of time maybe after the call , and then I will clarify to you.
Adityapal: All right. Yes. So, that's about it. Thank you so much, and wishing you all the very best.
Srikanth Gopalakrishnan: Yes. We will move ahead. We will move ahead to the last question for the day.
Moderator: Thank you. The next question is from the line of Sanjay from Bastion Research. Please go ahead.
Sanjay Ladha: Hi sir. Thank you for the opportunity. Sir, just wanted to check, as you have highlighted in the call as well, but over the last 6, 7 quarters, our Stage -2 and greater than that NPA has been increasing trend. And this is not settling off , because as we are a secured lender and what we are hearing from the industry players is that the stress is going down in the MFI sector overall. But in our case, that things is prolonging over a couple of quarters more. How should we read that?
And could you give why is the diversion between the unsecured part of the book, which is cleaning up right now, but the secured part is still going up or something sort of that, if my understanding is right, and please clarify on that as well.
Srikanth Gopalakrishnan: Sanjay, I think you also have to go to the genesis of this problem. The unsecured lenders started facing this problem beginning of last financial year, that is June quarter of 2024 , which is when they started seeing this problem. Five -Star as an institution, we never saw this problem even during the entire financial year of FY '25.
The problem for us was more tail ended, and it started creeping up only in the June quarter. And while maybe the other lenders, like Mr. Pathy said, had resorted to certain cleanup of their books, Five-Star does not believe in doing that, because that impacts the credit culture, impacts the borrower's behavior. So, from that perspective, we are still taking a lot of efforts to collect from these customers. And as we speak, the ir efforts are actually bearing fruit.
So, the question is we saw this problem for us much later than when the unsecured lenders started seeing this problem for them. And even for us, the time line or the horizon of this problem will be much protracted as compared to the other lenders. So, like we said, we have seen problems for 2 to 3 quarters. And we believe that we are probably, like, in the 3 stages that Mr. Pathy outlined in his opening remarks, we are at the end of getting our actions right.
And from here onwards, we should start seeing improvements coming through. So, one, we saw the problem much later than the unsecured lenders, and it has been for a much shorter duration as compared to the unsecured lenders.
Sanjay Ladha: Why am I asking is, in the past what I have looked for the book , and what I know from in the numbers on your side, there is no period of time which you have taken 3, 4 quarters over a long period of time. So, the stress is continuing for a longer period of time , compared to the history which we have in the past. So, therefore, because as we speak , rightly said that we are as a secured lender , so the problem is not that way. But this time the stress has been longer than compared to our history.
Lakshmipathy Deenadayalan: Yes, you are right, which we have told 2 quarters before itself , this is the lenders -made crisis. This is the first lender -made crisis ever , any lender would have seen. The earlier crisis was not lender -made crisis, it's a health crisis and economy

crisis , and De-mon was a short -lived crisis.
So, this is a lender -made crisis. If you want to be short -lived, as I said, the only way for short -lived this crisis is clean up the entire book and start afresh. We do not want to do that.
We do not want to do that. I said in the opening remarks itself, it's a very easier way . To answer your question, this quarter, you will see INR 1,000 crores of write -off and we start afresh. We do not want to do that , because that has not P&L implication. That also has an implication in the credit culture and the behavior of the customers whom the others are going to lend in the future.
So, we want to be a very prudent and a straightforward lender, educating the customer that how important the EMI has to be paid back , and how important your credit score is for you to go up. So, it takes a little bit more time. Be patient with us. As I said, the fruits are we were able to see in the current quarter itself. Maybe 1, 2 quarters, we will see back our good quality as well as the good growth.
Sanjay Ladha: Sir, my last question would be on that, in the call, you said that we have taken larger steps. We are doing all the right things which we have to do. And from that perspective, I am asking that since the industry is growing at a healthy pace, we see the disbursement growth is going down. You already alluded that you would see the growth going forward. But since all the steps has been taken, from a couple of quarters away, did we see the past growth, which we used to do at 30%, is the…

Srikanth Gopalakrishnan: Sanjay like we said, s ee, at this point of time, like, what we have been telling, we are setting our collections in place. We can keep talking about why we are facing the stress for maybe 1 more quarter than what others face. But yes, we started seeing this late, and we have taken cognizance of the problem. We know why the problem was caused . We have taken the necessary actions to address this problem. The actions are already showing us the results. So, we are almost at the fag end of getting our strategies and actions in pla y.

Now post this, I think we will definitely start accelerating on disbursements and growth. What that number will be, like we said, we will probably come back to you over the next 1 or 2 quarters. This is probably not the right time for us to give you a number , because we also need to get the complete confidence that this entire stress is behind us. And then it will give us the confidence to push up on the growth. So, you will have to wait for maybe another quarter for us to come back to you with what our gro wth plans can be for the future.

Sanjay Ladha: Thank you so much, sir, for answering the question. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference to Mr. Lakshmipathy sir for closing comments. Thank you, and over to you, sir.

Lakshmipathy Deenadayalan: Yes. Thank you all for patiently listening our voices, which we reflect the ground -level activities what we have been doing. So, let me repeat what I said in the opening remarks.

We do not look for a short -term recovery. We want to be a long -term and fully recovered lender from this debt crisis and behavioral crisis. So, we are very confident in saying that we are at the fag end of putting all right things and seeing all right results in our favor.

The last, but the most easiest, is to accelerate the growth. Let me not comment on numbers, let me not comment on guidance on that, as I said in the opening remarks itself. Maybe next quarter, we will start working on accelerating growth . FIVE STAR a

So, thank you all. So, see you soon on the Q4 best colle

ctions numbers with a very optimistic note. Thank you.

Moderator: Thank you. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line. FIVE STAR a

Business Finance Limited

Call: May 2026

(no extractable text — likely a scanned image PDF)

Call: Jul 2026

31st July 2026

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: FIVESTAR BSE Limited
Listing department,
First floor, PJ Towers,
Dalal Street, Fort Mumbai 400 001
Scrip code: 543663

Sub: Transcript of the Earnings Conference Call for the quarter ended June 30, 202 6

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on July 27, 202 6.

The transcript can also be accessed from the link: https://fivestargroup.in/investors/

Kindly take the above on record.

For Five -Star Business Finance Limited

Vigneshkumar SM
Company Secretary & Compliance Officer

“Five-Star Business Finance Limited
Q1 FY27 Earnings Conference Call ”
July 27, 2026

MANAGEMENT : MR. LAKSHMIPATHY DEENADAYALAN – CHAIRMAN
AND MANAGING DIRECTOR
MR. SRIKANTH GOPALAKRISHNAN – JOINT MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER
MR. PRASHANTH SREENIVASAN – CHIEF , TREASURY
AND INVESTOR RELATIONS

M
ODERATOR : MR. SANKET CHHEDA – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Five -Star Business Finance Q1 FY 27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch-zone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital . Thank you, and over to you, Mr. Chheda.

Sanket Chheda: Hi everybody. G ood morning to all of you. Welcome to Five -Star Q1 Earnings Call . We have with us the entire management team today Mr. Lakshmipathy Deenadayalan, who is the Chairman and Managing Director. Then we have Mr. Srikanth Gopalakrishnan, who is Joint MD and CFO; and Mr. Prashanth Sreenivasan , the Chief of Treasury and Investor Relations.

Without further ado, I'll hand the call over to Lakshmipathy sir for his opening remarks, and then we will follow that up with question and answers. Over to you, sir.

Lakshmipathy D.: Yes. Thank you. First of all, let me welcome you all for this Q1 Earnings Call Financial Year 2027. At the onset of strong momentum, I feel delighted to present the performance of Five -Star Business Finance for the quarter ended June 2026. The quarter panned out in line with our expectations, which v indicated the actions we took to overcome the challenges we faced.

The most heartening facet of this quarter is the strong traction in disbursements that we have achieved. We clocked our historical best in disbursement with quarterly disbursements coming in at INR 1,496 crores, a growth of 23% over the previous quarter and 16% over the previous year.

We ended the quarter with an AUM of INR 13,722 crores, which is a sequential growth of 4% for the quarter. This clearly shows that Five -Star is on the growth trajectory. And at this p ace of quarterly growth, we should be able to achieve our full year gr owth guidance very comfortably.

Collections continues to remain robust despite being the seasonally soft quarter. For the quarter ended June 30, 2026, we clocked a unique customer collection efficiency of 97.9% versus 98.1% last quarter , with our x -bucket collections coming in at 99.2% ve rsus 99.3% in previous quarter.

On the result of this, our current book continues to improve and stood at 83.30% as compared to 82.69% as of previous quarter. We also saw a good improvement in our 30- plus book, which reduced to 12.38% as compared to 12.69% in the previous quarter.

With our strong collections, we should see asset quality metrics consistently improving in the quarters to come. Our slippages remained flat at 0.70% compared to the previous quarter. And despite the seasonally soft nature of this quarter, our credit cost dropped sequentially to 1.85% for Q1 financial year '27 from 1.88% for the Q4 financial year '26.

On the borrowing front, our all -inclusive cost was at 8.33% despite not so favou rable liquidity conditions. This has also helped bring down our cost of fund on the book from 8.95% for Q4 to 8.80% for the Q1 this year. Not only did this ensure our spreads to remain intact despite drop in our yields in last October 2024, but this also shows the strength of our franchis e from the perspective of external stakeholders.

On the whole, it has been a great and satisfying quarter for Five -Star and sets the platform for the company to achieve a strong trajectory across the facets of growth, profitability and quality in the quarters to come.

I also want to take this opportunity to state that notwithstanding whatever has been happening over the last year or so, both external and internal, Five -Star has been able to demonstrate very strong numbers across various metrics.

This clearly shows the strength of the institution that we have built and re -establishes the fact that we are not an institution that is dependent on few individuals. The individual s may come and go, but the institution will go on forever.

On this positive note, now I would like to hand over to Srikanth.

Srikanth Gopalakrishnan: A very good morning to all of you. Mr. Pathy has outlined a lot of metrics that really gave us tremendous encouragement during this quarter, and it has been a very, very encouraging quarter for all of us. During this quarter, one other milestone that we crossed is to achieve 500,000 active loan customers as on 30th June, which is a very significant milestone in the journey of the company.

From a branch perspective, we continue to keep adding branches, primarily in the newer states. We added about 12 branches during this quarter, largely coming in from the state of Maharashtra and ended June with about 856 branches, which is a very strong infrastructure that we can build upon in the quarters to come towards achieving our growth targets.

Our yields continue to remain consistent in line with the drop in yields that we did about a couple of years back. You will see about 10- 15 basis points of reduction in yields on a quarterly basis.

So there was a 12 basis points drop in our yields. However, this was more than compensated by the drop in the average cost of funds, which dropped by about 15 basis points, resulting in a spread of 3 basis points higher compared to the last quarter.

The NIM continues to be flat. We had achieved an ROA of about 8.11% for the current quarter, ROE of close to 14.5%. From a collections perspective, 2 metrics stand out. Mr. Pathy had already outlined this in his opening remarks, but I just want to reiterat e the fact that achieving a

60 basis points drop in the 1- plus number and achieving a 30 basis points drop in the 30-plus number, especially in a softer quarter like Q1 , shows that we are completely back on collections and the collections is on a very strong trajectory.
Our provision coverage on the Stage 3 book continues to remain healthy at over 40%. And on the overall AUM, we are close to about 1.8% of provision coverage.
On the profitability side, we ended the quarter with about INR 271 crores of PAT. And our net worth as of 30th June stands at about INR7,653 crores.

As we said, it has been a very strong quarter for us after 4 quarters of some challenges that we faced. This quarter has been immensely satisfying and we are extremely confident in our mind that we will be able to achieve all the guidances that we gave you comfo rtably in the quarters to come.
On that strong note, we would like to take any questions that any of you may have. Thank you so much.
Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Renish from ICICI.
Renish: Congrats on a good set of numbers. Just 2 things, sir. First on the opex front, right? So I understand we have been doing process restructuring and making investment towards setting up collection infra etc. So just wanted to understand what will be the new steady state cost to asset for us, right? I mean, historically, we used to operate at around 5% which is now running at almost 6%. So when do you see operating leverage kicking in? And ultimately, wher e does cost to asset settling in over the next 5 to 6 quarters?
Srikanth Gopalakrishnan: Renish, this was a point that we had addressed this even in the earlier calls as well. So , this year, given various conditions around us, especially with a few other competitors coming in, we have to be a little more competitive from an employee compensation perspective. So to that extent, we are not guiding the market for any strong ope rating leverage to kick in.
Whatever operating leverage kicks in will possibly be taken up by the increased expenses that we'll have to incur. So the opex for this year will largely stay flat as compared to last year. But from next year onwards, certainly you will see operating leverage starting to kick in. From the perspective of total assets, like you rightly said, we are at about 6%.
I think we will stay at around 5.75% to 6% for this year. But in a steady

state, this number should
drop somewhere close to about 5.25% to 5.5%. But that will happen more -- 5.25% to 5.5% in a steady -state scenario, but that will happen more from FY 28 onwards and not during this financial year.
Renish: Got it. Got it. No, this is very helpful. And second, on the asset yield part, right? So do you feel as of Q1, the large part of asset repricing at lower rate is over and maybe going ahead, the yield contraction will be limited to incremental growth?
Srikanth Gopalakrishnan: That's right, Renish. The large part of the contraction has already happened. In fact, for Q1, if you look at it, we are at less than 22.5%. And today, we are onboarding loans at close to 22.5%. And given some adjustments for the NPA interest reversals, th is number should largely settle
around the 22.25% is our thought. So maybe you will see this contraction of another 10- 15 basis points for the next couple of quarters, should settle somewhere around the 22.25% levels.
Renish: Okay. And just last thing, what is the lending rate as of now? It's 21.5%?

Srikanth Gopalakrishnan: No, no. We are onboarding customers at an average of closer to 22.5%. The range is between 21.5% to 23%, but the average yield on disbursements will largely come in at around 22.5%.
Renish: 22.5%.
Srikanth Gopalakrishnan: Yes.
Renish: So then why should yield go down? I mean, if the disbursement yields are at par with your Q1 yields?
Srikanth Gopalakrishnan: Interest reversals on NPA s, Renish.
Renish: Okay. That's the only thing. OK, got it.
Moderator: Next question comes from the line of Viral Shah with IIFL Capital.
Viral Shah: Thanks for the opportunity and congrats on a good set of numbers. My first question is just a follow -up on the previous question. So Srikanth, you mentioned the yield compression largely being coming from, say, the interest income reversal. So what is the extent of further flow - throughs that you expect in the Stage 3 over the next couple of quarters?

Srikanth Gopalakrishnan: The slippages should start trending down, Viral . Given the seasonally soft nature of the quarter, we saw the slippages to be flat, but I think you will start seeing slippages coming down in the quarters. Our recoveries are also actually going up. In fact, during this quarter , between write-off and NPA settlements, we clocked a recovery of about INR 35 crores as compared to about INR 26 -27 crores of last quarter.

So you will also see a pickup in recoveries in the quarters to come. From that perspective, I think you will see slippages coming down and NPAs also starting to trend down in the quarters to come.

Viral Shah: Got it. And Srikanth, just to clarify, we do not, as of now, resort to an ARC sale, right?

Srikanth Gopalakrishnan: No. We do not resort to any ARC sale. The second point is our credit cost is also reflected at gross level, which means we are not netting off the recoveries that we are getting on write-off loans on our credit costs. We are actually showing it as other income in the top line. So these 2 aspects need to be kept in mind because there are divergent practices in the market.

Viral Shah: Got it. And Srikanth, my second question is basically with regards to -- sorry.

Srikanth Gopalakrishnan: No, go ahead. Sorry.

Viral Shah: Yes, my second question is with regards to the asset quality stress. So over the weekend, we have comments from some other player . Can you just delve deeper into, if at all there are any asset quality stress that you are seeing in y our portfolio or in the market? And also whether this is in the early buckets or this is more of a flow -through into the, say, harder buckets or an NPA

of the existing overdue accounts? And also whether if you can give some sense of what is the rollback

rates in the early delinquency bucket accounts?

Lakshmipathy D.: So from an asset quality perspective, I'll ask Srikanth to check the rollback. I don't know whether he has the data on his hand. But let me take up the first point. On the asset quality front, we see very comfortable collections going forward. I'm not seei ng this quarter alone. For last 7 months or 8 months in Five -Star, our col lections trends are going up.

So that clearly indicates the cash flows of our customers are intact. But I want everyone to keep 2 things in mind. One is on the energy cost, which has gone up, which may even go up. Second is on the liquidity front, what the regulator is going to take a call on the price hike.

So these 2 things have to be kept in mind. But at current circumstance, we see no issues from a collections perspective. As Srikanth said, the slippages, the credit cost and NPLs will start trending downwards for quarters to come.

Srikanth Gopalakrishnan: Viral, on the rollback, generally, we see at least about 4% to 5% of rollbacks happening in the softer buckets. By that, we mean about the 31 to 60 and the 1 to 30 bucket and about 2% to 3% happening on the 61 to 90-day bucket.

So ours is more of a stabilization journey rather than too much on the rollback because these are not customers who are -- who can pay multiple installments in a month and roll their account back, which is why the collection efficiency or the unique custom er collection efficiency becomes extremely important, where you're holding them in the same bucket and controlling flows, rather than allowing for flows and then rolling back the customers.

Viral Shah: Got it, makes sense. Thanks a lot and all the best .

Moderator: The next question comes from the line of Abhijit Tibrewal with Motilal Oswal Financial Services Limited.

Abhijit Tibrewal: Just to take the discussion forward. Sir, on asset quality, just looking at the net slippage number, largely stable or in percentage terms, a minor improvement sequentially. Now the only thing I'm trying to understand here is that in the past, we have admi tted that a large part of the stress that we have seen was actually spillover from microfinance where we also had overlap with microfinance customers.

Now that in microfinance, we are very clearly seeing an up cycle, where asset quality is fast normalized, credit costs have normalized , how many more quarters do you see from here where, I mean, slippages start coming down? And maybe what would be a normalized slippage number when a few quarters do wn the line things are normalized ?

Lakshmipathy D.: So as I said in last call, same thing I'll repeat. Definitely, our collections are standing by, not in a few months. In a few quarters, we are able to see our collections trend going up pre-crisis level. That is why we started our growth engine to come back. So we are very clear that collections

are more important than growth. So we come from that conservative background. So before

kickstarting the growth, we wanted to ensure the collections are back and back with a steady set of numbers for a little longer period of time.
So having said this, on the asset quality, I said that coming quarters, especially in September, December and March for this financial year, you see all these 3 numbers trending down, slippages, credit cost and NPLs .
The guidance what we have given for the credit cost for this financial year, the credit cost will be in somewhere between 1.7% to 1.9%. But already the trend is lower than what we have said in the higher side. So you see the trend goes towards 1.7% more li kely in the quarters to come.
Srikanth Gopalakrishnan: And Abhijit, we have also clearly guided you on the gross NPAs, which will fall to sub 3%. So that will be on account of obvious drop in slippages, which should start trending down. But we would also l

ike to see 1 or 2 quarters of how the slippages trend before giving you a number that we can maintain in the steady state. But right now, our guidances are on the credit cost and on the NPA side.
Abhijit Tibrewal: Got it. That is useful. The other is, sir, on the business momentum that you've seen this quarter, right? I mean disbursements obviously reached a record level in this quarter. And I think from here, from our commentary also, I could make out that the quar terly growth s hould keep improving from here.
So I was just trying to understand if you could break down what is it -- what are the key drivers of this acceleration? Basically, how much is coming from stronger demand versus, let's say, higher approval rates, branch productivity or any geographic expansion that is planned?
Srikanth Gopalakrishnan: Abhijit, the first point to keep in mind is there is no dearth of demand in this segment which is something that we have been consistently reiterating. The demand was always there. Given the challenges that the company faced over the last 3 to 4 quarters, we had consciously put in certain measures, which possibly had a little bit of an impact on the approval rates and consciously slowed down on disbursements , because as a company, we take a very conservative stance that asset quality comes first, followed by growth. So it is extremely important for us to put some of the challenges that we faced in order , before resorting to growth. So demand was never a problem.
The split of verticals between business and collections has also led to significant increase in productivity because the same person was doing both busine ss and collections in the past. And if there is some level of stressed accounts that the person is managing, it also shows up negatively on the disbursements with the concerned employee or the branch can do. Now that is completely addressed because you have a separate team with the requi site expertise who can actually do -- who are doing the collections on difficult accounts, which frees up a lot of space for the business people to focus only on bringing incremental log-ins and incremental business.

So the lead indicators that we are seeing are very strong traction in logins, very strong traction in business. And when we mean business, we talk about sanctions converting into MODs, which will eventually convert into disbursements. So these are some act ions that we have taken, which has led to significant increase in productivity, and we are very confident that this will continue to sustain or keep going up in the quarters to come.
Abhijit Tibrewal: Got it, Srikanth sir. And just one last question. While you've already spoken about yields that maybe for the next couple of quarters, there could be anywhere between 10 to 15 basis points compression in yields. And what's the view on the cost of borrowings? We've seen that keeping improved for the last 4-5 quarters now. What's the view on cost of borrowings from here?
Srikanth Gopalakrishnan: I think it will largely stay around -- the incremental cost, Abhijit, will probably stay somewhere around the 8.5 levels because we also have one more tranche that we need to avail from ADB.
We'll have to time it right because that's an ECB and there is an impact of hedging costs that hits there. But ADB being ADB, we can't afford not to take that money.
So my sense is, I think our incremental cost of borrowing should be somewhere around the 8.5% level, which means we still have another 20 -30 basis points of compression that can come in the borrowings over the period. And all this predicated on the fact that there will be no repo rate increases.
So if there is a repo rate increase, then that will definitely impact the cost of borrowings in a negative manner. So it's a very evolving situation. But at this point of time, we feel confident

that the cost of borrowing should start -- should at least tr end down by another 10-15 basis points for the year.
Moderator: Next question comes from the line of Chandrasekhar Sridhar with Fidelity International.
Chandrasekhar Sridhar: I have a few questions. Have you done a check again on the customer base scrub to see the extent of leveraging maybe any time now versus what we have done in the past since we've done it?

Any updates which you coul d share if you've done on that?
And the context I'm trying to understand also around this is that what your thoughts are around
-- obviously, gold loans have grown now substantially largely INR 20 lakh crores. Is there a
possibility that given the overlap of our customers with gold loan and MFI that some of the customers could be using the gold loans to repay us and showing up in the better quality?
Lakshmipathy D.: Chandra, on the gold loan front, see, generally, gold loan is fully secured. So we don't have to worry about gold loans from a repayment perspective, from a collections perspective. The point what you said, the gold loans or smaller loans, what that gets t ranslated into repayment of other
NBFCs or banks. This generally happens. This is not -- it's a seasonal quarter for this.
This happens if the cash flow of the customer temporarily goes for a halt, he uses the small loans
like around INR 50,000 or sub INR1 lakh, either from personal loan or microfinance or gold to

take up the cash flows what has been dipped. So that's a phenomenon that we have to live with,
and we'll see across all quarters.
On the scrub part, see, from our underwriting, we always keep this saying that we don't have any
control that customers overleverage can again kick in. We are very conscious, and we have taken
all measures in the last 12 months. A little -- it was a bit sl ow from a market perspective. But
from our perspective, we have taken all measures to face the next overleveraged crisis that may
hit whenever it wants to hit.
So from that perspective, we are very strong to face the next overleverage crisis. We can't control
the customers as long as the lenders are obedient enough or disciplined enough to have the
guardrails what their associations have been put in place.
So from our side, we see the leverage as what we used to see a year back as trending lower,
either through write -offs, what they have done or either through the strict guardrails what they
follow, we see the leverages coming down. But the gold loans keep going up. That's the trend
that I can share with you all saying that loans other than gold is coming down from our
customers, but gold loan as a trend is going up, maybe the value would have also added to that.
Srikanth?
Chandrasekhar Sridhar: Yes. So I'm just trying to understand whether that helps. I mean it maybe helps on a quarterly basis, as you say, typically, you do find that. But just is that -- I mean, is that masking maybe
the underlying -- maybe things have not improved as much, but s ort of getting masked because
of the value of the gold loans going up. So just trying to get some sense around that?
Srikanth Gopalakrishnan: Chandra, not in the last 6 months or so because all of us know that the gold price corrections have been happening in the last 6 months. If you had told this last year, we would have probably
agreed with you because the growth in gold loans was significantly higher because of the prices.
But in the last 6 months, it's more correction, while gold loans are still growing, but not at the
pace that th ey were growing maybe prior to 6 months back.
So I do tend to agree that to some extent, what you're saying is right, and that will be largely a
behavioral trend across not just in the last 12- 18 months, but any time you will see that temporary
cash flows are being addressed through microfinance and gold loans.
B

ut I would say in the last couple of quarters, we are definitely seeing that the guardrails that
microfinance companies have implemented has brought down the proportion of overlap in
microfinance lower. I think the number -- while we have not done it for this quarter, but it trended
down from ab out 20% -21% to about 16 %-17%.
And on the gold loans also, given the correction in prices, it's not that people are borrowing big
in gold loans to repay us. What we are also seeing is -- and the other point, I think, to keep in
mind is we have always maintained that the cash flows of th ese customers were never a problem,
even in the last 12 -18 months. It was more the behavio ur which got a little bit impacted because
of write -offs being done by unsecured lenders, and we had to correct the behavio ur. So today,

what we believe is that the cash flows have largely remained flat, while they may not have shown
too much of improvement, but there is adequate cash flow in the hands of the borrowers to repay
the secured lenders.
Chandrasekhar Sridhar: Understood. Maybe a couple of more questions which I had. One is that just around thoughts around ticket sizes. There's been obviously a slight push up, one, because of inflation and one
sort of consciously. But how do you just think about that in the medi um term? That's one. And
second, thoughts on any diversification - sort of broad sense maybe over the next 1 or 2 years

and what you're thinking of?
Lakshmipathy D.: Chandra, on the second point on -- multiple product, I've been talking with all investors for a long time. So we are very clearly thinking 2 -3 products , out of that one product which we wanted to go first, maybe in next 3 months or 6 months . We will definitely get into one of the products because one of the learnings that what we have learned in this crisis is not to be in a single product.
However, the depth is there for the growth in this product, a single product is not going to help you during the crisis time. So keeping that in mind and the Board's emphasi s on multiproduct, we are also thinking to get into one more product. At the appropriate time, we will come to the investors and explain what is the product and what is the rationale for that product.
Srikanth Gopalakrishnan: So Chandra, on the ticket sizes, like you rightly said, it's a combination of inflation and some bit of conscious movement to move towards slightly higher ticket sizes. And as we have been guiding in the past, we definitely want to operate at 25-50 -20, whi ch will be 25% at around INR 3 lakh ticket size and 50% around the INR 5 lakh ticket size and the other 25% closer to the INR 10 lakh ticket size. So that's the kind of mix that we would be comfortable with. And we have been taking steps, which is getting reflected in the portfolio mix.
Chandrasekhar Sridhar: Sure. Can I squeeze in one more question?
Lakshmipathy D.: Sure.
Chandrasekhar Sridhar: Yes. So just lastly, I mean, I think my conversation around the spreads, it seems aside from the interest reversal on the NPLs and which should sort of start stabilizing. It seems that -- I mean, 12 months out spread should not -- should be -- I mean, you say policy, but I mean, assuming policy is where is, we should see spreads where they are today because sort of the gap between -- you still have about 30 bps left on the incremental cost of funds?
Srikanth Gopalakrishnan.: That's right, Chandra. Spread should largely remain flat to current levels for the next few quarters, assuming no policy actions.
Moderator: Next question comes from the line of Raghav Garg with Ambit Capital.
Raghav Garg: I have a few questions. One, your repayment rates have gone up. So that's one question. Why have they gone up? And then a follow -up question to that is that when I look at the duration mix

of the book, the share of 3 to 5-year loan is going up. But at the same time, your repayment rates have also gone up. So I was just trying to reconcile as to why -- how do you reconcile these 2 things. So those are my 2 questions. And then I have another question.
Srikanth Gopalakrishnan: So Raghav, the repayment rates have gone up primarily due to stronger collections as well. So if you're actually comparing against the last 12 months, the repayments were low because obviously, the collection efficiencies were more around the 96%, 97% leve ls. But -- the point is with the collections becoming stronger, that will get -- that will see slight in creases.
On the other side, I think the repeat customers who are actually coming -- we had a policy where any kind of customer, even if it's the best customer in Five -Star with zero DPD for any of the other institutions, we were actually asking the customer to prepay their entire loan before we can sanction a fresh loan, which was becoming very difficult for t he customers.
So they were actually going out to the other NBFCs, which increased the repayment. We have made some policy changes, stricter policy changes where at least the best customers, we will not ask them to repay their existing loan, but we'll give the top up on top of it. So that is something which should start helping us from a repayment rate perspective going forward.
Having said that, I think while the number currently is at about 30% or closer to 30% Raghav, this number should largely trend somewhere around 27 %- 28% in the normal sense. That's why we say our behavioural loan tenor will be somewhere around 4 -4.5 years.
Raghav Garg: Understood. That's helpful. The other question is that -- so like I mentioned, the share of 3 to 5-year loan has been going up for you and at the same time, the share of less than 1 year is coming down. Theoretically speaking, does this help you in terms of increasing the overall book IRR from an accounting perspective because the share of th e longer -term loans is going up?
Srikanth Gopalakrishnan: I just want to understand where you're getting this -- where you're deriving this data from Raghav?
Raghav Garg: So you mentioned the AUM by loan duration in the presentation, right?
Srikanth Gopalakrishnan: The vintage you're talking about, right?
Raghav Garg: Correct. Yes.
Srikanth Gopalakrishnan: See, the vintage will obviously go up because as we keep putting more and more new loans and the loans start getting seasoned, so this has nothing to do with less than 1-year loans. This is more the vintage on the book. This is not the tenure of the disbur sements that we do.
Raghav Garg: Of course, this is the tenure on the outstanding book, correct?
Srikanth Gopalakrishnan: Correct. So the higher the disbursements, the momentum in disbursements pick up, you will see

increase in less than 1 -year portfolio because every quarter, we are disbursing so much, right? This quarter, we disbursed close to INR 1,500 crores, which will come up in the less than 1- year

book. But most of our loans, I would say, almost 85%, 90% of our loans are disbursed for a tenure of 7 years.

Moderator: Next question comes from the line of Rajiv Mehta with Yes Securities.

Rajiv Mehta: Congratulations on good numbers. My first question is, how should we look at write -offs trend in the coming quarters? And what is the nature of the write -off? Is it driven by policy? Or is it driven by your definition on certain customer profile or collate ral profile? Because see Stage 3 most likely will keep on going up because there is a net slippage happening.

So should we assume that even the write -off will keep on going -- will keep in creasing in the same proportion or there can be a scenario wherein the write-off will stabilize or will start

to
normalize a bit?

Srikanth Gopalakrishnan: For this year, we had already provided the guidance. We should be seeing write -offs for the full year at somewhere around INR225 crores to INR 250 crores, which is largely the run rate that we did in the first quarter. We did about INR 60 crores of write -offs in the first quarter. You should see that number largely remaining flat for the rest of the quarters as well.

So don't assume too much of benefit coming in the write -offs for this year because there is also a good amount of portfolio in the 61- to 90- day bucket. There will be slippages. And typically, these write -offs are done purely for 2 reasons. One is from a tax perspective, it gives us the benefit.

The second is in terms of showing the appropriate level of NPAs on the book. But these are only technical write -offs. There is no question around the recoverability of these write -offs. And like I said a few minutes back also, we are continuing to show good amount of recoveries in our write -off. For example, this quarter, we recovered about INR7-8 crores on the write -offs.

So we will definitely get back these monies. But from a tax and the appropriate level of GNPA positioning perspective, we'll continue to keep taking write -offs. What it will be in the steady state, Rajiv will probably come back to you after 2 to 3 quarters because we also want to see how the good collections in the softer buckets are holding up and what is the impact of that on the portfolio. Now if you start seeing flows decreasing and our softer buckets showing better
trends, then eventually, this write -off should start trending down at least in the coming years.

Rajiv Mehta: And Srikanth, your guidance of credit cost, which is 1.7% to 1.8% for the whole year, does it build in any building back of coverage on Stage 1 and Stage 2 because we have drawn down the
coverage in the last 4, 5 quarters. And when I look at the fresh flow rate, they have completely normalized. They'v e significantly normalized now.

So at least the provisioning from a fresh flow rate point of view is coming down, write -off will stabilize. Then if you're still guiding for a 1.7% to 1.8% credit cost, are you trying to also imply that you will build back coverage in Stage 1 and Stage 2, which is currently low?

Srikanth Gopalakrishnan: I'll answer it slightly differently. We will endeavor to maintain an overall coverage of 1.75% to 1.8% on the book Rajiv, whether it's a combination of pushing up the Stage 1, Stage 2 coverage or pushing up the Stage 3 coverage, I think that's a call that the company will take depending on how the portfolio mix looks. But definitely, we will ensure that we maintain our overall coverage on the book at around 1.75% to 1.8%.

Rajiv Mehta: And if the current flow trends were to hold and once the write -off stabilize, FY 28 obviously should be a much better credit cost year for us?

Srikanth Gopalakrishnan: Yes. Whatever guidance we gave you is for the current year, it will -- in fact, we spoke last time also. From FY28 onwards, it won't be at 1.7%, 1.9% levels, which will -- even the highest range will be 1.7%, possibly around 1.6% to 1.7%.

Rajiv Mehta: Okay. And when you say that the disbursements are now improving and the asset growth is improving, this is without changing any credit filters or credit policies on the ground, right? It is purely driven by the fact that the business people are sourcing mu ch better and with the same
level of credit visibility?

Srikanth Gopalakrishnan: Absolutely. It's improvement in productivity, but no impact on quality.

Moderator: Next question comes from the line of Kunal Shah with Citigroup.

Kunal Shah: So firstly, when we look at it overall in terms of the trends in 1 plus and 30 plus, looking at the collection efficiency wherein we are, and as you mentioned like maybe t

here is no change in the
credit filters, how should we see this overall settling? And in terms of your credit cost guidance, this is more in terms of controlling the forward flow once it gets into the 1 or 30-day bucket or maybe just preventing the flows itself into this segment?

Srikanth Gopalakrishnan: Kunal, the first point is it's preventing flows into this segment because that is where we are focusing very sharply on the current book. And you see our current book collections coming in at upwards of 99% consistently for the last few quarters. So the cl ear thought process of the company is how do we control the flows right from the start rather than allowing the flows to happen an d controlling it in the bucket.

Controlling a current flow, flow from a current bucket is a lot easier than controlling a flow from a 1 to 30 bucket. So very clearly, the thought process is how do we keep our current book more robust and how do we keep our 30-plus more robust. We had sor t of given a guidance last time. I think we expect our current book to be about 85% by the end of this year. It's currently at about 83.3%. And you will also start seeing the 30-plus come down less than 12%.

Kunal Shah: Yes, that I agree maybe from a near -term perspective, but maybe as the entire portfolio matures, where do ideally maybe with this 99.2% standard bucket collection efficiency, where should we see this number settling ? Okay, maybe this 15 %-odd and 12 %-odd 2, 3 years down the line, where does it settle down with the -- maybe the better underwriting, which we are doing it currently?

Srikanth Gopalakrishnan: So the thumb rule that we are working on, Kunal, is about around 90% to 91% of Stage 1 assets, which will be somewhere around let's say, 87%, 88% of current and about 3%, 4% of 1 to 30.

So Stage 1 is somewhere around 91% -- 91% or so. Stage 2 hovering somewhere around 6% to 7%, which will be a combination of maybe 3%, 3% or 3.5%, 3.5% in the 31to 60 and 61 to 90 - day bucket.

And NPAs at sub -3%. So in a steady state, if you're talking that we are guiding you for an NPA of around 2.5% or so. So I would largely put it as Stage 1, somewhere around 91%, 92%, Stage 2, somewhere around 6% to 7%, Stage 3, somewhere around 2.5%. That s hould be the sustainable business model, at least for the short to medium term.

Kunal Shah: Perfect. That helps. And secondly, on the employee side, so is it more like just the retention and the upgrading of the structure which has happened or there is ESOP component to it and that would be more of a one -off because you are now indicating in term s of the operating leverage, not much to come through. And we have seen employee costs going up quite significantly. So this is purely the rebase of the existing structure?

Srikanth Gopalakrishnan: That's right, Kunal. See, these are people at the branch level, who could be branch managers, supervisors. To them, ESOPs are not the most attractive. I'm not talking about the senior supervisors, but even the mid-level supervisors. ESOPs are not the most attractive form of compensation. So this will be more like realigning, revising their salaries, giving them slightly better incentives for the performance, which will push up the cost. So nothing to do with ESOPs.

Kunal Shah: And in terms of the attrition, how it is helping us to bring it down, if you can just give an example, maybe given that now we are rebasing this or maybe providing more incentives, how has the attrition behaved?

Srikanth Gopalakrishnan: Too early to say, Kunal. As of now, it's largely flat to what it was. But our belief is, I think once we start seeing more quarters where people start doing business, the excitement starts coming in, I think the retention will be a lot higher and the attri tion should start going down. So possibly, we can give you some trends maybe 2 -3 quarter

s down the line.

Kunal Shah: Okay. Got it. And on overhead cost, would there be also an element of investments, which will again lead to not much of an operating leverage out there o r maybe the only thing is maybe the overhead benefit is getting offset by the employee cost increase, which will be there?

Srikanth Gopalakrishnan: It's primarily employee cost, Kunal. I don't think we are expecting to put too many branches this year. We'll continue our normal run rate of about 50- 60 branches. So it's not like the overheads are going to push up the cost. It's primarily on the personnel expenses.

Moderator: Next question comes from the line of Aditya Miglani with Burman Capital .

Aditya Miglani: Congratulations on the good results and momentum. My question was regarding the repayment rates, but that has already been asked.

Srikanth Gopalakrishnan: We can move to the next one.

Moderator: Mr. Miglani please go ahead.

Srikanth Gopalakrishnan: No, no. His question has already been answered. So please move to the next one.
Moderator: The next question comes from the line of Nischint with Kotak.
Nischint: Maybe if you could just reiterate a bit on the expense side. What kind of an expense growth are we looking at this year? Would it kind of track w hat we saw in the first quarter or would it kind of accelerate from here on?
Srikanth Gopalakrishnan: On a year -on-year basis, Nischint , I think it will largely track what you saw in the first quarter. So we are expecting somewhere around 20% to 21% growth compared to last year's numbers.
So we are not expecting anything abnormally from here onwards because some of it has already been bui lt in, in the first quarter in the form of increments and appraisals and all that. So largely in line with the Y -o-Y trend that you have seen in this quarter.
Nischint: And just one -- the closing line that Mr. Pathy made about employees sort of being volatile or coming in and going, anything kind of specific happening out here?
Lakshmipathy D.: Nischint, nothing specific. I just wanted to give confidence to the market and to the shareholders that Five -Star is not an institution depending on a few individuals, but it's depending on its 15,000 employees, which will show the strength. That's what we have communicated through results also, nothing specific.
Nischint: Got it. Got it. That's very clear. And just one last clarification. The write -off of INR 60 crores for the quarter is something that you will probably expect to continue for the rest of the year. But from a coverage point of view, probably ECL coverage can remain at these levels. I think t hat's what we are seeing, right?
Srikanth Gopalakrishnan: Largely, yes, Nischint . At an overall level, ECL coverage will remain at around the 1.75% to 1.8% levels and write -offs also will largely remain stable at around the INR 55 crores to INR 60 crores every quarter.
Nischint: Got it. And the 20% loan growth guidance stays, right?
Srikanth Gopalakrishnan: Absolutely.
Moderator: Next question comes from the line of Divyansh Gupta with Latent PMS.
Divyansh Gupta: Two questions on the liability side. If I look at the absolute amount of debt, debt has gone down from March. So 2 questions, how to read into this? And second is that while the -- let's say, the cost of debt is lower is because we are being very choosy and let's say, optimizing on our P&L. But as we want to lever up the balance sheet, what should we expect as a more realistic cost of fund?

Srikanth Gopalakrishnan: So Divyansh, I think both the questions are related. We are obviously being choosy currently given our focus on the cost of funds. But at the same time, if we want to lever up the balance sheet, we have adequate lines available where we can push and ge

t. T hat's why we are not even guiding you for an 8.3% incremental cost. We are guiding you for an 8.5% incremental cost. So that is something that will come in because of our intention to lever up the balance sheet as and when we need. This quarter, this was sufficient because we also took quite a bit of monies in the last qua rter. For example, last quarter, we raised almost close to INR 1,000 crores. And that liquidity was sitting on the balance sheet. And typically, Q1 tends to be a little muted from a additional borrowing perspective. Banks are also waiting for the results to be announced. So it takes a little bit of time for them to get their necessary limits in place, whatever their strategies are.
So which is why we took about INR 450 crores. We are still holding close to INR 1,850 crores on the balance sheet. So it's still a sizable number. But the focus of the company will clearly be to ensure appropriate cost of funds. But at the same time, we will not compromise on the growt h. So we are very confident from a debt perspective, ability to raise whatever quantums we need at the right cost of funds, but please bake in an 8.5% incremental cost of funds going forward, not the current levels.
Divyansh Gupta: Understood. Understood. The second question was that, let's say, when we started reducing the rates, our -- let's say, hypothesis or, let's say, target was that we will leverage the balance sheet so that ROE does not get hit. While I understand all that ha ppened in the last, let's say, year or so, when can we realistically can expect that we will hit a debt to equity of 2? And what time line are we thinking around for it?
Srikanth Gopalakrishnan: See, debt to equity of 2 will take a little bit of time. I would probably think it's in the medium term, maybe another 6 to 8 quarters from here onwards because it depends on the growth that we are looking at in the current product and also the newer product diversification we're thinking about , how that pans out over the next few quarters.
You also need to keep in mind that we add almost INR 1,100 crores, INR 1,200 crores of PAT every year to the net worth. So from that perspective, it's also going to be a little bit of a challenge. I would probably think definitely not before another 8 quarters, 6-8 quarters.
Divyansh Gupta: Understood. The next question was on the new product that you have mentioned. So we had

already started something in housing. So this is then going to be third product or the product is just a better variant of housing that we launched?

Lakshmipathy D.: See, the housing product what we have launched 2 quarters down the line, we were not much focusing on that because we want our micro LAP to bounce back to the pre -crisis level, which you have started to see in the disbursement and that will show good numbers going forward. So once the existing product is set in tone, then we wanted to get into the housing product, what we already launched to our similar profile of customers. What we are talking now is apart from that.

Divyansh Gupta: Got it. Understood. Understood. And the last question is that we used to give our overall collection efficiency, which, let's say, in the last quarter and for this quarter, if you can tell?

Srikanth Gopalakrishnan: I think please connect with our IR team separately on some of these data-related questions, Divyansh.

Moderator: Next question comes from the line of Chirag Fialoke with MS Capital.

Chirag Fialoke: Congratulations team on executing what you had laid out a couple of quarters back. Srikanth, just one question on the new customer additions, that quantum has been more in the 6,500, 4,000 kind of range. And then effectively, if one just does back of the e nvelope math, it seems like the incremental disbursements are more in the average INR 5 lakh to INR 7 lakh kind of range.

Is that where it is today? And do you think that this is just a transitory phase and it will normalize back to more INR 5 lakh kind of range o r is it now more going to be incrementally in the INR 7 lakh average disbursement range?

Srikanth Gopalakrishnan: So Chirag, it's not INR 7 lakh. The average ticket size is somewhere close to around INR 5 lakh -- INR4.5 lakh to INR 5. It will largely stay there. So the intent is not to keep adding smaller and smaller customers, but to keep adding the right kind of customers who will be good from a NACH perspective, who will be good from a repayment perspective, who will be good from a flow perspective. So we will continue to keep adding -- our ticket sizes for this year should largely hover around an average ticket size for the quarter of about INR5 lakhs or so.

Lakshmipathy D.: So this is a very important point that everyone should keep in their mind is , we are not vacating any space. Like many players who have done it in the last 12 months, we are not vacating any space. We are becoming more and more stronger in the same space where Five-Star has been operating for the last 24 years.

The only change is the mix. What we guided in last July earnings call was our mix of less than INR3 lakh ticket size will be close to 25% and INR 3 lakhs to INR 5 lakhs will be close to 50% and above INR 5 lakhs will be close to 25%. So that is the mix in which Five -Star wanted to move from last July to this June. So that is what exactly the trend is happening. So we are focusing on what we say.

Chirag Fialoke: Understood. Very clear Mr. Pathy. Just a quick data question. On the 60 to 90 bucket, could you just highlight what that percentage were for the quarter?

Srikanth Gopalakrishnan: Chirag, please connect with the IR team to take some of these data -related aspects.

Moderator: Next question comes from the line of Kunal Thanvi with Banyan Tree Advisors.

Kunal Thanvi: I had 2 questions. One was if you can zoom in into the disbursement growth, like what are the areas from which we got the growth? And what is your confidence in terms of meeting your guidance of 20% this year?

Second question was on the overall organization structural change that you have made. If you can zoom into the incentive structure for the business guys. And from a cultural point of view, while I understand your productivity would improve, but one of the key things was we were able to run a leaner ship with fewer number of employees. How does culturally the organization is now adopting to a business guy and a service guy being separate ? If you can zoom into these two aspects?

Lakshmipathy D.: So our request is, can you please keep yourself mute so that the background noise is too much.

Kunal Thanvi: Yes.

Lakshmipathy D.: Thank you. Let me get into the organization structure first, then Srikanth will add. So very clearly, we have said in last 1 year that I'll be in the operational front as MD. And to support me, there's a JMD with Srikanth. And underneath Srikanth, you have operational heads across all departmen ts.

So if you see every department in Five -Star has one head and one chief. Specifically in this investor presentation, we have given details of all the 20-21 management teams who are in the

company to -- you can please go through them and feel comfortable to come back to our IR for
any doubts.
Srikanth Gopalakrishnan: So Kunal, I think your -- on your question in terms of the disbursement trend for the next few quarters, what kind of incentive structure changes we have made, has the culture changed because we have created this business collections vertical - none of that holds good because today, even though the business and collections vertical have been segregated, the business team continues to have the responsibility of collecting at least on the current accounts for a c

ertain
vintage.
So it's not like we are completely removing the DNA of collections from the business people.
Their incentives are still dependent on achieving a certain level of collection percentage in the current accounts and also achieving the growth perspective. It is only that we are moving the arrears to the collection team because you need focus, you need expertise to ensure that the flows are contained, the s lippages are largely contained.
So from this perspective, there has been no cultural shift. There has been no incentive changes, and we are very confident of achieving the traction in disbursements. While we did about INR1,500 crores in the first quarter, even assuming the same run rate for the next 3 quarters and adding a 10% on top of it because the next few quarters, obviously, the numbers will be higher.
We will be somewhere around INR 6,500 crores to INR 6,800 crores, which will enable us to achieve our growth guidance of 20% very comfortably.
Moderator: Mr. Thanvi are you done with your question.
Srikanth Gopalakrishnan: Let's move ahead.

Moderator: Aright. Next question comes from the line of Varun Subramanian with Ascent Capital.
Varun Subramanian: My questions on leverage were answered. I just wanted to understand when you launch the new product, let's say, in the medium term, at that point, would you be guiding for AUM growth of higher than 20% or would that be including the new product launches that you have in mind? Is that a medium -term sort of guidance?
Lakshmipathy D.: No. Definitely, the guidance at that point of time will be much higher than the guidance what we have given with the Micro LAP product. It's going to be the addition of the guidance what we have given as of now.
Srikanth Gopalakrishnan: Varun, we also want to impress upon on the question on leverage. This is something that we are talking about given the growth on the current product, with how the new products pan out, when the growth goes up, obviously, there will also be a kicker in leve rage. So definitely, our intent is also to maximize the returns to the shareholders from an ROE perspective and which is why we are looking at strong growth in the existing product and also the new products coming in and giving better growth, which can hel p the leverage needle also move up.
Varun Subramanian: So just to clarify, would leverage be linked to the launch of a new product o r would you be able to lever up the book even with the existing products scaling up and with the asset quality improving? Will we be able to maybe get to 1.5 in 4 quarters, something like that?
Srikanth Gopalakrishnan: Definitely, I think the current product itself will give a kicker in leverage. What we are saying is it will get better with newer products coming in because we have a strong capital, and it is important for us to use the capital in the right way to maximi ze the returns for all the shareholders. And that's the endeavou r of the company that we are working on.
So definitely, you will see leverage going up in the existing products. But with the new products coming in, it will obviously be a lot higher. So from here onwards, the focus is clearly to deliver strong returns to the shareholders.
Moderator: Next question comes from the line of Darshan Deora with Indvest Group.
Darshan Deora: Happy to see the turnaround in asset quality. Quick question. On a steady-state basis, what sort of ROE would the management be targeting? Like what sort of ROE would the management be aiming for?
Srikanth Gopalakrishnan: Darshan, today, we are operating at somewhere around 8% ROA, right, 8% to 8.5% based on the AUM. If you convert it into total assets, this number will be somewhere around 7% to 7.25%.
Now our point is, as leverage keeps going up, you will have a compression in the ROA.
So in the past, the guidance that we u

sed to give would be a steady-state ROA of somewhere around 6% to 6.5%. And if we are able to get to the 3x leverage, we are talking somewhere between 18% to 20% as the ROE. So that's the endeavor that we are working on.

Darshan Deora: Got it. And secondly, in October '24, we have decided to reduce our lending yields, right? Because it was to some extent the expectation of the regulatory environment. And also prior to that, we had always experienced relatively good asset quality or we were able to bounce back relative ly fast from any credit crisis.
So last 18 months have been sort of a slight change from the previous experiences where we have had to also really bulk up our collection efforts and increase our costs. So any thoughts on -- and now the regulatory environment is also more favorable. So now any thoughts on maybe sort of further like moving back to a slightly higher yield in order to sort of hasten the process to getting to a higher ROE?
Lakshmipathy D.: Darshan, first of all, I wanted to correct your first question. You're right, in October 2024, we dropped 200 bps at one go. That was not from a regulator perspective. I have already reiterated.
I'm again happy to reiterate that. It's because our borrowing cost was 11% plus. It has now -- it was dropping down to 9% plus.
So that 200 bps, we wanted to fix the appropriate time to give it back to our customer. We took October as the right timing to give this 200 bps reduction to our customers. So that point I wanted to emphasize again so that people correct themselves why Fiv e-Star did the 200 bps in October 2024.
Going forward, our intent is keeping the borrowing cost in mind, our lending rates will get adjusted. So it is not that if the borrowing cost trending down, we are not intend to keep our lending rates up. So that is not going to happen in Five -Star. That's the call that Board has taken in October 2024 itself. That is why that 200 bps reduction was being given for onboarding new customers. So as the borrowing rate trends, the lending rates will also trend.
Darshan Deora: So Pathy point taken. But I think from a cost structure point of view, also our cost structure has slightly changed, right, because we have invested a lot in sort of increasing our team size because of the collection efforts. So somehow, do we want to pric e that back in into our yields going forward?
Lakshmipathy D.: I think that will be priced back in our credit cost and slippage ratio and NPLs trending down. So we want that to be priced back in provision rather than in increasing the lending rate.
Srikanth Gopalakrishnan: And Darshan, like we said, the opex will start trending down. So it's possibly a phenomenon for 1 year. It's not like it's going to continue to remain where it is forever. From next year onwards, definitely, you will start seeing opex to trend down.
So as a responsible lender, we want to price our products in the right way so that we also see strong traction , the customer service is good , the customer feels happy getting onboarded with Five-Star. So at this point of time, given where our borrowing costs, I think we are very comfortable with the yield.

Darshan Deora: Got it. And I think just like one suggestion from my side. I think we're doing a great job, but metrics such as AUM per employee, disbursement per employee, we hope as investors to see an uptick in that. I think it's already happening on a Q -on-Q basis, bu t it would be great, I think maybe with the addition of new products to see that AUM per employee and disbursement per employee trending upwards with more speed...
Lakshmipathy D.: Yes. Darshan, you are correct. Not even with new product. I can tell you very confidently with the existing product itself, you will see in the quarters to come,

the disbursement per employee and AUM per employee will trend up.
Moderator: Next question comes from the line of Renish with ICICI.
Renish: Just one thing on the disbursement front. If you can share the June disburseme nt number would be helpful, sir?
Srikanth Gopalakrishnan: So June, we did about INR 670 crores, Renish.
Renish: How much? INR 670 crores?
Srikanth Gopalakrishnan: INR670 crores, yes.
Renish: So is there any seasonality in that particular month? I mean, otherwise, the disbursement target, which you have in mind for '27, that should actually overshoot by a big margin. So jus t wanted to get a sense on that?
Srikanth Gopalakrishnan: Renish, there will always be seasonality in the third month of the quarter. But this year, we are very consciously working towards keeping the seasonality between the months in the quarter minimal. So you will not see, let's say, the first month of the quarter being at INR 300 crores and the last month of the quarter being at INR 700 crores, but the re will still be a seasonality.
So right now, despite what you have seen in the first quarter, I think which is a very healthy trend. And we are looking at traction building from here onwards to achieve our growth comfortably.
Renish: Got it. So it is fair to assume that, let's say, anywhere between INR 600 crores to INR 650 crores,

INR670 crores should be a new normal monthly result number for rest of the year?
Srikanth Gopalakrishnan: On an average, yes.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I now hand the conference over to the management for closing comments.
Srikanth Gopalakrishnan: Thank you all. As we said, it's been a great quarter for Five -Star. We are extremely confident in the way that the company is moving and the actions that we have taken have vindicated our stance. And like we said in the presentation, from here onwards, we are very confident of moving in the right direction and in our journey to move onwards and upwards to get back to some of

the strongest numbers that Five -Star has been used to delivering. On that note, we will all be happy to see you in the next quarter. Thank you so much.
Moderator: Thank you. On behalf of Five -Star Business Finance, that concludes this conference. Thank you for joining us. You may now disconnect your lines.